American Electric Power

Non-UMWA Postretirement Health Care Plan

Actuarial Valuation Report
Postretirement Welfare Cost for Fiscal Year Ending December 31, 2017 under U.S. GAAP

Employer Contributions for Plan Year Beginning January 1, 2017

May 2017

WillisTowersWatson

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Purpose and actuarial statement

Purposes of valuation

American Electric Power retained Towers Watson Delaware Inc. ("Willis Towers Watson"), to perform an actuarial valuation of its postretirement welfare programs for the purpose of determining the following:

(1) The value of benefit obligations as of January 1, 2017, and American Electric Power's postretirement welfare cost for fiscal year ending December 31, 2017, in accordance with FASB Accounting Standards Codification Topic 715 (ASC 715-60). It is anticipated that a separate report will be prepared for year-end financial reporting and disclosure purposes.

(2) Plan reporting information in accordance with FASB Accounting Standards Codification Topic 965 (ASC 965).

(3) Expected contributions under the plan sponsor's funding policy for the 2017 plan year.

(4) The estimated maximum tax-deductible contribution for the tax year in which the 2017 plan year ends as allowed by the Internal Revenue Code. The maximum tax-deductible contribution should be finalized in consultation with American Electric Power's tax advisor.

Limitations

This valuation has been conducted for the purposes described above and may not be suitable for any other purpose. In particular, please note the following:

1. There may be certain events that have occurred since the valuation date that are not reflected in the current valuation.

This valuation has been conducted in accordance with generally accepted actuarial principles and practices.

Reliances

In preparing the results presented in this report, we have relied upon information regarding plan provisions, participants, claims data, contributions and assets (if any) provided by American Electric Power and other persons or organizations designated by American Electric Power. We have reviewed this information for overall reasonableness and consistency, but have neither audited nor independently verified this information. Based on discussions with and concurrence by the plan sponsor, assumptions or estimates may have been made if data were not available. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

We have relied on all the information provided as complete and accurate. The results presented in this report are dependent upon the accuracy and completeness of the underlying data and information. Any material inaccuracy in the data and information provided to us may have produced results that are not suitable for the purposes of this report and such inaccuracies, as corrected by American Electric Power, may produce materially different results that could require that a revised report be issued.

Assumptions and methods under the Internal Revenue Code for contribution limit purposes

The actuarial assumptions and methods employed in the development of the contribution limits have been selected by the plan sponsor, with the concurrence of Willis Towers Watson. The Internal Revenue Code requires the use of reasonable assumptions (taking into account the experience of the plan and reasonable expectations) which, in combination, offer the actuary's best estimate of anticipated experience under the plan. We believe that the assumptions used in our valuation are reasonable and appropriate for the purposes for which they have been used.

Assumptions and methods under ASC 715-60

The actuarial assumptions and methods employed in the development of the postretirement welfare cost have been selected by the plan sponsor with the concurrence of Willis Towers Watson, except for the expected rate of return on plan assets selected for fiscal 2017. Evaluation of the expected rate of return assumption was outside the scope of Willis Towers Watson's assignment and would have required substantial additional work that we were not engaged to perform. ASC 715-60 requires that each significant assumption "individually represent the best estimate of a particular future event".

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated by Willis Towers Watson, we consider to be reasonable. Other actuarial assumptions could also be considered to be reasonable. Thus, reasonable results differing from those presented in this report could have been developed by selecting different reasonable assumptions.

A summary of the assumptions and methods used is provided in Appendix A. Note that any subsequent changes in methods or assumptions for the October 31, 2016 measurement date will change the results shown in this report.

Accumulated other comprehensive (income)/loss amounts shown in the report are shown prior to adjustment for deferred taxes. Any deferred tax effects in AOCI should be determined in consultation with American Electric Power's tax advisors and auditors.

Effects of Health Care Legislation

In March 2010, the Patient Protection and Affordable Care Act (PPACA) and Health Care and Education Reconciliation Act (HCERA) were enacted. The key aspects of the Acts affecting American Electric Power's benefit obligation and cost of providing retiree medical benefits are:

- Preventive care benefits covered at 100% beginning in 2011
- Mandatory coverage for adult children until age 26 beginning in 2011
- Loss of the tax free status of the Retiree Drug Subsidy (RDS) beginning in 2013
- Excise ("Cadillac") tax on high-cost plans beginning in 2020
- Elimination of lifetime maximums beginning in 2011

All subsequent measurements for tax purposes reflect the current law.

This valuation reflects our understanding of the relevant provisions of PPACA and HCERA. The IRS and HHS have yet to issue final guidance with respect to many aspects of this law. It is possible that future guidance may conflict with our understanding of these laws based on currently available guidance and could therefore affect the results shown in this report.

Nature of actuarial calculations

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated or selected by Willis Towers Watson, we consider reasonable and within the "best-estimate range" as described by the Actuarial Standards of Practice. Other actuarial assumptions could also be considered to be reasonable and within the best-estimate range. Thus, reasonable results differing from those presented in this report could have been developed by selecting different points within the best-estimate ranges for various assumptions.

The results shown in this report are estimates based on data that may be imperfect and on assumptions about future events that cannot be predicted with certainty. The effects of certain plan provisions may be approximated, or determined to be insignificant and therefore not valued. Assumptions may be made, in consultation with American Electric Power, about participant data or other factors. Reasonable efforts were made in preparing this valuation to confirm that items that are significant in the context of the actuarial liabilities or costs are treated appropriately, and are not excluded or included inappropriately. The numbers shown in this report are not rounded. This is for convenience only and should not imply precision; by their nature, actuarial calculations are not precise.

If overall future plan experience produces higher benefit payments or lower investment returns than assumed, the relative level of plan costs or contribution requirements reported in this valuation will likely increase in future valuations (and vice versa). Future actuarial measurements may differ significantly from the current measurements presented in this report due to many factors, including: plan experience differing from that anticipated by the economic or demographic assumptions; increases or reductions expected as part of the natural operation of the methodology used for the measurements (such as the end of an amortization period); and changes in plan provisions or applicable law. It is beyond the scope of this valuation to analyze the potential range of future postretirement welfare contributions, but we can do so upon request.

See Basis for Valuation in Section 1 below for a discussion of any material events that have occurred after the valuation date that are not reflected in this valuation.

Limitations on use

This report is provided subject to the terms set out herein and in our master consulting services agreement dated July 29, 2004, and any accompanying or referenced terms and conditions.

The information contained in this report was prepared for the internal use of American Electric Power and its auditors in connection with our actuarial valuation of the postretirement welfare plan as described in Purposes of Valuation above. It is not intended for and may not be used for other purposes, and we accept no responsibility or liability in this regard. American Electric Power may distribute this actuarial valuation report to the appropriate authorities who have the legal right to require American Electric Power to provide them this report, in which case American Electric Power will use best efforts to notify Willis Towers Watson in advance of this distribution, and will include the non-reliance notice included at the end of this report. Further distribution to, or use by, other parties of all or part of this report is expressly prohibited without Willis Towers Watson's prior written consent. In the absence of such consent and an express assumption of responsibility, we accept no responsibility whatsoever for any consequences arising from any third party relying on this report or any advice relating to its contents. There are no intended third-party beneficiaries of this report or the work underlying it.

Professional Qualifications

The undersigned consulting actuaries are members of the Society of Actuaries and meet the "Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion in the United States" relating to postretirement welfare plans. Our objectivity is not impaired by any relationship between American Electric Power and our employer, Towers Watson Delaware Inc., a subsidiary of Willis Towers Watson PLC ("Willis Towers Watson").

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The Pricing Specialist is responsible for developing and/or determining the reasonableness of retiree welfare plan trend and participation assumptions as well as assumed per capita claims costs (including the aging/morbidity assumption, if applicable). The Valuation Actuary is responsible for other aspects of the valuation (e.g., developing and/or reviewing the reasonableness of other valuation assumptions and methods, ensuring that the valuation model reasonably reflects the substantive plan and actual plan operation, preparing demographic data, performing the valuation, implementing the correct accounting or funding calculations, etc.).

Towers Watson Delaware Inc.

May 2017

Section 1: Summary of key results

Benefit cost, assets & obligations

All monetary amounts shown in US Dollars

Fiscal Year Beginning		January 1, 2017	January 1, 2016
Benefit Cost/ (Income)	Net Periodic Postretirement Benefit Cost/(Income)	(65,457,797)	(76,551,152)
Measurement Date		**January 1, 2017**	**January 1, 2016**
Plan Assets	Fair Value of Assets (FVA)	1,524,265,466	1,551,820,304
Benefit Obligations	Accumulated Postretirement Benefit Obligation (APBO)	1,407,167,860	1,373,723,945
Funded Status	Funded Status	117,097,606	178,096,359
Accumulated Other Comprehensive (Income)/Loss	Net Transition Obligation/(Asset)	0	0
	Net Prior Service Cost/(Credit)	(480,557,744)	(549,183,980)
	Net Loss/(Gain)	631,850,248	563,454,160
	Total Accumulated Other Comprehensive (Income)/Loss	151,292,504	14,270,180
Assumptions[1]	Discount Rate	4.10%	4.30%
	Expected Long-term Return on Plan Assets	6.75%	7.00%
	Rate of Compensation/Salary Increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
	Current Health Care Cost Trend Rate	6.75%	7.00%
	Ultimate Health Care Cost Trend Rate	5.00%	5.00%
	Year of Ultimate Trend Rate	2024	2024
Participant Data	Census Date	January 1, 2017	January 1, 2016
Plan reporting (ASC 965) for Plan Year Beginning		**January 1, 2017**	**January 1, 2016**
	Present value of accumulated benefits	1,407,496,076	1,374,114,001
	Market value of assets	1,524,265,466	1,551,820,304
	Plan reporting discount rate	4.10%	4.30%
Employer Contributions (net of Medicare subsidy)		**Plan Year 2017**	**Plan Year 2016**
Cash Flow	Funding Policy contributions	0	0
	Maximum Tax Deductible contributions	151,019,924 (est)	135,777,968
	Actual contributions	N/A	0
	Expected benefit payments and expenses, net of participant contributions	100,168,816	97,338,870

Employer Contributions

Employer contributions are the amounts paid by American Electric Power to provide for postretirement benefits, net of participant contributions and Medicare Part D payments. Most participants receiving benefits are required to contribute toward the cost of the plan.

[1] Rates are expressed on an annual basis where applicable.

American Electric Power's funding policy is to contribute an amount equal to the postretirement welfare cost plus retiree drug subsidy payments received (the sum of which can be no less than zero). American Electric Power maximizes its contribution to the 401(h) account and contributes the remainder to the various VEBAs. American Electric Power may deviate from this policy, as permitted by its terms, based on cash, tax or other considerations.

Postretirement welfare cost and funded position

The cost of the postretirement welfare plan is determined in accordance with generally accepted accounting principles in the U.S. ("U.S. GAAP"). The fiscal 2017 postretirement welfare benefit cost/(income) for the plan is $(65,457,797). Under U.S. GAAP, the funded position (fair value of plan assets less the projected benefit obligation, or "APBO") of each postretirement welfare plan at the plan sponsor's fiscal year-end (measurement date) is required to be reported as a liability. The APBO is the actuarial present value of benefits attributed to service rendered prior to the measurement date, taking into consideration expected future pay increases for pay-related plans. The plan's overfunded (underfunded) APBO as of January 1, 2017 was $117,097,606 based on the fair value of plan assets of $1,524,265,466 and the APBO of $1,407,167,860.

Fiscal year-end financial reporting information and disclosures are prepared before detailed participant data and full valuation results are available. Therefore, the postretirement benefit asset (liability) at December 31, 2016 was derived from a roll forward of the January 1, 2016 valuation results, adjusted for the year-end discount rate and asset values, as well as significant changes in plan provisions and participant population. The next fiscal year financial reporting information will be developed based on the results of the January 1, 2017 valuation, projected to the end of the year and similarly adjusted for the year-end discount rate and asset values, as well as significant changes in plan provisions and participant population.

Change in postretirement welfare cost and funded position

The postretirement welfare cost/(income) increased from $(76,551,152) in fiscal 2016 to $(65,457,797) in fiscal 2017 and the funded position decreased from $178,096,359 on January 1, 2016 to $117,097,606 on January 1, 2017, as set forth below:

All monetary amounts shown in millions of US Dollars

($ in millions)	Postretirement Welfare Cost
Prior year	(76.6)
Change due to:	
■ Expected based on prior valuation and contributions during prior year	(1.1)
■ Unexpected noninvestment experience	3.5
■ Unexpected investment experience	5.2
■ Assumption changes	3.5
Current year	(65.5)

Significant reasons for these changes include the following:

- Per capita claims costs were updated but did not greatly affect the postretirement welfare cost.

All monetary amounts shown in US Dollars

	2017	2016
Medical (Overall Average)		
Under age 65		
▪ HSA Basic	9,056	8,637
▪ HSA Plus	10,007	9,529
▪ HRA	11,098	10,578
Age 65 and older (before Part D offsets)		
▪ COB	4,811	4,633
▪ MOB	3,346	3,387
▪ CSP	2,118	1,999
Medicare Part D offsets		
▪ MOB/COB (EGWP)	(831)	(830)
▪ CSP (RDS)	(241)	(274)

See Appendix A for additional details on per capita claims costs assumptions including assumed claims costs adjusted for age-related morbidity adjustments.

- The discount rate decreased 20 basis points since the prior year which increased the postretirement welfare cost.
- Actual asset returns during 2016 were lower than the assumed rate of 7.00% which increased the postretirement welfare cost.
- The expected return on assets assumption was reduced 25 basis points to 6.75% which increased the postretirement welfare cost.
- Demographic losses due to factors such as: (younger and) higher number of new retirees then expected; fewer terminations than expected; higher persistency then expected; and new data allowing for better identification of retiree contributions increased postretirement welfare benefit cost.

Basis for valuation

Appendix A summarizes the assumptions and methods used in the valuation. Appendix B summarizes our understanding of the principal provisions of the plan being valued.

Changes in Assumptions

- Per capita claims costs were updated to reflect 2015 retiree claims experience.
- Discount rate was changed from 4.30% to 4.10%.
- The expected return on assets assumption was reduced 25 basis points to 6.75%

Changes in Methods

None.

Changes in Benefits Valued

None.

Section 2: Actuarial exhibits

2.1 Balance sheet asset/(liability)

All monetary amounts shown in US Dollars

	Measurement Date	January 1, 2017	January 1, 2016
A	**Development of Balance Sheet Asset/(Liability)[1]**		
1	Accumulated postretirement benefit obligation (APBO)	1,407,167,860	1,373,723,945
2	Fair value of assets (FVA)	1,524,265,466	1,551,820,304
3	Net balance sheet asset/(liability)	117,097,606	178,096,359
B	**Current and Noncurrent Allocation**		
1	Noncurrent assets	117,097,606	178,096,359
2	Current liabilities	0	0
3	Noncurrent liabilities	0	0
4	Net balance sheet asset/(liability)	117,097,606	178,096,359
C	**Accumulated Other Comprehensive (Income)/Loss**		
1	Net transition obligation/(asset)	0	0
2	Net prior service cost/(credit)	(480,557,744)	(549,183,980)
3	Net loss/(gain)	631,850,248	563,454,160
4	Accumulated other comprehensive (income)/loss[2]	151,292,504	14,270,180
D	**Assumptions and Dates**		
1	Discount rate	4.10%	4.30%
2	Rate of compensation/salary increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
3	Current health care cost trend rate	6.75%	7.00%
4	Ultimate health care cost trend rate	5.00%	5.00%
5	Year of ultimate trend rate	2024	2024
6	Census date	January 1, 2017	January 1, 2016

[1] Whether the amounts in this table that differ from those disclosed at year-end must be disclosed in subsequent interim financial statements should be determined.

[2] Amount shown is pre-tax and should be adjusted by plan sponsor for tax effects.

2.2 Summary and comparison of postretirement benefit cost and cash flows

All monetary amounts shown in US Dollars

Fiscal Year Ending			December 31, 2017	December 31, 2016
A	**Total Postretirement Benefit Cost**			
	1	Employer service cost	10,568,485	9,318,249
	2	Interest cost	56,094,357	57,400,055
	3	Expected return on assets	(99,562,423)	(105,278,181)
	4	Subtotal	(32,899,581)	(38,559,877)
	5	Net prior service cost/(credit) amortization	(68,626,236)	(68,626,236)
	6	Net loss/(gain) amortization	36,068,020	30,634,961
	7	Transition obligation/(asset) amortization	0	0
	8	Amortization subtotal	(32,558,216)	(37,991,275)
	9	Net periodic postretirement benefit cost/(income)	(65,457,797)	(76,551,152)
B	**Assumptions**[1]			
	1	Discount rate	4.10%	4.30%
	2	Long-term rate of return on assets	6.75%	7.00%
	3	Rate of compensation/salary increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
	4	Current health care cost trend rate	6.75%	7.00%
	5	Ultimate health care cost trend rate	5.00%	5.00%
	6	Year ultimate trend rate is expected	2024	2024
C	**Census Date**		January 1, 2017	January 1, 2016
D	**Assets at Beginning of Year**			
	1	Fair market value	1,524,265,466	1,551,820,304
E	**Cash Flow**		**Expected**	**Actual**
	1	Employer contributions	0	0
	2	Plan participants' contributions	38,748,503	37,843,136
	3	Benefits paid from plan assets	138,964,202	126,000,432
	4	Expected Medicare retiree drug subsidy on current year benefit payments	(46,888)	(527,582)

[1] These assumptions were used to calculate the Net Postretirement Benefit Cost/ (Income) as of the beginning of the year. Rates are expressed on an annual basis where applicable. For assumptions used for interim measurement periods, if any, refer to Appendix A.

2.3 Detailed results for postretirement welfare cost and funded position

All monetary amounts shown in US Dollars

Detailed results			January 1, 2017	January 1, 2016
A	**Service Cost**			
	1	Medical	7,997,425	6,850,199
	2	Life insurance	2,571,060	2,468,050
	3	Dental	0	0
	4	Total	10,568,485	9,318,249
B	**Accumulated Postretirement Benefit Obligation [APBO]**			
	1	Medical:		
		a Participants currently receiving benefits	794,608,763	801,196,843
		b Fully eligible active participants	55,110,840	38,916,502
		c Other participants	173,101,707	163,727,086
		d Total	1,022,821,310	1,003,840,431
	2	Life insurance:		
		a Participants currently receiving benefits	291,999,343	278,556,172
		b Fully eligible active participants	21,489,028	17,772,749
		c Other participants	55,838,444	58,708,175
		d Total	369,326,815	355,037,096
	3	Dental:		
		a Participants currently receiving benefits	14,821,187	14,610,629
		b Fully eligible active participants	198,548	235,789
		c Other participants	0	0
		d Total	15,019,735	14,846,418
	4	All Benefits:		
		a Participants currently receiving benefits	1,101,429,293	1,094,363,644
		b Fully eligible active participants	76,798,416	56,925,040
		c Other participants	228,940,151	222,435,261
		d Total	1,407,167,860	1,373,723,945
C	**Assets**			
	1	Fair value [FV]	1,524,265,466	1,551,820,304
D	**Funded Position**			
	1	Overfunded (underfunded) APBO	117,097,606	178,096,359
	2	APBO funded percentage	108.3%	113.0%

E	**Amounts in Accumulated Other Comprehensive Income**			
	1	Prior service cost (credit)	(480,557,744)	(549,183,980)
	2	Net actuarial loss (gain)	631,850,248	563,454,160
	3	Transition obligation (asset)	0	0
	4	Total	151,292,504	14,270,180
F	**Effect of Change in Health Care Cost Trend Rate**			
	1	One-percentage-point increase:		
		a Sum of service cost and interest cost	1,602,247	2,089,961
		b APBO	50,169,731	54,993,823
	2	One-percentage-point decrease:		
		a Sum of service cost and interest cost	(1,367,834)	(1,544,014)
		b APBO	(44,255,691)	(45,202,710)

2.4 ASC 965 (plan reporting) information

All monetary amounts shown in US Dollars

Summary of Present Value of Benefits			January 1, 2017	January 1, 2016
A	**Medical (ignoring Retiree Drug Subsidy)**			
	1	Current retirees	794,936,979	801,586,899
	2	Active participants fully eligible for benefits	55,110,840	38,916,502
	3	Other active participants	173,101,707	163,727,086
	4	Total	1,023,149,526	1,004,230,487
B	**Life Insurance**			
	1	Current retirees	291,999,343	278,556,172
	2	Active participants fully eligible for benefits	21,489,028	17,772,749
	3	Other active participants	55,838,444	58,708,175
	4	Total	369,326,815	355,037,096
C	**Dental**			
	1	Current retirees	14,821,187	14,610,629
	2	Active participants fully eligible for benefits	198,548	235,789
	3	Other active participants	0	0
	4	Total	15,019,735	14,846,418
D	**Total (ignoring Retiree Drug Subsidy)**			
	1	Current retirees	1,101,757,509	1,094,753,700
	2	Active participants fully eligible for benefits	76,798,416	56,925,040
	3	Other active participants	228,940,151	222,435,261
	4	Total	1,407,496,076	1,374,114,001

Actuarial assumptions and methods

The key actuarial assumptions used for plan reporting calculations are the same as those used to determine the postretirement welfare cost and are shown in the Actuarial Assumptions and Methods section, except that the Retiree Drug Subsidy (RDS) associated with Medicare Part D is not reflected. For the prior valuation, a discount rate of 4.30% was used. The same plan provisions shown in Appendix B were used to determine the present value of accumulated benefits.

Reconciliation of Present Value of Benefits			Fiscal 2017	Fiscal 2016
A	**Medical (ignoring Retiree Drug Subsidy)**			
	1	Benefit obligation, beginning of year	1,004,230,487	970,907,664
	2	Service cost	6,850,199	7,784,451
	3	Interest cost	41,924,235	37,683,366
	4	Participant contributions	31,239,526	28,014,393
	5	Actuarial (gain)/loss	43,109,506	61,795,934
	6	Plan amendments	0	0
	7	Gross benefits paid	(104,204,427)	(101,955,321)
	8	Benefit obligation, end of year	1,023,149,526	1,004,230,487
B	**Life Insurance**			
	1	Benefit obligation, beginning of year	355,037,096	365,441,726
	2	Service cost	2,468,050	3,031,919
	3	Interest cost	15,069,239	14,438,813
	4	Participant contributions	1,424,766	1,288,420
	5	Actuarial (gain)/loss	11,018,041	(12,720,149)
	6	Plan amendments	0	0
	7	Gross benefits paid	(15,690,377)	(16,443,633)
	8	Benefit obligation, end of year	369,326,815	355,037,096
C	**Dental**			
	1	Benefit obligation, beginning of year	14,846,418	18,215,849
	2	Service cost	0	0
	3	Interest cost	618,680	705,846
	4	Participant contributions	5,178,844	3,959,131
	5	Actuarial (gain)/loss	481,421	(2,924,577)
	6	Plan amendments	0	0
	7	Gross benefits paid	(6,105,628)	(5,109,831)
	8	Benefit obligation, end of year	15,019,735	14,846,418
D	**Total (ignoring Retiree Drug Subsidy)**			
	1	Benefit obligation, beginning of year	1,374,114,001	1,354,565,239
	2	Service cost	9,318,249	10,816,370
	3	Interest cost	57,612,154	52,828,025
	4	Participant contributions	37,843,136	33,261,944
	5	Actuarial (gain)/loss	54,608,968	46,151,208
	6	Plan amendments	0	0
	7	Gross benefits paid	(126,000,432)	(123,508,785)
	8	Benefit obligation, end of year	1,407,496,076	1,374,114,001

2.5 Basic results for employer contributions - VEBAs

All monetary amounts shown in US Dollars

All Postretirement VEBAs			Estimated December 31, 2017	Actual December 31, 2016
A	**Qualified Asset Account Limits [QAAL]**[1]		583,000,000	627,052,966
B	**Assets**			
	1	Market value	1,105,000,000	1,133,035,965
	2	Unrecognized investment losses (gains)	0	0
	3	Actuarial value [AV]	1,105,000,000	1,133,035,965
C	**Funded Position**			
	1	Unfunded account limits [QAAL – FV]	(522,000,000)	(505,982,999)
D	**Employer Contributions**			
	1	Maximum deductible available[2]	146,796,271	134,096,544
	2	Qualified additions		
		a Prior years' carryover	0	0
		b Current year additions	0	0
		c Total deductions available [a + b]	0	0
	3	Other non-deductible current year additions	0	0
	4	Total additions [2.c + 3]	0	0
		a Life insurance VEBA	0	0
		b Union medical and dental VEBAs	0	0
		c Non-union medical and dental VEBAs	0	0

[1] Includes the present value of projected benefits for the union retiree medical VEBA.
[2] Includes amounts not contributed to trusts with capacity at year-end.

2.6 VEBA deduction limits

All monetary amounts shown in US Dollars

Retiree Life Insurance			2016	2015
A	**Qualified Asset Account Limit (QAAL)**			
	1	December 31 actuarial accrued liability	243,033,191	229,502,632
	2	Unrecognized liability	0	0
	3	QAAL	243,033,191	229,502,632
B	**Assets**			
	1	Market value as of December 31	108,936,647	118,830,974
	2	Unrecognized investment losses (gains)	0	0
	3	Actuarial value [AV]	108,936,647	118,830,974
C	**Funded position**			
	1	Unfunded account limit [QAAL - AV]	134,096,544	110,671,658
	2	Contributions received in trust, but not yet deducted		
		Through 2009	0	0
		2010	0	0
		2011	0	0
		2012	0	0
		2013	0	0
		2014	0	0
		2015	0	0
		2016	0	N/A
		Total	0	0
D	**Employer deductions for contributions to VEBAs**			
	1	Maximum deduction available[1] [C.1 + Total of C.2]	134,096,544	110,671,658
	2	Qualified additions		
		a Prior years' carryover	0	0
		b Current year additions	0	0
		c Total deductions available [a + b]	0	0
	3	Other non-deductible current year additions	0	0
	4	Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

All monetary amounts shown in US Dollars

Union Medical and Dental			2016	2015
A	**Qualified Asset Account Limit (QAAL)**			
	1	December 31 present value of projected benefits	193,327,720	183,231,640
	2	Unrecognized liability	0	0
	3	QAAL	193,327,720	183,231,640
B	**Assets**			
	1	Market value as of December 31	444,403,072	436,005,018
	2	Unrecognized investment losses (gains)	0	0
	3	Actuarial value [AV]	444,403,072	436,005,018
C	**Funded position**			
	1	Unfunded account limit [QAAL - AV]	(251,075,352)	(252,773,378)
	2	Contributions received in trust, but not yet deducted		
		Through 2009	0	0
		2010	0	0
		2011	0	0
		2012	0	0
		2013	0	0
		2014	0	0
		2015	0	0
		2016	0	N/A
		Total	0	0
D	**Employer deductions for contributions to VEBAs**			
	1	Maximum deduction available[1] [greater of C.1+C.2 and 0]	0	0
	2	Qualified additions		
		a Prior years' carryover	0	0
		b Current year additions	0	0
		c Total deductions available [a + b]	0	0
	3	Other non-deductible current year additions	0	0
	4	Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

All monetary amounts shown in US Dollars

Non-Union Retiree Medical and Dental			2016	2015
A	**Qualified Asset Account Limit (QAAL)**			
	1	December 31 actuarial accrued liability	190,692,055	225,019,406
	2	Unrecognized liability	0	0
	3	QAAL	190,692,055	225,019,406
B	**Assets**			
	1	Market value as of December 31	579,696,246	624,380,944
	2	Unrecognized investment losses (gains)	0	0
	3	Actuarial value [AV]	579,696,246	624,380,944
C	**Funded position**			
	1	Unfunded account limit [QAAL - AV]	(389,004,191)	(399,361,538)
	2	Contributions received in trust, but not yet deducted		
		Through 2008	0	0
		2009	105,440,600	105,440,603
		2010	73,467,453	73,467,453
		2011	38,701,148	38,701,148
		2012	68,292,490	68,292,490
		2013	0	0
		2014	0	0
		2015	0	0
		2016	0	N/A
		Total	285,901,694	285,901,694
D	**Employer deductions for contributions to VEBAs**			
	1	Maximum deduction available[1] [greater of C.1+C.2 and 0]	0	0
	2	Qualified additions		
		a Prior years' carryover	0	0
		b Current year additions	0	0
		c Total deductions available [a + b]	0	0
	3	Other non-deductible current year additions	0	0
	4	Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

2.7 Cumulative nondeductible contributions

All monetary amounts shown in US Dollars

Non-Union Retiree Medical and Dental VEBAs

	Contributions Made by December 31, 2016, but Not Deducted as of December 31, 2015	Deductible in 2016	Remaining Nondeductible Contributions as of December 31, 2016
2005	$0	$0	$0
2006	0	0	0
2007	0	0	0
2008	0	0	0
2009	105,440,603	0	105,440,603
2010	73,467,453	0	73,467,453
2011	38,701,148	0	38,701,148
2012	68,292,490	0	68,292,490
2013	0	0	0
2014	0	0	0
2015	0	0	0
2016	0	0	0
Total	$285,901,694	$0	$285,901,694

Retiree Life Insurance VEBAs

	Contributions Made by December 31, 2016, but Not Deducted as of December 31, 2015	Deductible in 2016	Remaining Nondeductible Contributions as of December 31, 2016
2005	$0	$0	$0
2006	0	0	0
2007	0	0	0
2008	0	0	0
2009	0	0	0
2010	0	0	0
2011	0	0	0
2012	0	0	0
2013	0	0	0
2014	0	0	0
2015	0	0	0
2016	0	0	0
Total	$0	$0	$0

2.8 Development of maximum deductible contribution – 401(h)

All monetary amounts shown in US Dollars

Plan Year Beginning	January 1, 2017
A Development of Maximum Deductible Contribution	
1 Present value of projected benefits	416,526,887
2 Fair value of assets	391,229,501
3 Unfunded surplus [1 - 2]	25,297,386
4 Average present value of future service	9
5 Preliminary maximum deductible contribution	
a 10% of unfunded surplus [10% x A.3]	2,529,739
b Aggregate normal cost [A.3 / A.4]	2,797,312
c Greater of A.5.a, A.5.b and 0	2,797,312
6 Preliminary maximum 2016 contribution [1.0753 x A.5.c]	3,007,949
7 Subordination test (development shown below)	81,058,622
8 Maximum deductible contribution ignoring expenses [lesser of A.6 and A.7]	3,007,949
9 Total trust expenses paid from 401(h) account during 2015	1,215,703
10 Maximum deductible contribution including expenses [A.8 + A.9]	4,223,653

B Subordination Test

Year-by-year minimum of actual pension plan contribution and pension plan normal cost with interest

Year	West Plan	East Plan	Combined Plan
1992	9,766,169	N/A	N/A
1993	22,392,743	N/A	N/A
1994	21,208,326	N/A	N/A
1995	21,683,436	N/A	N/A
1996	20,271,648	N/A	N/A
1997 - 2002	0	N/A	N/A
2003	19,197,145	39,165,054 *	N/A
2004	18,614,338	56,614,811	N/A
2005	16,222,550	55,872,817	N/A
2006	0	0	N/A
2007	0	0	N/A
2008	0	0	0
2009	N/A	N/A	100,540,448
2010	N/A	N/A	125,586,018
2011	N/A	N/A	62,751,522
2012	N/A	N/A	0
2013	N/A	N/A	65,249,050
2014	N/A	N/A	0
2015	N/A	N/A	81,674,776
2016	N/A	N/A	84,696,307
Cumulative pension contributions not for past service	149,356,355	151,652,682	821,507,159
	x 1/3	x 1/3	x 1/3
	49,785,452	50,550,894	273,835,720
Cumulative 401(h) contributions before plan year 2016	49,785,452	50,550,894	192,777,098
Subordination limit	0	0	81,058,622

* Includes only portion of normal cost and contributions after 401(h) account adoption for indicated year

2.9 Expected benefit disbursements, administrative expenses, and participant contributions

All monetary amounts shown in US Dollars

			January 1, 2017	January 1, 2016
A	**Medical and Dental**			
	1	Gross disbursements	120,622,418	115,532,542
	2	Participant contributions	(37,412,351)	(34,489,188)
	3	Net disbursements	83,210,067	81,043,354
B	**Life Insurance**			
	1	Gross disbursements	18,341,789	17,744,098
	2	Participant contributions	(1,336,152)	(1,389,792)
	3	Net disbursements	17,005,637	16,354,306
C	**Gross without RDS**			
	1	Gross disbursements	138,964,207	133,276,640
	2	Participant contributions	(38,748,503)	(35,878,980)
	3	Net disbursements	100,215,704	97,397,660
D	**RDS***			
	1	Gross disbursements	(46,888)	(58,790)
	2	Participant contributions	0	0
	3	Net disbursements	(46,888)	(58,790)
E	**Net with RDS**			
	1	Gross disbursements	138,917,319	133,217,850
	2	Participant contributions	(38,748,503)	(35,878,980)
	3	Net disbursements	100,168,816	97,338,870

* 2016-2017 RDS payments expected to be received in 2018-2019.

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Section 3: Data exhibits

3.1 Plan participant data

All monetary amounts shown in US Dollars

Census Date	January 1, 2017	January 1, 2016
A Participating Employees		
1 Number		
a Fully eligible	1,778	1,515
b Other	12,947	13,999
c Total participating employees	14,725	15,514
2 Average age (years)	49.33	48.62
3 Average credited service (years)	20.11	19.36
4 Average future working life (years)		
a to full retirement age	13.292	13.327
b to full eligibility age	11.830	11.794
B Retirees and Surviving Spouses		
1 Retirees and Surviving Spouses		
a Number under 65	3,281	3,487
b Number 65 and older	13,999	13,765
c Total[1]	17,280	17,252
d Average age (years)	73.5	73.2

e. Age Distribution at January 1, 2016

Age	Number
Under 55	159
55-59	737
60-64	2,385
65-69	3,752
70-74	3,413
75-79	2,391
80-84	1,926
85 and over	2,517

[1] Includes 362 disabled participants in 2017 and 370 disabled participants in 2016. These participants were not included in the calculation of the other data statistics in this section.

Census Date	January 1, 2017	January 1, 2016
C Dependents		
1 Number	8,293	8,464
2 Average Age	69.07	68.54
3 Age Distribution at January 1, 2016		

Age	Number
Under 55	294
55-59	780
60-64	1,612
65-69	2,151
70-74	1,510
75-79	992
80-84	625
85 and over	329

3.2 Age and service distribution of participating employees

All monetary amounts shown in US Dollars

Attained Age	Attained Years of Credited Service and Number								
	0-4	5-9	10-14	15-19	20-24	25-29	30-34	Over 34	Total
Under 25	50	2	0	0	0	0	0	0	52
25-29	248	274	13	0	0	0	0	0	535
30-34	265	631	341	5	0	0	0	0	1,242
35-39	173	560	544	212	3	0	0	0	1,492
40-44	134	461	509	363	109	3	0	0	1,579
45-49	116	348	383	380	290	248	11	0	1,776
50-54	72	240	279	352	260	657	613	71	2,544
55-59	52	168	202	230	218	443	858	1,134	3,305
60-64	34	86	103	113	92	210	306	878	1,822
65-69	11	33	30	29	16	34	41	150	344
70 & over	1	4	4	10	1	5	1	8	34
Total	1,156	2,807	2,408	1,694	989	1,600	1,830	2,241	14,725

Average:	Age	49.3	Number of Participants:	Fully eligible	1,778	Males	12,080
	Service	20.1		Other	12,947	Females	2,645

Census data as of January 1, 2017

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Appendix A: Statement of actuarial assumptions and methods

Actuarial Assumptions and Methods — Postretirement Welfare Cost and Funding/Tax Deductions Based on Plan Year beginning January 1, 2017

Economic Assumptions

	Postretirement Welfare Cost	Plan Reporting	Employer Contributions
Discount rate[1]	4.10%	4.10%	N/A
Rates of return on assets, pre-tax: [1]			
401(h) accounts	N/A	N/A	7.78%
Life insurance and union medical/dental	N/A	N/A	6.85%
Non-union medical/dental	N/A	N/A	6.89%
Aggregate	7.00%	N/A	N/A
Annual rates of compensation increase[1]			

Representative rates	Age	Rate
	< 26	12.00%
	26 – 30	8.50
	31 – 35	7.00
	36 – 40	6.00
	41 – 45	5.00
	46 – 50	4.00
	> 50	3.50
Weighted average		4.80%
Medical cost trend rate[2]	2017	6.75%
	2018	6.50%
	2019	6.25%
	2020	6.00%
	2021	5.75%
	2022	5.50%
	2023	5.25%
	2024+	5.00%
Dental cost trend rate[2]	2017+	3.00%

[1] Only discount rate and asset return assumptions vary between the reporting standards. All other assumptions are consistent throughout.
[2] 0% trend assumed for non-union VEBA account limit.

Medicare covered charges trend rate	Same as medical cost trend
Retiree contribution trend rate	Same as medical cost trend. For capped retirees, future retiree contributions are developed based on expected gross costs compared to the applicable cap.

Participation Assumptions

Inclusion Date	The valuation date coincident with or next following the date on which the employee is hired.	
New or rehired employees	It was assumed there will be no new or rehired employees.	
	Current Retirees	*Future Retirees*
Participation	Based on valuation census data.	85% in 2017 with the rate decreasing by 5% annually to an ultimate rate of 75% in 2019.
Persistency	Non-capped retirees will drop coverage at a rate of 2% annually and Capped retirees will drop coverage at a rate of 4% annually.	Same as current retirees
Percent married	Based on valuation census data.	69% for males, 50% for females.
Spouse age	Based on valuation census data.	Wife three years younger than husband.

Demographic Assumptions

Mortality

Based on modified versions of RP-2014 with long-term improvement rates of 0.75%.

Base mortality rates are derived from the RP-2014 mortality table with improvements factored to 2006 with no collar adjustments.

Mortality improvements are projected forward on a generational basis. Improvement rates grade linearly from the MP-2014 rate in 2007 to the ultimate rate in 2015:

Age	Ultimate Improvement rate per year	Age	Ultimate improvement rate per year
85 and younger	0.750%	91	0.300%
86	0.675%	92	0.225%
87	0.600%	93	0.150%
88	0.525%	94	0.075%
89	0.450%	95 and older	0.000%
90	0.375%		

Disabled mortality (through age 65)

Rates vary by age and sex.

Representative rates:

Age	Males	Females
30	2.60%	2.60%
40	2.60	2.60
50	3.10	3.10
60	6.20	6.20

Disability

Rates apply to employees not eligible to retire and vary by age and sex.

Representative rates:

Percentage becoming disabled during the year		
Age	Males	Females
20	0.060%	0.090%
30	0.060	0.090
40	0.074	0.110
50	0.178	0.270
60	0.690	1.035

Termination (not due to disability or retirement)

Rates apply to employees not eligible to retire and vary by age and service.

Representative rates:

Percentage leaving during the year		
Attained Age	Less than five years of service	Five or more years of service
< 25	8.00%	7.30%
25 – 29	8.00%	5.00%
30 – 34	8.00%	4.20%
35 – 39	8.00%	3.40%
40 – 44	8.00%	2.50%
45 – 49	8.00%	1.90%
50 +	8.00%	1.70%

Retirement

Rates vary by age.

Representative rates:

Percentage retiring during the year	
Age	Rate
55 – 57	1.00%
58 – 60	6.00%
61 – 63	16.00%
64 – 69	13.00%
70 +	100.00%
Age	Rate

2017 Per Capita Claims Costs

Medical

Prior to age 65

Age	*HSA Basic*	*HSA Plus*	*HRA*
< 50	5,331	5,891	6,534
50 – 54	6,546	7,234	8,022
55 – 59	7,860	8,686	9,633
60 – 64	9,727	10,749	11,920
Average	9,056	10,007	11,098

Age 65 and after

Age	*COB*	*MOB*	*CSP*
65 – 69	4,225	3,108	1,773
70 – 74	4,711	3,459	1,963
75 – 79	5,099	3,729	2,112
80 – 84	5,244	3,825	2,176
85 – 89	5,176	3,759	2,172
90 – 94	4,743	3,431	2,035
≥ 95	4,203	3,022	1,904
Average	4,811	3,346	2,118

Medicare Part D - RDS

Age	*MOB/COB*	*CSP*
65 – 69	N/A	(235)
70 – 74	N/A	(256)
75 – 79	N/A	(264)
80 – 84	N/A	(261)
85 – 89	N/A	(244)
90 – 94	N/A	(211)
≥ 95	N/A	(169)
Average	N/A	(241)

Medicare Part D - Employer Group Waiver Plan (EGWP) for MOB/COB

Age	*CMS Direct Payments & Catastrophic Reinsurance*	*Manufacturer's Coverage Gap Discount*
65 – 69	(340)	(449)
70 – 74	(369)	(488)
75 – 79	(381)	(504)
80 – 84	(377)	(499)
85 – 89	(352)	(465)
90 – 94	(304)	(402)
≥ 95	(244)	(323)
Average	(358)	(473)

Dental	$352
Administrative expenses	Included in claims costs shown above.

Additional Assumptions

Excise tax	To determine impact of the excise tax on the non-UMWA postretirement plan, we projected future gross plan costs using the valuation trend assumption and compared these on a year-by-year basis to the excise tax thresholds beginning in 2018 and projected to future years using CPI (CPI + 1% for 2019). The expected cost of each non-UMWA benefit combination, which were blended pre-65/post-65 based on headcounts, exceeded these thresholds at various points in time, but no earlier than 2040.
Timing of benefit payments	Benefit payments are assumed to be made uniformly throughout the year and on average at mid-year.

Methods

Census date	January 1, 2017
Measurement date	January 1, 2017
Service cost and APBO	Costs are determined using the Projected Unit Credit Cost Method. The annual service cost is equal to the present value of the portion of the projected benefit attributable to service during the upcoming year, and the Accumulated Postretirement Benefit Obligation (APBO) is equal to the present value of the portion of the projected benefit attributable to service before the valuation date. Service from hire date through the expected full eligibility date is counted in allocating costs.

Market-related value of assets	The fair value of assets on the measurement date.
Amortization of unamortized amounts:	
Prior service cost (credit)	Increase in APBO resulting from a plan amendment is amortized on a straight-line basis over the average expected remaining service of active participants expected to benefit under the plan. Amortization of net prior service cost/(credit) resulting from a plan change is included as a component of Net Periodic Postretirement Benefit Cost/(Income) in the year first recognized and every year thereafter until such time as it is fully amortized. The annual amortization payment is determined in the first year as the increase in APBO due to the plan change divided by the average remaining service period to full eligibility for participating employees expected to receive benefits under the Plan. Reductions in APBO first reduce any unrecognized prior service cost; any remaining amount is amortized on a straight-line basis as described above.
Net loss (gain)	Amortization of the net gain or loss resulting from experience different from that assumed and from changes in assumptions (excluding asset gains and losses not yet reflected in market-related value) is included as a component of Net Periodic Postretirement Benefit Cost/(Income) for a year. Net loss (gain) in excess of 10% of the greater of APBO or the market-related value of assets is amortized on a straight-line basis over the average expected remaining service of active participants expected to benefit under the plan.
ASC 965 (formerly SOP 92-6)	
Present value of benefits	Present value of benefits is equal to the present value of the portion of the projected benefit attributable to service before the valuation date. Service from hire date through the expected full eligibility date is counted in allocating costs.
Funding policy	AEP's funding policy is to contribute an amount equal to the postretirement welfare cost plus retiree drug subsidy payments received (the sum of which can be no less than zero). AEP maximizes its contribution to the 401(h) account and contributes the remainder to the VEBAs.
Benefits Not Valued	All benefits described in the Plan Provisions section of this report were valued. Life insurance benefits in excess of $50,000 and health care benefits for key employees were not included in determining the maximum deductible contribution. Willis Towers Watson has reviewed the plan provisions with AEP and based on that review is not aware of any significant benefits required to be valued that were not included.
Change in Assumptions and Methods Since Prior Valuation	▪ The discount rate for APBO was changed from 4.30% to 4.10%. ▪ Per capita claims costs were updated to reflect 2015 claims experience. ▪ The expected return on assets assumption was reduced 25 basis points to 6.75%

Data Sources

American Electric Power (AEP), through Mercer, its third party administrator, furnished active and inactive participant data as of January 1, 2017. AEP also provided the accrued postretirement benefit costs as of December 31, 2016. Health plan vendors furnished the claims cost data. AEP supplied 2016 EGWP payments and prescription rebates. Data were reviewed for reasonableness and consistency, but no audit was performed. Based on discussions with the plan sponsor, assumptions or estimates were made when data were not available, and the data was adjusted to reflect any significant events that occurred between the date the data was collected and the measurement date. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

Assumptions Rationale - Significant Economic Assumptions – Funding and Accounting

Interest rate (funding)	The interest rate is the expected rate of return on plan assets, and represents an estimate of future experience for trust asset returns, reflecting the plan‘s current asset allocation, and current and expected future market conditions.
Rates of increase in:	
Plan administrative expenses	Administrative expenses are included in per capita claims costs and thus the medical plan trend rate is applied to these expenses.
Claims cost trend rates	Assumed increases were chosen by the plan sponsor and, as required by U.S. GAAP, they represent an estimate of future experience, informed by an analysis of recent plan experience, leading to select and ultimate assumed trend rates and reflecting the expected near-term effect of recently enacted plan changes. In setting near term trend rates, other pertinent statistics were considered, including surveys on general medical cost increases. In setting the ultimate trend rate, considerations included assumed GDP growth consistent with the assumed future economic conditions inherent in other economic assumptions chosen by the client at the measurement date. After examining historical variability in trend rates, we believe that the selected assumptions do not significantly conflict with what would be reasonable based on a combination of market conditions at the measurement date and future expectations consistent with other economic assumptions used, other than the discount rate. For the VEBA funding vehicle of the non-bargained group, no future increases in medical costs (and thus in the plan’s per capita claims costs) have been assumed, in accordance with U.S. tax law.
Participant contribution trend rates	In accordance with the substantive plan communicated to participants, participant contributions for non-capped participants are intended to remain a fixed percentage of total plan costs, and thus the trend rates, and the description of the derivation of the trend rates, are the same as for claims costs as shown above.

Basis for Per Capita Claims Cost Assumptions

Pre-65 retiree medical rates	Aetna, Anthem, ESI and Magellan supplied data on retiree medical claims incurred in 2015 and paid through March 2016. AEP reported prescription rebates they received for 2015. Claim experience rates were calculated for medical plans by normalizing claims experience for benefit differences and combining, then dividing combined incurred claims, net of prescription rebates by covered lives and trending forward two years to 2017. Adjustments for plan design and network changes were also made. Finally, administrative expense rates were added to claims cost rates. Claims cost models were developed by age-grading these claims rates over standard Willis Towers Watson morbidity curves for both medical and prescription drugs to develop the quinquennial claims cost models.
Post-65 retiree medical rates	2016 monthly medical claim rates were calculated separately for MOB, COB and CSP Medicare-eligible plans by dividing 2015 incurred claims paid through March 2016 by covered lives and trending forward two years to 2017. Prescription drug claim rates were then multiplied by pricing change factors representing the effect of any pricing and other program changes for 2016 and 2017. Finally, administrative expense rates were added to claims cost rates. Claims cost models were developed separately for medical and prescription drug by age-grading these rates over standard Willis Towers Watson morbidity curves for medical and prescription drugs to develop the quinquennial claims cost models.
Dental rates	Aetna supplied data on dental claims incurred in 2015 and paid through March 2016. Combined claims experience for all active and retired employees was analyzed to derive the dental claim rates.

Medicare Part D offsets

- RDS

We calibrated our modelling tool to reflect the 2017 cost of the current prescription drug plans for AEP's CSP retirees. The tool employs a continuance table of annual retiree drug utilization levels, developed from analyzing the experience of several large companies, including 3.1 million Medicare-eligible members.

After the plan-specific benefit provisions have been calibrated to current costs, the Modeler trends costs forward to 2017. Actuarial equivalence was determined using the following two-prong approach outlined in the regulations for Medicare Part D:

Gross Value Test – The Modeler calculates the value of standard Medicare Part D coverage and compares it to AEP's plan costs. AEP's plans passed this test by being richer than the projected value of standard Medicare part D coverage for these groups.

Net Value Test – The net value prong of the test compares the value of Standard Part D coverage in 2017 minus the greater of $427.56 per year (the national average Part D premium) and 25.5% of the gross value of Part D to the projected 2017 value of AEP coverage minus the average projected 2017 retiree contribution rate. For this purpose, retiree contributions were assumed to apply pro rata between the value of medical benefits and prescription drug benefits.

When the plans are deemed to be actuarially equivalent, the tool calculates the average expected value of the employer subsidy in 2017, using the continuance table calibrated to AEP's CSP plan costs. This produced a

	2017 per person employer subsidy of $241 for CSP, which was then converted to rates that varied by participant age band using Willis Towers Watson's prescription drug morbidity curve.
■ EGWP	Estimated plan cost offsets associated with the EGWP arrangement were developed using actual 2016 payment AEP received for direct payments, coverage gap discounts and reinsurance payments. An estimate of the change in direct monthly government payments under the EGWP from 2016 to 2017 was provided by Express Scripts based on average Part D plan payments risk-adjusted for AEP's post-65 retiree population. Express Scripts also provided an estimate of catastrophic reinsurance payments for 2015 and actual coverage gap discounts earned for 2015.

Assumptions Rationale - Significant Demographic Assumptions

Healthy Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Disabled Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Termination	Termination rates are based on a recent demographic study and plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by termination patterns different than assumed.
Disability	Disability rates are based on plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by disability patterns different than assumed.
Retirement	Retirement rates are based on a recent demographic study and plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by retirement patterns different than assumed.
Participation	
■ Participants/ Spouses	The assumed coverage rates for participants and spouses reflect historical experience as well as anticipated future reductions in rates due to expected rates of increase in participant contributions and availably of coverage through public exchanges.
■ Covered dependents	The assumed dependent coverage is based on the dependent coverage observed among recent retirees and general population statistics on the marital status of individuals of retirement age.
■ Covered Spouse age	The assumed age difference for spouses is based on the age difference observed among recent retirees and general population statistics of the age difference for married individuals of retirement age.

Source of Prescribed Methods

Funding methods	The methods used for determining maximum deductible contributions to the 401(h) account and VEBA are chosen from acceptable methods prescribed by law.

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Appendix B: Summary of substantive plan provisions

Health Care Benefits

Eligibility

Participants are eligible upon retirement after age 55 with ten years of service or upon attaining age 55 with ten years of service after becoming permanently disabled. If involuntary termination, then eligible after age 50 with ten years of service.

Employees hired on or after January 1, 2014 are not eligible to participate in the plan.

Surviving spouse

After the death of a retiree or active employee eligible to retire, surviving spouses are eligible until death or remarriage. Surviving children are also eligible, subject to the limiting age provision outlined above.

Dependent

Eligible dependents are spouse, unmarried children under age 19 (age 25 if a full-time student) and unmarried disabled children of any age.

Benefits – Post-65

The AEP Post-65 Medical Plan provides broad medical coverage with a deductible of $200, 80% coinsurance and a maximum annual out-of-pocket expense of $2,000 per person.

Prescription drug benefits are provided under a separate design with the following copayments for those who do not enroll in a consumer driven health plan:

	Generic	*Brand Name Formulary*	*Brand Name Nonformulary*
30-day retail	$10 copay	20% $20 minimum $100 maximum	35% $35 minimum $200 maximum
90-day retail	$20 copay	20% $50 minimum $200 maximum	35% $90 minimum $300 maximum

Prescription drug benefits are also subject to a $50 deductible and a $1,000 out-of-pocket maximum per person.

Benefits after age 65 are coordinated with Medicare using the carve-out method (MOB benefits). Participants have the option to "buy up" to exclusion coordination of benefits coverage (COB benefits). Exclusion coordination is automatically provided to East retirees who attained age 65 prior to January 1, 2001.

Deductibles and out-of-pocket maximums are assumed to increase over time at approximately the same rate as benefit costs.

Benefits – Pre-65

Pre-65 retirees can elect coverage under the following plan options:

	HRA	HSA Plus	HSA Basic
Embedded Individual Amounts	None	Out-of-Pocket Maximum only	Deductible & Out-of-Pocket Maximum
Deductible ■ Individual ■ Two Person ■ Family	 $1,500 $2,250 $3,000	 $2,000 $3,000 $4,000	 $2,700 $5,400 $8,100
AEP Account Seed ■ Single ■ Two Person ■ Family	 $1,000 $1,500 $2,000	 $500 $750 $1,000	 $0 $0 $0
Coinsurance	85%	85%	90%
Out-of-Pocket Maximum ■ Individual ■ Two Person ■ Family	 $4,000 $6,000 $8,000	 $4,000 $6,000 $8,000	 $4,000 $8,000 $12,000

Deductibles and out-of-pocket maximums are assumed to increase over time at approximately the same rate as benefit costs.

Postretirement contributions

Participant contributions are determined as a percentage of plan costs and vary by points (age at retirement plus service) as follows:

Points	*Retiree Cost*
65-69	46%
70-74	42
75-79	36
80-84	32
85-89	26
90-94	22
95+	20
Grandfathered	20

For participants retiring on or after January 1, 2013, AEP's subsidy is capped at $11,500 and $3,800 times employer cost sharing percentage for pre-65 and post-65 participants, respectively.

For East participants who retired prior to January 1, 1989, and West participants who retired prior to January 1, 1993, no contributions are required.

For East participants who retired on or after January 1, 1989, and West participants who retired on or after January 1, 1993, the 20% "Grandfathered" contributions are in effect if they retired by December 31, 2000, or attained age 50 and had ten or more years of service with the company on that date. The percentages described above are applied to plan costs that differ from the per capita claims costs assumed in the valuation as follows:

The Medicare status of dependents is not used to determine whether "pre-65" or "post-65" rates apply. The pre-65 plan rates used to calculate participant contributions are a blend of pre-65 retiree costs and active employee costs for those participants retired prior to January 1, 2013, only.

For purposes of determining retiree contribution rates, AEP excludes the value of the government's monthly direct payment amount and its catastrophic reinsurance payments from offsetting the plan cost to which the contribution percentages are applied.

Disabled employee contributions

Disabled employees have a provision where active employee contribution rates are charged while an employee remains disabled and is receiving LTD benefits.

If an employee retires while disabled and became disabled before January 1, 2001, the waiver of premium provision continues for life as long as the retirement commenced on or before September 1, 2013. If an employee retires while disabled and became disabled after January 1, 2001, the employee will continue to accrue points as if actively-at-work until age 65 and be subject to the same contribution schedule as normal retirees.

Those participants retiring after January 1, 2013, pay a percentage of true pre-65 retiree costs.

Life Insurance Benefits

Grandfathered participants

Participants over age 50 with ten years of service as of December 31, 2000.

Grandfathered benefits

Grandfathered participants have the option of keeping current coverage. Active employee coverage for grandfathered East participants is one times final base pay at no cost with the option to buy up to two times base pay. The entire amount of coverage (basic plus supplemental) in force prior to retirement can be carried into retirement subject to reduction beginning at age 66. Current coverage for grandfathered West participants is one and one-half times final base pay prior to age 60, one times final base pay from age 60 to 64 and one-half times final base pay after age 65.

Life Insurance Benefit Reduction Table for Grandfathered East Participants

Years of Coverage	*Age 66*	*Age 67*	*Age 68*	*Age 69*	*Age 70 or Over*
10 – 11	65%	55%	45%	35%	25%
11 – 12	70	60	50	40	30
12 – 13	75	65	55	45	35
13 – 14	80	70	60	50	40
14 – 15	85	75	65	55	45
15 or more	90	80	70	60	50

Grandfathered contributions

Grandfathered East retirees must contribute $0.60/$1,000 of coverage (basic + supplemental) per month. West retirees are not required to contribute to the cost of coverage.

Nongrandfathered benefits

$30,000 for those hired before January 1, 2011. No benefit for those hired on or after January 1, 2011.

Dental Benefits

Eligibility	Participants, including retirees and surviving dependents, are eligible upon retirement after age 55 with ten years of service. There is a one-time election and if coverage terminates there is no opportunity to reenroll. Employees hired on or after January 1, 2014 are not eligible to participate in the plan.
Benefits	The AEP Dental Plan provides dental coverage with a deductible of $50 single/$150 family, 100% coinsurance for preventive care, 80% coinsurance for basic restorative care, 50% coinsurance for major restorative care and 50% coinsurance for orthodontia. Most retirees pay the full cost of dental coverage if they enroll. CSW employees who retire before January 1, 1993, contribute nothing to enroll for dental coverage. Former CSW employees retiring after January 1, 1993, who were either retired or had attained age 50 with ten years of service as of January 1, 2001, pay 40%.

Changes in Benefits Valued Since Prior Year

Benefits have been extended to Dolet Hills effective January 1, 2017.

Overview of Benefits Provided by Funding Vehicles

Funding vehicle	Provides for
Non-union postretirement medical/dental VEBAs	100% of medical benefits to non-union employees before 2018 and 26.5% of retiree medical benefits incurred thereafter. 100% of dental benefits to non-union employees.
Union postretirement medical/dental VEBAs	100% of medical/dental benefits to union employees.
Postretirement life insurance VEBA	Life insurance benefits for all retirees.
401(h) account	73.5% of retiree medical benefits incurred after 2017 for non-union retirees.

Appendix C: Results by business unit

Summary of key assumptions for Appendix C of 2017 NUMWA Postretirement Health Care Plan valuation report:

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Discount Rate	4.10%	4.49%	4.65%	4.68%	4.61%	4.93%	5.24%	5.56%	6.87%	6.19%	6.41%
Expected Return on Assets	6.75%	6.00%	6.25%	6.25%	6.25%	6.50%	6.75%	6.75%	7.00%	7.00%	7.25%
Initial Medical Trend	6.75%	6.50%	6.25%	6.00%	5.75%	5.50%	5.25%	5.00%	5.00%	5.00%	5.00%

Mortality table	RP-2014, factored to 2006, no collar adjustment, headcount weighted
Mortality projection scale	Rates grade linearly by year from MP-2014 in 2007 to 0.75% in 2015. Rates grade linearly by age to zero at age 95 from age 85.
Valuation and data	January 1, 2017
Per capita claims cost	2017 cost models based on actual claims experience incurred through December 31, 2015

Non-UMWA PRW Plan participation assumption: 85% of future retirees will elect coverage in 2017, with rate decreasing by 5% annually to ultimate rate of 75% in 2019+.

Non-UMWA PRW Plan persistency assumption: Non-capped retirees will drop coverage at a rate of 2% annually; capped retirees will drop coverage at a rate of 4% annually.

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
SUMMARY OF PLAN PARTICIPANTS FOR THE 2017 VALUATION

	Nonretired Participants		Retired Participants				
Location	Active	Total	Retiree	Dependent Spouse	Surviving Spouse	Disabled	Total
140 Appalachian Power Co. - Distribution	913	913	1,049	686	361	47	2,096
215 Appalachian Power Co. - Generation	678	678	966	668	228	30	1,862
150 Appalachian Power Co. - Transmission	4	4	138	102	12	5	252
Appalachian Power Co. - FERC	**1,595**	**1,595**	**2,153**	**1,456**	**601**	**82**	**4,210**
225 Cedar Coal Co	0	0	7	2	14	0	23
Appalachian Power Co. - SEC	**1,595**	**1,595**	**2,160**	**1,458**	**615**	**82**	**4,233**
211 AEP Texas Central Company - Distribution	823	823	817	499	295	25	1,611
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	120	120	75	44	33	3	152
AEP Texas Central Co.	**943**	**943**	**892**	**543**	**328**	**28**	**1,763**
119 AEP Texas North Company - Distribution	224	224	243	142	62	8	447
166 AEP Texas North Company - Generation	0	0	97	54	30	0	181
192 AEP Texas North Company - Transmission	58	58	34	18	13	0	65
AEP Texas North Co.	**282**	**282**	**374**	**214**	**105**	**8**	**693**
AEP Texas	**1,225**	**1,225**	**1,266**	**757**	**433**	**36**	**2,456**
170 Indiana Michigan Power Co. - Distribution	493	493	620	335	245	10	1,200
132 Indiana Michigan Power Co. - Generation	247	247	330	221	84	8	635
190 Indiana Michigan Power Co. - Nuclear	993	993	431	271	76	10	778
120 Indiana Michigan Power Co. - Transmission	107	107	123	87	16	2	226
280 Ind Mich River Transp Lakin	198	198	126	52	36	14	214
Indiana Michigan Power Co. - FERC	**2,038**	**2,038**	**1,630**	**966**	**457**	**44**	**3,053**
202 Price River Coal	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**2,038**	**2,038**	**1,630**	**966**	**457**	**44**	**3,053**
110 Kentucky Power Co. - Distribution	224	224	179	95	53	11	327
117 Kentucky Power Co. - Generation	39	39	139	101	31	11	271
180 Kentucky Power Co. - Transmission	1	1	16	11	1	1	28
600 Kentucky Power Co. - Kammer Actives	3	3	0	0	0	0	0
701 Kentucky Power Co. - Mitchell Actives	221	221	0	0	0	0	0
702 Kentucky Power Co. - Mitchell Inactives	0	0	126	93	21	0	240
Kentucky Power Co.	**488**	**488**	**460**	**300**	**106**	**23**	**866**
250 Ohio Power Co. - Distribution	1,331	1,331	1,577	931	471	30	2,979
160 Ohio Power Co. - Transmission	7	7	205	136	60	4	401
Ohio Power Co.	**1,338**	**1,338**	**1,782**	**1,067**	**531**	**34**	**3,380**
167 Public Service Co. of Oklahoma - Distribution	547	547	525	323	161	15	1,009
198 Public Service Co. of Oklahoma - Generation	321	321	216	140	53	7	409
114 Public Service Co. of Oklahoma - Transmission	76	76	56	39	19	0	114
Public Service Co. of Oklahoma	**944**	**944**	**797**	**502**	**233**	**22**	**1,532**
159 Southwestern Electric Power Co. - Distribution	456	456	324	192	85	10	601
168 Southwestern Electric Power Co. - Generation	536	536	272	188	91	10	551
161 Southwestern Electric Power Co. - Texas - Distribution	203	203	157	98	47	5	302
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	74	74	51	33	20	0	104
Southwestern Electric Power Co.	**1,269**	**1,269**	**804**	**511**	**243**	**25**	**1,558**
230 Kingsport Power Co. - Distribution	48	48	47	27	15	2	89
260 Kingsport Power Co. - Transmission	0	0	9	4	1	0	14
Kingsport Power Co.	**48**	**48**	**56**	**31**	**16**	**2**	**103**
210 Wheeling Power Co. - Distribution	43	43	62	38	27	0	127
200 Wheeling Power Co. - Transmission	0	0	3	2	7	0	12
Wheeling Power Co.	**43**	**43**	**65**	**40**	**34**	**0**	**139**
103 American Electric Power Service Corporation	4,681	4,681	2,932	1,701	328	64	4,961
293 Elmwood	0	0	38	3	2	0	43
292 AEP River Operations LLC	0	0	163	37	6	0	206
American Electric Power Service Corporation	**4,681**	**4,681**	**3,133**	**1,741**	**336**	**64**	**5,210**
143 AEP Pro Serv, Inc.	0	0	1	1	0	0	2
189 Central Coal Company	0	0	0	0	0	0	0
Miscellaneous	**0**	**0**	**1**	**1**	**0**	**0**	**2**
270 Cook Coal Terminal	7	7	14	9	2	0	25
AEP Generating Company	**7**	**7**	**14**	**9**	**2**	**0**	**25**
104 Cardinal Operating Company	264	264	203	136	58	4	397
181 Ohio Power Co. - Generation	494	494	1,148	752	308	16	2,208
AEP Generation Resources - FERC	**758**	**758**	**1,351**	**888**	**366**	**20**	**2,605**
290 Conesville Coal Preparation Company	0	0	13	10	1	0	24
AEP Generation Resources - SEC	**758**	**758**	**1,364**	**898**	**367**	**20**	**2,629**
175 AEP Energy Partners	75	75	0	0	0	1	0
171 CSW Energy, Inc.	0	0	8	2	0	0	10
419 Onsite Partners	1	1	0	0	0	0	0
AEP Energy Supply	**834**	**834**	**1,372**	**900**	**367**	**21**	**2,639**
245 Dolet Hills	215	215	4	10	1	9	15
Dolet Hills	**215**	**215**	**4**	**10**	**1**	**9**	**15**
Total	**14,725**	**14,725**	**13,544**	**8,293**	**3,374**	**362**	**25,211**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
2017 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$116,991,520	$8,830,983	$126,726,980	$622,377	$4,642,953	($8,277,590)	($5,097,397)	$2,998,685	($5,110,972)
215 Appalachian Power Co. - Generation	102,173,416	8,060,729	110,675,786	482,812	4,045,320	(7,229,154)	(4,162,884)	2,618,872	(4,245,034)
150 Appalachian Power Co. - Transmission	12,115,892	812,382	13,124,117	3,162	480,395	(857,245)	(781,538)	310,550	(844,676)
Appalachian Power Co. - FERC	**$231,280,828**	**$17,704,094**	**$250,526,883**	**$1,108,351**	**$9,168,668**	**($16,363,989)**	**($10,041,819)**	**$5,928,107**	**($10,200,682)**
225 Cedar Coal Co	708,042	86,484	766,962	0	27,275	(50,097)	(8,202)	18,148	(12,876)
Appalachian Power Co. - SEC	**$231,988,870**	**$17,790,578**	**$251,293,845**	**$1,108,351**	**$9,195,943**	**($16,414,086)**	**($10,050,021)**	**$5,946,255**	**($10,213,558)**
211 AEP Texas Central Company - Distribution	$81,746,297	$5,775,411	$88,548,823	$579,215	$3,258,139	($5,783,858)	($3,881,048)	$2,095,292	($3,732,260)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	7,999,171	503,939	8,664,823	80,628	321,045	(565,971)	(391,921)	205,032	(351,187)
AEP Texas Central Co.	**$89,745,468**	**$6,279,350**	**$97,213,646**	**$659,843**	**$3,579,184**	**($6,349,829)**	**($4,288,306)**	**$2,300,324**	**($4,098,784)**
119 AEP Texas North Company - Distribution	23,942,898	1,697,256	25,935,309	171,714	954,255	(1,694,050)	(1,276,048)	613,696	(1,230,433)
166 AEP Texas North Company - Generation	6,354,865	543,718	6,883,686	0	249,515	(449,631)	(67,677)	162,886	(104,907)
192 AEP Texas North Company - Transmission	3,685,037	251,259	3,991,688	38,523	147,567	(260,730)	(233,844)	94,454	(214,030)
AEP Texas North Co.	**$33,982,800**	**$2,492,233**	**$36,810,683**	**$210,237**	**$1,351,337**	**($2,404,411)**	**($1,577,569)**	**$871,036**	**($1,549,370)**
AEP Texas	**$123,728,268**	**$8,771,583**	**$134,024,329**	**$870,080**	**$4,930,521**	**($8,754,240)**	**($5,865,875)**	**$3,171,360**	**($5,648,154)**
170 Indiana Michigan Power Co. - Distribution	$58,424,465	$4,741,787	$63,286,262	$370,800	$2,314,376	($4,133,751)	($2,601,438)	$1,497,515	($2,552,498)
132 Indiana Michigan Power Co. - Generation	35,580,896	2,967,958	38,541,764	195,505	1,406,600	(2,517,482)	(1,850,054)	911,997	(1,853,434)
190 Indiana Michigan Power Co. - Nuclear	54,263,237	3,327,575	58,778,757	850,391	2,192,129	(3,839,328)	(3,561,730)	1,390,856	(2,967,682)
120 Indiana Michigan Power Co. - Transmission	11,882,661	802,027	12,871,478	72,346	473,879	(840,743)	(596,815)	304,572	(586,761)
280 Ind Mich River Transp Lakin	12,674,647	807,325	13,729,369	137,599	508,918	(896,779)	(811,278)	324,872	(736,668)
Indiana Michigan Power Co. - FERC	**$172,825,906**	**$12,646,672**	**$187,207,630**	**$1,626,641**	**$6,895,902**	**($12,228,083)**	**($9,421,315)**	**$4,429,812**	**($8,697,043)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$172,825,906**	**$12,646,672**	**$187,207,630**	**$1,626,641**	**$6,895,902**	**($12,228,083)**	**($9,421,315)**	**$4,429,812**	**($8,697,043)**
110 Kentucky Power Co. - Distribution	$21,359,703	$1,470,910	$23,137,153	$130,590	$851,251	($1,511,279)	($1,210,578)	$547,484	($1,192,532)
117 Kentucky Power Co. - Generation	14,820,055	1,274,153	16,053,307	26,082	582,834	(1,048,575)	(611,828)	379,862	(671,625)
180 Kentucky Power Co. - Transmission	1,266,458	88,862	1,371,846	160	50,128	(89,607)	(198,150)	32,461	(205,008)
600 Kentucky Power Co. - Kammer Actives	138,260	735	149,765	1,209	5,703	(9,782)	(42,530)	3,544	(41,856)
701 Kentucky Power Co. - Mitchell Actives	5,336,190	28,146	5,780,242	174,052	225,349	(377,556)	(160,767)	136,775	(2,147)
702 Kentucky Power Co. - Mitchell Inactives	11,351,656	1,126,049	12,296,285	0	442,566	(803,172)	(200,743)	290,962	(270,387)
Kentucky Power Co.	**$54,272,322**	**$3,988,855**	**$58,788,598**	**$332,093**	**$2,157,831**	**($3,839,971)**	**($2,424,596)**	**$1,391,088**	**($2,383,555)**
250 Ohio Power Co. - Distribution	$150,963,463	$11,496,303	$163,525,902	$892,519	$5,992,788	($10,681,233)	($5,890,962)	$3,869,441	($5,817,447)
160 Ohio Power Co. - Transmission	18,319,950	1,330,526	19,844,446	4,519	724,301	(1,296,205)	(1,031,548)	469,570	(1,129,363)
Ohio Power Co.	**$169,283,413**	**$12,826,829**	**$183,370,348**	**$897,038**	**$6,717,089**	**($11,977,438)**	**($6,922,510)**	**$4,339,011**	**($6,946,810)**
167 Public Service Co. of Oklahoma - Distribution	$49,568,660	$3,599,156	$53,693,521	$385,635	$1,975,085	($3,507,169)	($2,477,659)	$1,270,526	($2,353,582)
198 Public Service Co. of Oklahoma - Generation	23,548,211	1,549,259	25,507,778	260,604	944,721	(1,666,125)	(1,498,642)	603,579	(1,355,863)
114 Public Service Co. of Oklahoma - Transmission	5,853,513	442,090	6,340,614	49,151	233,037	(414,158)	(313,349)	150,035	(295,284)
Public Service Co. of Oklahoma	**$78,970,384**	**$5,590,505**	**$85,541,913**	**$695,390**	**$3,152,843**	**($5,587,452)**	**($4,289,650)**	**$2,024,140**	**($4,004,729)**
159 Southwestern Electric Power Co. - Distribution	$34,449,684	$2,222,814	$37,316,418	$301,265	$1,379,679	($2,437,445)	($1,794,965)	$883,002	($1,668,464)
168 Southwestern Electric Power Co. - Generation	33,272,273	2,168,484	36,041,028	389,385	1,336,121	(2,354,139)	(2,137,691)	852,823	(1,913,501)
161 Southwestern Electric Power Co. - Texas - Distribution	16,268,720	1,084,596	17,622,523	135,325	650,555	(1,151,073)	(942,674)	416,994	(890,873)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	5,184,540	381,600	5,615,972	39,538	206,443	(366,826)	(280,205)	132,888	(268,162)
Southwestern Electric Power Co.	**$89,175,217**	**$5,857,494**	**$96,595,941**	**$865,513**	**$3,572,798**	**($6,309,483)**	**($5,155,535)**	**$2,285,707**	**($4,741,000)**
230 Kingsport Power Co. - Distribution	$4,656,100	$325,558	$5,043,558	$35,154	$185,735	($329,437)	($177,403)	$119,343	($166,608)
260 Kingsport Power Co. - Transmission	584,548	50,869	633,191	0	22,934	(41,359)	(40,419)	14,983	(43,861)
Kingsport Power Co.	**$5,240,648**	**$376,427**	**$5,676,749**	**$35,154**	**$208,669**	**($370,796)**	**($217,822)**	**$134,326**	**($210,469)**
210 Wheeling Power Co. - Distribution	$6,133,036	$478,604	$6,643,397	$31,565	$243,036	($433,935)	($259,071)	$157,200	($261,205)
200 Wheeling Power Co. - Transmission	352,830	48,586	382,191	0	13,480	(24,964)	(2,613)	9,044	(5,053)
Wheeling Power Co.	**$6,485,866**	**$527,190**	**$7,025,588**	**$31,565**	**$256,516**	**($458,899)**	**($261,684)**	**$166,244**	**($266,258)**
103 American Electric Power Service Corporation	$325,579,141	$20,019,830	$352,672,237	$3,283,045	$13,077,066	($23,035,948)	($17,282,221)	$8,345,126	($15,612,932)
293 Elmwood	925,176	69,651	1,002,165	0	36,519	(65,460)	(276,067)	23,714	(281,294)
292 AEP River Operations LLC	5,508,526	449,995	5,966,919	0	216,717	(389,749)	(1,245,634)	141,193	(1,277,473)
American Electric Power Service Corporation	**$332,012,843**	**$20,539,476**	**$359,641,321**	**$3,283,045**	**$13,330,302**	**($23,491,157)**	**($18,803,922)**	**$8,510,033**	**($17,171,699)**
143 AEP Pro Serv, Inc.	$147,537	$20,687	$159,814	$0	$5,629	($10,439)	($1,133)	$3,782	($2,161)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$147,537**	**$20,687**	**$159,814**	**$0**	**$5,629**	**($10,439)**	**($1,133)**	**$3,782**	**($2,161)**
270 Cook Coal Terminal	$1,347,230	$129,036	$1,459,340	$4,206	$52,790	($95,322)	($67,747)	$34,532	($71,541)
AEP Generating Company	**$1,347,230**	**$129,036**	**$1,459,340**	**$4,206**	**$52,790**	**($95,322)**	**($67,747)**	**$34,532**	**($71,541)**
104 Cardinal Operating Company	$22,856,790	$1,617,448	$24,758,820	$196,968	$912,379	($1,617,204)	($1,116,823)	$585,857	($1,038,823)
181 Ohio Power Co. - Generation	111,641,546	9,274,109	120,931,808	354,568	4,403,631	(7,899,060)	(4,359,566)	2,861,556	(4,638,871)
AEP Generation Resources - FERC	**$134,498,336**	**$10,891,557**	**$145,690,628**	**$551,536**	**$5,316,010**	**($9,516,264)**	**($5,476,389)**	**$3,447,413**	**($5,677,694)**
290 Conesville Coal Preparation Company	1,360,789	117,837	1,474,027	0	53,401	(96,281)	(51,555)	34,879	(59,556)
AEP Generation Resources - SEC	**$135,859,125**	**$11,009,394**	**$147,164,655**	**$551,536**	**$5,369,411**	**($9,612,545)**	**($5,527,944)**	**$3,482,292**	**($5,737,250)**
175 AEP Energy Partners	849,843	5,333	920,563	48,228	36,713	(60,130)	(31,686)	21,783	14,908
171 CSW Energy, Inc.	493,431	19,921	534,492	0	19,826	(34,912)	(15,366)	12,647	(17,805)
419 Onsite Partners	1,788	0	1,937	182	81	(127)	0	46	182
AEP Energy Supply	**$137,204,187**	**$11,034,648**	**$148,621,647**	**$599,946**	**$5,426,031**	**($9,707,714)**	**($5,574,996)**	**$3,516,768**	**($5,739,965)**
245 Dolet Hills	$4,485,169	$68,836	$4,858,403	$219,463	$191,493	($317,343)	$430,570	$114,962	$639,145
Dolet Hills	**$4,485,169**	**$68,836**	**$4,858,403**	**$219,463**	**$191,493**	**($317,343)**	**$430,570**	**$114,962**	**$639,145**
Total	**$1,407,167,860**	**$100,168,816**	**$1,524,265,466**	**$10,568,485**	**$56,094,357**	**($99,562,423)**	**($68,626,236)**	**$36,068,020**	**($65,457,797)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
10-YEAR PRW COST FORECAST
($000s)

		ASC 715-60 Cost	Estimated Net Periodic Postretirement Benefit Cost									
	Location	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
140	Appalachian Power Co - Distribution	($5,111)	($4,605)	($5,157)	($5,367)	($5,528)	($6,128)	($6,098)	($2,700)	($2,543)	($2,866)	($3,422)
215	Appalachian Power Co - Generation	($4,245)	($3,802)	($4,275)	($4,451)	($4,588)	($5,101)	($5,062)	($2,335)	($2,261)	($2,556)	($3,062)
150	Appalachian Power Co - Transmission	($845)	($790)	($847)	($870)	($890)	($953)	($918)	($383)	($330)	($363)	($418)
	Appalachian Power Co. - FERC	**($10,201)**	**($9,197)**	**($10,279)**	**($10,688)**	**($11,006)**	**($12,182)**	**($12,078)**	**($5,418)**	**($5,134)**	**($5,785)**	**($6,902)**
225	Cedar Coal Co.	($13)	($10)	($13)	($13)	($14)	($16)	($14)	($10)	($11)	($11)	($11)
	Appalachian Power Co. - SEC	**($10,214)**	**($9,207)**	**($10,292)**	**($10,701)**	**($11,020)**	**($12,198)**	**($12,092)**	**($5,428)**	**($5,145)**	**($5,796)**	**($6,913)**
211	AEP Texas Central Company - Distribution	($3,732)	($3,383)	($3,776)	($3,928)	($4,046)	($4,490)	($4,464)	($1,881)	($1,760)	($2,016)	($2,444)
147	AEP Texas Central Company - Generation	($15)	($15)	($15)	($15)	($15)	($15)	($9)	$0	$0	$0	$0
169	AEP Texas Central Company - Transmission	($351)	($318)	($358)	($373)	($385)	($431)	($433)	($175)	($166)	($196)	($245)
	AEP Texas Central Co.	**($4,098)**	**($3,716)**	**($4,149)**	**($4,316)**	**($4,446)**	**($4,936)**	**($4,906)**	**($2,056)**	**($1,926)**	**($2,212)**	**($2,689)**
119	AEP Texas North Company - Distribution	($1,230)	($1,128)	($1,244)	($1,289)	($1,322)	($1,452)	($1,441)	($575)	($512)	($588)	($715)
166	AEP Texas North Company - Generation	($105)	($76)	($105)	($116)	($124)	($152)	($148)	($119)	($139)	($144)	($157)
192	AEP Texas North Company - Transmission	($214)	($199)	($217)	($224)	($229)	($250)	($247)	($86)	($71)	($83)	($104)
	AEP Texas North Co.	**($1,549)**	**($1,403)**	**($1,566)**	**($1,629)**	**($1,675)**	**($1,854)**	**($1,836)**	**($780)**	**($722)**	**($815)**	**($976)**
	AEP Texas	**($5,647)**	**($5,119)**	**($5,715)**	**($5,945)**	**($6,121)**	**($6,790)**	**($6,742)**	**($2,836)**	**($2,648)**	**($3,027)**	**($3,665)**
170	Indiana Michigan Power Co - Distribution	($2,552)	($2,302)	($2,576)	($2,675)	($2,748)	($3,038)	($2,984)	($1,253)	($1,165)	($1,320)	($1,589)
132	Indiana Michigan Power Co - Generation	($1,853)	($1,736)	($1,900)	($1,959)	($2,006)	($2,178)	($2,138)	($872)	($757)	($848)	($1,006)
190	Indiana Michigan Power Co - Nuclear	($2,968)	($2,753)	($3,025)	($3,130)	($3,209)	($3,555)	($3,536)	($1,155)	($997)	($1,267)	($1,690)
120	Indiana Michigan Power Co - Transmission	($587)	($535)	($592)	($615)	($633)	($701)	($691)	($297)	($280)	($321)	($389)
280	Indiana Michigan River Transportation (Lakin)	($737)	($685)	($748)	($772)	($790)	($863)	($854)	($300)	($255)	($305)	($386)
	Indiana Michigan Power Co. - FERC	**($8,697)**	**($8,011)**	**($8,841)**	**($9,151)**	**($9,386)**	**($10,335)**	**($10,203)**	**($3,877)**	**($3,454)**	**($4,061)**	**($5,060)**
202	Price River Coal	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
	Indiana Michigan Power Co. - SEC	**($8,697)**	**($8,011)**	**($8,841)**	**($9,151)**	**($9,386)**	**($10,335)**	**($10,203)**	**($3,877)**	**($3,454)**	**($4,061)**	**($5,060)**
110	Kentucky Power Co - Distribution	($1,193)	($1,100)	($1,203)	($1,244)	($1,275)	($1,391)	($1,375)	($549)	($481)	($551)	($668)
117	Kentucky Power Co - Generation	($672)	($606)	($673)	($697)	($716)	($783)	($772)	($360)	($336)	($370)	($430)
180	Kentucky Power Co - Transmission	($205)	($199)	($205)	($208)	($210)	($216)	($205)	($61)	($35)	($39)	($46)
600	Kentucky Power Co. - Kammer Actives	($42)	($41)	($42)	($43)	($43)	($44)	($45)	($15)	($3)	($4)	($5)
701	Kentucky Power Co. - Mitchell Actives	($2)	$15	($17)	($31)	($41)	($91)	($144)	($81)	($83)	($126)	($193)
702	Kentucky Power Co. - Mitchell Inactives	($270)	($217)	($267)	($283)	($298)	($347)	($395)	($327)	($267)	($290)	($334)
	Kentucky Power Co.	**($2,384)**	**($2,148)**	**($2,407)**	**($2,506)**	**($2,583)**	**($2,872)**	**($2,936)**	**($1,393)**	**($1,205)**	**($1,380)**	**($1,676)**
250	Ohio Power Co - Distribution	($5,817)	($5,167)	($5,882)	($6,149)	($6,354)	($7,130)	($7,128)	($3,271)	($3,197)	($3,619)	($4,342)
160	Ohio Power Co - Transmission	($1,129)	($1,046)	($1,133)	($1,166)	($1,193)	($1,283)	($1,234)	($532)	($468)	($509)	($582)
	Ohio Power Co.	**($6,946)**	**($6,213)**	**($7,015)**	**($7,315)**	**($7,547)**	**($8,413)**	**($8,362)**	**($3,803)**	**($3,665)**	**($4,128)**	**($4,924)**
167	Public Service Co of Oklahoma - Distribution	($2,354)	($2,142)	($2,381)	($2,472)	($2,540)	($2,808)	($2,783)	($1,123)	($1,029)	($1,188)	($1,452)
198	Public Service Co of Oklahoma - Generation	($1,356)	($1,259)	($1,375)	($1,420)	($1,452)	($1,591)	($1,579)	($555)	($467)	($558)	($703)
114	Public Service Co of Oklahoma - Transmission	($295)	($270)	($298)	($309)	($317)	($348)	($345)	($134)	($121)	($141)	($176)
	Public Service Co. of Oklahoma	**($4,005)**	**($3,671)**	**($4,054)**	**($4,201)**	**($4,309)**	**($4,747)**	**($4,707)**	**($1,812)**	**($1,617)**	**($1,887)**	**($2,331)**
159	Southwestern Electric Power Co - Distribution	($1,668)	($1,523)	($1,692)	($1,759)	($1,811)	($2,010)	($2,132)	($869)	($749)	($876)	($1,086)
168	Southwestern Electric Power Co - Generation	($1,914)	($1,778)	($1,940)	($2,004)	($2,054)	($2,252)	($2,245)	($784)	($660)	($791)	($1,007)
161	Southwestern Electric Power Co - Texas - Distribution	($891)	($823)	($901)	($932)	($956)	($1,049)	($1,043)	($402)	($357)	($416)	($514)
111	Southwestern Electric Power Co - Texas - Transmission	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
194	Southwestern Electric Power Co - Transmission	($268)	($246)	($270)	($280)	($287)	($317)	($313)	($126)	($115)	($132)	($161)
	Southwestern Electric Power Co.	**($4,741)**	**($4,370)**	**($4,803)**	**($4,975)**	**($5,108)**	**($5,628)**	**($5,733)**	**($2,181)**	**($1,881)**	**($2,215)**	**($2,768)**
230	Kingsport Power Co - Distribution	($167)	($147)	($169)	($178)	($185)	($210)	($212)	($98)	($100)	($116)	($142)
260	Kingsport Power Co - Transmission	($44)	($41)	($44)	($45)	($46)	($48)	($45)	($18)	($14)	($15)	($17)
	Kingsport Power Co.	**($211)**	**($188)**	**($213)**	**($223)**	**($231)**	**($258)**	**($257)**	**($116)**	**($114)**	**($131)**	**($159)**
210	Wheeling Power Co - Distribution	($261)	($234)	($263)	($274)	($283)	($314)	($312)	($139)	($131)	($146)	($173)
200	Wheeling Power Co - Transmission	($5)	($3)	($5)	($5)	($5)	($6)	($6)	($4)	($4)	($3)	($3)
	Wheeling Power Co.	**($266)**	**($237)**	**($268)**	**($279)**	**($288)**	**($320)**	**($318)**	**($143)**	**($135)**	**($149)**	**($176)**
103	American Electric Power Service Corporation	($15,613)	($14,262)	($15,871)	($16,505)	($16,997)	($18,946)	($18,787)	($7,525)	($7,129)	($8,516)	($10,766)
293	Elmwood	($281)	($277)	($281)	($283)	($285)	($289)	($275)	($68)	($26)	($29)	($34)
292	AEP River Operations LLC	($1,277)	($1,253)	($1,276)	($1,286)	($1,295)	($1,321)	($1,253)	($331)	($147)	($164)	($195)
	American Electric Power Service Corp	**($17,171)**	**($15,792)**	**($17,428)**	**($18,074)**	**($18,577)**	**($20,556)**	**($20,315)**	**($7,924)**	**($7,302)**	**($8,709)**	**($10,995)**
143	AEP Pro Serv, Inc.	($2)	($1)	($2)	($2)	($2)	($3)	($3)	($3)	($4)	($5)	($5)
189	Central Coal Company	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
	Miscellaneous	**($2)**	**($1)**	**($2)**	**($2)**	**($2)**	**($3)**	**($3)**	**($3)**	**($4)**	**($5)**	**($5)**
270	Cook Coal Terminal	($72)	($66)	($72)	($74)	($75)	($81)	($79)	($32)	($26)	($30)	($35)
	AEP Generating Company	**($72)**	**($66)**	**($72)**	**($74)**	**($75)**	**($81)**	**($79)**	**($32)**	**($26)**	**($30)**	**($35)**
104	Cardinal Operating Company	($1,039)	($942)	($1,052)	($1,094)	($1,127)	($1,255)	($1,253)	($514)	($486)	($570)	($708)
181	Ohio Power Co - Generation	($4,639)	($4,354)	($4,866)	($5,055)	($5,206)	($5,724)	($5,563)	($2,606)	($2,608)	($2,851)	($3,291)
	AEP Generation Resources - FERC	**($5,678)**	**($5,296)**	**($5,918)**	**($6,149)**	**($6,333)**	**($6,979)**	**($6,816)**	**($3,120)**	**($3,094)**	**($3,421)**	**($3,999)**
290	Conesville Coal Preparation Company	($60)	($54)	($60)	($62)	($64)	($69)	($67)	($32)	($30)	($33)	($39)
	AEP Generation Resources - SEC	**($5,738)**	**($5,350)**	**($5,978)**	**($6,211)**	**($6,397)**	**($7,048)**	**($6,883)**	**($3,152)**	**($3,124)**	**($3,454)**	**($4,038)**
175	AEP Energy Partners	$15	$17	$12	$10	$8	($1)	($10)	$5	($5)	($18)	($37)
171	CSW Energy, Inc.	($18)	($16)	($18)	($19)	($20)	($23)	($25)	($16)	($17)	($19)	($23)
419	Onsite Partners	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
	AEP Energy Supply	**($5,741)**	**($5,349)**	**($5,984)**	**($6,220)**	**($6,409)**	**($7,072)**	**($6,918)**	**($3,163)**	**($3,146)**	**($3,491)**	**($4,098)**
245	Dolet Hills	$639	$650	$623	$613	$607	$562	$512	$475	$415	$370	$304
	Dolet Hills	**$639**	**$650**	**$623**	**$613**	**$607**	**$562**	**$512**	**$475**	**$415**	**$370**	**$304**
	Total	**($65,458)**	**($59,722)**	**($66,471)**	**($69,053)**	**($71,049)**	**($78,711)**	**($78,153)**	**($32,236)**	**($29,927)**	**($34,639)**	**($42,501)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2018 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$109,145,802	$8,772,111	$125,811,418	$596,989	$4,731,189	($7,305,147)	($5,097,397)	$2,469,687	($4,604,679)
215 Appalachian Power Co. - Generation	94,918,662	8,038,292	109,411,918	463,117	4,102,871	(6,352,922)	(4,162,884)	2,147,764	(3,802,054)
150 Appalachian Power Co. - Transmission	11,342,288	827,403	13,074,157	3,033	490,879	(759,141)	(781,538)	256,647	(790,120)
Appalachian Power Co. - FERC	**$215,406,752**	**$17,637,806**	**$248,297,493**	**$1,063,139**	**$9,324,939**	**($14,417,210)**	**($10,041,819)**	**$4,874,098**	**($9,196,853)**
225 Cedar Coal Co	624,350	82,932	719,683	0	26,184	(41,788)	(8,202)	14,127	(9,679)
Appalachian Power Co. - SEC	**$216,031,102**	**$17,720,738**	**$249,017,176**	**$1,063,139**	**$9,351,123**	**($14,458,998)**	**($10,050,021)**	**$4,888,225**	**($9,206,532)**
211 AEP Texas Central Company - Distribution	$76,796,719	$5,720,301	$88,522,911	$555,588	$3,345,054	($5,140,017)	($3,881,048)	$1,737,711	($3,382,712)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	7,598,920	516,063	8,759,209	77,339	333,101	(508,597)	(391,921)	171,944	(318,134)
AEP Texas Central Co.	**$84,395,639**	**$6,236,364**	**$97,282,120**	**$632,927**	**$3,678,155**	**($5,648,614)**	**($4,288,306)**	**$1,909,655**	**($3,716,183)**
119 AEP Texas North Company - Distribution	22,489,697	1,659,513	25,923,678	164,710	980,027	(1,505,239)	(1,276,048)	508,884	(1,127,666)
166 AEP Texas North Company - Generation	5,831,966	533,332	6,722,457	0	249,935	(390,334)	(67,677)	131,962	(76,114)
192 AEP Texas North Company - Transmission	3,483,274	255,313	4,015,140	36,952	152,341	(233,136)	(233,844)	78,817	(198,870)
AEP Texas North Co.	**$31,804,937**	**$2,448,158**	**$36,661,275**	**$201,662**	**$1,382,303**	**($2,128,709)**	**($1,577,569)**	**$719,663**	**($1,402,650)**
AEP Texas	**$116,200,576**	**$8,684,522**	**$133,943,395**	**$834,589**	**$5,060,458**	**($7,777,323)**	**($5,865,875)**	**$2,629,318**	**($5,118,833)**
170 Indiana Michigan Power Co. - Distribution	$54,240,843	$4,685,772	$62,522,949	$355,675	$2,346,604	($3,630,349)	($2,601,438)	$1,227,330	($2,302,178)
132 Indiana Michigan Power Co. - Generation	32,923,957	2,903,412	37,951,159	152,530	1,420,221	(2,203,606)	(1,850,054)	744,984	(1,735,925)
190 Indiana Michigan Power Co. - Nuclear	51,941,344	3,343,428	59,872,336	815,702	2,293,833	(3,476,443)	(3,561,730)	1,175,298	(2,753,340)
120 Indiana Michigan Power Co. - Transmission	11,188,126	783,210	12,896,456	69,395	487,919	(748,823)	(596,815)	253,158	(535,166)
280 Ind Mich River Transp Lakin	12,041,636	839,625	13,880,289	131,986	527,787	(805,949)	(811,278)	272,471	(684,983)
Indiana Michigan Power Co. - FERC	**$162,335,906**	**$12,555,447**	**$187,123,189**	**$1,525,288**	**$7,076,364**	**($10,865,170)**	**($9,421,315)**	**$3,673,241**	**($8,011,592)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$162,335,906**	**$12,555,447**	**$187,123,189**	**$1,525,288**	**$7,076,364**	**($10,865,170)**	**($9,421,315)**	**$3,673,241**	**($8,011,592)**
110 Kentucky Power Co. - Distribution	$20,083,092	$1,462,066	$23,149,606	$125,263	$874,617	($1,344,165)	($1,210,578)	$454,428	($1,100,435)
117 Kentucky Power Co. - Generation	13,620,694	1,253,899	15,700,456	25,018	584,667	(911,635)	(611,828)	308,201	(605,577)
180 Kentucky Power Co. - Transmission	1,181,550	88,583	1,361,962	153	51,076	(79,081)	(198,150)	26,735	(199,267)
600 Kentucky Power Co. - Kammer Actives	138,987	2,990	160,209	1,160	6,224	(9,302)	(42,530)	3,145	(41,303)
701 Kentucky Power Co. - Mitchell Actives	5,492,078	89,376	6,330,671	166,952	252,027	(367,586)	(160,767)	124,272	14,898
702 Kentucky Power Co. - Mitchell Inactives	10,265,615	1,014,176	11,833,085	0	438,270	(687,079)	(200,743)	232,284	(217,268)
Kentucky Power Co.	**$50,782,016**	**$3,911,090**	**$58,535,989**	**$318,546**	**$2,206,881**	**($3,398,848)**	**($2,424,596)**	**$1,149,065**	**($2,148,952)**
250 Ohio Power Co. - Distribution	$140,829,935	$11,390,985	$162,333,443	$856,112	$6,106,859	($9,425,771)	($5,890,962)	$3,186,617	($5,167,145)
160 Ohio Power Co. - Transmission	17,049,657	1,323,790	19,652,992	4,335	736,100	(1,141,136)	(1,031,548)	385,790	(1,046,459)
Ohio Power Co.	**$157,879,592**	**$12,714,775**	**$181,986,435**	**$860,447**	**$6,842,959**	**($10,566,907)**	**($6,922,510)**	**$3,572,407**	**($6,213,604)**
167 Public Service Co. of Oklahoma - Distribution	$46,506,509	$3,533,391	$53,607,649	$369,904	$2,025,659	($3,112,688)	($2,477,659)	$1,052,322	($2,142,462)
198 Public Service Co. of Oklahoma - Generation	22,328,676	1,568,329	25,738,071	249,974	978,651	(1,494,462)	(1,498,642)	505,240	(1,259,239)
114 Public Service Co. of Oklahoma - Transmission	5,478,767	429,494	6,315,327	47,146	238,502	(366,695)	(313,349)	123,970	(270,426)
Public Service Co. of Oklahoma	**$74,313,952**	**$5,531,214**	**$85,661,047**	**$667,024**	**$3,242,812**	**($4,973,845)**	**($4,289,650)**	**$1,681,532**	**($3,672,127)**
159 Southwestern Electric Power Co. - Distribution	$32,628,321	$2,204,165	$37,610,382	$288,976	$1,428,596	($2,183,819)	($1,794,965)	$738,294	($1,522,918)
168 Southwestern Electric Power Co. - Generation	31,590,500	2,195,742	36,414,095	373,501	1,385,994	(2,114,357)	(2,137,691)	714,811	(1,777,742)
161 Southwestern Electric Power Co. - Texas - Distribution	15,367,384	1,104,690	17,713,850	129,805	671,084	(1,028,542)	(942,674)	347,724	(822,603)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,858,403	349,569	5,600,239	37,925	212,017	(325,174)	(280,205)	109,933	(245,504)
Southwestern Electric Power Co.	**$84,444,608**	**$5,854,166**	**$97,338,566**	**$830,207**	**$3,697,691**	**($5,651,892)**	**($5,155,535)**	**$1,910,762**	**($4,368,767)**
230 Kingsport Power Co. - Distribution	$4,379,683	$338,360	$5,048,423	$33,720	$190,589	($293,133)	($177,403)	$99,101	($147,126)
260 Kingsport Power Co. - Transmission	535,610	44,566	617,393	0	23,052	(35,848)	(40,419)	12,119	(41,096)
Kingsport Power Co.	**$4,915,293**	**$382,926**	**$5,665,816**	**$33,720**	**$213,641**	**($328,981)**	**($217,822)**	**$111,220**	**($188,222)**
210 Wheeling Power Co. - Distribution	$5,705,304	$465,424	$6,576,454	$30,277	$247,116	($381,857)	($259,071)	$129,096	($234,439)
200 Wheeling Power Co. - Transmission	305,735	46,436	352,418	0	12,692	(20,463)	(2,613)	6,918	(3,466)
Wheeling Power Co.	**$6,011,039**	**$511,860**	**$6,928,872**	**$30,277**	**$259,808**	**($402,320)**	**($261,684)**	**$136,014**	**($237,905)**
103 American Electric Power Service Corporation	$309,771,960	$20,318,192	$357,071,449	$3,149,125	$13,594,735	($20,733,092)	($17,282,221)	$7,009,341	($14,262,112)
293 Elmwood	858,383	62,639	989,451	0	37,139	(57,452)	(276,067)	19,423	(276,957)
292 AEP River Operations LLC	5,076,189	443,702	5,851,279	0	218,000	(339,750)	(1,245,634)	114,861	(1,252,523)
American Electric Power Service Corporation	**$315,706,532**	**$20,824,533**	**$363,912,179**	**$3,149,125**	**$13,849,874**	**($21,130,294)**	**($18,803,922)**	**$7,143,625**	**($15,791,592)**
143 AEP Pro Serv, Inc.	$127,480	$13,009	$146,945	$0	$5,433	($8,532)	($1,133)	$2,885	($1,347)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$127,480**	**$13,009**	**$146,945**	**$0**	**$5,433**	**($8,532)**	**($1,133)**	**$2,885**	**($1,347)**
270 Cook Coal Terminal	$1,227,071	$128,071	$1,414,434	$4,034	$52,416	($82,128)	($67,747)	$27,765	($65,660)
AEP Generating Company	**$1,227,071**	**$128,071**	**$1,414,434**	**$4,034**	**$52,416**	**($82,128)**	**($67,747)**	**$27,765**	**($65,660)**
104 Cardinal Operating Company	$21,505,373	$1,586,334	$24,789,057	$188,933	$938,556	($1,439,358)	($1,116,823)	$486,611	($942,081)
181 Ohio Power Co. - Generation	103,083,308	9,069,188	118,823,234	140,105	4,431,967	(6,899,383)	(4,359,566)	2,332,509	(4,354,368)
AEP Generation Resources - FERC	**$124,588,681**	**$10,655,522**	**$143,612,291**	**$329,038**	**$5,370,523**	**($8,338,741)**	**($5,476,389)**	**$2,819,120**	**($5,296,449)**
290 Conesville Coal Preparation Company	1,247,436	121,754	1,437,909	0	53,290	(83,491)	(51,555)	28,226	(53,530)
AEP Generation Resources - SEC	**$125,836,117**	**$10,777,276**	**$145,050,200**	**$329,038**	**$5,423,813**	**($8,422,232)**	**($5,527,944)**	**$2,847,346**	**($5,349,979)**
175 AEP Energy Partners	894,379	10,788	1,030,943	46,261	41,982	(59,861)	(31,686)	20,237	16,933
171 CSW Energy, Inc.	474,720	20,884	547,206	0	20,845	(31,773)	(15,366)	10,742	(15,552)
419 Onsite Partners	1,974	0	2,275	175	96	(132)	0	45	184
AEP Energy Supply	**$127,207,190**	**$10,808,948**	**$146,630,624**	**$375,474**	**$5,486,736**	**($8,513,998)**	**($5,574,996)**	**$2,878,370**	**($5,348,414)**
245 Dolet Hills	$4,645,134	$125,522	$5,354,406	$210,511	$215,164	($310,900)	$430,570	$105,107	$650,452
Dolet Hills	**$4,645,134**	**$125,522**	**$5,354,406**	**$210,511**	**$215,164**	**($310,900)**	**$430,570**	**$105,107**	**$650,452**
Total	**$1,321,827,491**	**$99,766,821**	**$1,523,659,073**	**$9,902,381**	**$57,561,360**	**($88,470,136)**	**($68,626,236)**	**$29,909,536**	**($59,723,095)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2019 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$104,061,174	$8,598,563	$123,967,821	$595,194	$4,665,485	($7,499,381)	($5,097,397)	$2,179,461	($5,156,638)
215 Appalachian Power Co. - Generation	90,026,936	7,661,702	107,248,868	461,724	4,028,684	(6,487,975)	(4,162,884)	1,885,527	(4,274,924)
150 Appalachian Power Co. - Transmission	10,837,919	777,319	12,911,186	3,024	485,883	(781,057)	(781,538)	226,990	(846,698)
Appalachian Power Co. - FERC	**$204,926,029**	**$17,037,584**	**$244,127,875**	**$1,059,942**	**$9,180,052**	**($14,768,413)**	**($10,041,819)**	**$4,291,978**	**($10,278,260)**
225 Cedar Coal Co	558,792	78,337	665,688	0	24,166	(40,271)	(8,202)	11,703	(12,604)
Appalachian Power Co. - SEC	**$205,484,821**	**$17,115,921**	**$244,793,563**	**$1,059,942**	**$9,204,218**	**($14,808,684)**	**($10,050,021)**	**$4,303,681**	**($10,290,864)**
211 AEP Texas Central Company - Distribution	$73,813,273	$5,709,364	$87,933,571	$553,917	$3,324,424	($5,319,504)	($3,881,048)	$1,545,948	($3,776,263)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	7,376,987	535,031	8,788,186	77,106	334,074	(531,638)	(391,921)	154,504	(357,875)
AEP Texas Central Co.	**$81,190,260**	**$6,244,395**	**$96,721,757**	**$631,023**	**$3,658,498**	**($5,851,142)**	**($4,288,306)**	**$1,700,452**	**($4,149,475)**
119 AEP Texas North Company - Distribution	21,633,828	1,684,541	25,772,326	164,215	974,180	(1,559,086)	(1,276,048)	453,100	(1,243,639)
166 AEP Texas North Company - Generation	5,462,445	534,477	6,507,397	0	241,543	(393,662)	(67,677)	114,406	(105,390)
192 AEP Texas North Company - Transmission	3,364,212	263,539	4,007,777	36,841	151,981	(242,449)	(233,844)	70,460	(217,011)
AEP Texas North Co.	**$30,460,485**	**$2,482,557**	**$36,287,500**	**$201,056**	**$1,367,704**	**($2,195,197)**	**($1,577,569)**	**$637,966**	**($1,566,040)**
AEP Texas	**$111,650,745**	**$8,726,952**	**$133,009,257**	**$832,079**	**$5,026,202**	**($8,046,339)**	**($5,865,875)**	**$2,338,418**	**($5,715,515)**
170 Indiana Michigan Power Co. - Distribution	$51,446,216	$4,614,488	$61,287,751	$354,605	$2,300,998	($3,707,576)	($2,601,438)	$1,077,491	($2,575,920)
132 Indiana Michigan Power Co. - Generation	31,102,908	2,782,122	37,052,818	152,071	1,388,398	(2,241,494)	(1,850,054)	651,420	(1,899,659)
190 Indiana Michigan Power Co. - Nuclear	50,904,852	3,383,141	60,642,825	813,249	2,325,437	(3,668,562)	(3,561,730)	1,066,153	(3,025,453)
120 Indiana Michigan Power Co. - Transmission	10,792,075	769,336	12,856,572	69,186	487,011	(777,753)	(596,815)	226,030	(592,341)
280 Ind Mich River Transp Lakin	11,677,666	868,931	13,911,575	131,589	528,773	(841,575)	(811,278)	244,577	(747,914)
Indiana Michigan Power Co. - FERC	**$155,923,717**	**$12,418,018**	**$185,751,541**	**$1,520,700**	**$7,030,617**	**($11,236,960)**	**($9,421,315)**	**$3,265,671**	**($8,841,287)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$155,923,717**	**$12,418,018**	**$185,751,541**	**$1,520,700**	**$7,030,617**	**($11,236,960)**	**($9,421,315)**	**$3,265,671**	**($8,841,287)**
110 Kentucky Power Co. - Distribution	$19,316,352	$1,464,712	$23,011,523	$124,886	$869,718	($1,392,072)	($1,210,578)	$404,562	($1,203,484)
117 Kentucky Power Co. - Generation	12,775,060	1,189,029	15,218,898	24,943	567,457	(920,661)	(611,828)	267,561	(672,528)
180 Kentucky Power Co. - Transmission	1,126,436	76,039	1,341,920	153	50,602	(81,179)	(198,150)	23,592	(204,982)
600 Kentucky Power Co. - Kammer Actives	141,155	6,049	168,158	1,157	6,474	(10,173)	(42,530)	2,956	(42,116)
701 Kentucky Power Co. - Mitchell Actives	5,731,317	156,299	6,827,704	166,450	270,457	(413,039)	(160,767)	120,037	(16,862)
702 Kentucky Power Co. - Mitchell Inactives	9,539,306	938,661	11,364,152	0	421,695	(687,470)	(200,743)	199,792	(266,726)
Kentucky Power Co.	**$48,629,626**	**$3,830,789**	**$57,932,355**	**$317,589**	**$2,186,403**	**($3,504,594)**	**($2,424,596)**	**$1,018,500**	**($2,406,698)**
250 Ohio Power Co. - Distribution	$134,284,702	$11,250,296	$159,973,036	$853,538	$6,020,954	($9,677,501)	($5,890,962)	$2,812,463	($5,881,508)
160 Ohio Power Co. - Transmission	16,210,713	1,342,543	19,311,783	4,322	722,614	(1,168,258)	(1,031,548)	339,518	(1,133,352)
Ohio Power Co.	**$150,495,415**	**$12,592,839**	**$179,284,819**	**$857,860**	**$6,743,568**	**($10,845,759)**	**($6,922,510)**	**$3,151,981**	**($7,014,860)**
167 Public Service Co. of Oklahoma - Distribution	$44,664,472	$3,537,004	$53,208,676	$368,792	$2,011,284	($3,218,836)	($2,477,659)	$935,454	($2,380,965)
198 Public Service Co. of Oklahoma - Generation	21,647,661	1,590,765	25,788,805	249,222	980,927	(1,560,083)	(1,498,642)	453,389	(1,375,187)
114 Public Service Co. of Oklahoma - Transmission	5,252,113	417,953	6,256,829	47,004	236,630	(378,504)	(313,349)	110,000	(298,219)
Public Service Co. of Oklahoma	**$71,564,246**	**$5,545,722**	**$85,254,310**	**$665,018**	**$3,228,841**	**($5,157,423)**	**($4,289,650)**	**$1,498,843**	**($4,054,371)**
159 Southwestern Electric Power Co. - Distribution	$31,642,827	$2,247,045	$37,696,022	$288,107	$1,432,097	($2,280,405)	($1,794,965)	$662,728	($1,692,438)
168 Southwestern Electric Power Co. - Generation	30,670,679	2,137,960	36,537,905	372,378	1,393,347	(2,210,345)	(2,137,691)	642,368	(1,939,943)
161 Southwestern Electric Power Co. - Texas - Distribution	14,829,767	1,066,512	17,666,665	129,415	670,600	(1,068,737)	(942,674)	310,595	(900,801)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,684,911	339,722	5,581,123	37,811	211,644	(337,628)	(280,205)	98,121	(270,257)
Southwestern Electric Power Co.	**$81,828,184**	**$5,791,239**	**$97,481,715**	**$827,711**	**$3,707,688**	**($5,897,115)**	**($5,155,535)**	**$1,713,812**	**($4,803,439)**
230 Kingsport Power Co. - Distribution	$4,199,421	$321,238	$5,002,760	$33,619	$189,315	($302,640)	($177,403)	$87,953	($169,156)
260 Kingsport Power Co. - Transmission	506,116	45,011	602,935	0	22,483	(36,474)	(40,419)	10,600	(43,810)
Kingsport Power Co.	**$4,705,537**	**$366,249**	**$5,605,695**	**$33,619**	**$211,798**	**($339,114)**	**($217,822)**	**$98,553**	**($212,966)**
210 Wheeling Power Co. - Distribution	$5,431,634	$455,729	$6,470,692	$30,186	$243,322	($391,442)	($259,071)	$113,760	($263,245)
200 Wheeling Power Co. - Transmission	267,769	44,013	318,993	0	11,431	(19,297)	(2,613)	5,608	(4,871)
Wheeling Power Co.	**$5,699,403**	**$499,742**	**$6,789,685**	**$30,186**	**$254,753**	**($410,739)**	**($261,684)**	**$119,368**	**($268,116)**
103 American Electric Power Service Corporation	$301,444,857	$20,471,605	$359,110,516	$3,139,655	$13,682,679	($21,724,237)	($17,282,221)	$6,313,473	($15,870,651)
293 Elmwood	819,955	54,303	976,810	0	36,853	(59,092)	(276,067)	17,173	(281,133)
292 AEP River Operations LLC	4,775,198	370,671	5,688,682	0	213,371	(344,134)	(1,245,634)	100,012	(1,276,385)
American Electric Power Service Corporation	**$307,040,010**	**$20,896,579**	**$365,776,008**	**$3,139,655**	**$13,932,903**	**($22,127,463)**	**($18,803,922)**	**$6,430,658**	**($17,428,169)**
143 AEP Pro Serv, Inc.	$118,043	$13,490	$140,624	$0	$5,175	($8,507)	($1,133)	$2,472	($1,993)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$118,043**	**$13,490**	**$140,624**	**$0**	**$5,175**	**($8,507)**	**($1,133)**	**$2,472**	**($1,993)**
270 Cook Coal Terminal	$1,137,515	$121,231	$1,355,119	$4,022	$50,258	($81,977)	($67,747)	$23,824	($71,620)
AEP Generating Company	**$1,137,515**	**$121,231**	**$1,355,119**	**$4,022**	**$50,258**	**($81,977)**	**($67,747)**	**$23,824**	**($71,620)**
104 Cardinal Operating Company	$20,719,846	$1,541,919	$24,683,502	$188,365	$936,109	($1,493,218)	($1,116,823)	$433,957	($1,051,610)
181 Ohio Power Co. - Generation	97,055,946	8,744,879	115,622,510	139,684	4,315,452	(6,994,535)	(4,359,566)	2,032,743	(4,866,222)
AEP Generation Resources - FERC	**$117,775,792**	**$10,286,798**	**$140,306,012**	**$328,049**	**$5,251,561**	**($8,487,753)**	**($5,476,389)**	**$2,466,700**	**($5,917,832)**
290 Conesville Coal Preparation Company	1,160,672	121,036	1,382,706	0	51,152	(83,646)	(51,555)	24,309	(59,740)
AEP Generation Resources - SEC	**$118,936,464**	**$10,407,834**	**$141,688,718**	**$328,049**	**$5,302,713**	**($8,571,399)**	**($5,527,944)**	**$2,491,009**	**($5,977,572)**
175 AEP Energy Partners	956,749	16,045	1,139,773	46,122	46,231	(68,950)	(31,686)	20,038	11,755
171 CSW Energy, Inc.	467,313	21,638	556,709	0	21,217	(33,678)	(15,366)	9,787	(18,040)
419 Onsite Partners	2,210	0	2,633	174	111	(159)	0	46	172
AEP Energy Supply	**$120,362,736**	**$10,445,517**	**$143,387,833**	**$374,345**	**$5,370,272**	**($8,674,186)**	**($5,574,996)**	**$2,520,880**	**($5,983,685)**
245 Dolet Hills	$4,868,527	$182,939	$5,799,864	$209,878	$231,772	($350,860)	$430,570	$101,967	$623,327
Dolet Hills	**$4,868,527**	**$182,939**	**$5,799,864**	**$209,878**	**$231,772**	**($350,860)**	**$430,570**	**$101,967**	**$623,327**
Total	**$1,269,508,525**	**$98,547,227**	**$1,512,362,388**	**$9,872,604**	**$57,184,468**	**($91,489,720)**	**($68,626,236)**	**$26,588,628**	**($66,470,256)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2020 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$100,373,216	$8,523,197	$122,469,314	$605,749	$4,530,393	($7,409,683)	($5,097,397)	$2,003,804	($5,367,134)
215 Appalachian Power Co. - Generation	86,553,766	7,383,620	105,607,659	469,912	3,903,406	(6,389,513)	(4,162,884)	1,727,919	(4,451,160)
150 Appalachian Power Co. - Transmission	10,512,841	764,777	12,827,131	3,078	474,636	(776,072)	(781,538)	209,873	(870,023)
Appalachian Power Co. - FERC	**$197,439,823**	**$16,671,594**	**$240,904,104**	**$1,078,739**	**$8,908,435**	**($14,575,268)**	**($10,041,819)**	**$3,941,596**	**($10,688,317)**
225 Cedar Coal Co	502,867	73,374	613,568	0	21,845	(37,122)	(8,202)	10,039	(13,440)
Appalachian Power Co. - SEC	**$197,942,690**	**$16,744,968**	**$241,517,672**	**$1,078,739**	**$8,930,280**	**($14,612,390)**	**($10,050,021)**	**$3,951,635**	**($10,701,757)**
211 AEP Texas Central Company - Distribution	$71,732,068	$5,701,279	$87,523,121	$563,740	$3,252,808	($5,295,355)	($3,881,048)	$1,432,025	($3,927,830)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	7,227,927	543,362	8,819,078	78,473	329,497	(533,575)	(391,921)	144,295	(373,231)
AEP Texas Central Co.	**$78,959,995**	**$6,244,641**	**$96,342,199**	**$642,213**	**$3,582,305**	**($5,828,930)**	**($4,288,306)**	**$1,576,320**	**($4,316,398)**
119 AEP Texas North Company - Distribution	21,014,390	1,710,990	25,640,485	167,127	952,081	(1,551,310)	(1,276,048)	419,521	(1,288,629)
166 AEP Texas North Company - Generation	5,151,544	525,506	6,285,602	0	229,024	(380,294)	(67,677)	102,843	(116,104)
192 AEP Texas North Company - Transmission	3,278,062	271,181	3,999,693	37,494	148,952	(241,991)	(233,844)	65,442	(223,947)
AEP Texas North Co.	**$29,443,996**	**$2,507,677**	**$35,925,780**	**$204,621**	**$1,330,057**	**($2,173,595)**	**($1,577,569)**	**$587,806**	**($1,628,680)**
AEP Texas	**$108,403,991**	**$8,752,318**	**$132,267,979**	**$846,834**	**$4,912,362**	**($8,002,525)**	**($5,865,875)**	**$2,164,126**	**($5,945,078)**
170 Indiana Michigan Power Co. - Distribution	$49,315,333	$4,485,737	$60,171,580	$360,893	$2,221,935	($3,640,523)	($2,601,438)	$984,508	($2,674,625)
132 Indiana Michigan Power Co. - Generation	29,757,469	2,651,913	36,308,260	154,768	1,339,062	(2,196,735)	(1,850,054)	594,064	(1,958,895)
190 Indiana Michigan Power Co. - Nuclear	50,484,321	3,445,236	61,597,908	827,671	2,322,596	(3,726,819)	(3,561,730)	1,007,845	(3,130,437)
120 Indiana Michigan Power Co. - Transmission	10,542,168	753,075	12,862,914	70,413	479,432	(778,237)	(596,815)	210,459	(614,748)
280 Ind Mich River Transp Lakin	11,429,235	875,352	13,945,260	133,923	521,107	(843,721)	(811,278)	228,168	(771,801)
Indiana Michigan Power Co. - FERC	**$151,528,526**	**$12,211,313**	**$184,885,922**	**$1,547,668**	**$6,884,132**	**($11,186,035)**	**($9,421,315)**	**$3,025,044**	**($9,150,506)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$151,528,526**	**$12,211,313**	**$184,885,922**	**$1,547,668**	**$6,884,132**	**($11,186,035)**	**($9,421,315)**	**$3,025,044**	**($9,150,506)**
110 Kentucky Power Co. - Distribution	$18,780,742	$1,480,929	$22,915,123	$127,101	$850,956	($1,386,419)	($1,210,578)	$374,930	($1,244,010)
117 Kentucky Power Co. - Generation	12,136,104	1,144,718	14,807,738	25,385	542,886	(895,903)	(611,828)	242,279	(697,181)
180 Kentucky Power Co. - Transmission	1,097,325	78,213	1,338,889	156	49,572	(81,006)	(198,150)	21,906	(207,522)
600 Kentucky Power Co. - Kammer Actives	142,241	9,553	173,554	1,178	6,494	(10,500)	(42,530)	2,840	(42,518)
701 Kentucky Power Co. - Mitchell Actives	5,991,030	223,093	7,309,892	169,402	283,256	(442,266)	(160,767)	119,602	(30,773)
702 Kentucky Power Co. - Mitchell Inactives	8,990,982	838,370	10,970,251	0	401,539	(663,726)	(200,743)	179,492	(283,438)
Kentucky Power Co.	**$47,138,424**	**$3,774,876**	**$57,515,447**	**$323,222**	**$2,134,703**	**($3,479,820)**	**($2,424,596)**	**$941,049**	**($2,505,442)**
250 Ohio Power Co. - Distribution	$129,457,386	$11,084,774	$157,956,056	$868,674	$5,845,086	($9,556,714)	($5,890,962)	$2,584,426	($6,149,490)
160 Ohio Power Co. - Transmission	15,540,904	1,301,646	18,962,069	4,399	697,678	(1,147,250)	(1,031,548)	310,251	(1,166,470)
Ohio Power Co.	**$144,998,290**	**$12,386,420**	**$176,918,125**	**$873,073**	**$6,542,764**	**($10,703,964)**	**($6,922,510)**	**$2,894,677**	**($7,315,960)**
167 Public Service Co. of Oklahoma - Distribution	$43,356,329	$3,547,674	$52,900,765	$375,332	$1,965,330	($3,200,621)	($2,477,659)	$865,545	($2,472,073)
198 Public Service Co. of Oklahoma - Generation	21,213,060	1,614,026	25,882,890	253,642	967,677	(1,565,976)	(1,498,642)	423,488	(1,419,811)
114 Public Service Co. of Oklahoma - Transmission	5,100,007	423,383	6,222,719	47,838	231,214	(376,489)	(313,349)	101,814	(308,972)
Public Service Co. of Oklahoma	**$69,669,396**	**$5,585,083**	**$85,006,374**	**$676,812**	**$3,164,221**	**($5,143,086)**	**($4,289,650)**	**$1,390,847**	**($4,200,856)**
159 Southwestern Electric Power Co. - Distribution	$31,007,839	$2,270,831	$37,833,886	$293,216	$1,412,902	($2,289,039)	($1,794,965)	$619,026	($1,758,860)
168 Southwestern Electric Power Co. - Generation	30,193,139	2,189,315	36,839,838	378,982	1,380,661	(2,228,897)	(2,137,691)	602,762	(2,004,183)
161 Southwestern Electric Power Co. - Texas - Distribution	14,512,654	1,074,088	17,707,461	131,710	660,764	(1,071,343)	(942,674)	289,724	(931,819)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,578,675	343,733	5,586,622	38,482	208,212	(338,004)	(280,205)	91,407	(280,108)
Southwestern Electric Power Co.	**$80,292,307**	**$5,877,967**	**$97,967,807**	**$842,390**	**$3,662,539**	**($5,927,283)**	**($5,155,535)**	**$1,602,919**	**($4,974,970)**
230 Kingsport Power Co. - Distribution	$4,086,863	$322,450	$4,986,543	$34,215	$185,479	($301,698)	($177,403)	$81,588	($177,819)
260 Kingsport Power Co. - Transmission	481,907	45,412	587,994	0	21,511	(35,575)	(40,419)	9,621	(44,862)
Kingsport Power Co.	**$4,568,770**	**$367,862**	**$5,574,537**	**$34,215**	**$206,990**	**($337,273)**	**($217,822)**	**$91,209**	**($222,681)**
210 Wheeling Power Co. - Distribution	$5,231,168	$454,078	$6,382,754	$30,721	$235,843	($386,172)	($259,071)	$104,433	($274,246)
200 Wheeling Power Co. - Transmission	234,370	41,573	285,964	0	10,011	(17,301)	(2,613)	4,679	(5,224)
Wheeling Power Co.	**$5,465,538**	**$495,651**	**$6,668,718**	**$30,721**	**$245,854**	**($403,473)**	**($261,684)**	**$109,112**	**($279,470)**
103 American Electric Power Service Corporation	$296,760,561	$20,676,170	$362,089,250	$3,195,330	$13,564,854	($21,907,253)	($17,282,221)	$5,924,386	($16,504,904)
293 Elmwood	799,716	56,206	975,765	0	36,140	(59,036)	(276,067)	15,965	(282,998)
292 AEP River Operations LLC	4,601,848	356,700	5,614,896	0	207,195	(339,714)	(1,245,634)	91,869	(1,286,284)
American Electric Power Service Corporation	**$302,162,125**	**$21,089,076**	**$368,679,911**	**$3,195,330**	**$13,808,189**	**($22,306,003)**	**($18,803,922)**	**$6,032,220**	**($18,074,186)**
143 AEP Pro Serv, Inc.	$109,347	$4,851	$133,419	$0	$5,007	($8,072)	($1,133)	$2,183	($2,015)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$109,347**	**$4,851**	**$133,419**	**$0**	**$5,007**	**($8,072)**	**($1,133)**	**$2,183**	**($2,015)**
270 Cook Coal Terminal	$1,066,843	$114,727	$1,301,697	$4,093	$47,484	($78,756)	($67,747)	$21,298	($73,628)
AEP Generating Company	**$1,066,843**	**$114,727**	**$1,301,697**	**$4,093**	**$47,484**	**($78,756)**	**($67,747)**	**$21,298**	**($73,628)**
104 Cardinal Operating Company	$20,231,838	$1,545,739	$24,685,662	$191,705	$920,419	($1,493,541)	($1,116,823)	$403,899	($1,094,341)
181 Ohio Power Co. - Generation	92,443,784	8,374,909	112,794,302	142,161	4,140,880	(6,824,321)	(4,359,566)	1,845,504	(5,055,342)
AEP Generation Resources - FERC	**$112,675,622**	**$9,920,648**	**$137,479,964**	**$333,866**	**$5,061,299**	**($8,317,862)**	**($5,476,389)**	**$2,249,403**	**($6,149,683)**
290 Conesville Coal Preparation Company	1,086,997	115,007	1,326,288	0	48,230	(80,244)	(51,555)	21,700	(61,869)
AEP Generation Resources - SEC	**$113,762,619**	**$10,035,655**	**$138,806,252**	**$333,866**	**$5,109,529**	**($8,398,106)**	**($5,527,944)**	**$2,271,103**	**($6,211,552)**
175 AEP Energy Partners	1,029,467	18,702	1,256,093	46,940	49,962	(75,997)	(31,686)	20,552	9,771
171 CSW Energy, Inc.	465,269	22,594	567,693	0	21,260	(34,347)	(15,366)	9,288	(19,165)
419 Onsite Partners	2,486	0	3,033	177	125	(184)	0	50	168
AEP Energy Supply	**$115,259,841**	**$10,076,951**	**$140,633,071**	**$380,983**	**$5,180,876**	**($8,508,634)**	**($5,574,996)**	**$2,300,993**	**($6,220,778)**
245 Dolet Hills	$5,109,418	$224,507	$6,234,202	$213,600	$244,018	($377,184)	$430,570	$102,002	$613,006
Dolet Hills	**$5,109,418**	**$224,507**	**$6,234,202**	**$213,600**	**$244,018**	**($377,184)**	**$430,570**	**$102,002**	**$613,006**
Total	**$1,233,715,506**	**$97,706,570**	**$1,505,304,881**	**$10,047,680**	**$55,969,419**	**($91,074,498)**	**($68,626,236)**	**$24,629,314**	**($69,054,321)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2021 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$97,644,026	$8,413,045	$120,921,276	$627,274	$4,341,870	($7,316,571)	($5,097,397)	$1,916,914	($5,527,910)
215 Appalachian Power Co. - Generation	84,110,146	7,159,687	104,161,070	486,610	3,739,580	(6,302,463)	(4,162,884)	1,651,221	(4,587,936)
150 Appalachian Power Co. - Transmission	10,295,140	769,463	12,749,387	3,187	457,564	(771,426)	(781,538)	202,111	(890,102)
Appalachian Power Co. - FERC	**$192,049,312**	**$16,342,195**	**$237,831,733**	**$1,117,071**	**$8,539,014**	**($14,390,460)**	**($10,041,819)**	**$3,770,246**	**($11,005,948)**
225 Cedar Coal Co	454,399	68,186	562,723	0	19,409	(34,049)	(8,202)	8,921	(13,921)
Appalachian Power Co. - SEC	**$192,503,711**	**$16,410,381**	**$238,394,456**	**$1,117,071**	**$8,558,423**	**($14,424,509)**	**($10,050,021)**	**$3,779,167**	**($11,019,869)**
211 AEP Texas Central Company - Distribution	$70,321,117	$5,740,182	$87,084,890	$583,772	$3,140,281	($5,269,237)	($3,881,048)	$1,380,520	($4,045,712)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	7,140,644	549,626	8,842,894	81,261	320,647	(535,056)	(391,921)	140,183	(384,886)
AEP Texas Central Co.	**$77,461,761**	**$6,289,808**	**$95,927,784**	**$665,033**	**$3,460,928**	**($5,804,293)**	**($4,288,306)**	**$1,520,703**	**($4,445,935)**
119 AEP Texas North Company - Distribution	20,561,136	1,679,830	25,462,682	173,066	918,260	(1,540,668)	(1,276,048)	403,649	(1,321,741)
166 AEP Texas North Company - Generation	4,887,994	522,590	6,053,237	0	213,589	(366,263)	(67,677)	95,959	(124,392)
192 AEP Texas North Company - Transmission	3,214,988	265,857	3,981,405	38,826	144,051	(240,902)	(233,844)	63,116	(228,753)
AEP Texas North Co.	**$28,664,118**	**$2,468,277**	**$35,497,324**	**$211,892**	**$1,275,900**	**($2,147,833)**	**($1,577,569)**	**$562,724**	**($1,674,886)**
AEP Texas	**$106,125,879**	**$8,758,085**	**$131,425,108**	**$876,925**	**$4,736,828**	**($7,952,126)**	**($5,865,875)**	**$2,083,427**	**($6,120,821)**
170 Indiana Michigan Power Co. - Distribution	$47,734,026	$4,389,835	$59,113,287	$373,717	$2,119,331	($3,576,762)	($2,601,438)	$937,098	($2,748,054)
132 Indiana Michigan Power Co. - Generation	28,793,378	2,618,761	35,657,399	160,267	1,276,050	(2,157,519)	(1,850,054)	565,262	(2,005,994)
190 Indiana Michigan Power Co. - Nuclear	50,529,790	3,531,281	62,575,530	857,081	2,290,196	(3,786,251)	(3,561,730)	991,983	(3,208,721)
120 Indiana Michigan Power Co. - Transmission	10,409,068	757,555	12,890,474	72,915	466,309	(779,963)	(596,815)	204,347	(633,207)
280 Ind Mich River Transp Lakin	11,284,944	881,594	13,975,149	138,682	506,922	(845,593)	(811,278)	221,542	(789,725)
Indiana Michigan Power Co. - FERC	**$148,751,206**	**$12,179,026**	**$184,211,839**	**$1,602,662**	**$6,658,808**	**($11,146,088)**	**($9,421,315)**	**$2,920,232**	**($9,385,701)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$148,751,206**	**$12,179,026**	**$184,211,839**	**$1,602,662**	**$6,658,808**	**($11,146,088)**	**($9,421,315)**	**$2,920,232**	**($9,385,701)**
110 Kentucky Power Co. - Distribution	$18,401,850	$1,481,861	$22,788,646	$131,617	$821,245	($1,378,870)	($1,210,578)	$361,259	($1,275,327)
117 Kentucky Power Co. - Generation	11,638,067	1,089,968	14,412,453	26,287	513,276	(872,053)	(611,828)	228,475	(715,843)
180 Kentucky Power Co. - Transmission	1,076,090	73,332	1,332,618	162	47,980	(80,633)	(198,150)	21,125	(209,516)
600 Kentucky Power Co. - Kammer Actives	141,312	12,619	174,999	1,220	6,288	(10,589)	(42,530)	2,774	(42,837)
701 Kentucky Power Co. - Mitchell Actives	6,262,790	295,672	7,755,770	175,421	290,284	(469,278)	(160,767)	122,949	(41,391)
702 Kentucky Power Co. - Mitchell Inactives	8,612,174	785,712	10,665,221	0	379,403	(645,319)	(200,743)	169,071	(297,588)
Kentucky Power Co.	**$46,132,283**	**$3,739,164**	**$57,129,707**	**$334,707**	**$2,058,476**	**($3,456,742)**	**($2,424,596)**	**$905,653**	**($2,582,502)**
250 Ohio Power Co. - Distribution	$125,934,843	$10,942,135	$155,956,310	$899,541	$5,601,946	($9,436,433)	($5,890,962)	$2,472,310	($6,353,598)
160 Ohio Power Co. - Transmission	15,042,683	1,250,004	18,628,691	4,555	665,695	(1,127,164)	(1,031,548)	295,313	(1,193,149)
Ohio Power Co.	**$140,977,526**	**$12,192,139**	**$174,585,001**	**$904,096**	**$6,267,641**	**($10,563,597)**	**($6,922,510)**	**$2,767,623**	**($7,546,747)**
167 Public Service Co. of Oklahoma - Distribution	$42,435,219	$3,521,125	$52,551,304	$388,669	$1,895,374	($3,179,716)	($2,477,659)	$833,074	($2,540,258)
198 Public Service Co. of Oklahoma - Generation	20,961,579	1,592,260	25,958,586	262,655	942,865	(1,570,674)	(1,498,642)	411,511	(1,452,285)
114 Public Service Co. of Oklahoma - Transmission	4,989,291	413,392	6,178,683	49,538	223,038	(373,853)	(313,349)	97,948	(316,678)
Public Service Co. of Oklahoma	**$68,386,089**	**$5,526,777**	**$84,688,573**	**$700,862**	**$3,061,277**	**($5,124,243)**	**($4,289,650)**	**$1,342,533**	**($4,309,221)**
159 Southwestern Electric Power Co. - Distribution	$30,649,624	$2,335,866	$37,956,154	$303,635	$1,374,755	($2,296,609)	($1,794,965)	$601,703	($1,811,481)
168 Southwestern Electric Power Co. - Generation	29,965,355	2,270,086	37,108,763	392,449	1,348,783	(2,245,336)	(2,137,691)	588,270	(2,053,525)
161 Southwestern Electric Power Co. - Texas - Distribution	14,327,570	1,067,881	17,743,103	136,390	642,940	(1,073,580)	(942,674)	281,274	(955,650)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,512,035	331,484	5,587,654	39,849	202,441	(338,092)	(280,205)	88,579	(287,428)
Southwestern Electric Power Co.	**$79,454,584**	**$6,005,317**	**$98,395,674**	**$872,323**	**$3,568,919**	**($5,953,617)**	**($5,155,535)**	**$1,559,826**	**($5,108,084)**
230 Kingsport Power Co. - Distribution	$4,011,132	$327,372	$4,967,341	$35,431	$179,222	($300,558)	($177,403)	$78,745	($184,563)
260 Kingsport Power Co. - Transmission	461,113	39,508	571,037	0	20,372	(34,552)	(40,419)	9,052	(45,547)
Kingsport Power Co.	**$4,472,245**	**$366,880**	**$5,538,378**	**$35,431**	**$199,594**	**($335,110)**	**($217,822)**	**$87,797**	**($230,110)**
210 Wheeling Power Co. - Distribution	$5,077,866	$446,943	$6,288,373	$31,813	$225,542	($380,490)	($259,071)	$99,687	($282,519)
200 Wheeling Power Co. - Transmission	204,184	38,885	252,859	0	8,533	(15,300)	(2,613)	4,008	(5,372)
Wheeling Power Co.	**$5,282,050**	**$485,828**	**$6,541,232**	**$31,813**	**$234,075**	**($395,790)**	**($261,684)**	**$103,695**	**($287,891)**
103 American Electric Power Service Corporation	$294,830,965	$20,783,558	$365,115,391	$3,308,873	$13,280,670	($22,091,998)	($17,282,221)	$5,788,018	($16,996,658)
293 Elmwood	784,938	57,330	972,058	0	34,906	(58,816)	(276,067)	15,410	(284,567)
292 AEP River Operations LLC	4,482,544	352,272	5,551,133	0	198,768	(335,882)	(1,245,634)	88,000	(1,294,748)
American Electric Power Service Corporation	**$300,098,447**	**$21,193,160**	**$371,638,582**	**$3,308,873**	**$13,514,344**	**($22,486,696)**	**($18,803,922)**	**$5,891,428**	**($18,575,973)**
143 AEP Pro Serv, Inc.	$110,246	$5,021	$136,527	$0	$4,972	($8,261)	($1,133)	$2,164	($2,258)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$110,246**	**$5,021**	**$136,527**	**$0**	**$4,972**	**($8,261)**	**($1,133)**	**$2,164**	**($2,258)**
270 Cook Coal Terminal	$1,010,501	$111,903	$1,251,393	$4,238	$44,263	($75,718)	($67,747)	$19,838	($75,126)
AEP Generating Company	**$1,010,501**	**$111,903**	**$1,251,393**	**$4,238**	**$44,263**	**($75,718)**	**($67,747)**	**$19,838**	**($75,126)**
104 Cardinal Operating Company	$19,932,516	$1,529,752	$24,684,206	$198,517	$893,856	($1,493,565)	($1,116,823)	$391,308	($1,126,707)
181 Ohio Power Co. - Generation	88,951,214	8,120,563	110,156,195	147,213	3,925,350	(6,665,210)	(4,359,566)	1,746,260	(5,205,953)
AEP Generation Resources - FERC	**$108,883,730**	**$9,650,315**	**$134,840,401**	**$345,730**	**$4,819,206**	**($8,158,775)**	**($5,476,389)**	**$2,137,568**	**($6,332,660)**
290 Conesville Coal Preparation Company	1,027,140	116,036	1,271,999	0	44,741	(76,965)	(51,555)	20,164	(63,615)
AEP Generation Resources - SEC	**$109,910,870**	**$9,766,351**	**$136,112,400**	**$345,730**	**$4,863,947**	**($8,235,740)**	**($5,527,944)**	**$2,157,732**	**($6,396,275)**
175 AEP Energy Partners	1,115,180	24,367	1,381,027	48,608	53,136	(83,562)	(31,686)	21,893	8,389
171 CSW Energy, Inc.	467,082	23,278	578,429	0	21,018	(34,999)	(15,366)	9,170	(20,177)
419 Onsite Partners	2,807	0	3,476	183	138	(210)	0	55	166
AEP Energy Supply	**$111,495,939**	**$9,813,996**	**$138,075,332**	**$394,521**	**$4,938,239**	**($8,354,511)**	**($5,574,996)**	**$2,188,850**	**($6,407,897)**
245 Dolet Hills	$5,378,768	$267,382	$6,661,007	$221,190	$252,256	($403,037)	$430,570	$105,594	$606,573
Dolet Hills	**$5,378,768**	**$267,382**	**$6,661,007**	**$221,190**	**$252,256**	**($403,037)**	**$430,570**	**$105,594**	**$606,573**
Total	**$1,210,179,474**	**$97,055,059**	**$1,498,672,809**	**$10,404,712**	**$54,098,115**	**($90,680,045)**	**($68,626,236)**	**$23,757,827**	**($71,045,627)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2022 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$91,308,351	$8,323,894	$119,371,083	$609,154	$4,327,489	($7,512,755)	($5,097,397)	$1,545,636	($6,127,873)
215 Appalachian Power Co. - Generation	78,684,672	6,957,085	102,867,639	472,553	3,731,876	(6,474,092)	(4,162,884)	1,331,947	(5,100,600)
150 Appalachian Power Co. - Transmission	9,679,863	777,425	12,654,875	3,095	458,296	(796,449)	(781,538)	163,857	(952,739)
Appalachian Power Co. - FERC	**$179,672,886**	**$16,058,404**	**$234,893,597**	**$1,084,802**	**$8,517,661**	**($14,783,296)**	**($10,041,819)**	**$3,041,440**	**($12,181,212)**
225 Cedar Coal Co	393,170	62,943	514,007	0	17,845	(32,350)	(8,202)	6,655	(16,052)
Appalachian Power Co. - SEC	**$180,066,056**	**$16,121,347**	**$235,407,604**	**$1,084,802**	**$8,535,506**	**($14,815,646)**	**($10,050,021)**	**$3,048,095**	**($12,197,264)**
211 AEP Texas Central Company - Distribution	$66,208,148	$5,761,468	$86,556,577	$566,908	$3,150,731	($5,447,537)	($3,881,048)	$1,120,749	($4,490,197)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)
169 AEP Texas Central Company - Transmission	6,778,256	545,657	8,861,487	78,914	324,670	(557,708)	(391,921)	114,740	(431,305)
AEP Texas Central Co.	**$72,986,404**	**$6,307,125**	**$95,418,064**	**$645,822**	**$3,475,401**	**($6,005,245)**	**($4,288,306)**	**$1,235,489**	**($4,936,839)**
119 AEP Texas North Company - Distribution	19,359,508	1,678,726	25,309,464	168,067	921,544	(1,592,880)	(1,276,048)	327,711	(1,451,606)
166 AEP Texas North Company - Generation	4,438,426	514,867	5,802,533	0	206,212	(365,189)	(67,677)	75,132	(151,522)
192 AEP Texas North Company - Transmission	3,035,861	267,849	3,968,903	37,704	144,959	(249,787)	(233,844)	51,390	(249,578)
AEP Texas North Co.	**$26,833,795**	**$2,461,442**	**$35,080,900**	**$205,771**	**$1,272,715**	**($2,207,856)**	**($1,577,569)**	**$454,233**	**($1,852,706)**
AEP Texas	**$99,820,199**	**$8,768,567**	**$130,498,964**	**$851,593**	**$4,748,116**	**($8,213,101)**	**($5,865,875)**	**$1,689,722**	**($6,789,545)**
170 Indiana Michigan Power Co. - Distribution	$44,430,118	$4,268,739	$58,085,282	$362,921	$2,103,692	($3,655,664)	($2,601,438)	$752,098	($3,038,391)
132 Indiana Michigan Power Co. - Generation	26,763,328	2,530,896	34,988,776	155,637	1,265,081	(2,202,059)	(1,850,054)	453,040	(2,178,355)
190 Indiana Michigan Power Co. - Nuclear	48,606,401	3,534,486	63,545,105	832,322	2,350,531	(3,999,284)	(3,561,730)	822,792	(3,555,369)
120 Indiana Michigan Power Co. - Transmission	9,877,900	797,949	12,913,776	70,809	470,894	(812,743)	(596,815)	167,210	(700,645)
280 Ind Mich River Transp Lakin	10,709,771	864,853	14,001,315	134,676	513,411	(881,189)	(811,278)	181,291	(863,089)
Indiana Michigan Power Co. - FERC	**$140,387,518**	**$11,996,923**	**$183,534,254**	**$1,556,365**	**$6,703,609**	**($11,550,939)**	**($9,421,315)**	**$2,376,431**	**($10,335,849)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$140,387,518**	**$11,996,923**	**$183,534,254**	**$1,556,365**	**$6,703,609**	**($11,550,939)**	**($9,421,315)**	**$2,376,431**	**($10,335,849)**
110 Kentucky Power Co. - Distribution	$17,324,187	$1,468,871	$22,648,607	$127,815	$824,359	($1,425,416)	($1,210,578)	$293,258	($1,390,562)
117 Kentucky Power Co. - Generation	10,747,291	1,027,111	14,050,366	25,528	505,931	(884,276)	(611,828)	181,926	(782,719)
180 Kentucky Power Co. - Transmission	1,018,639	75,421	1,331,708	157	48,375	(83,813)	(198,150)	17,243	(216,188)
600 Kentucky Power Co. - Kammer Actives	132,020	12,931	172,595	1,185	6,250	(10,862)	(42,530)	2,235	(43,722)
701 Kentucky Power Co. - Mitchell Actives	6,235,347	355,135	8,151,720	170,354	307,058	(513,038)	(160,767)	105,550	(90,843)
702 Kentucky Power Co. - Mitchell Inactives	7,953,960	746,166	10,398,532	0	373,844	(654,443)	(200,743)	134,642	(346,700)
Kentucky Power Co.	**$43,411,444**	**$3,685,635**	**$56,753,528**	**$325,039**	**$2,065,817**	**($3,571,848)**	**($2,424,596)**	**$734,854**	**($2,870,734)**
250 Ohio Power Co. - Distribution	$117,764,542	$10,808,455	$153,958,327	$873,556	$5,583,921	($9,689,543)	($5,890,962)	$1,993,477	($7,129,551)
160 Ohio Power Co. - Transmission	14,018,943	1,254,313	18,327,529	4,423	660,602	(1,153,464)	(1,031,548)	237,308	(1,282,679)
Ohio Power Co.	**$131,783,485**	**$12,062,768**	**$172,285,856**	**$877,979**	**$6,244,523**	**($10,843,007)**	**($6,922,510)**	**$2,230,785**	**($8,412,230)**
167 Public Service Co. of Oklahoma - Distribution	$39,933,428	$3,487,776	$52,206,578	$377,441	$1,901,803	($3,285,681)	($2,477,659)	$675,979	($2,808,117)
198 Public Service Co. of Oklahoma - Generation	19,943,228	1,614,731	26,072,585	255,068	956,158	(1,640,908)	(1,498,642)	337,592	(1,590,732)
114 Public Service Co. of Oklahoma - Transmission	4,699,636	394,479	6,144,023	48,107	224,388	(386,681)	(313,349)	79,554	(347,981)
Public Service Co. of Oklahoma	**$64,576,292**	**$5,496,986**	**$84,423,186**	**$680,616**	**$3,082,349**	**($5,313,270)**	**($4,289,650)**	**$1,093,125**	**($4,746,830)**
159 Southwestern Electric Power Co. - Distribution	$29,071,443	$2,346,881	$38,006,268	$294,864	$1,390,178	($2,391,968)	($1,794,965)	$492,111	($2,009,780)
168 Southwestern Electric Power Co. - Generation	28,532,853	2,275,881	37,302,147	381,112	1,369,612	(2,347,653)	(2,137,691)	482,994	(2,251,626)
161 Southwestern Electric Power Co. - Texas - Distribution	13,608,046	1,077,147	17,790,346	132,450	650,974	(1,119,656)	(942,674)	230,352	(1,048,554)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,287,068	339,693	5,604,657	38,698	204,925	(352,735)	(280,205)	72,570	(316,747)
Southwestern Electric Power Co.	**$75,499,410**	**$6,039,602**	**$98,703,418**	**$847,124**	**$3,615,689**	**($6,212,012)**	**($5,155,535)**	**$1,278,027**	**($5,626,707)**
230 Kingsport Power Co. - Distribution	$3,778,739	$325,292	$4,940,098	$34,407	$180,011	($310,911)	($177,403)	$63,965	($209,931)
260 Kingsport Power Co. - Transmission	428,409	39,805	560,076	0	20,145	(35,249)	(40,419)	7,252	(48,271)
Kingsport Power Co.	**$4,207,148**	**$365,097**	**$5,500,174**	**$34,407**	**$200,156**	**($346,160)**	**($217,822)**	**$71,217**	**($258,202)**
210 Wheeling Power Co. - Distribution	$4,738,217	$449,129	$6,194,462	$30,894	$224,111	($389,856)	($259,071)	$80,207	($313,715)
200 Wheeling Power Co. - Transmission	168,496	35,528	220,282	0	7,439	(13,864)	(2,613)	2,852	(6,186)
Wheeling Power Co.	**$4,906,713**	**$484,657**	**$6,414,744**	**$30,894**	**$231,550**	**($403,720)**	**($261,684)**	**$83,059**	**($319,901)**
103 American Electric Power Service Corporation	$281,714,917	$20,903,444	$368,297,252	$3,213,290	$13,533,736	($23,179,206)	($17,282,221)	$4,768,776	($18,945,625)
293 Elmwood	739,106	57,658	966,263	0	35,023	(60,813)	(276,067)	12,511	(289,346)
292 AEP River Operations LLC	4,196,146	313,657	5,485,791	0	199,170	(345,255)	(1,245,634)	71,031	(1,320,688)
American Electric Power Service Corporation	**$286,650,169**	**$21,274,759**	**$374,749,306**	**$3,213,290**	**$13,767,929**	**($23,585,274)**	**($18,803,922)**	**$4,852,318**	**($20,555,659)**
143 AEP Pro Serv, Inc.	$106,814	$5,185	$139,642	$0	$5,138	($8,789)	($1,133)	$1,808	($2,976)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$106,814**	**$5,185**	**$139,642**	**$0**	**$5,138**	**($8,789)**	**($1,133)**	**$1,808**	**($2,976)**
270 Cook Coal Terminal	$918,025	$99,994	$1,200,171	$4,116	$43,013	($75,534)	($67,747)	$15,540	($80,612)
AEP Generating Company	**$918,025**	**$99,994**	**$1,200,171**	**$4,116**	**$43,013**	**($75,534)**	**($67,747)**	**$15,540**	**($80,612)**
104 Cardinal Operating Company	$18,896,671	$1,532,069	$24,704,379	$192,782	$903,521	($1,554,798)	($1,116,823)	$319,876	($1,255,442)
181 Ohio Power Co. - Generation	82,296,838	7,891,842	107,589,969	142,960	3,870,900	(6,771,298)	(4,359,566)	1,393,092	(5,723,912)
AEP Generation Resources - FERC	**$101,193,509**	**$9,423,911**	**$132,294,348**	**$335,742**	**$4,774,421**	**($8,326,096)**	**($5,476,389)**	**$1,712,968**	**($6,979,354)**
290 Conesville Coal Preparation Company	926,502	100,216	1,211,253	0	43,223	(76,232)	(51,555)	15,684	(68,880)
AEP Generation Resources - SEC	**$102,120,011**	**$9,524,127**	**$133,505,601**	**$335,742**	**$4,817,644**	**($8,402,328)**	**($5,527,944)**	**$1,728,652**	**($7,048,234)**
175 AEP Energy Partners	1,155,948	31,689	1,511,217	47,204	58,526	(95,110)	(31,686)	19,567	(1,499)
171 CSW Energy, Inc.	450,553	24,004	589,026	0	21,621	(37,071)	(15,366)	7,627	(23,189)
419 Onsite Partners	3,032	0	3,964	178	158	(249)	0	51	138
AEP Energy Supply	**$103,729,544**	**$9,579,820**	**$135,609,808**	**$383,124**	**$4,897,949**	**($8,534,758)**	**($5,574,996)**	**$1,755,897**	**($7,072,784)**
245 Dolet Hills	$5,413,388	$300,239	$7,077,140	$214,800	$270,075	($445,408)	$430,570	$91,636	$561,673
Dolet Hills	**$5,413,388**	**$300,239**	**$7,077,140**	**$214,800**	**$270,075**	**($445,408)**	**$430,570**	**$91,636**	**$561,673**
Total	**$1,141,476,205**	**$96,281,579**	**$1,492,297,795**	**$10,104,149**	**$54,411,419**	**($93,919,466)**	**($68,626,236)**	**$19,322,514**	**($78,707,620)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2023 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$85,222,080	$8,167,686	$118,045,940	$591,557	$4,288,215	($7,717,504)	($4,467,940)	$1,207,964	($6,097,708)
215 Appalachian Power Co. - Generation	73,601,040	6,690,896	101,948,978	458,902	3,710,136	(6,665,131)	(3,609,086)	1,043,244	(5,061,935)
150 Appalachian Power Co. - Transmission	9,076,376	789,404	12,572,204	3,006	455,643	(821,935)	(682,877)	128,651	(917,512)
Appalachian Power Co. - FERC	**$167,899,496**	**$15,647,986**	**$232,567,122**	**$1,053,465**	**$8,453,994**	**($15,204,570)**	**($8,759,903)**	**$2,379,859**	**($12,077,155)**
225 Cedar Coal Co	337,387	57,883	467,334	0	16,193	(30,553)	(4,704)	4,782	(14,282)
Appalachian Power Co. - SEC	**$168,236,883**	**$15,705,869**	**$233,034,456**	**$1,053,465**	**$8,470,187**	**($15,235,123)**	**($8,764,607)**	**$2,384,641**	**($12,091,437)**
211 AEP Texas Central Company - Distribution	$62,194,590	$5,706,816	$86,149,257	$550,532	$3,142,317	($5,632,191)	($3,406,020)	$881,565	($4,463,797)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(9,150)	0	(9,150)
169 AEP Texas Central Company - Transmission	6,432,464	555,937	8,909,971	76,634	326,914	(582,508)	(345,328)	91,176	(433,112)
AEP Texas Central Co.	**$68,627,054**	**$6,262,753**	**$95,059,228**	**$627,166**	**$3,469,231**	**($6,214,699)**	**($3,760,498)**	**$972,741**	**($4,906,059)**
119 AEP Texas North Company - Distribution	18,194,176	1,685,505	25,201,786	163,212	918,940	(1,647,620)	(1,133,906)	257,890	(1,441,484)
166 AEP Texas North Company - Generation	4,002,994	503,078	5,544,774	0	196,875	(362,501)	(38,821)	56,740	(147,707)
192 AEP Texas North Company - Transmission	2,860,095	265,590	3,961,680	36,615	145,014	(259,003)	(210,477)	40,540	(247,311)
AEP Texas North Co.	**$25,057,265**	**$2,454,173**	**$34,708,240**	**$199,827**	**$1,260,829**	**($2,269,124)**	**($1,383,204)**	**$355,170**	**($1,836,502)**
AEP Texas	**$93,684,319**	**$8,716,926**	**$129,767,468**	**$826,993**	**$4,730,060**	**($8,483,823)**	**($5,143,702)**	**$1,327,911**	**($6,742,561)**
170 Indiana Michigan Power Co. - Distribution	$41,319,389	$4,128,072	$57,233,831	$352,437	$2,078,206	($3,741,783)	($2,258,362)	$585,674	($2,983,828)
132 Indiana Michigan Power Co. - Generation	24,865,644	2,466,841	34,442,815	151,141	1,247,900	(2,251,772)	(1,637,929)	352,453	(2,138,207)
190 Indiana Michigan Power Co. - Nuclear	46,773,433	3,601,370	64,788,537	808,279	2,401,722	(4,235,688)	(3,173,548)	662,981	(3,536,254)
120 Indiana Michigan Power Co. - Transmission	9,326,287	792,336	12,918,370	68,764	472,119	(844,566)	(519,191)	132,194	(690,680)
280 Ind Mich River Transp Lakin	10,170,889	854,934	14,088,276	130,786	518,038	(921,051)	(726,153)	144,165	(854,215)
Indiana Michigan Power Co. - FERC	**$132,455,642**	**$11,843,553**	**$183,471,829**	**$1,511,407**	**$6,717,985**	**($11,994,860)**	**($8,315,183)**	**$1,877,467**	**($10,203,184)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$132,455,642**	**$11,843,553**	**$183,471,829**	**$1,511,407**	**$6,717,985**	**($11,994,860)**	**($8,315,183)**	**$1,877,467**	**($10,203,184)**
110 Kentucky Power Co. - Distribution	$16,291,530	$1,460,756	$22,566,323	$124,123	$822,942	($1,475,321)	($1,077,751)	$230,921	($1,375,086)
117 Kentucky Power Co. - Generation	9,936,932	974,887	13,764,209	24,791	497,108	(899,864)	(534,759)	140,849	(771,875)
180 Kentucky Power Co. - Transmission	961,305	77,335	1,331,558	152	48,412	(87,053)	(179,802)	13,626	(204,665)
600 Kentucky Power Co. - Kammer Actives	122,640	12,472	169,876	1,151	6,168	(11,106)	(42,519)	1,738	(44,568)
701 Kentucky Power Co. - Mitchell Actives	6,162,456	380,161	8,535,968	165,433	321,962	(558,057)	(160,758)	87,349	(144,071)
702 Kentucky Power Co. - Mitchell Inactives	7,348,895	689,314	10,179,372	0	367,496	(665,498)	(200,742)	104,165	(394,579)
Kentucky Power Co.	**$40,823,758**	**$3,594,925**	**$56,547,306**	**$315,650**	**$2,064,088**	**($3,696,899)**	**($2,196,331)**	**$578,648**	**($2,934,844)**
250 Ohio Power Co. - Distribution	$109,931,972	$10,641,327	$152,273,014	$848,321	$5,533,311	($9,955,172)	($5,113,012)	$1,558,209	($7,128,343)
160 Ohio Power Co. - Transmission	13,017,389	1,239,449	18,031,124	4,295	650,708	(1,178,823)	(894,314)	184,512	(1,233,622)
Ohio Power Co.	**$122,949,361**	**$11,880,776**	**$170,304,138**	**$852,616**	**$6,184,019**	**($11,133,995)**	**($6,007,326)**	**$1,742,721**	**($8,361,965)**
167 Public Service Co. of Oklahoma - Distribution	$37,536,111	$3,471,279	$51,993,398	$366,538	$1,897,570	($3,399,179)	($2,179,866)	$532,048	($2,782,889)
198 Public Service Co. of Oklahoma - Generation	18,939,889	1,651,568	26,234,715	247,700	963,349	(1,715,150)	(1,343,022)	268,460	(1,578,663)
114 Public Service Co. of Oklahoma - Transmission	4,437,126	371,704	6,146,115	46,717	225,488	(401,815)	(277,975)	62,893	(344,692)
Public Service Co. of Oklahoma	**$60,913,126**	**$5,494,551**	**$84,374,228**	**$660,955**	**$3,086,407**	**($5,516,144)**	**($3,800,863)**	**$863,401**	**($4,706,244)**
159 Southwestern Electric Power Co. - Distribution	$27,537,480	$2,355,417	$38,143,727	$286,346	$1,397,971	($2,493,727)	($1,712,430)	$390,325	($2,131,515)
168 Southwestern Electric Power Co. - Generation	27,147,910	2,284,033	37,604,111	370,103	1,383,783	(2,458,449)	(1,924,757)	384,803	(2,244,517)
161 Southwestern Electric Power Co. - Texas - Distribution	12,905,597	1,109,527	17,876,275	128,624	654,729	(1,168,699)	(840,316)	182,928	(1,042,734)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,062,342	345,853	5,626,980	37,580	206,027	(367,876)	(246,131)	57,581	(312,819)
Southwestern Electric Power Co.	**$71,653,329**	**$6,094,830**	**$99,251,093**	**$822,653**	**$3,642,510**	**($6,488,751)**	**($4,723,634)**	**$1,015,637**	**($5,731,585)**
230 Kingsport Power Co. - Distribution	$3,555,268	$308,555	$4,924,604	$33,413	$180,185	($321,956)	($154,125)	$50,393	($212,090)
260 Kingsport Power Co. - Transmission	396,201	39,874	548,800	0	19,743	(35,879)	(34,972)	5,616	(45,492)
Kingsport Power Co.	**$3,951,469**	**$348,429**	**$5,473,404**	**$33,413**	**$199,928**	**($357,835)**	**($189,097)**	**$56,009**	**($257,582)**
210 Wheeling Power Co. - Distribution	$4,404,598	$442,896	$6,101,059	$30,002	$221,064	($398,870)	($226,479)	$62,432	($311,851)
200 Wheeling Power Co. - Transmission	136,097	31,952	188,516	0	6,309	(12,325)	(1,501)	1,929	(5,588)
Wheeling Power Co.	**$4,540,695**	**$474,848**	**$6,289,575**	**$30,002**	**$227,373**	**($411,195)**	**($227,980)**	**$64,361**	**($317,439)**
103 American Electric Power Service Corporation	$269,037,954	$21,047,383	$372,659,738	$3,120,466	$13,725,794	($24,363,423)	($15,083,759)	$3,813,427	($18,787,495)
293 Elmwood	694,477	57,643	961,960	0	34,923	(62,890)	(257,329)	9,844	(275,452)
292 AEP River Operations LLC	3,956,359	306,218	5,480,177	0	199,525	(358,278)	(1,149,926)	56,079	(1,252,600)
American Electric Power Service Corporation	**$273,688,790**	**$21,411,244**	**$379,101,875**	**$3,120,466**	**$13,960,242**	**($24,784,591)**	**($16,491,014)**	**$3,879,350**	**($20,315,547)**
143 AEP Pro Serv, Inc.	$103,489	$5,589	$143,348	$0	$5,282	($9,372)	($650)	$1,467	($3,273)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$103,489**	**$5,589**	**$143,348**	**$0**	**$5,282**	**($9,372)**	**($650)**	**$1,467**	**($3,273)**
270 Cook Coal Terminal	$838,601	$83,595	$1,161,594	$3,997	$42,018	($75,942)	($60,465)	$11,887	($78,505)
AEP Generating Company	**$838,601**	**$83,595**	**$1,161,594**	**$3,997**	**$42,018**	**($75,942)**	**($60,465)**	**$11,887**	**($78,505)**
104 Cardinal Operating Company	$17,894,188	$1,518,094	$24,786,256	$187,213	$908,801	($1,620,454)	($982,050)	$253,638	($1,252,852)
181 Ohio Power Co. - Generation	76,011,538	7,624,851	105,287,896	138,830	3,795,574	(6,883,420)	(3,691,307)	1,077,411	(5,562,912)
AEP Generation Resources - FERC	**$93,905,726**	**$9,142,945**	**$130,074,152**	**$326,043**	**$4,704,375**	**($8,503,874)**	**($4,673,357)**	**$1,331,049**	**($6,815,764)**
290 Conesville Coal Preparation Company	842,817	91,920	1,167,434	0	41,814	(76,323)	(44,779)	11,946	(67,342)
AEP Generation Resources - SEC	**$94,748,543**	**$9,234,865**	**$131,241,586**	**$326,043**	**$4,746,189**	**($8,580,197)**	**($4,718,136)**	**$1,342,995**	**($6,883,106)**
175 AEP Energy Partners	1,192,231	32,741	1,651,427	45,840	64,070	(107,966)	(28,522)	16,899	(9,679)
171 CSW Energy, Inc.	434,412	24,666	601,729	0	22,140	(39,339)	(13,873)	6,157	(24,915)
419 Onsite Partners	3,265	0	4,523	173	180	(296)	0	46	103
AEP Energy Supply	**$96,378,451**	**$9,292,272**	**$133,499,265**	**$372,056**	**$4,832,579**	**($8,727,798)**	**($4,760,531)**	**$1,366,097**	**($6,917,597)**
245 Dolet Hills	$5,426,175	$325,263	$7,516,103	$208,595	$287,039	($491,381)	$430,570	$76,912	$511,735
Dolet Hills	**$5,426,175**	**$325,263**	**$7,516,103**	**$208,595**	**$287,039**	**($491,381)**	**$430,570**	**$76,912**	**$511,735**
Total	**$1,075,644,088**	**$95,272,670**	**$1,489,935,682**	**$9,812,268**	**$54,449,717**	**($97,407,709)**	**($60,250,813)**	**$15,246,509**	**($78,150,028)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2024 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$79,418,935	$7,997,683	$117,028,204	$574,469	$4,227,131	($7,654,305)	($750,141)	$902,480	($2,700,366)
215 Appalachian Power Co. - Generation	68,897,179	6,611,196	101,523,813	445,646	3,673,135	(6,640,230)	(596,598)	782,916	(2,335,131)
150 Appalachian Power Co. - Transmission	8,477,146	799,771	12,491,545	2,919	449,434	(817,018)	(114,808)	96,330	(383,143)
Appalachian Power Co. - FERC	**$156,793,260**	**$15,408,650**	**$231,043,562**	**$1,023,034**	**$8,349,700**	**($15,111,553)**	**($1,461,547)**	**$1,781,726**	**($5,418,640)**
225 Cedar Coal Co	286,620	52,360	422,350	0	14,496	(27,624)	0	3,257	(9,871)
Appalachian Power Co. - SEC	**$157,079,880**	**$15,461,010**	**$231,465,912**	**$1,023,034**	**$8,364,196**	**($15,139,177)**	**($1,461,547)**	**$1,784,983**	**($5,428,511)**
211 AEP Texas Central Company - Distribution	$58,333,186	$5,676,115	$85,957,184	$534,629	$3,116,523	($5,622,085)	($572,702)	$662,871	($1,880,764)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(170)	0	(170)
169 AEP Texas Central Company - Transmission	6,087,288	559,162	8,969,956	74,420	327,166	(586,686)	(58,681)	69,173	(174,608)
AEP Texas Central Co.	**$64,420,474**	**$6,235,277**	**$94,927,140**	**$609,049**	**$3,443,689**	**($6,208,771)**	**($631,553)**	**$732,044**	**($2,055,542)**
119 AEP Texas North Company - Distribution	17,050,816	1,659,603	25,125,323	158,497	911,072	(1,643,338)	(194,782)	193,758	(574,793)
166 AEP Texas North Company - Generation	3,583,306	488,184	5,280,200	0	185,792	(345,355)	0	40,719	(118,844)
192 AEP Texas North Company - Transmission	2,690,912	256,337	3,965,208	35,557	144,522	(259,347)	(37,182)	30,578	(85,872)
AEP Texas North Co.	**$23,325,034**	**$2,404,124**	**$34,370,731**	**$194,054**	**$1,241,386**	**($2,248,040)**	**($231,964)**	**$265,055**	**($779,509)**
AEP Texas	**$87,745,508**	**$8,639,401**	**$129,297,871**	**$803,103**	**$4,685,075**	**($8,456,811)**	**($863,517)**	**$997,099**	**($2,835,051)**
170 Indiana Michigan Power Co. - Distribution	$38,405,637	$3,969,621	$56,592,835	$342,256	$2,044,952	($3,701,491)	($374,954)	$436,424	($1,252,813)
132 Indiana Michigan Power Co. - Generation	23,067,293	2,367,637	33,990,935	146,775	1,225,432	(2,223,199)	(282,661)	262,126	(871,527)
190 Indiana Michigan Power Co. - Nuclear	44,958,218	3,636,297	66,248,427	784,930	2,442,919	(4,333,021)	(560,473)	510,884	(1,154,761)
120 Indiana Michigan Power Co. - Transmission	8,796,253	799,835	12,961,766	66,778	470,719	(847,773)	(86,552)	99,957	(296,871)
280 Ind Mich River Transp Lakin	9,658,878	845,501	14,232,892	127,008	520,764	(930,911)	(126,462)	109,759	(299,842)
Indiana Michigan Power Co. - FERC	**$124,886,279**	**$11,618,891**	**$184,026,855**	**$1,467,747**	**$6,704,786**	**($12,036,395)**	**($1,431,102)**	**$1,419,150**	**($3,875,814)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$124,886,279**	**$11,618,891**	**$184,026,855**	**$1,467,747**	**$6,704,786**	**($12,036,395)**	**($1,431,102)**	**$1,419,150**	**($3,875,814)**
110 Kentucky Power Co. - Distribution	$15,293,488	$1,433,739	$22,535,802	$120,537	$817,474	($1,473,969)	($186,335)	$173,788	($548,505)
117 Kentucky Power Co. - Generation	9,192,804	921,440	13,546,106	24,075	487,054	(885,992)	(89,627)	104,463	(360,027)
180 Kentucky Power Co. - Transmission	903,907	78,928	1,331,957	148	48,088	(87,118)	(32,292)	10,272	(60,902)
600 Kentucky Power Co. - Kammer Actives	113,880	13,524	167,808	1,118	6,021	(10,976)	(12,715)	1,294	(15,258)
701 Kentucky Power Co. - Mitchell Actives	6,077,222	416,313	8,955,124	160,654	335,316	(585,716)	(60,305)	69,059	(80,992)
702 Kentucky Power Co. - Mitchell Inactives	6,811,358	680,612	10,036,914	0	359,946	(656,471)	(108,102)	77,401	(327,226)
Kentucky Power Co.	**$38,392,659**	**$3,544,556**	**$56,573,711**	**$306,532**	**$2,053,899**	**($3,700,242)**	**($489,376)**	**$436,277**	**($1,392,910)**
250 Ohio Power Co. - Distribution	$102,428,328	$10,352,066	$150,933,820	$823,815	$5,455,409	($9,871,924)	($841,947)	$1,163,948	($3,270,699)
160 Ohio Power Co. - Transmission	12,051,274	1,240,092	17,758,220	4,171	636,098	(1,161,488)	(147,780)	136,945	(532,054)
Ohio Power Co.	**$114,479,602**	**$11,592,158**	**$168,692,040**	**$827,986**	**$6,091,507**	**($11,033,412)**	**($989,727)**	**$1,300,893**	**($3,802,753)**
167 Public Service Co. of Oklahoma - Distribution	$35,213,707	$3,421,223	$51,889,350	$355,950	$1,883,326	($3,393,856)	($369,064)	$400,152	($1,123,492)
198 Public Service Co. of Oklahoma - Generation	17,931,473	1,647,980	26,423,020	240,545	964,902	(1,728,215)	(235,833)	203,765	(554,836)
114 Public Service Co. of Oklahoma - Transmission	4,204,470	375,790	6,195,520	45,367	225,923	(405,222)	(47,953)	47,778	(134,107)
Public Service Co. of Oklahoma	**$57,349,650**	**$5,444,993**	**$84,507,890**	**$641,862**	**$3,074,151**	**($5,527,293)**	**($652,850)**	**$651,695**	**($1,812,435)**
159 Southwestern Electric Power Co. - Distribution	$26,041,630	$2,355,178	$38,373,786	$278,074	$1,398,399	($2,509,862)	($331,569)	$295,925	($869,033)
168 Southwestern Electric Power Co. - Generation	25,800,646	2,339,202	38,018,682	359,412	1,389,963	(2,486,636)	(339,735)	293,187	(783,809)
161 Southwestern Electric Power Co. - Texas - Distribution	12,193,257	1,083,597	17,967,440	124,908	654,991	(1,175,172)	(145,622)	138,559	(402,336)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,838,528	356,528	5,656,284	36,494	205,617	(369,953)	(41,708)	43,619	(125,931)
Southwestern Electric Power Co.	**$67,874,061**	**$6,134,505**	**$100,016,192**	**$798,888**	**$3,648,970**	**($6,541,623)**	**($858,634)**	**$771,290**	**($2,181,109)**
230 Kingsport Power Co. - Distribution	$3,354,086	$310,036	$4,942,432	$32,448	$179,739	($323,263)	($25,400)	$38,114	($98,362)
260 Kingsport Power Co. - Transmission	364,525	39,203	537,148	0	19,187	(35,133)	(5,843)	4,142	(17,647)
Kingsport Power Co.	**$3,718,611**	**$349,239**	**$5,479,580**	**$32,448**	**$198,926**	**($358,396)**	**($31,243)**	**$42,256**	**($116,009)**
210 Wheeling Power Co. - Distribution	$4,083,444	$438,497	$6,017,181	$29,135	$216,574	($393,558)	($37,583)	$46,402	($139,030)
200 Wheeling Power Co. - Transmission	107,063	28,103	157,763	0	5,181	(10,319)	0	1,217	(3,921)
Wheeling Power Co.	**$4,190,507**	**$466,600**	**$6,174,944**	**$29,135**	**$221,755**	**($403,877)**	**($37,583)**	**$47,619**	**($142,951)**
103 American Electric Power Service Corporation	$256,706,818	$21,119,488	$378,271,727	$3,030,324	$13,858,352	($24,741,100)	($2,589,279)	$2,917,100	($7,524,603)
293 Elmwood	651,135	53,572	959,484	0	34,724	(62,756)	(47,195)	7,399	(67,828)
292 AEP River Operations LLC	3,731,488	301,040	5,498,554	0	199,160	(359,636)	(212,552)	42,403	(330,625)
American Electric Power Service Corporation	**$261,089,441**	**$21,474,100**	**$384,729,765**	**$3,030,324**	**$14,092,236**	**($25,163,492)**	**($2,849,026)**	**$2,966,902**	**($7,923,056)**
143 AEP Pro Serv, Inc.	$100,014	$5,741	$147,376	$0	$5,402	($9,639)	$0	$1,137	($3,100)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$100,014**	**$5,741**	**$147,376**	**$0**	**$5,402**	**($9,639)**	**$0**	**$1,137**	**($3,100)**
270 Cook Coal Terminal	$776,431	$77,740	$1,144,114	$3,882	$41,242	($74,832)	($10,620)	$8,823	($31,505)
AEP Generating Company	**$776,431**	**$77,740**	**$1,144,114**	**$3,882**	**$41,242**	**($74,832)**	**($10,620)**	**$8,823**	**($31,505)**
104 Cardinal Operating Company	$16,935,746	$1,524,015	$24,955,761	$181,805	$909,689	($1,632,248)	($166,189)	$192,450	($514,493)
181 Ohio Power Co. - Generation	70,100,964	7,300,009	103,297,657	134,820	3,703,885	(6,756,250)	(484,947)	796,595	(2,605,897)
AEP Generation Resources - FERC	**$87,036,710**	**$8,824,024**	**$128,253,418**	**$316,625**	**$4,613,574**	**($8,388,498)**	**($651,136)**	**$989,045**	**($3,120,390)**
290 Conesville Coal Preparation Company	768,376	72,961	1,132,245	0	40,710	(74,055)	(7,443)	8,731	(32,057)
AEP Generation Resources - SEC	**$87,805,086**	**$8,896,985**	**$129,385,663**	**$316,625**	**$4,654,284**	**($8,462,553)**	**($658,579)**	**$997,776**	**($3,152,447)**
175 AEP Energy Partners	1,230,432	35,879	1,813,110	44,516	69,884	(118,588)	(5,145)	13,982	4,649
171 CSW Energy, Inc.	418,628	25,168	616,872	0	22,579	(40,347)	(2,497)	4,757	(15,508)
419 Onsite Partners	3,507	0	5,168	168	204	(338)	0	40	74
AEP Energy Supply	**$89,457,653**	**$8,958,032**	**$131,820,813**	**$361,309**	**$4,746,951**	**($8,621,826)**	**($666,221)**	**$1,016,555**	**($3,163,232)**
245 Dolet Hills	$5,424,742	$360,466	$7,993,658	$202,569	$302,909	($522,830)	$430,570	$61,644	$474,862
Dolet Hills	**$5,424,742**	**$360,466**	**$7,993,658**	**$202,569**	**$302,909**	**($522,830)**	**$430,570**	**$61,644**	**$474,862**
Total	**$1,012,565,038**	**$94,127,432**	**$1,492,070,721**	**$9,528,819**	**$54,232,005**	**($97,589,845)**	**($9,910,876)**	**$11,506,323**	**($32,233,574)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2025 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$73,882,948	$7,792,429	$116,059,849	$557,874	$4,146,661	($7,876,678)	$0	$629,421	($2,542,722)
215 Appalachian Power Co. - Generation	64,366,257	6,440,134	101,110,449	432,773	3,619,503	(6,862,101)	0	548,347	(2,261,478)
150 Appalachian Power Co. - Transmission	7,880,160	802,809	12,378,637	2,835	439,763	(840,106)	0	67,132	(330,376)
Appalachian Power Co. - FERC	**$146,129,365**	**$15,035,372**	**$229,548,935**	**$993,482**	**$8,205,927**	**($15,578,885)**	**$0**	**$1,244,900**	**($5,134,576)**
225 Cedar Coal Co	241,120	47,231	378,766	0	12,795	(25,706)	0	2,054	(10,857)
Appalachian Power Co. - SEC	**$146,370,485**	**$15,082,603**	**$229,927,701**	**$993,482**	**$8,218,722**	**($15,604,591)**	**$0**	**$1,246,954**	**($5,145,433)**
211 AEP Texas Central Company - Distribution	$54,579,662	$5,599,312	$85,737,068	$519,185	$3,074,108	($5,818,750)	$0	$464,973	($1,760,484)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	5,747,681	549,445	9,028,808	72,270	325,926	(612,762)	0	48,965	(165,601)
AEP Texas Central Co.	**$60,327,343**	**$6,148,757**	**$94,765,876**	**$591,455**	**$3,400,034**	**($6,431,512)**	**$0**	**$513,938**	**($1,926,085)**
119 AEP Texas North Company - Distribution	15,955,466	1,624,413	25,063,821	153,918	899,151	(1,701,016)	0	135,927	(512,020)
166 AEP Texas North Company - Generation	3,180,196	470,878	4,995,646	0	173,156	(339,041)	0	27,093	(138,792)
192 AEP Texas North Company - Transmission	2,534,389	261,700	3,981,173	34,530	143,308	(270,192)	0	21,591	(70,763)
AEP Texas North Co.	**$21,670,051**	**$2,356,991**	**$34,040,640**	**$188,448**	**$1,215,615**	**($2,310,249)**	**$0**	**$184,611**	**($721,575)**
AEP Texas	**$81,997,394**	**$8,505,748**	**$128,806,516**	**$779,903**	**$4,615,649**	**($8,741,761)**	**$0**	**$698,549**	**($2,647,660)**
170 Indiana Michigan Power Co. - Distribution	$35,692,817	$3,857,509	$56,068,458	$332,369	$2,004,250	($3,805,219)	$0	$304,073	($1,164,527)
132 Indiana Michigan Power Co. - Generation	21,394,297	2,278,633	33,607,469	142,535	1,198,991	(2,280,851)	0	182,262	(757,063)
190 Indiana Michigan Power Co. - Nuclear	43,182,172	3,618,547	67,833,194	762,256	2,476,300	(4,603,661)	0	367,876	(997,229)
120 Indiana Michigan Power Co. - Transmission	8,271,939	783,941	12,994,067	64,849	466,963	(881,873)	0	70,470	(279,591)
280 Ind Mich River Transp Lakin	9,170,709	856,694	14,405,910	123,339	521,081	(977,691)	0	78,127	(255,144)
Indiana Michigan Power Co. - FERC	**$117,711,934**	**$11,395,324**	**$184,909,098**	**$1,425,348**	**$6,667,585**	**($12,549,295)**	**$0**	**$1,002,808**	**($3,453,554)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$117,711,934**	**$11,395,324**	**$184,909,098**	**$1,425,348**	**$6,667,585**	**($12,549,295)**	**$0**	**$1,002,808**	**($3,453,554)**
110 Kentucky Power Co. - Distribution	$14,343,495	$1,382,928	$22,531,638	$117,055	$809,299	($1,529,163)	$0	$122,195	($480,614)
117 Kentucky Power Co. - Generation	8,512,886	905,078	13,372,561	23,380	475,172	(907,561)	0	72,523	(336,486)
180 Kentucky Power Co. - Transmission	846,409	79,470	1,329,591	144	47,421	(90,236)	0	7,211	(35,460)
600 Kentucky Power Co. - Kammer Actives	104,195	9,936	163,676	1,086	5,896	(11,108)	0	888	(3,238)
701 Kentucky Power Co. - Mitchell Actives	5,967,874	449,452	9,374,701	156,013	346,672	(636,236)	0	50,841	(82,710)
702 Kentucky Power Co. - Mitchell Inactives	6,291,439	665,977	9,882,977	0	350,245	(670,732)	0	53,598	(266,889)
Kentucky Power Co.	**$36,066,298**	**$3,492,841**	**$56,655,144**	**$297,678**	**$2,034,705**	**($3,845,036)**	**$0**	**$307,256**	**($1,205,397)**
250 Ohio Power Co. - Distribution	$95,336,150	$10,096,053	$149,759,849	$800,017	$5,354,239	($10,163,809)	$0	$812,184	($3,197,369)
160 Ohio Power Co. - Transmission	11,099,912	1,207,647	17,436,420	4,051	617,226	(1,183,364)	0	94,562	(467,525)
Ohio Power Co.	**$106,436,062**	**$11,303,700**	**$167,196,269**	**$804,068**	**$5,971,465**	**($11,347,173)**	**$0**	**$906,746**	**($3,664,894)**
167 Public Service Co. of Oklahoma - Distribution	$32,987,046	$3,352,245	$51,818,067	$345,668	$1,860,736	($3,516,756)	$0	$281,022	($1,029,330)
198 Public Service Co. of Oklahoma - Generation	16,952,061	1,633,751	26,629,333	233,596	962,095	(1,807,263)	0	144,417	(467,155)
114 Public Service Co. of Oklahoma - Transmission	3,974,108	376,380	6,242,772	44,056	225,109	(423,681)	0	33,856	(120,660)
Public Service Co. of Oklahoma	**$53,913,215**	**$5,362,376**	**$84,690,172**	**$623,320**	**$3,047,940**	**($5,747,700)**	**$0**	**$459,295**	**($1,617,145)**
159 Southwestern Electric Power Co. - Distribution	$24,584,329	$2,323,061	$38,618,566	$270,041	$1,392,558	($2,620,941)	$0	$209,438	($748,904)
168 Southwestern Electric Power Co. - Generation	24,436,892	2,334,954	38,386,963	349,030	1,388,194	(2,605,223)	0	208,182	(659,817)
161 Southwestern Electric Power Co. - Texas - Distribution	11,524,571	1,087,203	18,103,500	121,300	652,541	(1,228,637)	0	98,180	(356,616)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,609,787	370,737	5,670,474	35,440	203,368	(384,840)	0	30,752	(115,280)
Southwestern Electric Power Co.	**$64,155,579**	**$6,115,955**	**$100,779,503**	**$775,811**	**$3,636,661**	**($6,839,641)**	**$0**	**$546,552**	**($1,880,617)**
230 Kingsport Power Co. - Distribution	$3,156,276	$305,493	$4,958,071	$31,511	$178,389	($336,491)	$0	$26,889	($99,702)
260 Kingsport Power Co. - Transmission	333,933	38,553	524,562	0	18,497	(35,601)	0	2,845	(14,259)
Kingsport Power Co.	**$3,490,209**	**$344,046**	**$5,482,633**	**$31,511**	**$196,886**	**($372,092)**	**$0**	**$29,734**	**($113,961)**
210 Wheeling Power Co. - Distribution	$3,771,220	$421,896	$5,924,063	$28,293	$210,949	($402,051)	$0	$32,128	($130,681)
200 Wheeling Power Co. - Transmission	81,558	24,357	128,116	0	4,085	(8,695)	0	695	(3,915)
Wheeling Power Co.	**$3,852,778**	**$446,253**	**$6,052,179**	**$28,293**	**$215,034**	**($410,746)**	**$0**	**$32,823**	**($134,596)**
103 American Electric Power Service Corporation	$244,725,448	$21,163,695	$384,429,688	$2,942,786	$13,933,998	($26,090,236)	$0	$2,084,855	($7,128,597)
293 Elmwood	612,877	50,202	962,745	0	34,544	(65,339)	0	5,221	(25,574)
292 AEP River Operations LLC	3,518,186	283,288	5,526,582	0	198,438	(375,075)	0	29,972	(146,665)
American Electric Power Service Corporation	**$248,856,511**	**$21,497,185**	**$390,919,015**	**$2,942,786**	**$14,166,980**	**($26,530,650)**	**$0**	**$2,120,048**	**($7,300,836)**
143 AEP Pro Serv, Inc.	$96,615	$6,149	$151,769	$0	$5,497	($10,300)	$0	$823	($3,980)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$96,615**	**$6,149**	**$151,769**	**$0**	**$5,497**	**($10,300)**	**$0**	**$823**	**($3,980)**
270 Cook Coal Terminal	$720,981	$71,010	$1,132,561	$3,770	$40,512	($76,864)	$0	$6,142	($26,440)
AEP Generating Company	**$720,981**	**$71,010**	**$1,132,561**	**$3,770**	**$40,512**	**($76,864)**	**$0**	**$6,142**	**($26,440)**
104 Cardinal Operating Company	$15,996,606	$1,488,314	$25,128,446	$176,553	$906,837	($1,705,402)	$0	$136,278	($485,734)
181 Ohio Power Co. - Generation	64,593,942	7,074,102	101,468,111	130,925	3,596,795	(6,886,375)	0	550,286	(2,608,369)
AEP Generation Resources - FERC	**$80,590,548**	**$8,562,416**	**$126,596,557**	**$307,478**	**$4,503,632**	**($8,591,777)**	**$0**	**$686,564**	**($3,094,103)**
290 Conesville Coal Preparation Company	713,527	63,967	1,120,852	0	40,057	(76,069)	0	6,079	(29,933)
AEP Generation Resources - SEC	**$81,304,075**	**$8,626,383**	**$127,717,409**	**$307,478**	**$4,543,689**	**($8,667,846)**	**$0**	**$692,643**	**($3,124,036)**
175 AEP Energy Partners	1,268,770	42,082	1,993,061	43,230	75,841	(135,264)	0	10,809	(5,384)
171 CSW Energy, Inc.	403,267	25,727	633,476	0	22,941	(42,992)	0	3,435	(16,616)
419 Onsite Partners	3,760	0	5,906	163	230	(401)	0	32	24
AEP Energy Supply	**$82,979,872**	**$8,694,192**	**$130,349,852**	**$350,871**	**$4,642,701**	**($8,846,503)**	**$0**	**$706,919**	**($3,146,012)**
245 Dolet Hills	$5,398,773	$376,173	$8,480,722	$196,717	$317,758	($575,564)	$430,570	$45,993	$415,474
Dolet Hills	**$5,398,773**	**$376,173**	**$8,480,722**	**$196,717**	**$317,758**	**($575,564)**	**$430,570**	**$45,993**	**$415,474**
Total	**$952,046,706**	**$92,693,555**	**$1,495,533,134**	**$9,253,558**	**$53,778,095**	**($101,497,916)**	**$430,570**	**$8,110,642**	**($29,925,051)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2026 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$68,621,773	$7,556,862	$115,461,197	$541,759	$4,049,818	($7,842,056)	$0	$384,186	($2,866,293)
215 Appalachian Power Co. - Generation	60,075,774	6,261,470	101,081,923	420,271	3,552,918	(6,865,424)	0	336,340	(2,555,895)
150 Appalachian Power Co. - Transmission	7,289,100	803,907	12,264,449	2,753	426,750	(832,994)	0	40,809	(362,682)
Appalachian Power Co. - FERC	**$135,986,647**	**$14,622,239**	**$228,807,569**	**$964,783**	**$8,029,486**	**($15,540,474)**	**$0**	**$761,335**	**($5,784,870)**
225 Cedar Coal Co	200,339	42,163	337,085	0	11,113	(22,895)	0	1,122	(10,660)
Appalachian Power Co. - SEC	**$136,186,986**	**$14,664,402**	**$229,144,654**	**$964,783**	**$8,040,599**	**($15,563,369)**	**$0**	**$762,457**	**($5,795,530)**
211 AEP Texas Central Company - Distribution	$50,959,727	$5,472,183	$85,743,501	$504,187	$3,018,027	($5,823,648)	$0	$285,303	($2,016,131)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	5,424,632	541,950	9,127,344	70,182	323,525	(619,924)	0	30,370	(195,847)
AEP Texas Central Co.	**$56,384,359**	**$6,014,133**	**$94,870,845**	**$574,369**	**$3,341,552**	**($6,443,572)**	**$0**	**$315,673**	**($2,211,978)**
119 AEP Texas North Company - Distribution	14,911,857	1,594,771	25,090,300	149,472	883,454	(1,704,118)	0	83,486	(587,706)
166 AEP Texas North Company - Generation	2,793,987	439,877	4,701,089	0	159,497	(319,295)	0	15,642	(144,156)
192 AEP Texas North Company - Transmission	2,375,300	258,469	3,996,618	33,533	141,191	(271,448)	0	13,298	(83,426)
AEP Texas North Co.	**$20,081,144**	**$2,293,117**	**$33,788,007**	**$183,005**	**$1,184,142**	**($2,294,861)**	**$0**	**$112,426**	**($815,288)**
AEP Texas	**$76,465,503**	**$8,307,250**	**$128,658,852**	**$757,374**	**$4,525,694**	**($8,738,433)**	**$0**	**$428,099**	**($3,027,266)**
170 Indiana Michigan Power Co. - Distribution	$33,122,910	$3,695,877	$55,731,740	$322,768	$1,957,119	($3,785,267)	$0	$185,442	($1,319,938)
132 Indiana Michigan Power Co. - Generation	19,829,191	2,200,869	33,364,077	138,418	1,168,603	(2,266,068)	0	111,016	(848,031)
190 Indiana Michigan Power Co. - Nuclear	41,488,231	3,649,215	69,807,010	740,237	2,502,058	(4,741,251)	0	232,276	(1,266,680)
120 Indiana Michigan Power Co. - Transmission	7,773,616	792,614	13,079,683	62,976	460,805	(888,364)	0	43,521	(321,062)
280 Ind Mich River Transp Lakin	8,683,427	842,314	14,610,507	119,776	519,108	(992,337)	0	48,615	(304,838)
Indiana Michigan Power Co. - FERC	**$110,897,375**	**$11,180,889**	**$186,593,017**	**$1,384,175**	**$6,607,693**	**($12,673,287)**	**$0**	**$620,870**	**($4,060,549)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$110,897,375**	**$11,180,889**	**$186,593,017**	**$1,384,175**	**$6,607,693**	**($12,673,287)**	**$0**	**$620,870**	**($4,060,549)**
110 Kentucky Power Co. - Distribution	$13,460,618	$1,363,245	$22,648,483	$113,674	$798,486	($1,538,271)	$0	$75,361	($550,750)
117 Kentucky Power Co. - Generation	7,857,509	877,220	13,220,839	22,705	460,926	(897,952)	0	43,991	(370,330)
180 Kentucky Power Co. - Transmission	789,500	80,800	1,328,392	140	46,404	(90,224)	0	4,420	(39,260)
600 Kentucky Power Co. - Kammer Actives	98,133	8,272	165,116	1,055	5,886	(11,215)	0	549	(3,725)
701 Kentucky Power Co. - Mitchell Actives	5,836,270	443,401	9,819,955	151,506	357,035	(666,965)	0	32,675	(125,749)
702 Kentucky Power Co. - Mitchell Inactives	5,792,264	636,533	9,745,912	0	339,050	(661,937)	0	32,429	(290,458)
Kentucky Power Co.	**$33,834,294**	**$3,409,471**	**$56,928,697**	**$289,080**	**$2,007,787**	**($3,866,564)**	**$0**	**$189,425**	**($1,380,272)**
250 Ohio Power Co. - Distribution	$88,588,711	$9,796,606	$149,057,044	$776,907	$5,231,747	($10,123,866)	$0	$495,973	($3,619,239)
160 Ohio Power Co. - Transmission	10,190,795	1,193,082	17,146,765	3,934	594,531	(1,164,598)	0	57,054	(509,079)
Ohio Power Co.	**$98,779,506**	**$10,989,688**	**$166,203,809**	**$780,841**	**$5,826,278**	**($11,288,464)**	**$0**	**$553,027**	**($4,128,318)**
167 Public Service Co. of Oklahoma - Distribution	$30,863,737	$3,274,753	$51,930,515	$335,683	$1,830,946	($3,527,090)	$0	$172,794	($1,187,667)
198 Public Service Co. of Oklahoma - Generation	16,007,051	1,623,440	26,933,045	226,848	955,144	(1,829,276)	0	89,617	(557,667)
114 Public Service Co. of Oklahoma - Transmission	3,748,186	373,658	6,306,600	42,783	223,213	(428,341)	0	20,985	(141,360)
Public Service Co. of Oklahoma	**$50,618,974**	**$5,271,851**	**$85,170,160**	**$605,314**	**$3,009,303**	**($5,784,707)**	**$0**	**$283,396**	**($1,886,694)**
159 Southwestern Electric Power Co. - Distribution	$23,189,447	$2,283,218	$39,017,956	$262,240	$1,381,703	($2,650,076)	$0	$129,828	($876,305)
168 Southwestern Electric Power Co. - Generation	23,107,343	2,273,119	38,879,810	338,947	1,381,677	(2,640,694)	0	129,369	(790,701)
161 Southwestern Electric Power Co. - Texas - Distribution	10,867,045	1,078,799	18,284,605	117,796	646,909	(1,241,879)	0	60,840	(416,334)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,371,094	363,873	5,672,114	34,416	199,657	(385,247)	0	18,873	(132,301)
Southwestern Electric Power Co.	**$60,534,929**	**$5,999,009**	**$101,854,485**	**$753,399**	**$3,609,946**	**($6,917,896)**	**$0**	**$338,910**	**($2,215,641)**
230 Kingsport Power Co. - Distribution	$2,966,726	$307,231	$4,991,735	$30,601	$176,124	($339,036)	$0	$16,610	($115,701)
260 Kingsport Power Co. - Transmission	304,242	37,420	511,910	0	17,687	(34,769)	0	1,703	(15,379)
Kingsport Power Co.	**$3,270,968**	**$344,651**	**$5,503,645**	**$30,601**	**$193,811**	**($373,805)**	**$0**	**$18,313**	**($131,080)**
210 Wheeling Power Co. - Distribution	$3,478,403	$409,482	$5,852,670	$27,476	$204,479	($397,510)	$0	$19,474	($146,081)
200 Wheeling Power Co. - Transmission	59,405	21,019	99,953	0	3,036	(6,789)	0	333	(3,420)
Wheeling Power Co.	**$3,537,808**	**$430,501**	**$5,952,623**	**$27,476**	**$207,515**	**($404,299)**	**$0**	**$19,807**	**($149,501)**
103 American Electric Power Service Corporation	$233,057,507	$21,138,906	$392,136,454	$2,857,776	$13,955,179	($26,633,670)	$0	$1,304,797	($8,515,918)
293 Elmwood	578,885	50,187	974,017	0	34,294	(66,155)	0	3,241	(28,620)
292 AEP River Operations LLC	3,327,939	278,985	5,599,503	0	197,444	(380,315)	0	18,632	(164,239)
American Electric Power Service Corporation	**$236,964,331**	**$21,468,078**	**$398,709,974**	**$2,857,776**	**$14,186,917**	**($27,080,140)**	**$0**	**$1,326,670**	**($8,708,777)**
143 AEP Pro Serv, Inc.	$93,017	$6,294	$156,508	$0	$5,564	($10,630)	$0	$521	($4,545)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$93,017**	**$6,294**	**$156,508**	**$0**	**$5,564**	**($10,630)**	**$0**	**$521**	**($4,545)**
270 Cook Coal Terminal	$672,941	$69,559	$1,132,273	$3,661	$39,751	($76,903)	$0	$3,768	($29,723)
AEP Generating Company	**$672,941**	**$69,559**	**$1,132,273**	**$3,661**	**$39,751**	**($76,903)**	**$0**	**$3,768**	**($29,723)**
104 Cardinal Operating Company	$15,113,045	$1,471,001	$25,428,814	$171,453	$901,037	($1,727,110)	$0	$84,612	($570,008)
181 Ohio Power Co. - Generation	59,367,370	6,828,867	99,889,981	127,143	3,473,646	(6,784,468)	0	332,374	(2,851,305)
AEP Generation Resources - FERC	**$74,480,415**	**$8,299,868**	**$125,318,795**	**$298,596**	**$4,374,683**	**($8,511,578)**	**$0**	**$416,986**	**($3,421,313)**
290 Conesville Coal Preparation Company	668,447	63,161	1,124,711	0	39,441	(76,390)	0	3,742	(33,207)
AEP Generation Resources - SEC	**$75,148,862**	**$8,363,029**	**$126,443,506**	**$298,596**	**$4,414,124**	**($8,587,968)**	**$0**	**$420,728**	**($3,454,520)**
175 AEP Energy Partners	1,304,447	47,754	2,194,828	41,981	81,867	(149,071)	0	7,303	(17,920)
171 CSW Energy, Inc.	388,187	26,140	653,153	0	23,226	(44,362)	0	2,173	(18,963)
419 Onsite Partners	4,026	0	6,774	158	259	(460)	0	23	(20)
AEP Energy Supply	**$76,845,522**	**$8,436,923**	**$129,298,261**	**$340,735**	**$4,519,476**	**($8,781,861)**	**$0**	**$430,227**	**($3,491,423)**
245 Dolet Hills	$5,367,097	$386,148	$9,030,537	$191,034	$332,192	($613,349)	$430,570	$30,048	$370,495
Dolet Hills	**$5,367,097**	**$386,148**	**$9,030,537**	**$191,034**	**$332,192**	**($613,349)**	**$430,570**	**$30,048**	**$370,495**
Total	**$894,069,251**	**$90,964,714**	**$1,504,337,495**	**$8,986,249**	**$53,112,526**	**($102,173,707)**	**$430,570**	**$5,005,538**	**($34,638,824)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2027 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	Amortizations PSC	Amortizations (G)/L	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$64,238,115	$7,303,746	$115,008,181	$534,494	$3,920,898	($8,097,316)	$0	$219,799	($3,422,125)
215 Appalachian Power Co. - Generation	56,539,114	6,125,248	101,224,338	414,635	3,456,962	(7,126,845)	0	193,456	(3,061,792)
150 Appalachian Power Co. - Transmission	6,765,318	800,265	12,112,231	2,716	408,521	(852,779)	0	23,148	(418,394)
Appalachian Power Co. - FERC	**$127,542,547**	**$14,229,259**	**$228,344,750**	**$951,845**	**$7,786,381**	**($16,076,940)**	**$0**	**$436,403**	**($6,902,311)**
225 Cedar Coal Co	165,632	37,858	296,538	0	9,421	(20,878)	0	567	(10,890)
Appalachian Power Co. - SEC	**$127,708,179**	**$14,267,117**	**$228,641,288**	**$951,845**	**$7,795,802**	**($16,097,818)**	**$0**	**$436,970**	**($6,913,201)**
211 AEP Texas Central Company - Distribution	$47,951,004	$5,266,701	$85,848,686	$497,426	$2,938,936	($6,044,300)	$0	$164,071	($2,443,867)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	5,162,404	532,477	9,242,468	69,241	318,501	(650,729)	0	17,664	(245,323)
AEP Texas Central Co.	**$53,113,408**	**$5,799,178**	**$95,091,154**	**$566,667**	**$3,257,437**	**($6,695,029)**	**$0**	**$181,735**	**($2,689,190)**
119 AEP Texas North Company - Distribution	14,040,010	1,570,503	25,136,416	147,468	859,738	(1,769,765)	0	48,040	(714,519)
166 AEP Texas North Company - Generation	2,459,306	418,357	4,402,998	0	144,420	(309,999)	0	8,415	(157,164)
192 AEP Texas North Company - Transmission	2,242,051	251,568	4,014,038	33,083	137,878	(282,614)	0	7,671	(103,982)
AEP Texas North Co.	**$18,741,367**	**$2,240,428**	**$33,553,452**	**$180,551**	**$1,142,036**	**($2,362,378)**	**$0**	**$64,126**	**($975,665)**
AEP Texas	**$71,854,775**	**$8,039,606**	**$128,644,606**	**$747,218**	**$4,399,473**	**($9,057,407)**	**$0**	**$245,861**	**($3,664,855)**
170 Indiana Michigan Power Co. - Distribution	$31,021,958	$3,546,525	$55,539,907	$318,440	$1,896,740	($3,910,367)	$0	$106,146	($1,589,041)
132 Indiana Michigan Power Co. - Generation	18,526,284	2,125,087	33,168,380	136,562	1,129,071	(2,335,267)	0	63,390	(1,006,244)
190 Indiana Michigan Power Co. - Nuclear	40,193,834	3,625,137	71,960,700	730,310	2,508,488	(5,066,496)	0	137,528	(1,690,170)
120 Indiana Michigan Power Co. - Transmission	7,342,658	788,792	13,145,867	62,131	449,693	(925,554)	0	25,124	(388,606)
280 Ind Mich River Transp Lakin	8,296,804	833,787	14,854,115	118,170	513,017	(1,045,825)	0	28,389	(386,249)
Indiana Michigan Power Co. - FERC	**$105,381,538**	**$10,919,328**	**$188,668,969**	**$1,365,613**	**$6,497,009**	**($13,283,509)**	**$0**	**$360,577**	**($5,060,310)**
202 Price River Coal	0	0	0	0	0	0	0	0	0
Indiana Michigan Power Co. - SEC	**$105,381,538**	**$10,919,328**	**$188,668,969**	**$1,365,613**	**$6,497,009**	**($13,283,509)**	**$0**	**$360,577**	**($5,060,310)**
110 Kentucky Power Co. - Distribution	$12,728,489	$1,344,352	$22,788,346	$112,150	$780,553	($1,604,446)	$0	$43,552	($668,191)
117 Kentucky Power Co. - Generation	7,302,677	828,946	13,074,288	22,401	443,317	(920,514)	0	24,987	(429,809)
180 Kentucky Power Co. - Transmission	738,929	80,946	1,322,935	138	44,814	(93,143)	0	2,528	(45,663)
600 Kentucky Power Co. - Kammer Actives	94,711	9,114	169,565	1,041	5,849	(11,938)	0	324	(4,724)
701 Kentucky Power Co. - Mitchell Actives	5,773,922	448,542	10,337,294	149,474	365,483	(727,812)	0	19,756	(193,099)
702 Kentucky Power Co. - Mitchell Inactives	5,376,078	616,506	9,625,017	0	325,107	(677,663)	0	18,395	(334,161)
Kentucky Power Co.	**$32,014,806**	**$3,328,406**	**$57,317,445**	**$285,204**	**$1,965,123**	**($4,035,516)**	**$0**	**$109,542**	**($1,675,647)**
250 Ohio Power Co. - Distribution	$82,968,814	$9,515,307	$148,542,534	$766,488	$5,066,459	($10,458,350)	$0	$283,888	($4,341,515)
160 Ohio Power Co. - Transmission	9,388,872	1,173,056	16,809,290	3,881	564,980	(1,183,482)	0	32,125	(582,496)
Ohio Power Co.	**$92,357,686**	**$10,688,363**	**$165,351,824**	**$770,369**	**$5,631,439**	**($11,641,832)**	**$0**	**$316,013**	**($4,924,011)**
167 Public Service Co. of Oklahoma - Distribution	$29,112,805	$3,187,326	$52,121,871	$331,181	$1,786,530	($3,669,715)	$0	$99,613	($1,452,391)
198 Public Service Co. of Oklahoma - Generation	15,229,340	1,561,302	27,265,724	223,806	941,146	(1,919,682)	0	52,109	(702,621)
114 Public Service Co. of Oklahoma - Transmission	3,561,878	378,298	6,376,979	42,209	219,054	(448,980)	0	12,187	(175,530)
Public Service Co. of Oklahoma	**$47,904,023**	**$5,126,926**	**$85,764,574**	**$597,196**	**$2,946,730**	**($6,038,377)**	**$0**	**$163,909**	**($2,330,542)**
159 Southwestern Electric Power Co. - Distribution	$22,063,022	$2,209,248	$39,500,350	$258,723	$1,360,917	($2,781,079)	$0	$75,491	($1,085,948)
168 Southwestern Electric Power Co. - Generation	22,067,597	2,242,340	39,508,541	334,402	1,365,017	(2,781,656)	0	75,507	(1,006,730)
161 Southwestern Electric Power Co. - Texas - Distribution	10,324,976	1,048,722	18,485,236	116,216	636,097	(1,301,480)	0	35,328	(513,839)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,171,273	368,219	5,677,663	33,954	193,808	(399,744)	0	10,851	(161,131)
Southwestern Electric Power Co.	**$57,626,868**	**$5,868,529**	**$103,171,790**	**$743,295**	**$3,555,839**	**($7,263,959)**	**$0**	**$197,177**	**($2,767,648)**
230 Kingsport Power Co. - Distribution	$2,804,301	$309,502	$5,020,657	$30,191	$171,900	($353,487)	$0	$9,595	($141,801)
260 Kingsport Power Co. - Transmission	278,363	36,299	498,365	0	16,695	(35,088)	0	952	(17,441)
Kingsport Power Co.	**$3,082,664**	**$345,801**	**$5,519,022**	**$30,191**	**$188,595**	**($388,575)**	**$0**	**$10,547**	**($159,242)**
210 Wheeling Power Co. - Distribution	$3,229,567	$395,508	$5,782,029	$27,108	$196,245	($407,092)	$0	$11,050	($172,689)
200 Wheeling Power Co. - Transmission	40,527	17,526	72,557	0	2,044	(5,108)	0	139	(2,925)
Wheeling Power Co.	**$3,270,094**	**$413,034**	**$5,854,586**	**$27,108**	**$198,289**	**($412,200)**	**$0**	**$11,189**	**($175,614)**
103 American Electric Power Service Corporation	$223,790,284	$21,086,725	$400,661,094	$2,819,450	$13,858,312	($28,209,124)	$0	$765,730	($10,765,632)
293 Elmwood	550,830	50,206	986,174	0	33,719	(69,433)	0	1,885	(33,829)
292 AEP River Operations LLC	3,176,266	275,115	5,686,602	0	194,890	(400,373)	0	10,868	(194,615)
American Electric Power Service Corporation	**$227,517,380**	**$21,412,046**	**$407,333,870**	**$2,819,450**	**$14,086,921**	**($28,678,930)**	**$0**	**$778,483**	**($10,994,076)**
143 AEP Pro Serv, Inc.	$90,293	$6,436	$161,655	$0	$5,584	($11,382)	$0	$309	($5,489)
189 Central Coal Company	0	0	0	0	0	0	0	0	0
Miscellaneous	**$90,293**	**$6,436**	**$161,655**	**$0**	**$5,584**	**($11,382)**	**$0**	**$309**	**($5,489)**
270 Cook Coal Terminal	$632,821	$67,304	$1,132,966	$3,612	$38,666	($79,768)	$0	$2,165	($35,325)
AEP Generating Company	**$632,821**	**$67,304**	**$1,132,966**	**$3,612**	**$38,666**	**($79,768)**	**$0**	**$2,165**	**($35,325)**
104 Cardinal Operating Company	$14,396,657	$1,447,307	$25,774,936	$169,154	$887,872	($1,814,721)	$0	$49,260	($708,435)
181 Ohio Power Co. - Generation	54,926,519	6,619,714	98,337,242	125,438	3,319,476	(6,923,575)	0	187,938	(3,290,723)
AEP Generation Resources - FERC	**$69,323,176**	**$8,067,021**	**$124,112,178**	**$294,592**	**$4,207,348**	**($8,738,296)**	**$0**	**$237,198**	**($3,999,158)**
290 Conesville Coal Preparation Company	630,799	62,945	1,129,346	0	38,443	(79,513)	0	2,158	(38,912)
AEP Generation Resources - SEC	**$69,953,975**	**$8,129,966**	**$125,241,524**	**$294,592**	**$4,245,791**	**($8,817,809)**	**$0**	**$239,356**	**($4,038,070)**
175 AEP Energy Partners	1,350,717	57,024	2,418,245	41,418	87,424	(170,260)	0	4,622	(36,796)
171 CSW Energy, Inc.	376,950	26,469	674,869	0	23,324	(47,515)	0	1,290	(22,901)
419 Onsite Partners	4,347	0	7,783	156	289	(548)	0	15	(88)
AEP Energy Supply	**$71,685,989**	**$8,213,459**	**$128,342,421**	**$336,166**	**$4,356,828**	**($9,036,132)**	**$0**	**$245,283**	**($4,097,855)**
245 Dolet Hills	$5,385,269	$390,440	$9,641,472	$188,472	$344,907	($678,822)	$430,570	$18,426	$303,553
Dolet Hills	**$5,385,269**	**$390,440**	**$9,641,472**	**$188,472**	**$344,907**	**($678,822)**	**$430,570**	**$18,426**	**$303,553**
Total	**$846,512,385**	**$89,086,795**	**$1,515,546,488**	**$8,865,739**	**$52,011,205**	**($106,704,227)**	**$430,570**	**$2,896,451**	**($42,500,262)**

American Electric Power

Postemployment Benefit Plans

Actuarial Valuation Report
Postemployment Benefit Obligations as of December 31, 2016 under U.S. GAAP

May 2017

Willis Towers Watson

This report is confidential and intended solely for the information and benefit of the immediate recipient thereof. It may not be distributed to a third party unless expressly allowed under the "Purpose and Actuarial Certification" section herein.

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Purposes of valuation

American Electric Power (AEP) retained Towers Watson Delaware Inc., a subsidiary of Willis Towers Watson PLC ("Willis Towers Watson") to perform an actuarial valuation of its postemployment benefit plans, including income replacement, life insurance and health benefit continuation plans for employees receiving long-term disability (LTD) benefits and health benefit continuation plans for COBRA beneficiaries (the Plan).

As requested by the Company, this report provides information for year-end financial reporting purposes required by FASB Accounting Standards Codification Topic 712 (ASC 712-10) for your fiscal year ending December 31, 2016.

The exhibits present year-end financial reporting information in accordance with ASC 712-10 including net balance sheet position of the Plan, cash flow, plan asset information, participant information, the plan provisions on which the valuation is based, and the actuarial assumptions and methods used in the calculations.

Limitations

This valuation has been conducted for the purposes described above and may not be suitable for any other purpose. In particular, please note the following:

1. There may be certain events that have occurred since the valuation date that are not reflected in the current valuation.

2. This report does not provide information for plan reporting under ASC 965.

3. This report does not determine obligations on a plan termination basis, for which a separate extensive analysis would be required. No funded status measure included in this report is intended to assess, and none may be appropriate for assessing, the sufficiency of plan assets to cover the estimated cost of settling benefit obligations, as all such measures differ in some way from plan termination obligations.

4. The comparisons of accounting obligations to assets presented in this report cannot be relied upon to determine the need for nor the amount of required future plan contributions. Nevertheless, such comparisons may be useful to assess the need for future contributions because they reflect current interest rates at the measurement date in determining benefit obligations. However, asset gains and losses, demographic experience different from assumed, changes in interest rates, future benefit accruals, if any, and other factors will all affect the need for and amount of future contributions. In addition, if a plan is not required by law to be funded, benefit payments may also be paid directly by the plan sponsor as they come due.

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Section 1 : Summary of key results

Benefit obligations & assets

All monetary amounts shown in US Dollars

Measurement Date		December 31, 2016	December 31, 2015
Plan Assets	Fair Value of Assets (FVA)	387,434	3,057,650
Benefit Obligations	Postemployment Benefit Obligation	(80,103,618)	(82,805,732)
Funded Position	FVA minus Obligation	(79,716,184)	(79,748,082)
Funded Ratios	FVA to Obligation	0.5%	3.7%
Assumptions	Discount rate	2.15%	2.10%
	Current health care cost trend rate	6.75%	7.00%
	Ultimate health care cost trend rate	5.00%	5.00%
	Years to ultimate trend rate	7	8
Participant Data	Census Date	12/31/2016	12/31/2015

Comments on results

The funded position was essentially unchanged, decreasing from $(79,748,082) to $(79,716,184).

Effects of Health Care Legislation

In March 2010, the Patient Protection and Affordable Care Act (PPACA) and Health Care and Education Reconciliation Act (HCERA) were enacted. The Company does not expect these acts to have any material effect on the plan obligations.

This valuation reflects our understanding of the relevant provisions of PPACA and HCERA. The IRS has yet to issue final guidance with respect to many aspects of these laws. It is possible that future guidance may conflict with our understanding of these laws based on currently available guidance and could therefore affect the results shown in this report. The valuation does not anticipate the effects of any possible future changes to PPACA or HCERA.

Basis for valuation

Appendix A summarizes the assumptions and methods used in the valuation. Appendix B summarizes our understanding of the principal provisions of the plans being valued. Unless otherwise described below under Subsequent Events, assumptions were selected based on information known as of the measurement date.

Changes in assumptions

- Plan cost rates, employee contribution rates, and COBRA rates for 2017 have been used as a basis for this valuation.
- The discount rate has been updated to reflect Treasury Constant Maturities of as December 31, 2016, which increased the rate from 2.10% as of December 31, 2015, to 2.15% as of December 31, 2016.

Changes in methods or estimation techniques

None.

Changes in benefits valued

None.

Subsequent events

None.

Additional information

None.

Actuarial certification

This valuation has been conducted in accordance with generally accepted actuarial principles and practices.

Reliances

In preparing the results presented in this report, we have relied upon information provided to us regarding plan provisions, participants, monthly plan cost and contribution rates and plan assets (if any) provided by the Company and other persons or organizations designated by the Company. We have relied on all the data and information provided as complete and accurate. We have reviewed this information for overall reasonableness and consistency, but have neither audited nor independently verified this information. Based on discussions with and concurrence by the plan sponsor, assumptions or estimates may have been made if data were not available. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations. The accuracy of the results presented in this report is dependent upon the accuracy and completeness of the underlying information. Any material inaccuracy in the data, assets, plan provisions or other information provided to us may have produced results that are not suitable for the purposes of this report and such inaccuracies, as corrected by the Company, may produce materially different results that could require that a revised report be issued.

Measurement of benefit obligations, plan assets and balance sheet adjustments

Census date/measurement date

The measurement date is December 31, 2016. The benefit obligations were measured as of the Company's December 31, 2016 fiscal year end and are based on participant data as of the census date, which is displayed in Section 3.

Plan assets and balance sheet adjustments

Information about the fair value of plan assets was furnished to us by the Company. Willis Towers Watson used information supplied by the Company regarding postemployment benefit asset and postemployment benefit liability as of December 31, 2016. These data were reviewed for reasonableness and consistency, but no audit was performed.

Assumptions and methods under U.S. GAAP

As required by U.S. GAAP, the actuarial assumptions and methods employed in the development of the postemployment benefit liability have been selected by the Company. Willis Towers Watson has concurred with these assumptions and methods. U.S. GAAP requires that each significant assumption "individually represent the best estimate of a particular future event."

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated by Willis Towers Watson, we consider to be reasonable. Other actuarial assumptions could also be considered to be reasonable. Thus, reasonable results differing from those presented in this report could have been developed by selecting different reasonable assumptions.

A summary of the assumptions and methods used is provided in Appendix A. Note that any subsequent changes in methods or assumptions for the December 31, 2016 measurement date will change the results shown in this report.

Nature of actuarial calculations

The results shown in this report are estimates based on data that may be imperfect and on assumptions about future events that cannot be predicted with certainty. The effects of certain plan provisions may be approximated, or determined to be insignificant and therefore not valued. Assumptions may have been made, in consultation with AEP, about participant data or other factors. Reasonable efforts were made in preparing this valuation to confirm that items that are significant in the context of the actuarial liabilities are treated appropriately, and are not excluded or included inappropriately. Any rounding (or lack thereof) used for displaying numbers in this report is not intended to imply a degree of precision, which is not a characteristic of actuarial calculations.

Future actuarial measurements may differ significantly from the current measurements presented in this report due to many factors, including: plan experience differing from that anticipated by the economic or demographic assumptions, changes in economic or demographic assumptions, increases or decreases expected as part of the natural operation of the methodology used for the measurements, and changes in plan provisions or applicable law. Due to the limited scope of our assignment, we did not perform an analysis of the potential range of such future measurements. Postemployment group benefits models necessarily rely on the use of approximations and estimates, and are sensitive to changes in these approximations and estimates. Small variations in these approximations and estimates may lead to significant changes in actuarial measurements.

Limitations on use

This report is provided subject to the terms set out herein and in our engagement letter dated July 29, 2004 and any accompanying or referenced terms and conditions.

The information contained in this report was prepared for the internal use of AEP and its auditors in connection with our actuarial valuation of the postemployment benefit plan. It is not intended for and may not be used for other purposes, and we accept no responsibility or liability in this regard. AEP may distribute this actuarial valuation report to the appropriate authorities who have the legal right to require AEP to provide them this report, in which case AEP will use best efforts to notify Willis Towers Watson in advance of this distribution. Further distribution to, or use by, other parties of all or part of this report is expressly prohibited without Willis Towers Watson's prior written consent. Willis Towers Watson accepts no responsibility for any consequences arising from any other party relying on this report or any advice relating to its contents.

Professional qualifications

The undersigned consulting actuary is a member of the Society of Actuaries and meets their “Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion in the United States” relating to postemployment benefit plans. Our objectivity is not impaired by any relationship between the plan sponsor and our employer, Towers Watson Delaware Inc., a subsidiary of Willis Towers Watson PLC (“Willis Towers Watson”).

Martin P. Franzinger, ASA, MAAA
Consulting Actuary

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Section 2: Postemployment benefits obligation

This report summarizes the financial results for AEP's postemployment benefit plan, including the effect of the Medicare Part D subsidy, based upon an actuarial valuation of the income, life insurance and health care continuation benefits during long-term disability as of December 31, 2016. The accounting for the benefits not attributable to employee service income, life insurance and contributory health care continuation is subject to ASC 450-20 (formerly FAS 5) for benefits that do not accumulate.

Benefits That Do Not Vest or Accumulate (ASC 450: Formerly FAS 5)	December 31, 2016	December 31, 2015
Benefit Obligation and Funded Status		
Health care and life insurance continuation benefits during LTD		
■ Medical benefits	$ 37,462,641	$ 38,585,513
■ Basic life insurance	5,928,316	6,160,352
■ Supplemental life insurance	4,952,023	5,411,625
■ Dental benefits	735,710	716,123
Total benefit obligation	$ 49,078,690	$ 50,873,613
Plan assets	0	0
Unfunded liability	$ 49,078,690	$ 50,873,613
Income replacement (LTD) plan		
Benefit obligation	$ 30,576,188	$ 31,658,127
Plan assets	(387,434)	(3,057,650)
Unfunded liability	$ 30,188,754	$ 28,600,477
COBRA		
Benefit obligation	$ 448,740	$ 273,992
Plan assets	0	0
Unfunded liability	$ 448,740	$ 273,992
Total		
Benefit obligation	$ 80,103,618	$ 82,805,732
Plan assets	387,434	3,057,650
Unfunded liability	$ 79,716,184	$ 79,748,082

Change in Unfunded Liabilities from Prior Year

In total, our calculations of FASB ASC 712 unfunded liability as of December 31, 2016, for the postemployment benefits that Willis Towers Watson values is $79.7 million which was essentially unchanged from the total liability as of December 31, 2015.

Summary of Unfunded Liability Increase/(Decrease)

Non-UMWA	
■ Health Care and Life Insurance Continuation for LTD Claimants	$ (1.8) million
■ LTD Income Replacement	1.6 million
■ COBRA	0.2 million
Total	$ 0.0 million

The discount rate has increased from 2.10% to 2.15% and is determined based on a duration matching approach using a risk-free bond universe. The duration of AEP's postemployment benefit plan, excluding COBRA and severance benefits, is 4.05 years as of December 31, 2016. The changes in liabilities are analyzed below for each benefit.

Health Care and Life Insurance Continuation for LTD Claimants — Non-UMWA

During 2016, the liability estimate for these benefits decreased from $50.9 million to $49.1 million. This $1.8 million decrease results from the following factors:

	Medical	Life Insurance	Dental	Total
December 31, 2015, Liability	38,585,513	11,571,977	716,123	50,873,613
Increase/(Decrease) due to:				
Normal operation of the plan	2,425,028	508,909	21,700	2,955,637
Claims experience	58,061	0	34,495	92,556
Demographic experience	(3,531,172)	(1,178,069)	(34,923)	(4,744,164)
Economic assumption changes	(74,789)	(22,478)	(1,685)	(98,952)
December 31, 2016, Liability	37,462,641	10,880,339	735,710	49,078,690

LTD Income Replacement

During 2016, the liability estimate (under ASC 712) decreased from $31.7 million to $30.6 million. This $1.1 million decrease results from the following factors:

December 31, 2015, Liability	31,658,127
Increase/(Decrease) due to:	
Normal operation of the plan	4,094,311
Demographic experience	(5,114,062)
Economic assumption changes	(62,188)
December 31, 2016, Liability	30,576,188

This $1.1 million liability decrease is offset by a $2.7 million decrease in plan assets, leading to a $1.6 million decrease in the plan's unfunded liability under ASC 712.

There is also a significant unfunded liability of $34.1 million as of December 31, 2016, measured under Internal Revenue Code Section 419A. Therefore, all contributions AEP made to the LTD VEBA in 2016 are tax deductible in 2016 and none of the trust's 2016 investment income needs to be reported as Unrelated Business Income Tax (UBTI). The components of this calculation are:

Funded Status of LTD VEBA as of December 31, 2016

	AEP East Disabled	*Post-3/31/1998 East and Post-12/31/2000 West Disabilities*			*AEP West Disabled*	
	Before 1996	*Approved*	*IBNA*[1]	*Subtotal*	*Before 2001*	*Total*
(1) Plan Assets						387,000
(2) Plan Liabilities						
(a) Claims Cost Liability	44,000	29,595,000	3,674,000	33,269,000	875,000	34,188,000
(b) DEFRA Limitations[2]	0	0	2,826,000	2,826,000	0	2,826,000
(c) DEFRA-Limited Claims (a) - (b)	44,000	29,595,000	848,000	30,443,000	875,000	31,362,000
(d) Administrative Costs						3,111,000
(e) QAAL--Total Plan Liability (c) + (d)						34,473,000
(3) Surplus/(Unfunded Liability)						
(a) Based on Unlimited Liability (1) - (2a) - (2d)						(36,912,000)
(b) Based on QAAL (1) - (2e)						(34,086,000)
(4) Number of Approved Claimants	3	328		328	12	343

[1] Incurred but not approved.

[2] Exclusion of liability for projected benefit payments to claimants who have not been disabled for at least 5 months.

COBRA and Severance

The liabilities as of December 31, 2016, associated with COBRA continuation coverage for medical and dental benefits have been included for all AEP companies. Liabilities were calculated for participants and assigned to the company for which they last worked.

The liabilities were determined assuming that COBRA beneficiaries would incur claims costs equal to 154% of the per capita claims costs for active employees. No termination rates or increased claims cost morbidity was

assumed for former employees receiving severance benefits because their monthly contributions to continue AEP's coverage was equal to the contributions charged to active participants.

This liability increased by $0.6M during 2016, primarily due to layoffs of some UMWA employees at Cook Coal.

Highlights

Actuarial and Economic Assumptions

The discount rates for determining the obligations reflect the time value of money as of the measurement date. This rate for ASC 450-20 (formerly FAS 5) obligations is based on Treasury bond yields and expected cash flows. The resulting discount rates are:

	December 31, 2016	December 31, 2015
ASC 710-10 (formerly FAS 43)	2.15%	2.10%
For tax-deductible funding limit	2.20%	2.10%

Health Care Cost Trend Rate Assumptions

Health care cost trend is the assumed rate of increase in per capita health care charges. It is disclosed in AEP's financial statements for ASC 715-60 (formerly FAS 106).

Year	Medical	Dental
2017	6.75%	3.00%
2018	6.50%	3.00%
2019	6.25%	3.00%
2020	6.00%	3.00%
2021	5.75%	3.00%
2022	5.50%	3.00%
2023	5.25%	3.00%
2024 and after	5.00%	3.00%

The Company uses consistent trend assumptions for postretirement health care and postemployment health care plan valuations.

Section 3 : Participant data

	December 31, 2016	December 31, 2015
Census Date	12/31/2016	12/31/2015
LTD Recipients		
Number		
▪ Medical continuation benefits	356	364
▪ Income replacement (LTD) plan	343	339
▪ COBRA	46	59
Average Age for LTD Medical Continuation Population	57.8	56.6

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Appendix A: Statement of actuarial assumptions and methods

Discount rate

0% for COBRA continuation;
for all other benefits

- 2.15% for ASC 712-10 valuation
- 2.20% for tax-deductible funding limit valuation

Health care cost trend rate

(applies to plan costs and participant contributions)

Year	Medical	Dental
2017	6.75%	3.00%
2018	6.50%	3.00%
2019	6.25%	3.00%
2020	6.00%	3.00%
2021	5.75%	3.00%
2022	5.50%	3.00%
2023	5.25%	3.00%
2024 and after	5.00%	3.00%

Health Care Benefit Assumptions

Non-UMWA Plans

Average annual 2017 per capita medical claims cost for disabled employees and their dependents

	Employee or Spouse		
Age	*HSA Basic*	*HSA Plus*	*HRA*
≤ 50	$ 5,331	$ 5,891	$ 6,534
50-54	6,546	7,234	8,022
55-59	7,860	8,686	9,633
60-64	9,727	10,749	11,920

For employees only, the costs shown above are increased by the following factors, based on duration of disability:

Years Disabled	*Employee Medical Cost Multiplier*
≤ 3	8.0
3 – 6	5.0
>6	2.0

80% of employees disabled more than 30 months are assumed to be approved for Medicare. Including the Retiree Drug Subsidy under Medicare Part D, the onset of Medicare benefits is assumed to reduce the cost of benefits by 76% for those approved for Medicare.

For employees covering children under the HSA Basic medical plan, $5,239 is added to medical costs until the employee turns age 58. ($5,855 for children under the HSA Plus medical plan and $6,482 for children under the HRA medical plan).

Average annual 2017 per capita dental claims cost for disabled employees and their dependents

Employee only	$352
Employee plus spouse	701
Employee plus child(ren)	941*
Full family	1,290*

*Children's portion of cost goes to zero at employee's age 58.

Administrative expenses	Included in per capita costs shown above.
COBRA morbidity	COBRA participants are assumed to incur average per capita claims costs equal to 154% of costs than active participants incur.

Demographic Assumptions

Mortality

Based on modified versions of RP-2014 with long-term improvement rates of 0.75%.

Base mortality rates are derived from the RP-2014 mortality table with improvements factored to 2006 with no collar adjustments.

Mortality improvements are projected forward on a generational basis. Improvement rates grade linearly from the MP-2014 rate in 2007 to the ultimate rate in 2015:

Age	Ultimate Improvement rate per year	Age	Ultimate improvement rate per year
85 and younger	0.750%	91	0.300%
86	0.675%	92	0.225%
87	0.600%	93	0.150%
88	0.525%	94	0.075%
89	0.450%	95 and older	0.000%
90	0.375%		

Long-term disability termination

1987 CGDT — termination rates adjusted by the following factors:

Years of Disability	*Percentage of Termination Rates*
<1	200%
1-2	150%
2+	100%

In addition to these factors, termination rates at all ages are reduced 5%, reflecting the recommended industry adjustment to the 1987 table.

COBRA continuation termination rates for beneficiaries not receiving severance benefits

	Probability of Terminating COBRA Coverage at End of Month	
Months	*18-Month Maximum*	*29- or 36-Month Maximum*
1	.17	.05
2	.12	.05
3	.07	.04
4-6	.05	.03
7-12	.04	.03
13	.03	.03
14-24	.03	.02
25-35	N/A	.01
36	N/A	1.00
Average Duration	10.19 months	22.61 months

Social Security benefit entitlement for those not yet approved

Within 36 months of disability, 55% of disabled employees not yet approved for Social Security benefits will be approved for primary Social Security benefits and 20% will be approved for family Social Security benefits.

Actuarial Methods

Applicable accounting standards	All benefits have been valued under FASB ASC 450-20-25-2.
Postemployment benefit liability	FASB ASC 450-20-25-2 liabilities are equal to the actuarial present value of future benefit payments to current benefit recipients, with no allowance for incurred but unreported claims or claims administration expenses. Calculation of LTD Plan liabilities for disabled participants under IRC Section 419A funding limit valuation includes the following: a) Benefits in payment status – The liability for disabled employees currently receiving benefits is the present value of future benefits expected to be paid. b) Benefits pending or in the waiting period – An estimate is made of the present value of benefits for disabled employees not yet receiving benefit payments. c) For purposes of determining the qualified asset account limit in accordance with Section 419A of the Internal Revenue Code, benefits to be paid to claimants whose disabilities have not lasted more than five months have been excluded from the liabilities described under a) and b) above. d) Claims administrative expenses equal to 7.57% of expected benefit payments
Development of health care benefit claims cost	Cost per participant is based on age-related retired participant costs for AEP non-UMWA plans, adjusted to reflect higher anticipated health care utilization for disabled individuals and reduced for Medicare offsets.
Benefits not valued	Claims incurred but not reported (IBNR) have not been included in the FASB ASC 712-10 liabilities for any benefits.

Data Sources

American Electric Power (AEP), through its third-party administrator, furnished participant data as of January 1, 2017. Health plan vendors furnished the claims cost data. Data were reviewed for reasonableness and consistency, but no audit was performed. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

Assumptions Rationale — Significant Economic Assumptions – Funding Limit and Accounting

Discount rate (accounting)	As required by U.S. GAAP, the discount rate was chosen by the plan sponsor based on matching projected plan cash flows (for all benefits except COBRA continuation) to U.S. Treasury Constant Maturity yield rates on the measurement date, with resulting discount rate rounded to the nearest 0.05%.
Discount rate (funding limits)	The discount rate was chosen by the plan sponsor based on matching projected LTD income benefit cash flows to the U.S. Treasury Constant Maturity yield rates on the measurement date, with resulting discount rate rounded to nearest 0.10%.
Claims cost trend rates	Assumed increases were chosen by the plan sponsor and, as required by U.S. GAAP, they represent an estimate of future experience, informed by an analysis of recent plan experience, leading to select and ultimate assumed trend rates and reflecting the expected near-term effect of recently enacted plan changes. In setting near-term trend rates, other pertinent statistics were considered, including surveys on general medical cost increases. In setting the ultimate trend rate, considerations included assumed GDP growth consistent with the assumed future economic

	conditions inherent in other economic assumptions chosen by the client at the measurement date. After examining historical variability in trend rates, we believe that the selected assumptions do not significantly conflict with what would be reasonable based on a combination of market conditions at the measurement date and future expectations consistent with other economic assumptions used, other than the discount rate.
Participant contribution trend rates	In accordance with the substantive plan communicated to participants, participant contributions are intended to remain a fixed percentage of total plan costs, and thus the trend rates, and the description of the derivation of the trend rates, are the same as for claims costs as shown above.
Medicare Part D subsidy trend rates	The assumed rates of increase in Medicare Part D subsidy are assumed to equal the plan's assumed trend rates.
Per capita claims costs	Aetna, Express Scripts, Anthem and Magellan supplied data on retiree medical claims incurred in 2015 and paid through March 2016. Claim experience rates are calculated for the plans by normalizing claims experience for benefit differences and combining. These normalized incurred claims were then reduced by prescription drug rebates, divided by covered lives and trended forward two years to 2017. Adjustments for plan provision and network changes were also made. Finally, administrative expense rates were added to claims costs. Medical and prescription drug claims cost models are developed by age-grading these claim rates over standard Willis Towers Watson morbidity curves for both medical and prescription drugs to develop the quinquennial age-banded claims cost assumptions. Aetna supplied data on dental claims incurred in 2015 and paid through March 2016. Combined claims experience for all active and retired employees was analyzed to derive the dental claim rates.
Medicare Part D subsidy value	We calibrated our modeling tool to reflect the 2017 cost of the current prescription drug plans for AEP's disabled employees. The tool employs a continuance table of annual retiree drug utilization levels, developed from analyzing the experience of several large companies, including 3.1 million Medicare-eligible participants. After the plan-specific benefit provisions have been calibrated to current costs, the Modeler trends costs forward to 2017. Actuarial equivalence was determined using the following approach: *Gross Value Test* — The Modeler calculates the value of standard Medicare Part D coverage and compares it to AEP's plan costs. AEP's plans passed this test by being richer than the projected value of standard Medicare part D coverage for these groups. *Net Value Test* — The net value prong of the test compares the value of Standard Part D coverage in 2017 minus the greater of $427.56 per year (the national average Part D premium) and 25.5% of the gross value of Part D to the projected 2016 value of AEP coverage minus the average projected 2017 retiree contribution rate. For this purpose, employee contributions were assumed to apply first to the value of medical benefits and then to prescription drug benefits. When the plans are deemed to be actuarially equivalent, the tool calculates the average expected value of the employer subsidy in 2017, using the continuance table calibrated to AEP's plan costs.

Assumptions Rationale — Significant Demographic Assumptions

Healthy Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Disabled Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Rates of disability termination (recovery or death)	Termination rates reflecting both recovery and death were based on a published table for disabled participants believed to have similar characteristics to the plan population. Assumed termination rates differ by age, gender and duration because of differences in termination rates by gender and duration observed in studies of disability termination rates conducted by the Society of Actuaries.

Source of Prescribed Methods

Accounting methods	The methods used for accounting purposes as described in Appendix A are “prescribed methods set by another party,” as defined in the actuarial standards of practice (ASOPs). As required by U.S. GAAP, these methods were selected by the plan sponsor.

Changes in Assumptions and Methods

Change in assumptions since prior valuation	Per capita claims costs were updated to reflect 2015 dental and retiree medical claims experience. Discount rate was changed from 2.10% to 2.15%.
Change in methods since prior valuation	None.

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Appendix B: Summary of Substantive Plan Provisions Reflected in Valuation

Non-UMWA Plans

Long-Term Disability

Eligibility

Total disability following elimination period of 26 weeks.

Benefits

Following 26 weeks of total disability, benefits are payable. Benefit payments continue until the first to occur of the following:

(i) The participant ceases to be totally disabled, or

(ii) He reaches age 65 or if he becomes disabled after age 60, benefits can extend beyond age 65.

Monthly benefits equal 60% (or 70% with employee buy-up) of base monthly salary reduced by:

(a) Initial Social Security benefit (primary portion only for pre-2001 West disabilities)

(b) Workers Compensation benefit

(c) Jones Act

(d) General Maritime Law

(e) Settlements

(f) Other plans.

Health Care Continuation to LTD Claimants

Eligibility

Participants are eligible for health care continuation upon approval for LTD benefits. Dependents of disabled employees are also eligible. Benefits continue until LTD benefits cease due to death, recovery or retirement.

Benefits

Eligible participants receive continued coverage under AEP's active employee medical and dental plans. Disabled participants who are eligible for Medicare have medical benefits provided secondary to Medicare.

Contributions (Annual)
Effective January 1, 2017

	HSA Basic	HSA Plus	HRA	Dental
Employee only	$373	$1,076	$1,693	$141
Employee plus spouse	804	2,382	3,776	281
Employee plus child(ren)	753	2,065	3,241	376
Full family	1,184	3,371	5,323	516

Life Insurance Continuation to LTD Claimants

Eligibility

Participants are eligible for life insurance continuation upon approval for LTD benefits.

Benefits	Eligible participants receive continued coverage under the active employee life insurance plans. Basic and supplemental amounts in force prior to approval for LTD benefits are continued. Dependent life is also continued.
Contributions	Same rates payable by active employees for supplemental coverage.
COBRA	When employees terminate, they are offered medical coverage for 18 months at COBRA rates (102% of average active/pre-65 retiree medical costs). Because anti-selection occurs, the average cost for participants who elect COBRA coverage is typically more than the COBRA rates they pay to enroll for coverage. Surviving spouses may continue coverage at COBRA rates for up to 36 months.

Changes in Benefits Valued Since Prior Year

None.

Appendix C: Results by Business Unit

Health Care and Life Insurance for Employees on Long-Term Disability
Liabilities as of December 31, 2016

		Medical Benefits		Basic Life Insurance		Supplemental Life Insurance		Dental Benefits		All Benefits	
	Number Disabled	12/31/2016 Liability	2017 Projected Benefit Payments	12/31/2016 Liability	2017 Projected Benefit Payments	12/31/2016 Liability	2017 Projected Benefit Payments	12/31/2016 Liability	2017 Projected Benefit Payments	12/31/2016 Liability	2017 Projected Benefit Payments
140 Appalachian Power Co. - Distribution	46	$5,588,049	$1,424,872	$832,982	$133,679	$897,671	$141,108	$103,290	$15,906	$7,421,992	$1,715,565
215 Appalachian Power Co. - Generation	30	3,034,591	646,957	522,390	98,314	317,102	67,572	67,163	11,328	3,941,246	824,172
150 Appalachian Power Co. - Transmission	5	430,608	61,795	55,761	11,310	25,758	5,290	10,714	1,867	522,841	80,262
Appalachian Power Co. - FERC	**81**	**$9,053,248**	**$2,133,624**	**$1,411,133**	**$243,304**	**$1,240,531**	**$213,970**	**$181,167**	**$29,101**	**$11,886,079**	**$2,619,999**
225 Cedar Coal Co	0	0	0	0	0	0	0	0	0	0	0
Appalachian Power Co. - SEC	**81**	**$9,053,248**	**$2,133,624**	**$1,411,133**	**$243,304**	**$1,240,531**	**$213,970**	**$181,167**	**$29,101**	**$11,886,079**	**$2,619,999**
211 AEP Texas Central Company - Distribution	26	$2,785,242	$696,958	$478,662	$79,268	$433,359	$72,080	$53,589	$8,554	$3,750,852	$856,860
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	2	411,894	61,950	24,010	4,968	2,682	1,671	736	411	439,322	69,001
AEP Texas Central Co.	**28**	**$3,197,136**	**$758,907**	**$502,672**	**$84,237**	**$436,041**	**$73,751**	**$54,325**	**$8,966**	**$4,190,174**	**$925,861**
170 Indiana Michigan Power Co. - Distribution	8	$511,040	$94,060	$107,331	$25,729	$86,453	$18,826	$10,693	$1,650	$715,517	$140,265
132 Indiana Michigan Power Co. - Generation	8	806,342	329,134	112,084	28,124	60,947	17,934	10,953	2,596	990,326	377,788
190 Indiana Michigan Power Co. - Nuclear	13	1,411,450	526,737	210,469	45,145	187,756	29,546	21,423	4,528	1,831,098	605,954
120 Indiana Michigan Power Co. - Transmission	2	280,237	72,750	36,248	6,117	0	0	5,903	1,171	322,388	80,039
280 Ind Mich River Transp Lakin	14	1,559,149	367,402	202,446	29,603	212,292	33,340	28,643	3,814	2,002,530	434,159
Indiana Michigan Power Co. - FERC	**45**	**$4,568,218**	**$1,390,083**	**$668,578**	**$134,718**	**$547,448**	**$99,646**	**$77,615**	**$13,759**	**$5,861,859**	**$1,638,206**
202 Price River Coal	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Indiana Michigan Power Co. - SEC	**45**	**$4,568,218**	**$1,390,083**	**$668,578**	**$134,718**	**$547,448**	**$99,646**	**$77,615**	**$13,759**	**$5,861,859**	**$1,638,206**
110 Kentucky Power Co. - Distribution	10	$1,151,492	$248,948	$147,080	$27,556	$105,157	$19,528	$27,738	$4,043	$1,431,467	$300,075
117 Kentucky Power Co. - Generation	6	501,537	108,178	75,884	15,154	60,724	11,899	12,148	2,273	650,293	137,503
180 Kentucky Power Co. - Transmission	1	5,604	5,644	2,526	2,548	3,063	3,093	309	311	11,502	11,597
600 Kentucky Power Co. - Kammer Actives	3	303,024	43,778	71,014	8,704	44,058	4,210	6,934	827	425,030	57,520
701 Kentucky Power Co. - Mitchell Actives	2	267,084	22,355	64,905	7,776	45,353	5,134	8,828	1,175	386,170	36,441
702 Kentucky Power Co. - Mitchell Inactives	0	0	0	0	0	0	0	0	0	0	0
Kentucky Power Co.	**22**	**$2,228,741**	**$428,904**	**$361,409**	**$61,738**	**$258,355**	**$43,865**	**$55,957**	**$8,629**	**$2,904,462**	**$543,136**
250 Ohio Power Co. - Distribution	30	$3,366,011	$673,952	$503,549	$77,589	$473,330	$65,601	$92,439	$11,750	$4,435,329	$828,891
160 Ohio Power Co. - Transmission	4	245,990	28,127	65,034	9,906	33,732	4,557	6,220	1,037	350,976	43,626
Ohio Power Co.	**34**	**$3,612,001**	**$702,079**	**$568,583**	**$87,494**	**$507,062**	**$70,158**	**$98,659**	**$12,786**	**$4,786,305**	**$872,517**
167 Public Service Co. of Oklahoma - Distribution	15	$1,244,853	$360,541	$212,523	$46,109	$174,144	$34,700	$27,233	$4,899	$1,658,753	$446,250
198 Public Service Co. of Oklahoma - Generation	6	629,226	198,746	95,608	23,017	152,000	30,685	12,450	2,470	889,284	254,918
114 Public Service Co. of Oklahoma - Transmission	0	0	0	0	0	0	0	0	0	0	0
Public Service Co. of Oklahoma	**21**	**$1,874,079**	**$559,287**	**$308,131**	**$69,127**	**$326,144**	**$65,385**	**$39,683**	**$7,368**	**$2,548,037**	**$701,167**
159 Southwestern Electric Power Co. - Distribution	9	$492,408	$250,697	$105,094	$29,762	$32,492	$12,841	$5,851	$1,650	$635,845	$294,949
168 Southwestern Electric Power Co. - Generation	10	967,004	260,562	167,597	31,112	174,802	36,933	20,377	3,462	1,329,780	332,068
161 Southwestern Electric Power Co. - Texas - Distribution	5	810,916	229,558	109,683	16,537	137,161	21,680	12,265	1,814	1,070,025	269,590
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
Southwestern Electric Power Co.	**24**	**$2,270,328**	**$740,816**	**$382,374**	**$77,410**	**$344,455**	**$71,454**	**$38,493**	**$6,926**	**$3,035,650**	**$896,607**
119 AEP Texas North Company - Distribution	8	$521,791	$185,399	$94,675	$29,432	$86,169	$38,680	$10,899	$3,240	$713,534	$256,752
166 AEP Texas North Company - Generation	0	0	0	0	0	0	0	0	0	0	0
192 AEP Texas North Company - Transmission	0	0	0	0	0	0	0	0	0	0	0
AEP Texas North Co.	**8**	**$521,791**	**$185,399**	**$94,675**	**$29,432**	**$86,169**	**$38,680**	**$10,899**	**$3,240**	**$713,534**	**$256,752**
230 Kingsport Power Co. - Distribution	2	$293,664	$76,341	$22,021	$6,039	$18,179	$10,584	$4,903	$731	$338,767	$93,695
260 Kingsport Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
Kingsport Power Co.	**2**	**$293,664**	**$76,341**	**$22,021**	**$6,039**	**$18,179**	**$10,584**	**$4,903**	**$731**	**$338,767**	**$93,695**
210 Wheeling Power Co. - Distribution	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
200 Wheeling Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
Wheeling Power Co.	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
103 American Electric Power Service Corporation	52	$5,120,732	$1,643,242	$888,004	$183,229	$672,595	$136,665	$88,058	$16,372	$6,769,389	$1,979,508
293 Elmwood	0	0	0	0	0	0	0	0	0	0	0
292 AEP River Operations LLC	10	1,090,772	193,068	246,578	42,865	202,032	36,695	31,487	4,526	1,570,869	277,154
American Electric Power Service Corp	**62**	**$6,211,504**	**$1,836,310**	**$1,134,582**	**$226,094**	**$874,627**	**$173,360**	**$119,545**	**$20,898**	**$8,340,258**	**$2,256,662**
143 AEP Pro Serv, Inc.	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
189 Central Coal Company	0	0	0	0	0	0	0	0	0	0	0
171 CSW Energy, Inc.	0	0	0	0	0	0	0	0	0	0	0
Miscellaneous	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
270 Cook Coal Terminal	0	0	0	0	0	0	0	0	0	0	0
AEP Generating Company	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
104 Cardinal Operating Company	4	$400,730	$130,463	$56,025	$10,702	$63,681	$12,532	$5,907	$1,024	$526,343	$154,722
181 Ohio Power Co. - Generation	16	1,581,842	458,886	252,385	45,999	200,029	33,665	31,564	5,014	2,065,820	543,564
AEP Generation Resources - FERC	**20**	**$1,982,572**	**$589,349**	**$308,410**	**$56,701**	**$263,710**	**$46,197**	**$37,471**	**$6,038**	**$2,592,163**	**$698,285**
290 Conesville Coal Preparation Company	0	0	0	0	0	0	0	0	0	0	0
AEP Generation Resources - SEC	**20**	**$1,982,572**	**$589,349**	**$308,410**	**$56,701**	**$263,710**	**$46,197**	**$37,471**	**$6,038**	**$2,592,163**	**$698,285**
175 AEP Energy Partners	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
419 Onsite Partners	0	0	0	0	0	0	0	0	0	0	0
AEP Energy Supply	**20**	**$1,982,572**	**$589,349**	**$308,410**	**$56,701**	**$263,710**	**$46,197**	**$37,471**	**$6,038**	**$2,592,163**	**$698,285**
245 Dolet Hills	9	$1,649,359	$630,925	$165,748	$30,787	$49,302	$11,070	$16,993	$3,199	$1,881,402	$675,981
Dolet Hills	**9**	**$1,649,359**	**$630,925**	**$165,748**	**$30,787**	**$49,302**	**$11,070**	**$16,993**	**$3,199**	**$1,881,402**	**$675,981**
Total	**356**	**$37,462,641**	**$10,032,025**	**$5,928,316**	**$1,107,082**	**$4,952,023**	**$918,121**	**$735,710**	**$121,641**	**$49,078,690**	**$12,178,869**

http://natct.internal.towerswatson.com/clients/604598/HBFARM2017/Financials1/[AEP_2017 ASC712 Liability.xlsx]MedCont17

Long-Term Disability Income Replacement Benefits
Liabilities as of December 31, 2016

	Number Disabled	12/31/2016 Liability	Total LTD Assets as of 12/31/2016	12/31/2016 Unfunded Liability	2017 Projected Benefit Payments
140 Appalachian Power Co. - Distribution	42	$4,283,165	$54,272	$4,228,893	$675,815
215 Appalachian Power Co. - Generation	29	2,440,900	30,929	2,409,971	473,725
150 Appalachian Power Co. - Transmission	5	317,602	4,024	313,578	58,533
Appalachian Power Co. - FERC	**76**	**$7,041,667**	**$89,225**	**$6,952,442**	**$1,208,073**
225 Cedar Coal Co	0	$0	$0	$0	$0
Appalachian Power Co. - SEC	**76**	**$7,041,667**	**$89,225**	**$6,952,442**	**$1,208,073**
211 AEP Texas Central Company - Distribution	25	$2,612,066	$33,098	$2,578,968	$436,166
147 AEP Texas Central Company - Generation	0	0	0	0	0
169 AEP Texas Central Company - Transmission	2	184,475	2,338	182,137	27,123
AEP Texas Central Co.	**27**	**$2,796,541**	**$35,436**	**$2,761,105**	**$463,289**
170 Indiana Michigan Power Co. - Distribution	8	$548,438	$6,949	$541,489	$132,624
132 Indiana Michigan Power Co. - Generation	8	651,130	8,251	642,879	196,719
190 Indiana Michigan Power Co. - Nuclear	12	1,349,356	17,098	1,332,258	259,795
120 Indiana Michigan Power Co. - Transmission	2	142,344	1,804	140,540	24,924
280 Ind Mich River Transp Lakin	14	1,217,747	15,430	1,202,317	190,516
Indiana Michigan Power Co. - FERC	**44**	**$3,909,015**	**$49,532**	**$3,859,483**	**$804,579**
202 Price River Coal	0	$0	$0	$0	$0
Indiana Michigan Power Co. - SEC	**44**	**$3,909,015**	**$49,532**	**$3,859,483**	**$804,579**
110 Kentucky Power Co. - Distribution	10	$577,441	$7,317	$570,124	$111,169
117 Kentucky Power Co. - Generation	5	271,610	3,442	268,168	54,390
180 Kentucky Power Co. - Transmission	1	8,299	105	8,194	8,357
600 Kentucky Power Co. - Kammer Actives	3	280,897	3,559	277,338	36,881
701 Kentucky Power Co. - Mitchell Actives	2	422,108	5,349	416,759	49,559
702 Kentucky Power Co. - Mitchell Inactives	0	0	0	0	0
Kentucky Power Co.	**21**	**$1,560,355**	**$19,772**	**$1,540,583**	**$260,357**
250 Ohio Power Co. - Distribution	29	$2,112,581	$26,769	$2,085,812	$343,806
160 Ohio Power Co. - Transmission	4	267,205	3,386	263,819	44,668
Ohio Power Co.	**33**	**$2,379,786**	**$30,155**	**$2,349,631**	**$388,474**
167 Public Service Co. of Oklahoma - Distribution	15	$1,027,441	$13,019	$1,014,422	$212,871
198 Public Service Co. of Oklahoma - Generation	6	456,577	5,785	450,792	112,301
114 Public Service Co. of Oklahoma - Transmission	0	0	0	0	0
Public Service Co. of Oklahoma	**21**	**$1,484,018**	**$18,804**	**$1,465,214**	**$325,172**
159 Southwestern Electric Power Co. - Distribution	8	$336,825	$4,268	$332,557	$104,402
168 Southwestern Electric Power Co. - Generation	10	981,624	12,438	969,186	170,298
161 Southwestern Electric Power Co. - Texas - Distribution	5	482,197	6,110	476,087	74,693
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	0	0	0	0	0
Southwestern Electric Power Co.	**23**	**$1,800,646**	**$22,816**	**$1,777,830**	**$349,393**
119 AEP Texas North Company - Distribution	8	$329,766	$4,178	$325,588	$104,459
166 AEP Texas North Company - Generation	0	0	0	0	0
192 AEP Texas North Company - Transmission	0	0	0	0	0
AEP Texas North Co.	**8**	**$329,766**	**$4,178**	**$325,588**	**$104,459**
230 Kingsport Power Co. - Distribution	2	$203,180	$2,575	$200,605	$50,233
260 Kingsport Power Co. - Transmission	0	0	0	0	0
Kingsport Power Co.	**2**	**$203,180**	**$2,575**	**$200,605**	**$50,233**
210 Wheeling Power Co. - Distribution	0	$0	$0	$0	$0
200 Wheeling Power Co. - Transmission	0	0	0	0	0
Wheeling Power Co.	**0**	**$0**	**$0**	**$0**	**$0**
103 American Electric Power Service Corporation	52	$5,457,613	$69,152	$5,388,461	$1,106,751
293 Elmwood	0	0	0	0	0
292 AEP River Operations LLC	10	1,566,612	19,851	1,546,761	246,089
American Electric Power Service Corp	**62**	**$7,024,225**	**$89,003**	**$6,935,222**	**$1,352,840**
143 AEP Pro Serv, Inc.	0	$0	$0	$0	$0
189 Central Coal Company	0	0	0	0	0
171 CSW Energy, Inc.	0	0	0	0	0
Miscellaneous	**0**	**$0**	**$0**	**$0**	**$0**
270 Cook Coal Terminal	0	$0	$0	$0	$0
AEP Generating Company	**0**	**$0**	**$0**	**$0**	**$0**
104 Cardinal Operating Company	4	$308,041	$3,903	$304,138	$60,506
181 Ohio Power Co. - Generation	16	1,159,318	14,690	1,144,628	214,954
AEP Generation Resources - FERC	**20**	**$1,467,359**	**$18,593**	**$1,448,766**	**$275,460**
290 Conesville Coal Preparation Company	0	$0	$0	$0	$0
AEP Generation Resources - SEC	**20**	**$1,467,359**	**$18,593**	**$1,448,766**	**$275,460**
175 AEP Energy Partners	0	$0	$0	$0	$0
419 Onsite Partners	0	0	0	0	0
AEP Energy Supply	**20**	**$1,467,359**	**$18,593**	**$1,448,766**	**$275,460**
245 Dolet Hills	6	$579,630	$7,345	$572,285	$125,526
Dolet Hills	**6**	**$579,630**	**$7,345**	**$572,285**	**$125,526**
Total	**343**	**$30,576,188**	**$387,434**	**$30,188,754**	**$5,707,855**

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COBRA Continuation of Medical and Dental Coverage
Former Non-UMWA and UMWA Employees
Unfunded Liabilities as of December 31, 2016

		Number of Participants	12/31/2016 Liability	2017 Projected Benefit Payments
140	Appalachian Power Co. - Distribution	3	$3,878	$3,328
215	Appalachian Power Co. - Generation	2	2,637	2,472
150	Appalachian Power Co. - Transmission	0	0	0
	Appalachian Power Co. - FERC	**5**	**$6,515**	**$5,800**
225	Cedar Coal Co	0	0	0
	Appalachian Power Co. - SEC	**5**	**$6,515**	**$5,800**
211	AEP Texas Central Company - Distribution	1	$2,363	$2,363
147	AEP Texas Central Company - Generation	0	0	0
169	AEP Texas Central Company - Transmission	0	0	0
	AEP Texas Central Co.	**1**	**$2,363**	**$2,363**
170	Indiana Michigan Power Co. - Distribution	0	$0	$0
132	Indiana Michigan Power Co. - Generation	0	0	0
190	Indiana Michigan Power Co. - Nuclear	7	25,887	21,936
120	Indiana Michigan Power Co. - Transmission	2	10,497	10,497
280	Ind Mich River Transp Lakin	0	0	0
	Indiana Michigan Power Co. - FERC	**9**	**$36,384**	**$32,433**
202	Price River Coal	0	0	0
	Indiana Michigan Power Co. - SEC	**9**	**$36,384**	**$32,433**
110	Kentucky Power Co. - Distribution	0	$0	$0
117	Kentucky Power Co. - Generation	2	3,829	3,684
180	Kentucky Power Co. - Transmission	0	0	0
600	Kentucky Power Co. - Kammer Actives	0	0	0
701	Kentucky Power Co. - Mitchell Actives	0	0	0
702	Kentucky Power Co. - Mitchell Inactives	0	0	0
	Kentucky Power Co.	**2**	**$3,829**	**$3,684**
250	Ohio Power Co. - Distribution	3	$68,544	$25,630
160	Ohio Power Co. - Transmission	0	0	0
	Ohio Power Co.	**3**	**$68,544**	**$25,630**
167	Public Service Co. of Oklahoma - Distribution	2	$5,789	$5,789
198	Public Service Co. of Oklahoma - Generation	1	241	183
114	Public Service Co. of Oklahoma - Transmission	1	467	467
	Public Service Co. of Oklahoma	**4**	**$6,497**	**$6,439**
159	Southwestern Electric Power Co. - Distribution	1	$160	$160
168	Southwestern Electric Power Co. - Generation	0	0	0
161	Southwestern Electric Power Co. - Texas - Distribution	1	31,424	11,315
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0
	Southwestern Electric Power Co.	**2**	**$31,584**	**$11,475**
119	AEP Texas North Company - Distribution	0	$0	$0
166	AEP Texas North Company - Generation	0	0	0
192	AEP Texas North Company - Transmission	0	0	0
	AEP Texas North Co.	**0**	**$0**	**$0**
230	Kingsport Power Co. - Distribution	0	$0	$0
260	Kingsport Power Co. - Transmission	0	0	0
	Kingsport Power Co.	**0**	**$0**	**$0**
210	Wheeling Power Co. - Distribution	0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0
	Wheeling Power Co.	**0**	**$0**	**$0**
103	American Electric Power Service Corporation	12	$22,923	$19,126
293	Elmwood	0	0	0
292	AEP River Operations LLC	0	0	0
	American Electric Power Service Corp	**12**	**$22,923**	**$19,126**
143	AEP Pro Serv, Inc.	0	$0	$0
189	Central Coal Company	0	0	0
171	CSW Energy, Inc.	0	0	0
	Miscellaneous	**0**	**$0**	**$0**
270	Cook Coal Terminal	6	269,818	269,902
	AEP Generating Company	**6**	**$269,818**	**$269,902**
104	Cardinal Operating Company	0	$0	$0
181	Ohio Power Co. - Generation	0	0	0
	AEP Generation Resources - FERC	**0**	**$0**	**$0**
290	Conesville Coal Preparation Company	0	0	0
	AEP Generation Resources - SEC	**0**	**$0**	**$0**
175	AEP Energy Partners	0	0	0
419	Onsite Partners	0	0	0
	AEP Energy Supply	**0**	**$0**	**$0**
245	Dolet Hills	2	$283	$283
	Dolet Hills	**2**	**$283**	**$283**
	Total	**46**	**$448,740**	**$377,135**

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Benefits Summary by Location
Unfunded Liabilities as of December 31, 2016

		Health Care and Life Insurance	LTD	COBRA	Total Benefits
140	Appalachian Power Co. - Distribution	$7,421,992	$4,228,893	$3,878	$11,654,763
215	Appalachian Power Co. - Generation	3,941,246	2,409,971	2,637	6,353,854
150	Appalachian Power Co. - Transmission	522,841	313,578	0	836,419
	Appalachian Power Co. - FERC	**$11,886,079**	**$6,952,442**	**$6,515**	**$18,845,036**
225	Cedar Coal Co	0	0	0	0
	Appalachian Power Co. - SEC	**$11,886,079**	**$6,952,442**	**$6,515**	**$18,845,036**
211	AEP Texas Central Company - Distribution	$3,750,852	$2,578,968	$2,363	$6,332,183
147	AEP Texas Central Company - Generation	0	0	0	0
169	AEP Texas Central Company - Transmission	439,322	182,137	0	621,459
	AEP Texas Central Co.	**$4,190,174**	**$2,761,105**	**$2,363**	**$6,953,642**
170	Indiana Michigan Power Co. - Distribution	$715,517	$541,489	$0	$1,257,006
132	Indiana Michigan Power Co. - Generation	990,326	642,879	0	1,633,205
190	Indiana Michigan Power Co. - Nuclear	1,831,098	1,332,258	25,887	3,189,243
120	Indiana Michigan Power Co. - Transmission	322,388	140,540	10,497	473,425
280	Ind Mich River Transp Lakin	2,002,530	1,202,317	0	3,204,847
	Indiana Michigan Power Co. - FERC	**$5,861,859**	**$3,859,483**	**$36,384**	**$9,757,726**
202	Price River Coal	0	0	0	0
	Indiana Michigan Power Co. - SEC	**$5,861,859**	**$3,859,483**	**$36,384**	**$9,757,726**
110	Kentucky Power Co. - Distribution	$1,431,467	$570,124	$0	$2,001,591
117	Kentucky Power Co. - Generation	650,293	268,168	3,829	922,290
180	Kentucky Power Co. - Transmission	11,502	8,194	0	19,696
600	Kentucky Power Co. - Kammer Actives	425,030	277,338	0	702,368
701	Kentucky Power Co. - Mitchell Actives	386,170	416,759	0	802,929
702	Kentucky Power Co. - Mitchell Inactives	0	0	0	0
	Kentucky Power Co.	**$2,904,462**	**$1,540,583**	**$3,829**	**$4,448,874**
250	Ohio Power Co. - Distribution	$4,435,329	$2,085,812	$68,544	$6,589,685
160	Ohio Power Co. - Transmission	350,976	263,819	0	614,795
	Ohio Power Co.	**$4,786,305**	**$2,349,631**	**$68,544**	**$7,204,480**
167	Public Service Co. of Oklahoma - Distribution	$1,658,753	$1,014,422	$5,789	$2,678,964
198	Public Service Co. of Oklahoma - Generation	889,284	450,792	241	1,340,317
114	Public Service Co. of Oklahoma - Transmission	0	0	467	467
	Public Service Co. of Oklahoma	**$2,548,037**	**$1,465,214**	**$6,497**	**$4,019,748**
159	Southwestern Electric Power Co. - Distribution	$635,845	$332,557	$160	$968,562
168	Southwestern Electric Power Co. - Generation	1,329,780	969,186	0	2,298,966
161	Southwestern Electric Power Co. - Texas - Distribution	1,070,025	476,087	31,424	1,577,536
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0	0
	Southwestern Electric Power Co.	**$3,035,650**	**$1,777,830**	**$31,584**	**$4,845,064**
119	AEP Texas North Company - Distribution	$713,534	$325,588	$0	$1,039,122
166	AEP Texas North Company - Generation	0	0	0	0
192	AEP Texas North Company - Transmission	0	0	0	0
	AEP Texas North Co.	**$713,534**	**$325,588**	**$0**	**$1,039,122**
230	Kingsport Power Co. - Distribution	$338,767	$200,605	$0	$539,372
260	Kingsport Power Co. - Transmission	0	0	0	0
	Kingsport Power Co.	**$338,767**	**$200,605**	**$0**	**$539,372**
210	Wheeling Power Co. - Distribution	$0	$0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0	0
	Wheeling Power Co.	**$0**	**$0**	**$0**	**$0**
103	American Electric Power Service Corporation	$6,769,389	$5,388,461	$22,923	$12,180,773
293	Elmwood	0	0	0	0
292	AEP River Operations LLC	1,570,869	1,546,761	0	3,117,630
	American Electric Power Service Corp	**$8,340,258**	**$6,935,222**	**$22,923**	**$15,298,403**
143	AEP Pro Serv, Inc.	$0	$0	$0	$0
189	Central Coal Company	0	0	0	0
171	CSW Energy, Inc.	0	0	0	0
	Miscellaneous	**$0**	**$0**	**$0**	**$0**
270	Cook Coal Terminal	$0	$0	$269,818	$269,818
	AEP Generating Company	**$0**	**$0**	**$269,818**	**$269,818**
104	Cardinal Operating Company	$526,343	$304,138	$0	$830,481
181	Ohio Power Co. - Generation	2,065,820	1,144,628	0	3,210,448
	AEP Generation Resources - FERC	**$2,592,163**	**$1,448,766**	**$0**	**$4,040,929**
290	Conesville Coal Preparation Company	0	0	0	0
	AEP Generation Resources - SEC	**$2,592,163**	**$1,448,766**	**$0**	**$4,040,929**
175	AEP Energy Partners	0	0	0	0
419	Onsite Partners	0	0	0	0
	AEP Energy Supply	**$2,592,163**	**$1,448,766**	**$0**	**$4,040,929**
245	Dolet Hills	$1,881,402	$572,285	$283	$2,453,970
	Dolet Hills	**$1,881,402**	**$572,285**	**$283**	**$2,453,970**
	Total	**$49,078,690**	**$30,188,754**	**$448,740**	**$79,716,184**

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American Electric Power

Non-UMWA Postretirement Health Care Plan

Actuarial Valuation Report
Postretirement Welfare Cost for Fiscal Year Ending
December 31, 2018 under U.S. GAAP

Employer Contributions for Plan Year Beginning
January 1, 2018

May 2018

Willis Towers Watson

This report is confidential and intended solely for the information and benefit of the immediate recipient thereof. It may not be distributed to a third party unless expressly allowed under the "Purpose and Actuarial Certification" section herein.

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Purpose and actuarial statement

Purposes of valuation

American Electric Power retained Towers Watson Delaware Inc. ("Willis Towers Watson"), to perform an actuarial valuation of its postretirement welfare programs for the purpose of determining the following:

(1) The value of benefit obligations as of January 1, 2018, and American Electric Power's postretirement welfare cost for fiscal year ending December 31, 2018, in accordance with FASB Accounting Standards Codification Topic 715 (ASC 715-60). It is anticipated that a separate report will be prepared for year-end financial reporting and disclosure purposes.

(2) Plan reporting information in accordance with FASB Accounting Standards Codification Topic 965 (ASC 965).

(3) Expected contributions under the plan sponsor's funding policy for the 2018 plan year.

(4) The estimated maximum tax-deductible contribution for the tax year in which the 2018 plan year ends as allowed by the Internal Revenue Code. The maximum tax-deductible contribution should be finalized in consultation with American Electric Power's tax advisor.

Limitations

This valuation has been conducted for the purposes described above and may not be suitable for any other purpose. In particular, please note that there may be certain events that have occurred since the valuation date that are not reflected in the current valuation.

This valuation has been conducted in accordance with generally accepted actuarial principles and practices.

Reliances

In preparing the results presented in this report, we have relied upon information regarding plan provisions, participants, claims data, contributions and assets (if any) provided by American Electric Power and other persons or organizations designated by American Electric Power. We have reviewed this information for overall reasonableness and consistency, but have neither audited nor independently verified this information. Based on discussions with and concurrence by the plan sponsor, assumptions or estimates may have been made if data were not available. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

We have relied on all the information provided as complete and accurate. The results presented in this report are dependent upon the accuracy and completeness of the underlying data and information. Any material inaccuracy in the data and information provided to us may have produced results that are not suitable for the purposes of this report and such inaccuracies, as corrected by American Electric Power, may produce materially different results that could require that a revised report be issued.

Assumptions and methods under the Internal Revenue Code for contribution limit purposes

The actuarial assumptions and methods employed in the development of the contribution limits have been selected by the plan sponsor, with the concurrence of Willis Towers Watson. The Internal Revenue Code requires the use of reasonable assumptions (taking into account the experience of the plan and reasonable expectations) which, in combination, offer the actuary's best estimate of anticipated experience under the plan. We believe that the assumptions used in our valuation are reasonable and appropriate for the purposes for which they have been used.

Assumptions and methods under ASC 715-60

The actuarial assumptions and methods employed in the development of the postretirement welfare cost have been selected by the plan sponsor with the concurrence of Willis Towers Watson, except for the expected rate of return on plan assets selected for fiscal 2018. Evaluation of the expected rate of return assumption was outside the scope of Willis Towers Watson's assignment and would have required substantial additional work that we were not engaged to perform. ASC 715-60 requires that each significant assumption "individually represent the best estimate of a particular future event".

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated by Willis Towers Watson, we consider to be reasonable. Other actuarial assumptions could also be considered to be reasonable. Thus, reasonable results differing from those presented in this report could have been developed by selecting different reasonable assumptions.

A summary of the assumptions and methods used is provided in Appendix A.

Accumulated other comprehensive (income)/loss amounts shown in the report are shown prior to adjustment for deferred taxes. Any deferred tax effects in AOCI should be determined in consultation with American Electric Power's tax advisors and auditors.

Effects of Health Care Legislation

In March 2010, the Patient Protection and Affordable Care Act (PPACA) and Health Care and Education Reconciliation Act (HCERA) were enacted. The key aspects of the Acts affecting American Electric Power's benefit obligation and cost of providing retiree medical benefits are:

- Preventive care benefits covered at 100% beginning in 2011
- Mandatory coverage for adult children until age 26 beginning in 2011
- Loss of the tax free status of the Retiree Drug Subsidy (RDS) beginning in 2013
- Excise ("Cadillac Plan") tax on high-cost plans beginning in 2020
- Elimination of lifetime maximums beginning in 2011

All subsequent measurements for tax purposes reflect the current law.

This valuation reflects our understanding of the relevant provisions of PPACA and HCERA. The IRS and HHS have yet to issue final guidance with respect to many aspects of this law. It is possible that future guidance may conflict with our understanding of these laws based on currently available guidance and could therefore affect the results shown in this report.

Nature of actuarial calculations

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated or selected by Willis Towers Watson, we consider reasonable and within the "best-estimate range" as described by the Actuarial Standards of Practice. Other actuarial assumptions could also be considered to be reasonable and within the best-estimate range. Thus, reasonable results differing from those presented in this report could have been developed by selecting different points within the best-estimate ranges for various assumptions.

The results shown in this report are estimates based on data that may be imperfect and on assumptions about future events that cannot be predicted with certainty. The effects of certain plan provisions may be approximated, or determined to be insignificant and therefore not valued. Assumptions may be made, in consultation with American Electric Power, about participant data or other factors. Reasonable efforts were made in preparing this valuation to confirm that items that are significant in the context of the actuarial liabilities or costs are treated appropriately, and are not excluded or included inappropriately. The numbers shown in this report are not rounded. This is for convenience only and should not imply precision; by their nature, actuarial calculations are not precise.

If overall future plan experience produces higher benefit payments or lower investment returns than assumed, the relative level of plan costs or contribution requirements reported in this valuation will likely increase in future valuations (and vice versa). Future actuarial measurements may differ significantly from the current measurements presented in this report due to many factors, including: plan experience differing from that anticipated by the economic or demographic assumptions; increases or reductions expected as part of the natural operation of the methodology used for the measurements (such as the end of an amortization period); and changes in plan provisions or applicable law. It is beyond the scope of this valuation to analyze the potential range of future postretirement welfare contributions, but we can do so upon request.

See Basis for Valuation in Section 1 below for a discussion of any material events that have occurred after the valuation date that are not reflected in this valuation.

Limitations on use

This report is provided subject to the terms set out herein and in our master consulting services agreement dated July 29, 2004, and any accompanying or referenced terms and conditions.

The information contained in this report was prepared for the internal use of American Electric Power and its auditors in connection with our actuarial valuation of the postretirement welfare plan as described in Purposes of Valuation above. It is not intended for and may not be used for other purposes, and we accept no responsibility or liability in this regard. American Electric Power may distribute this actuarial valuation report to the appropriate authorities who have the legal right to require American Electric Power to provide them this report, in which case American Electric Power will use best efforts to notify Willis Towers Watson in advance of this distribution, and will include the non-reliance notice included at the end of this report. Further distribution to, or use by, other parties of all or part of this report is expressly prohibited without Willis Towers Watson's prior written consent. In the absence of such consent and an express assumption of responsibility, we accept no responsibility whatsoever for any consequences arising from any third party relying on this report or any advice relating to its contents. There are no intended third-party beneficiaries of this report or the work underlying it.

Professional Qualifications

The undersigned consulting actuaries are members of the Society of Actuaries and meet the "Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion in the United States" relating to postretirement welfare plans. Our objectivity is not impaired by any relationship between American Electric Power and our employer, Towers Watson Delaware Inc., a subsidiary of Willis Towers Watson PLC ("Willis Towers Watson").

Martin P. Franzinger, ASA, MAAA
NA Health & Benefits Consulting Actuary
Pricing Specialist

Chad M. Greenwalt, FSA, EA
Associate Director, Retirement
Valuation Actuary

Joseph A. Perko, FSA, EA, MAAA
Director, Retirement
Valuation Actuary

The Pricing Specialist is responsible for developing and/or determining the reasonableness of retiree welfare plan trend and participation assumptions as well as assumed per capita claims costs (including the aging/morbidity assumption, if applicable). The Valuation Actuary is responsible for other aspects of the valuation (e.g., developing and/or reviewing the reasonableness of other valuation assumptions and methods, ensuring that the valuation model reasonably reflects the substantive plan and actual plan operation, preparing demographic data, performing the valuation, implementing the correct accounting or funding calculations, etc.).

Towers Watson Delaware Inc.

May 2018

Section 1: Summary of key results

Benefit cost, assets & obligations

All monetary amounts shown in US Dollars

Fiscal Year Beginning		January 1, 2018	January 1, 2017
Benefit Cost/ (Income)	Net Periodic Postretirement Benefit Cost/(Income)	(104,871,882)	(65,457,797)
Measurement Date		**January 1, 2018**	**January 1, 2017**
Plan Assets	Fair Value of Assets (FVA)	1,708,647,946	1,524,265,466
Benefit Obligations	Accumulated Postretirement Benefit Obligation (APBO)	1,251,302,431	1,407,167,860
Funded Status	Funded Status	457,345,515	117,097,606
Accumulated Other Comprehensive (Income)/Loss	Net Transition Obligation/(Asset)	0	0
	Net Prior Service Cost/(Credit)	(411,931,508)	(480,557,744)
	Net Loss/(Gain)	287,986,950	631,850,248
	Total Accumulated Other Comprehensive (Income)/Loss	(123,944,558)	151,292,504
Assumptions[1]	Discount Rate	3.60%	4.10%
	Expected Long-term Return on Plan Assets	6.00%	6.75%
	Rate of Compensation/Salary Increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
	Current Health Care Cost Trend Rate	6.50%	6.75%
	Ultimate Health Care Cost Trend Rate	5.00%	5.00%
	Year of Ultimate Trend Rate	2024	2024
Participant Data	Census Date	January 1, 2018	January 1, 2017
Plan reporting (ASC 965) for Plan Year Beginning		**January 1, 2018**	**January 1, 2017**
	Present value of accumulated benefits	1,251,302,431	1,407,496,076
	Market value of assets	1,708,647,946	1,524,265,466
	Plan reporting discount rate	3.60%	4.10%
Employer Contributions (net of Medicare subsidy)		**Plan Year 2018**	**Plan Year 2017**
Cash Flow	Funding Policy contributions	0	0
	Maximum Tax Deductible contributions	61,303,851 (est)	86,142,744
	Actual contributions	N/A	N/A
	Expected benefit payments and expenses, net of participant contributions	88,345,027	100,168,816

Employer Contributions

Employer contributions are the amounts paid by American Electric Power to provide for postretirement benefits, net of participant contributions and Medicare Part D payments. Most participants receiving benefits are required to contribute toward the cost of the plan.

[1] Rates are expressed on an annual basis where applicable.

American Electric Power's funding policy is to contribute an amount equal to the postretirement welfare cost plus retiree drug subsidy payments received (the sum of which can be no less than zero). American Electric Power maximizes its contribution to the 401(h) account and contributes the remainder to the various VEBAs. American Electric Power may deviate from this policy, as permitted by its terms, based on cash, tax or other considerations.

Postretirement welfare cost and funded position

The cost of the postretirement welfare plan is determined in accordance with generally accepted accounting principles in the U.S. ("U.S. GAAP"). The fiscal 2018 postretirement welfare benefit cost/(income) for the plan is $(104,871,882). Under U.S. GAAP, the funded position (fair value of plan assets less the projected benefit obligation, or "APBO") of each postretirement welfare plan at the plan sponsor's fiscal year-end (measurement date) is required to be reported as a liability. The APBO is the actuarial present value of benefits attributed to service rendered prior to the measurement date, taking into consideration expected future pay increases for pay-related plans. The plan's overfunded (underfunded) APBO as of January 1, 2018 was $457,345,515 based on the fair value of plan assets of $1,708,647,946 and the APBO of $1,251,302,431.

Fiscal year-end financial reporting information and disclosures are prepared before detailed participant data and full valuation results are available. Therefore, the postretirement benefit asset (liability) at December 31, 2017 was derived from a roll forward of the January 1, 2017 valuation results, adjusted for the year-end discount rate and asset values, as well as significant changes in plan provisions and participant population. The next fiscal year financial reporting information will be developed based on the results of the January 1, 2018 valuation, projected to the end of the year and similarly adjusted for the year-end discount rate and asset values, as well as significant changes in plan provisions and participant population.

Change in postretirement welfare cost and funded position

The postretirement welfare cost/(income) decreased from $(65,457,797) in fiscal 2017 to $(104,871,882) in fiscal 2018 and the funded position increased from $117,097,606 on January 1, 2017 to $457,345,515 on January 1, 2018, as set forth below:

All monetary amounts shown in millions of US Dollars

($ in millions)	Postretirement Welfare Cost
Prior year	(65.5)
Change due to:	
■ Expected based on prior valuation and contributions during prior year	(3.8)
■ Unexpected noninvestment experience	0.7
■ Unexpected investment experience	(26.7)
■ Assumption changes	15.5
■ Medicare advantage arrangement	(25.1)
Current year	(104.9)

Significant reasons for these changes include the following:

- Per capita claims costs were updated which did not significantly affect the postretirement welfare cost.

All monetary amounts shown in US Dollars

	2018	2017
Medical (Overall Average)		
Under age 65[1]		
▪ HSA Basic	8,685	9,056
▪ HSA Plus	9,575	10,007
▪ HRA	10,581	11,098
Age 65 and older (before Part D offsets)		
▪ Medicare Select/COB	3,936	4,811
▪ Medicare Standard/MOB	2,790	3,346
▪ CSP	2,149	2,118
Medicare Part D offsets		
▪ Medicare Adavantage/ MOB/COB (EGWP)	(861)	(831)
▪ CSP (RDS)	(244)	(241)

See Appendix A for additional details on per capita claims costs assumptions including assumed claims costs adjusted for age-related morbidity adjustments.

- The discount rate decreased 50 basis points since the prior year which increased the postretirement welfare cost.
- Actual asset returns during 2017 were higher than the assumed rate of 6.75% which decreased the postretirement welfare cost.
- The expected return on assets assumption was reduced 75 basis points to 6.00% which increased the postretirement welfare cost.
- Demographic changes such as: fewer participants electing medical coverage than expected; more terminations than expected; higher persistency than expected. These offsetting gains/losses resulted in a net increase in postretirement welfare benefit cost.
- The mortality improvement projection was updated to the MP-2017 scale, adjusted to reflect 75% of the long-term improvement rates. This did not significantly affect postretirement welfare benefit cost.
- Child costs are now explicitly valued which increases the postretirement welfare cost.

[1] Pre-65 per capita claims costs do not include the 5% adjustment for potential dependent children covered under the plan.

Basis for valuation

Appendix A summarizes the assumptions and methods used in the valuation. Appendix B summarizes our understanding of the principal provisions of the plan being valued.

Changes in Assumptions

- Per capita claims costs were updated to reflect 2016 retiree claims experience and the adoption of Medicare Advantage plans for most post-65 retirees. An explicit child cost load was also added.
- Discount rate was changed from 4.10% to 3.60%.
- The expected return on assets assumption was reduced 75 basis points to 6.00%
- The mortality improvement projection was updated to the MP-2017 scale, adjusted to reflect 75% of the long-term improvement rates.
- In conjunction with the Medicare Advantage change, the participation assumption was changed to 85% in 2018 and 2019, reduced by 5% per year to 75% in 2021 and beyond.

Changes in Methods

None.

Changes in Benefits Valued

- Consistent with disclosure, this valuation reflectes the move to Medicare Advantage coverage for the vast majority of the post-65 retirees and beneficiaries. For accounting purposes, this change is reflected as an actuarial gain.

Section 2: Actuarial exhibits

2.1 Balance sheet asset/(liability)

All monetary amounts shown in US Dollars

Measurement Date		January 1, 2018	January 1, 2017
A	**Development of Balance Sheet Asset/(Liability)**[1]		
1	Accumulated postretirement benefit obligation (APBO)	1,251,302,431	1,407,167,860
2	Fair value of assets (FVA)	1,708,647,946	1,524,265,466
3	Net balance sheet asset/(liability)	457,345,515	117,097,606
B	**Current and Noncurrent Allocation**		
1	Noncurrent assets	457,345,515	117,097,606
2	Current liabilities	0	0
3	Noncurrent liabilities	0	0
4	Net balance sheet asset/(liability)	457,345,515	117,097,606
C	**Accumulated Other Comprehensive (Income)/Loss**		
1	Net transition obligation/(asset)	0	0
2	Net prior service cost/(credit)	(411,931,508)	(480,557,744)
3	Net loss/(gain)	287,986,950	631,850,248
4	Accumulated other comprehensive (income)/loss[2]	(123,944,558)	151,292,504
D	**Assumptions and Dates**		
1	Discount rate	3.60%	4.10%
2	Rate of compensation/salary increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
3	Current health care cost trend rate	6.50%	6.75%
4	Ultimate health care cost trend rate	5.00%	5.00%
5	Year of ultimate trend rate	2024	2024
6	Census date	January 1, 2018	January 1, 2017

[1] Whether the amounts in this table that differ from those disclosed at year-end must be disclosed in subsequent interim financial statements should be determined.

[2] Amount shown is pre-tax and should be adjusted by plan sponsor for tax effects.

2.2 Summary and comparison of postretirement benefit cost and cash flows

All monetary amounts shown in US Dollars

Fiscal Year Ending		December 31, 2018	December 31, 2017
A	**Total Postretirement Benefit Cost**		
1	Employer service cost	10,633,477	10,568,485
2	Interest cost	43,853,542	56,094,357
3	Expected return on assets	(99,907,131)	(99,562,423)
4	Subtotal	(45,420,112)	(32,899,581)
5	Net prior service cost/(credit) amortization	(68,626,236)	(68,626,236)
6	Net loss/(gain) amortization	9,174,466	36,068,020
7	Transition obligation/(asset) amortization	0	0
8	Amortization subtotal	(59,451,770)	(32,558,216)
9	Net periodic postretirement benefit cost/(income)	(104,871,882)	(65,457,797)
B	**Assumptions**[1]		
1	Discount rate	3.60%	4.10%
2	Long-term rate of return on assets	6.00%	6.75%
3	Rate of compensation/salary increase	Rates vary by age from 3.5% to 12.0%	Rates vary by age from 3.5% to 12.0%
4	Current health care cost trend rate	6.50%	6.75%
5	Ultimate health care cost trend rate	5.00%	5.00%
6	Year ultimate trend rate is expected	2024	2024
C	**Census Date**	January 1, 2018	January 1, 2017
D	**Assets at Beginning of Year**		
1	Fair market value	1,708,647,946	1,524,265,466
E	**Cash Flow**	**Expected**	**Actual**
1	Employer contributions	0	0
2	Plan participants' contributions	35,605,849	39,532,580
3	Benefits paid from plan assets	123,991,712	124,563,975
4	Expected Medicare retiree drug subsidy on current year benefit payments	(40,836)	(446,945)

[1] These assumptions were used to calculate the Net Postretirement Benefit Cost/ (Income) as of the beginning of the year. Rates are expressed on an annual basis where applicable. For assumptions used for interim measurement periods, if any, refer to Appendix A.

2.3 Detailed results for postretirement welfare cost and funded position

All monetary amounts shown in US Dollars

Detailed results			January 1, 2018	January 1, 2017
A	**Service Cost**			
	1	Medical	7,950,981	7,997,425
	2	Life insurance	2,682,496	2,571,060
	3	Dental	0	0
	4	Total	10,633,477	10,568,485
B	**Accumulated Postretirement Benefit Obligation [APBO]**			
	1	Medical:		
		a Participants currently receiving benefits	611,768,390	794,608,763
		b Fully eligible active participants	63,283,833	55,110,840
		c Other participants	169,017,768	173,101,707
		d Total	844,069,991	1,022,821,310
	2	Life insurance:		
		a Participants currently receiving benefits	310,400,515	291,999,343
		b Fully eligible active participants	26,108,505	21,489,028
		c Other participants	57,853,579	55,838,444
		d Total	394,362,599	369,326,815
	3	Dental:		
		a Participants currently receiving benefits	12,660,681	14,821,187
		b Fully eligible active participants	209,160	198,548
		c Other participants	0	0
		d Total	12,869,841	15,019,735
	4	All Benefits:		
		a Participants currently receiving benefits	934,829,586	1,101,429,293
		b Fully eligible active participants	89,601,498	76,798,416
		c Other participants	226,871,347	228,940,151
		d Total	1,251,302,431	1,407,167,860
C	**Assets**			
	1	Fair value [FV]	1,708,647,946	1,524,265,466
D	**Funded Position**			
	1	Overfunded (underfunded) APBO	457,345,515	117,097,606
	2	APBO funded percentage	136.5%	108.3%

E	**Amounts in Accumulated Other Comprehensive Income**		
1	Prior service cost (credit)	(411,931,508)	(480,557,744)
2	Net actuarial loss (gain)	287,986,950	631,850,248
3	Transition obligation (asset)	0	0
4	Total	(123,944,558)	151,292,504
F	**Effect of Change in Health Care Cost Trend Rate**		
1	One-percentage-point increase:		
a	Sum of service cost and interest cost	717,319	1,602,247
b	APBO	31,493,641	50,169,731
2	One-percentage-point decrease:		
a	Sum of service cost and interest cost	(618,471)	(1,367,834)
b	APBO	(28,945,831)	(44,255,691)

2.4 ASC 965 (plan reporting) information

All monetary amounts shown in US Dollars

Summary of Present Value of Benefits		January 1, 2018	January 1, 2017
A	**Medical (ignoring Retiree Drug Subsidy)**		
1	Current retirees	612,031,189	794,936,979
2	Active participants fully eligible for benefits	63,283,833	55,110,840
3	Other active participants	169,017,768	173,101,707
4	Total	844,332,790	1,023,149,526
B	**Life Insurance**		
1	Current retirees	310,400,515	291,999,343
2	Active participants fully eligible for benefits	26,108,505	21,489,028
3	Other active participants	57,853,579	55,838,444
4	Total	394,362,599	369,326,815
C	**Dental**		
1	Current retirees	12,660,681	14,821,187
2	Active participants fully eligible for benefits	209,160	198,548
3	Other active participants	0	0
4	Total	12,869,841	15,019,735
D	**Total (ignoring Retiree Drug Subsidy)**		
1	Current retirees	935,092,385	1,101,757,509
2	Active participants fully eligible for benefits	89,601,498	76,798,416
3	Other active participants	226,871,347	228,940,151
4	Total	1,251,565,230	1,407,496,076

Actuarial assumptions and methods

The key actuarial assumptions used for plan reporting calculations are the same as those used to determine the postretirement welfare cost and are shown in the Actuarial Assumptions and Methods section, except that the Retiree Drug Subsidy (RDS) associated with Medicare Part D is not reflected. For the prior valuation, a discount rate of 4.10% was used. The same plan provisions shown in Appendix B were used to determine the present value of accumulated benefits.

Reconciliation of Present Value of Benefits		Plan Year 2017	Plan Year 2016
A	**Medical (ignoring Retiree Drug Subsidy)**		
1	Benefit obligation, beginning of year	1,023,149,526	1,004,230,487
2	Service cost	7,997,425	6,850,199
3	Interest cost	40,829,565	41,924,235
4	Participant contributions	32,801,208	31,239,526
5	Actuarial (gain)/loss	(156,319,513)	43,109,506
6	Plan amendments	0	0
7	Gross benefits paid	(104,125,421)	(104,204,427)
8	Benefit obligation, end of year	844,332,790	1,023,149,526
B	**Life Insurance**		
1	Benefit obligation, beginning of year	369,326,815	355,037,096
2	Service cost	2,571,060	2,468,050
3	Interest cost	14,991,995	15,069,239
4	Participant contributions	1,122,184	1,424,766
5	Actuarial (gain)/loss	20,078,280	11,018,041
6	Plan amendments	0	0
7	Gross benefits paid	(13,727,735)	(15,690,377)
8	Benefit obligation, end of year	394,362,599	369,326,815
C	**Dental**		
1	Benefit obligation, beginning of year	15,019,735	14,846,418
2	Service cost	0	0
3	Interest cost	593,453	618,680
4	Participant contributions	5,609,188	5,178,844
5	Actuarial (gain)/loss	(1,641,716)	481,421
6	Plan amendments	0	0
7	Gross benefits paid	(6,710,819)	(6,105,628)
8	Benefit obligation, end of year	12,869,841	15,019,735
D	**Total (ignoring Retiree Drug Subsidy)**		
1	Benefit obligation, beginning of year	1,407,496,076	1,374,114,001
2	Service cost	10,568,485	9,318,249
3	Interest cost	56,415,013	57,612,154
4	Participant contributions	39,532,580	37,843,136
5	Actuarial (gain)/loss	(137,882,949)	54,608,968
6	Plan amendments	0	0
7	Gross benefits paid	(124,563,975)	(126,000,432)
8	Benefit obligation, end of year	1,251,565,230	1,407,496,076

2.5 Basic results for employer contributions - VEBAs

All monetary amounts shown in US Dollars

All Postretirement VEBAs			Estimated December 31, 2018	Actual December 31, 2017
A	**Qualified Asset Account Limits [QAAL][1]**		416,000,000	444,623,599
B	**Assets**			
	1	Market value	1,280,000,000	1,236,115,597
	2	Unrecognized investment losses (gains)	0	0
	3	Actuarial value [AV]	1,280,000,000	1,236,115,597
C	**Funded Position**			
	1	Unfunded account limits [QAAL – FV]	(864,000,000)	(791,491,998)
D	**Employer Contributions**			
	1	Maximum deductible available[2]	56,000,000	81,919,091
	2	Qualified additions		
		a Prior years' carryover	0	0
		b Current year additions	0	0
		c Total deductions available [a + b]	0	0
	3	Other non-deductible current year additions	0	0
	4	Total additions [2.c + 3]	0	0
		a Life insurance VEBA	0	0
		b Union medical and dental VEBAs	0	0
		c Non-union medical and dental VEBAs	0	0

[1] Includes the present value of projected benefits for the union retiree medical VEBA.
[2] Includes amounts not contributed to trusts with capacity at year-end.

2.6 VEBA deduction limits

All monetary amounts shown in US Dollars

Retiree Life Insurance		2017	2016
A	**Qualified Asset Account Limit (QAAL)**		
1	December 31 actuarial accrued liability	205,470,636	243,033,191
2	Unrecognized liability	0	0
3	QAAL	205,470,636	243,033,191
B	**Assets**		
1	Market value as of December 31	123,551,545	108,936,647
2	Unrecognized investment losses (gains)	0	0
3	Actuarial value [AV]	123,551,545	108,936,647
C	**Funded position**		
1	Unfunded account limit [QAAL - AV]	81,919,091	134,096,544
2	Contributions received in trust, but not yet deducted		
	Through 2010	0	0
	2011	0	0
	2012	0	0
	2013	0	0
	2014	0	0
	2015	0	0
	2016	0	0
	2017	0	0
	Total	0	0
D	**Employer deductions for contributions to VEBAs**		
1	Maximum deduction available[1] [C.1 + Total of C.2]	81,919,091	134,096,544
2	Qualified additions		
	a Prior years' carryover	0	0
	b Current year additions	0	0
	c Total deductions available [a + b]	0	0
3	Other non-deductible current year additions	0	0
4	Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

All monetary amounts shown in US Dollars

Union Medical and Dental	2017	2016
A Qualified Asset Account Limit (QAAL)		
1 December 31 present value of projected benefits	165,029,869	193,327,720
2 Unrecognized liability	0	0
3 QAAL	165,029,869	193,327,720
B Assets		
1 Market value as of December 31	503,539,811	444,403,072
2 Unrecognized investment losses (gains)	0	0
3 Actuarial value [AV]	503,539,811	444,403,072
C Funded position		
1 Unfunded account limit [QAAL - AV]	(338,509,942)	(251,075,352)
2 Contributions received in trust, but not yet deducted		
Through 2010	0	0
2011	0	0
2012	0	0
2013	0	0
2014	0	0
2015	0	0
2016	0	0
2017	0	0
Total	0	0
D Employer deductions for contributions to VEBAs		
1 Maximum deduction available[1] [greater of C.1+C.2 and 0]	0	0
2 Qualified additions		
a Prior years' carryover	0	0
b Current year additions	0	0
c Total deductions available [a + b]	0	0
3 Other non-deductible current year additions	0	0
4 Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

All monetary amounts shown in US Dollars

Non-Union Retiree Medical and Dental		2017	2016
A	**Qualified Asset Account Limit (QAAL)**		
1	December 31 actuarial accrued liability	74,123,094	190,692,055
2	Unrecognized liability	0	0
3	QAAL	74,123,094	190,692,055
B	**Assets**		
1	Market value as of December 31	609,024,241	579,696,246
2	Unrecognized investment losses (gains)	0	0
3	Actuarial value [AV]	609,024,241	579,696,246
C	**Funded position**		
1	Unfunded account limit [QAAL - AV]	(534,901,147)	(389,004,191)
2	Contributions received in trust, but not yet deducted		
	Through 2010	178,908,056	178,908,056
	2011	38,701,148	38,701,148
	2012	68,292,490	68,292,490
	2013	0	0
	2014	0	0
	2015	0	0
	2016	0	0
	2017	0	0
	Total	285,901,694	285,901,694
D	**Employer deductions for contributions to VEBAs**		
1	Maximum deduction available[1] [greater of C.1+C.2 and 0]	0	0
2	Qualified additions		
	a Prior years' carryover	0	0
	b Current year additions	0	0
	c Total deductions available [a + b]	0	0
3	Other non-deductible current year additions	0	0
4	Total additions [2.c + 3]	0	0

[1] Includes amounts not contributed.

2.7 Cumulative nondeductible contributions

All monetary amounts shown in US Dollars

Non-Union Retiree Medical and Dental VEBAs

	Contributions Made by December 31, 2017, but Not Deducted as of December 31, 2016	Deductible in 2017	Remaining Nondeductible Contributions as of December 31, 2017
Through 2006	$0	$0	$0
2007	0	0	0
2008	0	0	0
2009	105,440,603	0	105,440,603
2010	73,467,453	0	73,467,453
2011	38,701,148	0	38,701,148
2012	68,292,490	0	68,292,490
2013	0	0	0
2014	0	0	0
2015	0	0	0
2016	0	0	0
2017	0	0	0
Total	$285,901,694	$0	$285,901,694

Retiree Life Insurance VEBAs

	Contributions Made by December 31, 2017, but Not Deducted as of December 31, 2016	Deductible in 2017	Remaining Nondeductible Contributions as of December 31, 2017
Through 2006	$0	$0	$0
2007	0	0	0
2008	0	0	0
2009	0	0	0
2010	0	0	0
2011	0	0	0
2012	0	0	0
2013	0	0	0
2014	0	0	0
2015	0	0	0
2016	0	0	0
2017	0	0	0
Total	$0	$0	$0

2.8 Development of maximum deductible contribution – 401(h)

All monetary amounts shown in US Dollars

Plan Year Beginning		January 1, 2018
A	**Development of Maximum Deductible Contribution**	
1	Present value of projected benefits	499,179,963
2	Fair value of assets	472,532,349
3	Unfunded surplus [1 - 2]	26,647,614
4	Average present value of future service	9
5	Preliminary maximum deductible contribution	
	a 10% of unfunded surplus [10% x A.3]	2,664,761
	b Aggregate normal cost [A.3 / A.4]	2,960,398
	c Greater of A.5.a, A.5.b and 0	2,960,398
6	Preliminary maximum 2017 contribution [1.0575 x A.5.c]	3,130,621
7	Subordination test (development shown below)	112,255,542
8	Maximum deductible contribution ignoring expenses [lesser of A.6 and A.7]	3,130,621
9	Total trust expenses paid from 401(h) account during 2017	1,865,008
10	Maximum deductible contribution including expenses [A.8 + A.9]	4,995,629

B Subordination Test

Year-by-year minimum of actual pension plan contribution and pension plan normal cost with interest

Year	West Plan	East Plan	Combined Plan
1992	9,766,169	N/A	N/A
1993	22,392,743	N/A	N/A
1994	21,208,326	N/A	N/A
1995	21,683,436	N/A	N/A
1996	20,271,648	N/A	N/A
1997 - 2002	0	N/A	N/A
2003	19,197,145	39,165,054 *	N/A
2004	18,614,338	56,614,811	N/A
2005	16,222,550	55,872,817	N/A
2006	0	0	N/A
2007	0	0	N/A
2008	0	0	0
2009	N/A	N/A	100,540,448
2010	N/A	N/A	125,586,018
2011	N/A	N/A	62,751,522
2012	N/A	N/A	0
2013	N/A	N/A	65,249,050
2014	N/A	N/A	0
2015	N/A	N/A	81,674,776
2016	N/A	N/A	84,696,307
2017	N/A	N/A	93,590,761
Cumulative pension contributions not for past service	149,356,355	151,652,682	915,097,920
	x 1/3	x 1/3	x 1/3
	49,785,452	50,550,894	305,032,640
Cumulative 401(h) contributions before plan year 2018	49,785,452	50,550,894	192,777,098
Subordination limit	0	0	112,255,542

* Includes only portion of normal cost and contributions after 401(h) account adoption for indicated year

2.9 Expected benefit disbursements, administrative expenses, and participant contributions

All monetary amounts shown in US Dollars

			January 1, 2018	January 1, 2017
A	**Medical and Dental**			
	1	Gross disbursements	105,164,950	120,622,418
	2	Participant contributions	(34,357,139)	(37,412,351)
	3	Net disbursements	70,807,811	83,210,067
B	**Life Insurance**			
	1	Gross disbursements	18,826,762	18,341,789
	2	Participant contributions	(1,248,710)	(1,336,152)
	3	Net disbursements	17,578,052	17,005,637
C	**Gross without RDS**			
	1	Gross disbursements	123,991,712	138,964,207
	2	Participant contributions	(35,605,849)	(38,748,503)
	3	Net disbursements	88,385,863	100,215,704
D	**RDS***			
	1	Gross disbursements	(40,836)	(46,888)
	2	Participant contributions	0	0
	3	Net disbursements	(40,836)	(46,888)
E	**Net with RDS**			
	1	Gross disbursements	123,950,876	138,917,319
	2	Participant contributions	(35,605,849)	(38,748,503)
	3	Net disbursements	88,345,027	100,168,816

* 2017-2018 RDS payments expected to be received in 2019-2020.

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Section 3: Data exhibits

3.1 Plan participant data

All monetary amounts shown in US Dollars

Census Date	January 1, 2018	January 1, 2017
A Participating Employees		
1 Number		
a Fully eligible	1,959	1,778
b Other	11,582	12,947
c Total participating employees	13,541	14,725
2 Average age (years)	50.07	49.33
3 Average credited service (years)	20.83	20.11
4 Average future working life (years)		
a to full retirement age	12.766	13.292
b to full eligibility age	11.584	11.830
B Retirees and Surviving Spouses		
1 Retirees and Surviving Spouses		
a Number under 65	3,183	3,281
b Number 65 and older	14,146	13,999
c Total[1]	17,329	17,280
d Average age (years)	73.7	73.5

e. Age Distribution at January 1, 2018

Age	Number
Under 55	131
55-59	726
60-64	2,326
65-69	3,551
70-74	3,672
75-79	2,482
80-84	1,939
85 and over	2,502

[1] Includes 356 disabled participants in 2018 and 362 disabled participants in 2017. These participants were not included in the calculation of the other data statistics in this section.

Census Date	January 1, 2018	January 1, 2017
C Dependents		
1 Number	8,207	8,293
2 Average Age	69.26	69.07
3 Age Distribution at January 1, 2018		

Age	Number
Under 55	265
55-59	703
60-64	1,619
65-69	2,028
70-74	1,674
75-79	984
80-84	535
85 and over	399

3.2 Age and service distribution of participating employees

All monetary amounts shown in US Dollars

Attained Age	Attained Years of Credited Service and Number								
	0-4	5-9	10-14	15-19	20-24	25-29	30-34	Over 34	Total
Under 25	19	2	0	0	0	0	0	0	21
25-29	153	203	10	0	0	0	0	0	366
30-34	168	492	357	9	0	0	0	0	1,026
35-39	130	455	603	199	4	0	0	0	1,391
40-44	87	354	550	386	100	1	0	0	1,478
45-49	85	274	427	356	265	191	9	0	1,607
50-54	49	198	307	339	259	534	464	55	2,205
55-59	39	137	246	203	202	409	829	976	3,041
60-64	30	80	107	133	101	207	330	1,006	1,994
65-69	13	23	33	24	23	30	43	169	358
70 & over	1	5	9	12	2	7	3	15	54
Total	774	2,223	2,649	1,661	956	1,379	1,678	2,221	13,541

Average: Age 50.1
Service 20.8

Number of Participants: Fully eligible 1,959
Other 11,582

Males 11,102
Females 2,439

Census data as of January 1, 2018

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Appendix A: Statement of actuarial assumptions and methods

Actuarial Assumptions and Methods — Postretirement Welfare Cost and Funding/Tax Deductions Based on Plan Year beginning January 1, 2018

Economic Assumptions

	Postretirement Welfare Cost	Plan Reporting	Employer Contributions
Discount rate[1]	3.60%	3.60%	N/A
Rates of return on assets, pre-tax:[1]			
401(h) accounts	N/A	N/A	5.75%
Life insurance	N/A	N/A	8.25%
Union medical/dental	N/A	N/A	6.25%
Non-union medical/dental	N/A	N/A	5.36%
Aggregate	6.00%	N/A	N/A
Annual rates of compensation increase[1]			
Representative rates	Age	Rate	
	< 26	12.00%	
	26 – 30	8.50	
	31 – 35	7.00	
	36 – 40	6.00	
	41 – 45	5.00	
	46 – 50	4.00	
	> 50	3.50	
Weighted average		4.85%	
Medical cost trend rate[2]	2018	6.50%	
	2019	6.25%	
	2020	6.00%	
	2021	5.75%	
	2022	5.50%	
	2023	5.25%	
	2024+	5.00%	
Dental cost trend rate[2]	2018+	3.00%	

[1] Only discount rate and asset return assumptions vary between the reporting standards. All other assumptions are consistent throughout.
[2] 0% trend assumed for non-union VEBA account limit.

Medicare covered charges trend rate	Same as medical cost trend
Retiree contribution trend rate	Same as medical cost trend. For capped retirees, future retiree contributions are developed based on expected gross costs compared to the applicable cap.

Participation Assumptions

Inclusion Date	The valuation date coincident with or next following the date on which the employee is hired.	
New or rehired employees	It was assumed there will be no new or rehired employees.	
	Current Retirees	*Future Retirees*
Participation	Based on valuation census data.	85% in 2018 and 2019 with the rate decreasing by 5% annually to an ultimate rate of 75% in 2021.
Persistency	Non-capped retirees will drop coverage at a rate of 2% annually and Capped retirees will drop coverage at a rate of 4% annually.	Same as current retirees
Percentage of retiree with spousal coverage	Based on valuation census data.	72.6% for males, 52.6% for females.
Spouse age	Based on valuation census data.	Wife three years younger than husband.

Demographic Assumptions

Mortality	Base mortality rates are derived from the RP-2014 mortality table with improvements factored to 2006 and no collar adjustments. Mortality improvements are projected forward on a generational basis using an adjusted version of Scale MP-2017. The adjustment reflects 75% of the long-term improvement rates.

Disabled mortality (through age 65)

Rates vary by age and sex.

Representative rates:

Age	Males	Females
30	2.60%	2.60%
40	2.60	2.60
50	3.10	3.10
60	6.20	6.20

Disability

Rates apply to employees not eligible to retire and vary by age and sex.

Representative rates:

Percentage becoming disabled during the year		
Age	Males	Females
20	0.060%	0.090%
30	0.060	0.090
40	0.074	0.110
50	0.178	0.270
60	0.690	1.035

Termination (not due to disability or retirement)

Rates apply to employees not eligible to retire and vary by age and service.

Representative rates:

Percentage leaving during the year		
Attained Age	Less than five years of service	Five or more years of service
< 25	8.00%	7.30%
25 – 29	8.00%	5.00%
30 – 34	8.00%	4.20%
35 – 39	8.00%	3.40%
40 – 44	8.00%	2.50%
45 – 49	8.00%	1.90%
50 +	8.00%	1.70%

Retirement

Rates vary by age.

Representative rates:

Percentage retiring during the year	
Age	Rate
55 – 57	1.00%
58 – 60	6.00%
61 – 63	16.00%
64 – 69	13.00%
70 +	100.00%

2018 Per Capita Claims Costs

Medical

Prior to age 65[1]

Age	HSA Basic	HSA Plus	HRA
< 29	3,128	3,449	3,811
30 – 34	3,827	4,219	4,663
35 – 39	4,047	4,462	4,931
40 – 44	4,426	4,880	5,393
45 – 49	5,107	5,631	6,223
50 – 54	6,271	6,914	7,641
55 – 59	7,530	8,302	9,174
60 – 64	9,318	10,273	11,353
Average	8,685	9,575	10,581

Age 65 and after

Age	Medicare Select	Medicare Standard	CSP
65 – 69	3,541	2,629	1,798
70 – 74	3,915	2,884	1,991
75 – 79	4,175	3,029	2,143
80 – 84	4,244	3,043	2,208
85 – 89	4,119	2,903	2,204
90 – 94	3,711	2,568	2,064
≥ 95	3,203	2,151	1,932
Average	3,936	2,790	2,149

Medicare Part D - RDS

Age	Medicare Advantage	CSP
65 – 69	N/A	(238)
70 – 74	N/A	(259)
75 – 79	N/A	(267)
80 – 84	N/A	(265)
85 – 89	N/A	(247)
90 – 94	N/A	(213)
≥ 95	N/A	(172)
Average	N/A	(244)

Medicare Part D - Employer Group Waiver Plan (EGWP) for Medicare Advantage plans

Age	CMS Direct Payments & Catastrophic Reinsurance	Manufacturer's Coverage Gap Discount
65 – 69	(376)	(441)
70 – 74	(409)	(479)
75 – 79	(422)	(495)
80 – 84	(418)	(490)
85 – 89	(390)	(457)
90 – 94	(337)	(395)
≥ 95	(271)	(317)
Average	(397)	(465)

[1] Pre-65 per capita claims costs do not include the 5% adjustment for potential dependent children covered under the plan.

Dental	$357
Administrative expenses	Included in claims costs shown above.

Additional Assumptions

Excise tax	To determine impact of the excise tax on the non-UMWA postretirement plan, we projected future gross plan costs using the valuation trend assumption and compared these on a year-by-year basis to the excise tax thresholds beginning in 2018 and projected to future years using CPI (CPI + 1% for 2019). The expected cost of each non-UMWA benefit combination, which were blended pre-65/post-65 based on headcounts, exceeded these thresholds at various points in time, but no earlier than 2040.
Timing of benefit payments	Benefit payments are assumed to be made uniformly throughout the year and on average at mid-year.

Methods

Census date	January 1, 2018
Measurement date	January 1, 2018
Service cost and APBO	Costs are determined using the Projected Unit Credit Cost Method. The annual service cost is equal to the present value of the portion of the projected benefit attributable to service during the upcoming year, and the Accumulated Postretirement Benefit Obligation (APBO) is equal to the present value of the portion of the projected benefit attributable to service before the valuation date. Service from hire date through the expected full eligibility date is counted in allocating costs.
Market-related value of assets	The fair value of assets on the measurement date.

Amortization of unamortized amounts:

Prior service cost (credit)	Increase in APBO resulting from a plan amendment is amortized on a straight-line basis over the average expected remaining service of active participants expected to benefit under the plan. Amortization of net prior service cost/(credit) resulting from a plan change is included as a component of Net Periodic Postretirement Benefit Cost/(Income) in the year first recognized and every year thereafter until such time as it is fully amortized. The annual amortization payment is determined in the first year as the increase in APBO due to the plan change divided by the average remaining service period to full eligibility for participating employees expected to receive benefits under the Plan. Reductions in APBO first reduce any unrecognized prior service cost; any remaining amount is amortized on a straight-line basis as described above.

Net loss (gain)	Amortization of the net gain or loss resulting from experience different from that assumed and from changes in assumptions (excluding asset gains and losses not yet reflected in market-related value) is included as a component of Net Periodic Postretirement Benefit Cost/(Income) for a year. Net loss (gain) in excess of 10% of the greater of APBO or the market-related value of assets is amortized on a straight-line basis over the average expected remaining service of active participants expected to benefit under the plan.
ASC 965 (formerly SOP 92-6)	
Present value of benefits	Present value of benefits is equal to the present value of the portion of the projected benefit attributable to service before the valuation date. Service from hire date through the expected full eligibility date is counted in allocating costs.
Funding policy	AEP's funding policy is to contribute an amount equal to the postretirement welfare cost plus retiree drug subsidy payments received (the sum of which can be no less than zero). AEP maximizes its contribution to the 401(h) account and contributes the remainder to the VEBAs.
Benefits Not Valued	All benefits described in the Plan Provisions section of this report were valued. Life insurance benefits in excess of $50,000 and health care benefits for key employees were not included in determining the maximum deductible contribution. Willis Towers Watson has reviewed the plan provisions with AEP and based on that review is not aware of any significant benefits required to be valued that were not included.
Change in Assumptions and Methods Since Prior Valuation	▪ The discount rate for APBO was changed from 4.10% to 3.60%. ▪ Per capita claims costs were updated to reflect 2016 claims experience and the adoption of Medicare Advantage plans for most post-65 retirees. An explicit child cost load was added. ▪ The expected return on assets assumption was reduced 75 basis points to 6.00%. ▪ The mortality improvement projection was updated to the MP-2017 scale, adjusted to reflect 75% of the long-term improvement rates. ▪ In conjunction with the Medicare Advantage change, the participation assumption was changed to 85% in 2018 and 2019, reduced by 5% per year to 75% in 2021 and beyond.

Data Sources

American Electric Power (AEP), through Mercer, its third party administrator, furnished active and inactive participant data as of January 1, 2018. AEP also provided the accrued postretirement benefit costs as of December 31, 2017. Health plan vendors furnished the claims cost data. AEP supplied 2017 EGWP payments and prescription drug rebates. Data were reviewed for reasonableness and consistency, but no audit was performed. Based on discussions with the plan sponsor, assumptions or estimates were made when data were not available, and the data were adjusted to reflect any significant events that occurred between the date the data were collected and the measurement date. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

Assumptions Rationale - Significant Economic Assumptions – Funding and Accounting

Interest rate (funding)	The interest rate is the expected rate of return on plan assets, and represents an estimate of future experience for trust asset returns, reflecting the plan's current asset allocation, and current and expected future market conditions.
Rates of increase in:	
Plan administrative expenses	Administrative expenses are included in per capita claims costs and thus the medical plan trend rate is applied to these expenses.
Claims cost trend rates	Assumed increases were chosen by the plan sponsor and, as required by U.S. GAAP, they represent an estimate of future experience, informed by an analysis of recent plan experience, leading to select and ultimate assumed trend rates and reflecting the expected near-term effect of recently enacted plan changes. In setting near term trend rates, other pertinent statistics were considered, including surveys on general medical cost increases. In setting the ultimate trend rate, considerations included assumed GDP growth consistent with the assumed future economic conditions inherent in other economic assumptions chosen by the client at the measurement date. After examining historical variability in trend rates, we believe that the selected assumptions do not significantly conflict with what would be reasonable based on a combination of market conditions at the measurement date and future expectations consistent with other economic assumptions used, other than the discount rate. For the medical VEBA funding limit of the non-bargained group, no future increases in medical costs have been assumed, in accordance with U.S. tax law.
Participant contribution trend rates	In accordance with the substantive plan communicated to participants, participant contributions for non-capped participants are intended to remain a fixed percentage of total plan costs, and thus the trend rates, and the description of the derivation of the trend rates, are the same as for claims costs as shown above.
Basis for Per Capita Claims Cost Assumptions	
Pre-65 retiree medical rates	Aetna, Anthem, ESI and Magellan supplied data on retiree medical claims incurred in 2016 and paid through March 2017. AEP reported prescription rebates they received for 2016. Claim experience rates were calculated for medical plans by normalizing claims experience for benefit differences and combining, then dividing combined incurred claims, net of prescription rebates by covered lives and trending forward two years to 2018. Adjustments for plan design and network changes were also made. Finally, administrative expense rates were added to claims cost rates. Claims cost models were developed by age-grading these claims rates over standard Willis Towers Watson morbidity curves for both medical and prescription drugs to develop the quinquennial claims cost models.

Post-65 retiree medical rates	2018 monthly claim rates were calculated separately for MOB, COB and CSP Medicare-eligible plans by dividing 2016 incurred claims (Rx only, except for CSP) paid through March 2017 by covered lives and trending forward two years to 2018. Prescription drug claim rates were then multiplied by pricing change factors representing the effect of any pricing and other program changes for 2017 and 2018. Next, 2018 premium rates for new Medicare Advantage plans were added. Finally, administrative expense rates were added to claims cost rates. Claims cost models were developed separately for medical and prescription drug by age-grading these rates over standard Willis Towers Watson morbidity curves for medical and prescription drugs to develop quinquennial age-banded claims cost models.
Dental rates	Aetna supplied data on dental claims incurred in 2016 and paid through March 2017. Combined claims experience for all active and retired employees was analyzed to derive the 2016 dental claim rates. The single coverage rate was trended to 2018 and administrative costs were added to derive the per capita claims cost assumptions.

Medicare Part D offsets

- RDS

We calibrated our modelling tool to reflect the 2018 cost of the current prescription drug plans for AEP's CSP retirees. The tool employs a continuance table of annual retiree drug utilization levels, developed from analyzing the experience of many large companies, reflecting $2.4 million Medicare-eligible members' experience from 2014.

After the plan-specific benefit provisions have been calibrated to current costs, the Modeler trends costs forward to 2018. Actuarial equivalence was determined using the following two-prong approach outlined in the regulations for Medicare Part D:

Gross Value Test – The Modeler calculates the value of standard Medicare Part D coverage and compares it to AEP's plan costs. AEP's plans passed this test by being richer than the projected value of standard Medicare part D coverage for these groups.

Net Value Test – The net value prong of the test compares the value of Standard Part D coverage in 2018 minus the greater of $695.16 per year (the national average Part D premium) and 25.5% of the gross value of Part D to the projected 2018 value of AEP coverage minus the average projected 2018 retiree contribution rate. For this purpose, retiree contributions were assumed to apply pro rata between the value of medical benefits and prescription drug benefits.

When the plans are deemed to be actuarially equivalent, the tool calculates the average expected value of the employer subsidy in 2018, using the continuance table calibrated to AEP's CSP plan costs. This produced a 2018 per person employer subsidy of $244 for CSP, which was then converted to rates that varied by participant age band using Willis Towers Watson's prescription drug morbidity factors.

- EGWP

Estimated plan cost offsets associated with the EGWP arrangement were developed using actual 2017 payments AEP received for direct payments, coverage gap discounts and reinsurance payments. An estimate of the change in direct monthly government payments under the EGWP from 2017 to 2018 was provided by Express Scripts based on average Part D plan payments risk-adjusted for AEP's post-65 retiree population. Express Scripts also provided an estimate of catastrophic reinsurance payments for

2016 and actual coverage gap discounts earned for 2016. These amounts were trended to 2018, then converted to rates varying by quinquennial age band using Willis Towers Watson's standard prescription drug morbidity factors.

Assumptions Rationale - Significant Demographic Assumptions

Healthy Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Disabled Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Termination	Termination rates are based on a recent demographic study and plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by termination patterns different than assumed.
Disability	Disability rates are based on plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by disability patterns different than assumed.
Retirement	Retirement rates are based on a recent demographic study and plan sponsor expectations for the future with periodic monitoring of observed gains and losses caused by retirement patterns different than assumed.
Participation	
▪ Participants/ Spouses	The assumed coverage rates for participants and spouses reflect historical experience as well as anticipated future reductions in rates due to expected rates of increase in participant contributions and availably of coverage through public exchanges.
▪ Covered dependents	The assumed dependent coverage is based on the dependent coverage observed among recent retirees and general population statistics on the marital status of individuals of retirement age.
▪ Covered Spouse age	The assumed age difference for spouses is based on the age difference observed among recent retirees and general population statistics of the age difference for married individuals of retirement age.

Source of Prescribed Methods

Funding methods	The methods used for determining maximum deductible contributions to the 401(h) account and VEBA are chosen from acceptable methods prescribed by law.

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Appendix B: Summary of substantive plan provisions

Health Care Benefits

Eligibility

Participants are eligible upon retirement after age 55 with ten years of service or upon attaining age 55 with ten years of service after becoming permanently disabled. If involuntary termination, then eligible after age 50 with ten years of service.

Employees hired on or after January 1, 2014 are not eligible to participate in the plan.

Surviving spouse

After the death of a retiree or active employee eligible to retire, surviving spouses are eligible until death or remarriage. Surviving children are also eligible, subject to the limiting age provision outlined above.

Dependent

Eligible dependents are spouse, unmarried children under age 19 (age 25 if a full-time student) and unmarried disabled children of any age.

Benefits – Post-65

The AEP Post-65 Medical Plan provides broad medical coverage through two Medicare Advantage plans with $2,000 annual out-of-pocket maximums. Key differences between the two options offered to retirees are:

	Medicare Select	*Medicare Standard*
Deductible	$0	$200
Coinsurance	5%	20%
In-patient copay	$250 per stay	$200 per day (1-5)

Prescription drug benefits are provided under a separate design with the following copayments for those who do not enroll in a consumer driven health plan:

	Generic	*Brand Name Formulary*	*Brand Name Nonformulary*
30-day retail	$10 copay	20% $20 minimum $100 maximum	35% $35 minimum $200 maximum
90-day retail	$20 copay	20% $50 minimum $200 maximum	35% $90 minimum $300 maximum

Prescription drug benefits are also subject to a $50 deductible and a $1,000 out-of-pocket maximum per person.

Deductibles and out-of-pocket maximums are assumed to increase over time at approximately the same rate as benefit costs.

Benefits – Pre-65

Pre-65 retirees can elect coverage under the following plan options:

	HRA	HSA Plus	HSA Basic
Embedded Individual Amounts	None	Out-of-Pocket Maximum only	Deductible & Out-of-Pocket Maximum
Deductible			
■ Individual	$1,500	$2,000	$2,700
■ Two Person	$2,250	$3,000	$5,400
■ Family	$3,000	$4,000	$8,100
AEP Account Seed			
■ Single	$1,000	$500	$0
■ Two Person	$1,500	$750	$0
■ Family	$2,000	$1,000	$0
Coinsurance	85%	85%	90%
Out-of-Pocket Maximum			
■ Individual	$4,000	$4,000	$4,000
■ Two Person	$6,000	$6,000	$8,000
■ Family	$8,000	$8,000	$12,000

Deductibles and out-of-pocket maximums are assumed to increase over time at approximately the same rate as benefit costs.

Postretirement contributions

Participant contributions are determined as a percentage of plan costs and vary by points (age at retirement plus service) as follows:

Points	*Retiree Cost*
65-69	46%
70-74	42
75-79	36
80-84	32
85-89	26
90-94	22
95+	20
Grandfathered	20

For participants retiring on or after January 1, 2013, AEP's subsidy is capped at $11,500 and $3,800 times employer cost sharing percentage for pre-65 and post-65 participants, respectively.

For East participants who retired prior to January 1, 1989, and West participants who retired prior to January 1, 1993, no contributions are required.

For East participants who retired on or after January 1, 1989, and West participants who retired on or after January 1, 1993, the 20% "Grandfathered" contributions are in effect if they retired by December 31, 2000, or attained age 50 and had ten or more years of service with the company on that date. The percentages described above are applied to plan costs that differ from the per capita claims costs assumed in the valuation as follows:

The Medicare status of dependents is not used to determine whether "pre-65" or "post-65" rates apply. The pre-65 plan rates used to calculate participant contributions are a blend of pre-65 retiree costs and active employee costs for those participants retired prior to January 1, 2013, only.

For purposes of determining retiree contribution rates, AEP excludes the value of the government's monthly direct payment amount and its catastrophic reinsurance payments from offsetting the plan cost to which the contribution percentages are applied.

Disabled employee contributions

Disabled employees have a provision where active employee contribution rates are charged while an employee remains disabled and is receiving LTD benefits.

If an employee retires while disabled and became disabled before January 1, 2001, a waiver of premium provision continues for life as long as the retirement commenced on or before September 1, 2013. If an employee retires while disabled and became disabled after January 1, 2001, the employee will continue to accrue points as if actively-at-work until age 65 and be subject to the same contribution schedule as normal retirees.

Those participants retiring after January 1, 2013, pay a percentage of true pre-65 retiree costs.

Life Insurance Benefits

Grandfathered participants

Participants over age 50 with ten years of service as of December 31, 2000.

Grandfathered benefits

Grandfathered participants have the option of keeping current coverage. Active employee coverage for grandfathered East participants is one times final base pay at no cost with the option to buy up to two times base pay. The entire amount of coverage (basic plus supplemental) in force prior to retirement can be carried into retirement subject to reduction beginning at age 66. Current coverage for grandfathered West participants is one and one-half times final base pay prior to age 60, one times final base pay from age 60 to 64 and one-half times final base pay after age 65.

Life Insurance Benefit Reduction Table for Grandfathered East Participants

Years of Coverage	*Age 66*	*Age 67*	*Age 68*	*Age 69*	*Age 70 or Over*
10 – 11	65%	55%	45%	35%	25%
11 – 12	70	60	50	40	30
12 – 13	75	65	55	45	35
13 – 14	80	70	60	50	40
14 – 15	85	75	65	55	45
15 or more	90	80	70	60	50

Grandfathered contributions

Grandfathered East retirees must contribute $0.60/$1,000 of coverage (basic + supplemental) per month. West retirees are not required to contribute to the cost of coverage.

Nongrandfathered benefits

$30,000 for those hired before January 1, 2011. No benefit for those hired on or after January 1, 2011.

Dental Benefits

Eligibility	Participants, including retirees and surviving dependents, are eligible upon retirement after age 55 with ten years of service. There is a one-time election and if coverage terminates there is no opportunity to reenroll. Employees hired on or after January 1, 2014 are not eligible to participate in the plan.
Benefits	The AEP Dental Plan provides dental coverage with a deductible of $50 single/$150 family, 100% coinsurance for preventive care, 80% coinsurance for basic restorative care, 50% coinsurance for major restorative care and 50% coinsurance for orthodontia. Most retirees pay the full cost of dental coverage if they enroll. CSW employees who retire before January 1, 1993, contribute nothing to enroll for dental coverage. Former CSW employees retiring after January 1, 1993, who were either retired or had attained age 50 with ten years of service as of January 1, 2001, pay 40%.

Changes in Benefits Valued Since Prior Year

Consistent with disclosure, this valuation reflectes the move to Medicare Advantage coverage for the vast majority of the post-65 retirees and beneficiaries. For accounting purposes, this change is reflected as an actuarial gain.

Overview of Benefits Provided by Funding Vehicles

Funding vehicle	Provides for
Non-union postretirement medical/dental VEBAs	100% of medical benefits to non-union employees before 2018 and 9.5% of retiree medical benefits incurred thereafter. 100% of dental benefits to non-union employees.
Union postretirement medical/dental VEBAs	100% of medical/dental benefits to union employees.
Postretirement life insurance VEBA	Life insurance benefits for all retirees.
401(h) account	90.5% of retiree medical benefits incurred after 2018 for non-union retirees.

Appendix C: Results by business unit

Summary of key assumptions for Appendix C of 2018 NUMWA Postretirement Health Care Plan valuation report:

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Discount Rate	3.60%	3.68%	3.73%	3.76%	3.79%	3.81%	3.83%	3.85%	3.87%	3.90%	3.90%
Expected Return on Assets	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%	6.00%
Actual Return on Assets	5.50%	5.50%	5.75%	5.75%	5.75%	5.75%	5.75%	5.75%	5.75%	6.00%	6.00%
Initial Medical Trend	6.50%	6.25%	6.00%	5.75%	5.50%	5.25%	5.00%	5.00%	5.00%	5.00%	5.00%

Mortality table	RP-2014, factored to 2006, no collar adjustment, headcount weighted
Mortality projection scale	MP-2017 adjusted to reflect 75% of the long-term improvement rates
Valuation and data	January 1, 2018
Per capita claims cost	2018 cost models based on actual claims experience incurred through December 31, 2016

Non-UMWA PRW Plan participation assumption: 85% of future retirees will elect coverage in 2018 and 2019, with rate decreasing by 5% annually to ultimate rate of 75% in 2021.

Non-UMWA PRW Plan persistency assumption: Non-capped retirees will drop coverage at a rate of 2% annually; capped retirees will drop coverage at a rate of 4% annually.

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
SUMMARY OF PLAN PARTICIPANTS FOR THE 2018 VALUATION

		Nonretired Participants		Retired and Disabled Participants				
	Location	Active	Total	Retiree	Dependent Spouse	Surviving Spouse	Disabled	Total
140	Appalachian Power Co. - Distribution	854	854	1,038	658	359	52	2,107
215	Appalachian Power Co. - Generation	641	641	964	644	228	30	1,866
150	Appalachian Power Co. - Transmission	4	4	136	103	13	5	257
	Appalachian Power Co. - FERC	**1,499**	**1,499**	**2,138**	**1,405**	**600**	**87**	**4,230**
225	Cedar Coal Co	0	0	5	2	12	0	19
	Appalachian Power Co. - SEC	**1,499**	**1,499**	**2,143**	**1,407**	**612**	**87**	**4,249**
211	AEP Texas Central Company - Distribution	778	778	812	478	285	19	1,594
147	AEP Texas Central Company - Generation	0	0	0	0	0	0	0
169	AEP Texas Central Company - Transmission	120	120	74	42	32	1	149
	AEP Texas Central Co.	**898**	**898**	**886**	**520**	**317**	**20**	**1,743**
119	AEP Texas North Company - Distribution	212	212	235	134	64	9	442
166	AEP Texas North Company - Generation	0	0	94	49	30	0	173
192	AEP Texas North Company - Transmission	55	55	33	17	13	0	63
	AEP Texas North Co.	**267**	**267**	**362**	**200**	**107**	**9**	**678**
	AEP Texas	**1,165**	**1,165**	**1,248**	**720**	**424**	**29**	**2,421**
170	Indiana Michigan Power Co. - Distribution	464	464	606	321	228	9	1,164
132	Indiana Michigan Power Co. - Generation	197	197	328	217	82	7	634
190	Indiana Michigan Power Co. - Nuclear	918	918	465	282	77	6	830
120	Indiana Michigan Power Co. - Transmission	96	96	125	85	20	2	232
280	Ind Mich River Transp Lakin	187	187	123	51	36	13	223
	Indiana Michigan Power Co. - SEC	**1,862**	**1,862**	**1,647**	**956**	**443**	**37**	**3,083**
110	Kentucky Power Co. - Distribution	205	205	182	98	46	11	337
117	Kentucky Power Co. - Generation	35	35	143	100	30	13	286
180	Kentucky Power Co. - Transmission	1	1	16	11	2	0	29
600	Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	0
701	Kentucky Power Co. - Mitchell Actives	215	215	0	0	0	0	0
702	Kentucky Power Co. - Mitchell Inactives	0	0	131	98	21	0	250
	Kentucky Power Co.	**456**	**456**	**472**	**307**	**99**	**24**	**902**
250	Ohio Power Co. - Distribution	1,263	1,263	1,560	910	454	33	2,957
160	Ohio Power Co. - Transmission	6	6	196	131	60	4	391
	Ohio Power Co.	**1,269**	**1,269**	**1,756**	**1,041**	**514**	**37**	**3,348**
167	Public Service Co. of Oklahoma - Distribution	528	528	511	309	157	13	990
198	Public Service Co. of Oklahoma - Generation	310	310	204	125	58	6	393
114	Public Service Co. of Oklahoma - Transmission	71	71	55	37	18	0	110
	Public Service Co. of Oklahoma	**909**	**909**	**770**	**471**	**233**	**19**	**1,493**
159	Southwestern Electric Power Co. - Distribution	432	432	318	187	81	11	597
168	Southwestern Electric Power Co. - Generation	517	517	278	178	85	10	551
161	Southwestern Electric Power Co. - Texas - Distribution	186	186	166	107	42	7	322
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	67	67	52	34	16	0	102
	Southwestern Electric Power Co.	**1,202**	**1,202**	**814**	**506**	**224**	**28**	**1,572**
230	Kingsport Power Co. - Distribution	46	46	46	26	12	2	86
260	Kingsport Power Co. - Transmission	0	0	9	4	1	0	14
	Kingsport Power Co.	**46**	**46**	**55**	**30**	**13**	**2**	**100**
210	Wheeling Power Co. - Distribution	42	42	59	33	25	0	117
200	Wheeling Power Co. - Transmission	0	0	3	2	6	0	11
	Wheeling Power Co.	**42**	**42**	**62**	**35**	**31**	**0**	**128**
103	American Electric Power Service Corporation	4,367	4,367	3,076	1,756	331	67	5,230
293	Elmwood	0	0	37	3	2	0	42
292	AEP River Operations LLC	0	0	161	43	5	0	209
	American Electric Power Service Corporation	**4,367**	**4,367**	**3,274**	**1,802**	**338**	**67**	**5,481**
270	Cook Coal Terminal	15	15	13	6	2	0	21
	AEP Generating Company	**15**	**15**	**13**	**6**	**2**	**0**	**21**
104	Cardinal Operating Company	255	255	210	133	53	3	399
181	Ohio Power Co. - Generation	189	189	1,189	763	293	10	2,255
	AEP Generation Resources - FERC	**444**	**444**	**1,399**	**896**	**346**	**13**	**2,654**
290	Conesville Coal Preparation Company	0	0	13	10	1	0	24
	AEP Generation Resources - SEC	**444**	**444**	**1,412**	**906**	**347**	**13**	**2,678**
175	AEP Energy Partners	66	66	2	2	0	0	4
171	CSW Energy, Inc.	0	0	8	2	0	0	10
419	Onsite Partners	4	4	0	0	0	0	0
	AEP Energy Supply	**514**	**514**	**1,422**	**910**	**347**	**13**	**2,692**
143	AEP Pro Serv, Inc.	0	0	1	1	0	0	2
	AEP Pro Serv, Inc.	**0**	**0**	**1**	**1**	**0**	**0**	**2**
245	Dolet Hills	195	195	15	15	1	13	44
	Dolet Hills	**195**	**195**	**15**	**15**	**1**	**13**	**44**
	Total	**13,541**	**13,541**	**13,692**	**8,207**	**3,281**	**356**	**25,536**

AMERICAN ELECTRIC POWER
NON-UMWA POST RETIREMENT WELFARE PLAN
2018 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$101,841,714	$7,528,926	$139,064,411	$619,667	$3,554,287	($8,131,298)	($5,097,397)	$746,697	($8,927,711)	($8,308,044)
215 Appalachian Power Co. - Generation	88,147,719	7,212,397	120,365,321	501,104	3,062,682	(7,037,935)	(4,162,884)	646,293	(7,491,844)	(6,990,740)
150 Appalachian Power Co. - Transmission	9,937,044	701,856	13,568,990	3,534	345,339	(793,399)	(781,538)	72,858	(1,156,740)	(1,153,206)
Appalachian Power Co. - FERC	**$199,926,477**	**$15,443,179**	**$272,998,722**	**$1,124,305**	**$6,962,308**	**($15,962,632)**	**($10,041,819)**	**$1,465,848**	**($17,576,295)**	**($16,451,990)**
225 Cedar Coal Co	437,335	56,084	597,179	0	14,743	(34,918)	(8,202)	3,207	(25,170)	(25,170)
Appalachian Power Co. - SEC	**$200,363,812**	**$15,499,263**	**$273,595,901**	**$1,124,305**	**$6,977,051**	**($15,997,550)**	**($10,050,021)**	**$1,469,055**	**($17,601,465)**	**($16,477,160)**
211 AEP Texas Central Company - Distribution	$70,930,838	$4,770,007	$96,855,746	$588,695	$2,489,602	($5,663,296)	($3,881,048)	$520,060	($6,534,682)	($5,945,987)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)	(15,337)
169 AEP Texas Central Company - Transmission	7,275,597	423,556	9,934,796	86,465	257,478	(580,902)	(391,921)	53,344	(662,001)	(575,536)
AEP Texas Central Co.	**$78,206,435**	**$5,193,563**	**$106,790,542**	**$675,160**	**$2,747,080**	**($6,244,198)**	**($4,288,306)**	**$573,404**	**($7,212,020)**	**($6,536,860)**
119 AEP Texas North Company - Distribution	20,839,894	1,354,047	28,456,783	172,833	732,301	(1,663,909)	(1,276,048)	152,797	(2,054,859)	(1,882,026)
166 AEP Texas North Company - Generation	4,881,735	415,454	6,665,988	0	168,330	(389,770)	(67,677)	35,793	(253,324)	(253,324)
192 AEP Texas North Company - Transmission	3,286,792	204,551	4,488,100	40,878	116,147	(262,426)	(233,844)	24,099	(356,024)	(315,146)
AEP Texas North Co.	**$29,008,421**	**$1,974,052**	**$39,610,871**	**$213,711**	**$1,016,778**	**($2,316,105)**	**($1,577,569)**	**$212,689**	**($2,664,207)**	**($2,450,496)**
AEP Texas	**$107,214,856**	**$7,167,615**	**$146,401,413**	**$888,871**	**$3,763,858**	**($8,560,303)**	**($5,865,875)**	**$786,093**	**($9,876,227)**	**($8,987,356)**
170 Indiana Michigan Power Co. - Distribution	$49,954,033	$3,924,641	$68,212,012	$380,207	$1,742,014	($3,988,456)	($2,601,438)	$366,260	($4,481,620)	($4,101,413)
132 Indiana Michigan Power Co. - Generation	31,132,457	2,609,460	42,511,233	168,031	1,080,263	(2,485,694)	(1,850,054)	228,261	(3,027,224)	(2,859,193)
190 Indiana Michigan Power Co. - Nuclear	52,134,132	3,169,264	71,188,927	878,802	1,851,923	(4,162,520)	(3,561,730)	382,244	(5,490,083)	(4,611,281)
120 Indiana Michigan Power Co. - Transmission	10,496,831	719,125	14,292,412	78,779	396,812	(835,698)	(596,815)	76,742	(988,959)	(910,180)
280 Ind Mich River Transp Lakin	11,599,598	696,745	15,716,305	141,688	407,016	(918,955)	(811,278)	84,388	(1,238,829)	(1,097,141)
Indiana Michigan Power Co. - SEC	**$155,197,051**	**$11,119,235**	**$211,920,889**	**$1,647,507**	**$5,448,028**	**($12,391,323)**	**($9,421,315)**	**$1,137,895**	**($15,226,715)**	**($13,579,208)**
110 Kentucky Power Co. - Distribution	$19,537,078	$1,284,965	$26,677,794	$123,155	$684,844	($1,559,889)	($1,210,578)	$143,245	($1,942,378)	($1,819,223)
117 Kentucky Power Co. - Generation	13,016,315	1,179,801	17,773,721	24,778	448,431	(1,039,255)	(611,828)	95,435	(1,107,217)	(1,082,439)
180 Kentucky Power Co. - Transmission	1,043,209	80,571	1,424,497	234	36,126	(83,292)	(198,150)	7,649	(237,667)	(237,433)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,530)	0	(42,530)	(42,530)
701 Kentucky Power Co. - Mitchell Actives	5,873,557	34,218	8,020,316	179,926	217,315	(488,960)	(168,767)	43,085	(369,347)	(189,421)
702 Kentucky Power Co. - Mitchell Inactives	9,910,993	1,007,988	13,533,417	0	338,812	(791,319)	(200,743)	72,857	(580,583)	(580,583)
Kentucky Power Co.	**$49,381,152**	**$3,587,543**	**$67,429,745**	**$328,093**	**$1,725,528**	**($3,942,715)**	**($2,424,596)**	**$362,061**	**($4,279,722)**	**($3,951,629)**
250 Ohio Power Co. - Distribution	$132,303,752	$9,945,357	$180,680,189	$926,469	$4,618,854	($10,563,464)	($5,890,962)	$970,642	($10,865,530)	($9,939,061)
160 Ohio Power Co. - Transmission	14,568,004	1,091,029	19,892,545	4,208	506,135	(1,163,146)	(1,031,548)	106,812	(1,582,747)	(1,578,539)
Ohio Power Co.	**$146,871,756**	**$11,036,386**	**$200,552,734**	**$930,677**	**$5,123,989**	**($11,726,610)**	**($6,922,510)**	**$1,076,854**	**($12,448,277)**	**($11,517,600)**
167 Public Service Co. of Oklahoma - Distribution	$43,234,647	$2,858,125	$59,036,720	$411,394	$1,518,482	($3,451,963)	($2,477,659)	$316,994	($4,094,146)	($3,682,752)
198 Public Service Co. of Oklahoma - Generation	20,972,288	1,236,057	28,637,567	267,648	742,585	(1,674,480)	(1,498,642)	153,767	(2,276,770)	(2,009,122)
114 Public Service Co. of Oklahoma - Transmission	5,134,794	355,600	7,011,539	47,165	180,206	(409,975)	(313,349)	37,648	(505,470)	(458,305)
Public Service Co. of Oklahoma	**$89,341,729**	**$4,549,782**	**$94,685,826**	**$726,207**	**$2,441,273**	**($5,536,418)**	**($4,289,650)**	**$508,409**	**($6,876,386)**	**($6,150,179)**
159 Southwestern Electric Power Co. - Distribution	$30,698,443	$1,850,803	$41,918,588	$311,791	$1,083,349	($2,451,041)	($1,794,965)	$225,079	($2,937,578)	($2,625,787)
168 Southwestern Electric Power Co. - Generation	30,294,614	1,664,684	41,367,435	405,581	1,071,947	(2,418,614)	(2,137,691)	222,120	(3,262,438)	(2,856,857)
161 Southwestern Electric Power Co. - Texas - Distribution	15,154,106	1,074,563	20,692,865	137,452	531,325	(1,209,942)	(942,674)	111,109	(1,510,182)	(1,372,730)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,540,979	317,170	6,200,687	44,725	159,427	(362,563)	(280,205)	33,294	(459,047)	(405,322)
Southwestern Electric Power Co.	**$80,688,342**	**$5,107,220**	**$110,179,575**	**$899,549**	**$2,846,048**	**($6,442,360)**	**($5,155,535)**	**$591,602**	**($8,160,245)**	**($7,260,696)**
230 Kingsport Power Co. - Distribution	$3,943,149	$275,756	$5,284,353	$39,487	$138,452	($314,831)	($177,403)	$28,911	($324,871)	($285,464)
260 Kingsport Power Co. - Transmission	492,129	38,522	672,000	0	17,029	(39,293)	(40,419)	3,608	(59,075)	(59,075)
Kingsport Power Co.	**$4,435,278**	**$314,278**	**$6,056,353**	**$39,407**	**$155,481**	**($354,124)**	**($217,822)**	**$32,519**	**($363,946)**	**($344,539)**
210 Wheeling Power Co. - Distribution	$5,101,357	$361,214	$6,965,880	$35,502	$178,483	($407,305)	($259,071)	$37,403	($450,490)	($414,988)
200 Wheeling Power Co. - Transmission	261,739	37,747	357,403	0	8,749	(20,898)	(2,613)	1,919	(12,843)	(12,843)
Wheeling Power Co.	**$5,363,096**	**$398,961**	**$7,323,283**	**$35,502**	**$187,232**	**($428,203)**	**($261,684)**	**$39,322**	**($463,333)**	**($427,831)**
103 American Electric Power Service Corporation	$302,727,494	$18,544,738	$413,373,055	$3,377,142	$10,688,913	($24,170,526)	($17,282,221)	$2,219,575	($28,544,259)	($25,167,117)
293 Elmwood	828,733	53,642	1,131,631	0	28,877	(66,168)	(276,067)	6,076	(307,282)	(307,282)
292 AEP River Operations LLC	5,653,531	501,841	7,719,872	0	194,574	(451,392)	(1,245,634)	41,451	(1,461,601)	(1,461,601)
American Electric Power Service Corporation	**$309,209,758**	**$19,100,221**	**$422,224,558**	**$3,377,142**	**$10,912,364**	**($24,688,086)**	**($18,803,922)**	**$2,267,102**	**($30,312,542)**	**($25,935,400)**
270 Cook Coal Terminal	$894,365	$77,144	$1,221,251	$8,092	$31,112	($71,408)	($67,747)	$6,557	($101,486)	($93,394)
AEP Generating Company	**$894,365**	**$77,144**	**$1,221,251**	**$8,092**	**$31,112**	**($71,408)**	**($67,747)**	**$6,557**	**($101,486)**	**($93,394)**
104 Cardinal Operating Company	$20,580,014	$1,393,132	$28,101,918	$207,184	$723,484	($1,643,160)	($1,116,823)	$150,891	($1,885,608)	($1,678,424)
181 Ohio Power Co. - Generation	94,107,587	8,699,770	128,503,495	153,333	3,238,182	(7,513,786)	(4,359,566)	689,991	(7,945,179)	(7,791,846)
AEP Generation Resources - FERC	**$114,687,601**	**$10,092,902**	**$156,605,413**	**$360,517**	**$3,961,666**	**($9,156,946)**	**($5,476,389)**	**$840,882**	**($9,830,787)**	**($9,470,270)**
290 Conesville Coal Preparation Company	1,141,183	112,028	1,558,280	0	39,084	(91,115)	(51,555)	8,367	(95,219)	(95,219)
AEP Generation Resources - SEC	**$115,828,784**	**$10,204,930**	**$158,163,693**	**$360,517**	**$4,000,750**	**($9,248,061)**	**($5,527,944)**	**$849,249**	**($9,926,006)**	**($9,565,489)**
175 AEP Energy Partners	1,160,438	36,297	1,584,573	49,304	42,903	(92,652)	(31,686)	8,508	(72,927)	(23,623)
171 CSW Energy, Inc.	311,029	15,881	424,709	0	10,914	(24,833)	(15,366)	2,280	(27,005)	(27,005)
419 Onsite Partners	12,608	0	17,216	1,116	494	(1,007)	0	92	(421)	695
AEP Energy Supply	**$117,312,859**	**$10,257,108**	**$160,190,191**	**$410,937**	**$4,055,061**	**($9,366,553)**	**($5,574,996)**	**$860,129**	**($10,026,359)**	**($9,615,422)**
143 AEP Pro Serv, Inc.	$113,339	$10,801	$154,764	$0	$3,888	($9,049)	($1,133)	$831	($5,463)	($5,463)
AEP Pro Serv, Inc.	**$113,339**	**$10,801**	**$154,764**	**$0**	**$3,888**	**($9,049)**	**($1,133)**	**$831**	**($5,463)**	**($5,463)**
245 Dolet Hills	$4,915,038	$119,470	$6,711,463	$217,188	$182,629	($392,429)	$430,570	$36,037	$256,807	$473,995
Dolet Hills	**$4,915,038**	**$119,470**	**$6,711,463**	**$217,188**	**$182,629**	**($392,429)**	**$430,570**	**$36,037**	**$256,807**	**$473,995**
Total	**$1,251,302,431**	**$88,345,027**	**$1,708,647,946**	**$10,633,477**	**$43,853,542**	**($99,907,131)**	**($68,626,236)**	**$9,174,466**	**($115,505,359)**	**($104,871,882)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
10-YEAR PRW COST FORECAST
($000s)

Location	ASC 715-60 Cost 2018	Estimated Net Periodic Postretirement Benefit Cost 2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
140 Appalachian Power Co - Distribution	($8,308)	($8,405)	($8,499)	($8,635)	($8,773)	($8,278)	($4,700)	($4,091)	($4,236)	($4,392)	($4,600)
215 Appalachian Power Co - Generation	($6,981)	($7,042)	($7,097)	($7,199)	($7,309)	($6,871)	($3,990)	($3,526)	($3,667)	($3,819)	($4,014)
158 Appalachian Power Co - Transmission	($1,153)	($1,182)	($1,172)	($1,188)	($1,204)	($1,121)	($567)	($465)	($476)	($486)	($499)
Appalachian Power Co. - FERC	**($16,452)**	**($16,610)**	**($16,768)**	**($17,022)**	**($17,286)**	**($16,270)**	**($9,257)**	**($8,082)**	**($8,379)**	**($8,697)**	**($9,113)**
225 Cedar Coal Co.	($25)	($25)	($24)	($23)	($23)	($19)	($13)	($12)	($12)	($11)	($11)
Appalachian Power Co. - SEC	**($16,477)**	**($16,635)**	**($16,792)**	**($17,045)**	**($17,309)**	**($16,289)**	**($9,270)**	**($8,094)**	**($8,391)**	**($8,708)**	**($9,124)**
211 AEP Texas Central Company - Distribution	($5,845)	($6,040)	($6,127)	($6,247)	($6,369)	($6,011)	($3,299)	($2,849)	($2,975)	($3,107)	($3,283)
147 AEP Texas Central Company - Generation	($15)	($15)	($15)	($15)	($15)	($9)	$0	$0	$0	$0	$0
169 AEP Texas Central Company - Transmission	($576)	($589)	($601)	($616)	($631)	($600)	($329)	($287)	($304)	($323)	($346)
AEP Texas Central Co.	**($6,537)**	**($6,644)**	**($6,743)**	**($6,878)**	**($7,015)**	**($6,620)**	**($3,628)**	**($3,136)**	**($3,279)**	**($3,430)**	**($3,629)**
119 AEP Texas North Company - Distribution	($1,882)	($1,912)	($1,939)	($1,975)	($2,012)	($1,908)	($1,006)	($849)	($888)	($929)	($978)
166 AEP Texas North Company - Generation	($253)	($255)	($256)	($258)	($259)	($231)	($191)	($189)	($186)	($183)	($181)
192 AEP Texas North Company - Transmission	($315)	($321)	($326)	($332)	($338)	($321)	($154)	($125)	($131)	($139)	($148)
AEP Texas North Co.	**($2,450)**	**($2,488)**	**($2,521)**	**($2,565)**	**($2,609)**	**($2,460)**	**($1,351)**	**($1,163)**	**($1,205)**	**($1,251)**	**($1,307)**
AEP Texas	**($8,987)**	**($9,132)**	**($9,264)**	**($9,443)**	**($9,624)**	**($9,080)**	**($4,979)**	**($4,299)**	**($4,484)**	**($4,681)**	**($4,936)**
170 Indiana Michigan Power Co - Distribution	($4,101)	($4,143)	($4,178)	($4,238)	($4,296)	($4,012)	($2,193)	($1,839)	($1,963)	($2,045)	($2,154)
132 Indiana Michigan Power Co - Generation	($2,859)	($2,875)	($2,891)	($2,924)	($2,953)	($2,771)	($1,448)	($1,199)	($1,237)	($1,277)	($1,333)
190 Indiana Michigan Power Co - Nuclear	($4,611)	($4,706)	($4,801)	($4,924)	($5,050)	($4,796)	($2,330)	($1,926)	($2,099)	($2,286)	($2,517)
120 Indiana Michigan Power Co - Transmission	($910)	($923)	($935)	($954)	($974)	($915)	($502)	($438)	($458)	($479)	($506)
280 Indiana Michigan River Transportation (Lakin)	($1,097)	($1,118)	($1,135)	($1,159)	($1,180)	($1,118)	($545)	($448)	($478)	($510)	($550)
Indiana Michigan Power Co. - SEC	**($13,578)**	**($13,765)**	**($13,940)**	**($14,198)**	**($14,453)**	**($13,814)**	**($7,018)**	**($5,898)**	**($6,235)**	**($6,597)**	**($7,060)**
110 Kentucky Power Co - Distribution	($1,819)	($1,845)	($1,870)	($1,902)	($1,933)	($1,832)	($973)	($820)	($856)	($894)	($942)
117 Kentucky Power Co - Generation	($1,082)	($1,084)	($1,085)	($1,092)	($1,099)	($1,030)	($596)	($521)	($534)	($546)	($565)
180 Kentucky Power Co - Transmission	($237)	($238)	($239)	($241)	($243)	($226)	($81)	($50)	($52)	($53)	($55)
600 Kentucky Power Co. - Kammer Actives	($43)	($43)	($43)	($43)	($43)	($43)	($13)	$0	$0	$0	$0
701 Kentucky Power Co. - Mitchell Actives	($189)	($217)	($243)	($272)	($300)	($327)	($255)	($225)	($256)	($291)	($334)
702 Kentucky Power Co. - Mitchell Inactives	($581)	($576)	($572)	($576)	($582)	($588)	($505)	($406)	($414)	($423)	($435)
Kentucky Power Co.	**($3,951)**	**($4,003)**	**($4,052)**	**($4,126)**	**($4,200)**	**($4,046)**	**($2,423)**	**($2,022)**	**($2,112)**	**($2,207)**	**($2,331)**
250 Ohio Power Co - Distribution	($9,939)	($10,065)	($10,178)	($10,352)	($10,531)	($9,930)	($5,839)	($5,188)	($5,395)	($5,600)	($5,850)
160 Ohio Power Co - Transmission	($1,579)	($1,590)	($1,598)	($1,613)	($1,630)	($1,509)	($777)	($642)	($654)	($669)	($679)
Ohio Power Co.	**($11,518)**	**($11,655)**	**($11,776)**	**($11,965)**	**($12,161)**	**($11,439)**	**($6,616)**	**($5,830)**	**($6,049)**	**($6,268)**	**($6,529)**
167 Public Service Co of Oklahoma - Distribution	($3,683)	($3,739)	($3,792)	($3,863)	($3,937)	($3,714)	($1,978)	($1,689)	($1,773)	($1,863)	($1,980)
198 Public Service Co of Oklahoma - Generation	($2,009)	($2,047)	($2,082)	($2,127)	($2,174)	($2,066)	($1,006)	($819)	($871)	($925)	($997)
114 Public Service Co of Oklahoma - Transmission	($456)	($465)	($471)	($479)	($488)	($461)	($242)	($205)	($216)	($228)	($242)
Public Service Co. of Oklahoma	**($6,150)**	**($6,251)**	**($6,346)**	**($6,469)**	**($6,599)**	**($6,241)**	**($3,226)**	**($2,713)**	**($2,860)**	**($3,016)**	**($3,219)**
159 Southwestern Electric Power Co - Distribution	($2,625)	($2,677)	($2,725)	($2,788)	($2,849)	($2,630)	($1,514)	($1,249)	($1,320)	($1,397)	($1,498)
188 Southwestern Electric Power Co - Generation	($2,857)	($2,907)	($2,961)	($3,030)	($3,099)	($2,958)	($1,450)	($1,186)	($1,263)	($1,350)	($1,456)
181 Southwestern Electric Power Co - Texas - Distribution	($1,373)	($1,390)	($1,408)	($1,434)	($1,462)	($1,369)	($722)	($608)	($641)	($675)	($721)
111 Southwestern Electric Power Co - Texas - Transmission	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
194 Southwestern Electric Power Co - Transmission	($405)	($411)	($417)	($424)	($434)	($409)	($215)	($183)	($192)	($202)	($213)
Southwestern Electric Power Co.	**($7,261)**	**($7,385)**	**($7,511)**	**($7,675)**	**($7,844)**	**($7,366)**	**($3,901)**	**($3,226)**	**($3,416)**	**($3,624)**	**($3,888)**
230 Kingsport Power Co - Distribution	($285)	($290)	($295)	($303)	($311)	($295)	($175)	($158)	($167)	($177)	($188)
250 Kingsport Power Co - Transmission	($59)	($59)	($60)	($60)	($60)	($55)	($27)	($21)	($22)	($22)	($22)
Kingsport Power Co.	**($344)**	**($349)**	**($356)**	**($363)**	**($371)**	**($350)**	**($202)**	**($179)**	**($189)**	**($199)**	**($210)**
210 Wheeling Power Co - Distribution	($415)	($421)	($426)	($433)	($441)	($415)	($232)	($201)	($208)	($215)	($225)
200 Wheeling Power Co - Transmission	($13)	($12)	($12)	($11)	($10)	($9)	($6)	($6)	($5)	($4)	($4)
Wheeling Power Co.	**($428)**	**($433)**	**($438)**	**($444)**	**($451)**	**($424)**	**($238)**	**($207)**	**($213)**	**($219)**	**($229)**
103 American Electric Power Service Corporation	($25,167)	($25,663)	($26,148)	($26,786)	($27,470)	($25,995)	($14,269)	($12,494)	($13,353)	($14,271)	($15,365)
293 Elmwood	($307)	($308)	($310)	($312)	($314)	($297)	($89)	($44)	($46)	($48)	($51)
292 AEP River Operations LLC	($1,461)	($1,461)	($1,463)	($1,469)	($1,475)	($1,387)	($458)	($255)	($265)	($276)	($290)
American Electric Power Service Corp	**($26,935)**	**($27,432)**	**($27,921)**	**($28,567)**	**($29,259)**	**($27,679)**	**($14,816)**	**($12,793)**	**($13,664)**	**($14,595)**	**($15,726)**
270 Cook Coal Terminal	($93)	($94)	($94)	($96)	($97)	($91)	($44)	($36)	($39)	($42)	($45)
AEP Generating Company	**($93)**	**($94)**	**($94)**	**($96)**	**($97)**	**($91)**	**($44)**	**($36)**	**($39)**	**($42)**	**($45)**
104 Cardinal Operating Company	($1,678)	($1,922)	($1,945)	($1,976)	($2,007)	($1,902)	($1,117)	($979)	($1,006)	($1,032)	($1,063)
181 Ohio Power Co - Generation	($7,792)	($7,797)	($7,793)	($7,833)	($7,873)	($7,248)	($4,087)	($3,660)	($3,721)	($3,793)	($3,900)
AEP Generation Resources - FERC	**($9,470)**	**($9,719)**	**($9,738)**	**($9,809)**	**($9,880)**	**($9,150)**	**($5,204)**	**($4,639)**	**($4,727)**	**($4,825)**	**($4,963)**
290 Conesville Coal Preparation Company	($95)	($95)	($94)	($94)	($94)	($87)	($49)	($43)	($44)	($46)	($48)
AEP Generation Resources - SEC	**($9,565)**	**($9,814)**	**($9,832)**	**($9,903)**	**($9,974)**	**($9,237)**	**($5,253)**	**($4,682)**	**($4,771)**	**($4,871)**	**($5,011)**
175 AEP Energy Partners	($24)	($28)	($32)	($38)	($45)	($48)	($33)	($37)	($46)	($60)	($74)
171 CSW Energy, Inc.	($27)	($28)	($28)	($29)	($29)	($29)	($18)	($16)	($16)	($17)	($17)
419 Onsite Partners	$1	$1	$1	$0	$0	$0	$0	$0	$0	($1)	($1)
AEP Energy Supply	**($9,815)**	**($9,869)**	**($9,891)**	**($9,970)**	**($10,048)**	**($9,314)**	**($5,304)**	**($4,735)**	**($4,835)**	**($4,949)**	**($5,103)**
143 AEP Pro Serv, Inc.	($5)	($5)	($5)	($6)	($6)	($6)	($5)	($6)	($6)	($6)	($7)
AEP Pro Serv, Inc.	**($5)**	**($5)**	**($5)**	**($6)**	**($6)**	**($6)**	**($5)**	**($6)**	**($6)**	**($6)**	**($7)**
245 Dolet Hills	$474	$453	$433	$410	$387	$361	$333	$304	$272	$235	($171)
Dolet Hills	**$474**	**$453**	**$433**	**$410**	**$387**	**$361**	**$333**	**$304**	**$272**	**$235**	**($171)**
Total	**($104,888)**	**($106,565)**	**($107,953)**	**($109,956)**	**($112,035)**	**($105,798)**	**($57,709)**	**($49,734)**	**($52,212)**	**($54,873)**	**($58,608)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2019 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$97,688,113	$7,398,980	$138,484,876	$625,797	$3,483,041	($8,100,782)	($5,097,397)	$682,910	($9,032,228)	($8,406,431)
215 Appalachian Power Co. - Generation	83,813,905	6,789,372	118,816,486	506,062	2,979,179	(6,950,264)	(4,162,884)	585,920	(7,548,049)	(7,041,987)
150 Appalachian Power Co. - Transmission	9,506,343	645,540	13,476,407	3,569	338,194	(788,313)	(781,538)	66,456	(1,165,201)	(1,161,632)
Appalachian Power Co. - FERC	**$191,008,361**	**$14,833,892**	**$270,777,769**	**$1,135,428**	**$6,800,414**	**($15,839,359)**	**($10,041,819)**	**$1,335,286**	**($17,745,478)**	**($16,610,050)**
225 Cedar Coal Co	392,783	52,040	556,818	0	13,506	(32,572)	(8,202)	2,746	(24,522)	(24,522)
Appalachian Power Co. - SEC	**$191,401,144**	**$14,885,932**	**$271,334,587**	**$1,135,428**	**$6,813,920**	**($15,871,931)**	**($10,050,021)**	**$1,338,032**	**($17,770,000)**	**($16,634,572)**
211 AEP Texas Central Company - Distribution	$68,677,868	$4,797,025	$97,359,014	$594,519	$2,461,749	($5,695,092)	($3,881,048)	$480,107	($6,634,284)	($5,039,765)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)	(15,337)
169 AEP Texas Central Company - Transmission	7,137,632	452,464	10,118,468	87,320	257,628	(591,888)	(391,921)	49,897	(676,284)	(588,964)
AEP Texas Central Co.	**$75,815,300**	**$5,249,489**	**$107,477,482**	**$681,839**	**$2,719,377**	**($6,286,980)**	**($4,288,306)**	**$530,004**	**($7,325,905)**	**($5,644,066)**
119 AEP Texas North Company - Distribution	20,225,630	1,379,416	28,672,310	174,543	725,574	(1,677,209)	(1,276,048)	141,392	(2,086,291)	(1,911,748)
166 AEP Texas North Company - Generation	4,597,029	415,518	6,516,852	0	161,594	(381,208)	(67,677)	32,137	(255,154)	(255,154)
192 AEP Texas North Company - Transmission	3,212,998	215,790	4,554,819	41,282	115,823	(266,438)	(233,844)	22,461	(361,998)	(320,716)
AEP Texas North Co.	**$28,035,657**	**$2,010,724**	**$39,743,981**	**$215,825**	**$1,002,991**	**($2,324,855)**	**($1,577,569)**	**$195,990**	**($2,703,443)**	**($2,487,618)**
AEP Texas	**$103,850,957**	**$7,260,213**	**$147,221,463**	**$897,664**	**$3,722,368**	**($8,611,835)**	**($5,865,875)**	**$725,994**	**($10,029,348)**	**($9,131,684)**
170 Indiana Michigan Power Co. - Distribution	$47,761,151	$3,879,364	$67,707,287	$383,968	$1,701,005	($3,960,591)	($2,601,438)	$333,885	($4,527,139)	($4,143,171)
132 Indiana Michigan Power Co. - Generation	29,529,876	2,470,779	41,862,219	169,693	1,047,893	(2,448,763)	(1,850,054)	206,435	(3,044,489)	(2,874,796)
190 Indiana Michigan Power Co. - Nuclear	51,276,393	3,166,528	72,690,573	887,496	1,861,529	(4,252,092)	(3,561,730)	358,459	(5,593,834)	(4,706,338)
120 Indiana Michigan Power Co. - Transmission	10,110,540	701,309	14,333,072	79,558	362,212	(838,424)	(596,815)	70,681	(1,002,346)	(922,788)
280 Ind Mich River Transp Lakin	11,259,425	745,686	15,975,792	143,090	406,384	(934,516)	(811,278)	78,781	(1,260,629)	(1,117,539)
Indiana Michigan Power Co. - SEC	**$149,947,485**	**$10,983,666**	**$212,568,943**	**$1,663,805**	**$5,379,023**	**($12,434,386)**	**($9,421,315)**	**$1,048,241**	**($15,428,437)**	**($13,784,632)**
110 Kentucky Power Co. - Distribution	$18,905,554	$1,294,409	$26,800,941	$124,373	$676,699	($1,567,742)	($1,210,578)	$132,163	($1,969,458)	($1,845,085)
117 Kentucky Power Co. - Generation	12,209,902	1,113,322	17,309,033	25,023	429,945	(1,012,505)	(611,828)	85,356	(1,109,032)	(1,084,009)
180 Kentucky Power Co. - Transmission	990,897	68,600	1,404,718	236	35,219	(82,170)	(198,150)	6,927	(238,174)	(237,938)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,530)	0	(42,530)	(42,530)
701 Kentucky Power Co. - Mitchell Actives	6,186,008	113,845	8,769,425	181,706	232,256	(512,974)	(160,767)	43,245	(398,240)	(216,534)
702 Kentucky Power Co. - Mitchell Inactives	9,166,875	915,274	12,995,169	0	320,652	(760,163)	(200,743)	64,083	(576,171)	(576,171)
Kentucky Power Co.	**$47,459,236**	**$3,505,650**	**$67,279,286**	**$331,338**	**$1,694,771**	**($3,935,554)**	**($2,424,596)**	**$331,774**	**($4,333,605)**	**($4,002,267)**
250 Ohio Power Co. - Distribution	$126,866,546	$9,809,382	$179,848,882	$935,635	$4,524,258	($10,520,402)	($5,890,962)	$886,889	($11,000,217)	($10,064,582)
160 Ohio Power Co. - Transmission	13,872,903	1,101,814	19,666,541	4,250	490,589	(1,150,410)	(1,031,548)	96,982	(1,594,387)	(1,590,137)
Ohio Power Co.	**$140,739,449**	**$10,911,196**	**$199,515,423**	**$939,885**	**$5,014,847**	**($11,670,812)**	**($6,922,510)**	**$983,871**	**($12,594,604)**	**($11,654,719)**
167 Public Service Co. of Oklahoma - Distribution	$41,864,146	$2,973,358	$59,347,559	$415,464	$1,501,674	($3,471,582)	($2,477,659)	$292,661	($4,154,906)	($3,739,442)
198 Public Service Co. of Oklahoma - Generation	20,578,232	1,290,598	29,172,167	270,296	743,693	(1,706,449)	(1,496,642)	143,857	(2,317,541)	(2,047,245)
114 Public Service Co. of Oklahoma - Transmission	4,965,967	350,122	7,039,867	47,632	178,116	(411,803)	(313,349)	34,716	(512,320)	(464,688)
Public Service Co. of Oklahoma	**$67,408,345**	**$4,614,078**	**$95,559,593**	**$733,392**	**$2,423,483**	**($5,589,834)**	**($4,289,650)**	**$471,234**	**($6,984,767)**	**($6,251,375)**
159 Southwestern Electric Power Co. - Distribution	$29,997,541	$1,912,613	$42,525,192	$314,876	$1,080,623	($2,487,544)	($1,794,965)	$209,704	($2,992,182)	($2,677,306)
168 Southwestern Electric Power Co. - Generation	29,665,137	1,805,055	42,053,969	409,593	1,073,837	(2,459,980)	(2,137,691)	207,381	(3,316,453)	(2,906,860)
161 Southwestern Electric Power Co. - Texas - Distribution	14,628,726	1,027,078	20,738,013	138,812	524,718	(1,213,086)	(942,674)	102,265	(1,528,777)	(1,389,965)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,392,055	306,244	6,226,276	45,167	157,706	(364,211)	(280,205)	30,704	(456,006)	(410,839)
Southwestern Electric Power Co.	**$78,683,459**	**$5,050,990**	**$111,543,450**	**$908,448**	**$2,836,884**	**($6,524,821)**	**($5,155,535)**	**$550,054**	**($8,293,418)**	**($7,384,970)**
230 Kingsport Power Co. - Distribution	$3,814,071	$252,048	$5,406,913	$39,797	$137,227	($316,282)	($177,403)	$26,663	($329,795)	($289,998)
260 Kingsport Power Co. - Transmission	466,820	39,221	661,775	0	16,464	(38,711)	(40,419)	3,263	(59,403)	(59,403)
Kingsport Power Co.	**$4,280,891**	**$291,269**	**$6,068,688**	**$39,797**	**$153,691**	**($354,993)**	**($217,822)**	**$29,926**	**($389,198)**	**($349,401)**
210 Wheeling Power Co. - Distribution	$4,913,955	$366,015	$6,966,134	$35,853	$175,479	($407,489)	($259,071)	$34,352	($456,729)	($420,876)
200 Wheeling Power Co. - Transmission	230,854	35,578	327,264	0	7,847	(19,144)	(2,613)	1,614	(12,296)	(12,296)
Wheeling Power Co.	**$5,144,809**	**$401,593**	**$7,293,398**	**$35,853**	**$183,326**	**($426,633)**	**($261,684)**	**$35,966**	**($469,025)**	**($433,172)**
103 American Electric Power Service Corporation	$295,830,311	$18,654,902	$419,375,732	$3,410,554	$10,671,916	($24,531,712)	($17,282,221)	$2,068,087	($29,073,950)	($25,663,396)
293 Elmwood	797,449	37,760	1,130,482	0	28,658	(66,128)	(276,067)	5,575	(307,962)	(307,962)
292 AEP River Operations LLC	5,302,911	433,357	7,517,526	0	187,245	(439,744)	(1,245,634)	37,071	(1,461,062)	(1,461,062)
American Electric Power Service Corporation	**$301,930,671**	**$19,126,019**	**$428,023,740**	**$3,410,554**	**$10,887,819**	**($25,037,584)**	**($18,803,922)**	**$2,110,713**	**($30,842,974)**	**($27,432,420)**
270 Cook Coal Terminal	$849,479	$70,377	$1,204,241	$8,172	$30,278	($70,443)	($67,747)	$5,938	($101,974)	($93,802)
AEP Generating Company	**$849,479**	**$70,377**	**$1,204,241**	**$8,172**	**$30,278**	**($70,443)**	**($67,747)**	**$5,938**	**($101,974)**	**($93,802)**
104 Cardinal Operating Company	$19,954,417	$1,344,506	$28,287,832	$0	$709,807	($1,654,719)	($1,116,823)	$139,496	($1,922,239)	($1,922,239)
181 Ohio Power Co. - Generation	88,079,258	8,305,105	124,863,146	154,850	3,095,582	(7,303,968)	(4,359,566)	615,738	(7,952,214)	(7,797,364)
AEP Generation Resources - FERC	**$108,033,675**	**$9,649,611**	**$153,150,978**	**$154,850**	**$3,805,389**	**($8,958,687)**	**($5,476,389)**	**$755,234**	**($9,874,453)**	**($9,719,603)**
290 Conesville Coal Preparation Company	1,059,577	110,638	1,502,080	0	36,975	(87,865)	(51,555)	7,407	(95,038)	(95,038)
AEP Generation Resources - SEC	**$109,093,252**	**$9,760,249**	**$154,653,058**	**$154,850**	**$3,842,364**	**($9,046,552)**	**($5,527,944)**	**$762,641**	**($9,969,491)**	**($9,814,641)**
175 AEP Energy Partners	1,206,485	41,940	1,710,340	49,792	45,466	(100,048)	(31,686)	8,434	(77,834)	(28,042)
171 CSW Energy, Inc.	303,580	16,471	430,362	0	10,871	(25,174)	(15,366)	2,122	(27,547)	(27,547)
419 Onsite Partners	14,103	0	19,993	1,127	560	(1,170)	0	99	(511)	616
AEP Energy Supply	**$110,617,420**	**$9,818,660**	**$156,813,753**	**$205,769**	**$3,899,261**	**($9,172,944)**	**($5,574,996)**	**$773,296**	**($10,075,383)**	**($9,869,614)**
143 AEP Pro Serv, Inc.	$105,563	$11,194	$149,648	$0	$3,681	($8,754)	($1,133)	$738	($5,468)	($5,468)
AEP Pro Serv, Inc.	**$105,563**	**$11,194**	**$149,648**	**$0**	**$3,681**	**($8,754)**	**($1,133)**	**$738**	**($5,468)**	**($5,468)**
245 Dolet Hills	$5,153,256	$172,538	$7,305,372	$219,337	$194,565	($427,333)	$430,570	$36,025	$233,827	$453,164
Dolet Hills	**$5,153,256**	**$172,538**	**$7,305,372**	**$219,337**	**$194,565**	**($427,333)**	**$430,570**	**$36,025**	**$233,827**	**$453,164**
Total	**$1,207,572,184**	**$87,103,375**	**$1,711,881,585**	**$10,529,442**	**$43,237,917**	**($100,137,857)**	**($68,628,236)**	**$8,441,802**	**($117,084,374)**	**($106,554,932)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2020 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$93,918,820	$7,312,721	$137,996,583	$635,226	$3,391,732	($8,075,315)	($5,097,397)	$647,214	($9,133,766)	($8,498,540)
215 Appalachian Power Co. - Generation	80,101,118	6,465,742	117,693,989	513,687	2,887,450	(6,887,243)	(4,162,884)	551,994	(7,610,683)	(7,096,996)
150 Appalachian Power Co. - Transmission	9,155,855	626,005	13,452,860	3,623	330,080	(787,237)	(781,538)	63,095	(1,175,600)	(1,171,977)
Appalachian Power Co. - FERC	**$183,175,793**	**$14,404,468**	**$269,143,432**	**$1,152,536**	**$6,609,262**	**($15,749,795)**	**($10,041,819)**	**$1,262,303**	**($17,920,049)**	**($16,767,513)**
225 Cedar Coal Co	352,451	48,302	517,862	0	12,254	(30,304)	(8,202)	2,429	(23,823)	(23,823)
Appalachian Power Co. - SEC	**$183,528,244**	**$14,452,770**	**$269,661,294**	**$1,152,536**	**$6,621,516**	**($15,780,099)**	**($10,050,021)**	**$1,264,732**	**($17,943,872)**	**($16,791,336)**
211 AEP Texas Central Company - Distribution	$66,597,149	$4,801,976	$97,852,368	$603,477	$2,417,846	($5,726,147)	($3,881,048)	$458,935	($6,730,414)	($6,126,937)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)	(15,337)
169 AEP Texas Central Company - Transmission	6,994,432	472,259	10,277,043	88,636	255,471	(601,394)	(391,921)	48,200	(689,644)	(601,008)
AEP Texas Central Co.	**$73,591,581**	**$5,274,235**	**$108,129,411**	**$692,113**	**$2,673,317**	**($6,327,541)**	**($4,288,306)**	**$507,135**	**($7,435,395)**	**($6,743,282)**
119 AEP Texas North Company - Distribution	19,646,101	1,406,965	28,866,364	177,173	713,408	(1,689,208)	(1,276,048)	135,385	(2,116,463)	(1,939,290)
168 AEP Texas North Company - Generation	4,321,060	406,110	6,349,010	0	153,871	(371,533)	(67,677)	29,777	(255,762)	(255,762)
192 AEP Texas North Company - Transmission	3,138,302	226,676	4,611,163	41,904	114,433	(269,837)	(233,844)	21,627	(367,621)	(325,717)
AEP Texas North Co.	**$27,105,463**	**$2,039,751**	**$39,826,537**	**$219,077**	**$981,512**	**($2,330,578)**	**($1,577,569)**	**$186,789**	**($2,739,846)**	**($2,520,769)**
AEP Texas	**$100,697,044**	**$7,313,986**	**$147,955,948**	**$911,190**	**$3,654,829**	**($8,658,119)**	**($5,865,875)**	**$693,924**	**($10,175,241)**	**($9,264,051)**
170 Indiana Michigan Power Co. - Distribution	$45,733,439	$3,773,853	$67,196,950	$389,753	$1,650,657	($3,932,246)	($2,601,438)	$315,159	($4,567,868)	($4,178,115)
132 Indiana Michigan Power Co. - Generation	28,133,154	2,359,853	41,336,541	172,250	1,012,183	(2,418,941)	(1,850,054)	193,872	(3,062,940)	(2,890,690)
190 Indiana Michigan Power Co. - Nuclear	50,580,839	3,250,611	74,319,321	900,868	1,860,199	(4,349,035)	(3,561,730)	348,563	(5,702,003)	(4,801,135)
120 Indiana Michigan Power Co. - Transmission	9,801,098	672,807	14,400,927	80,757	356,160	(842,717)	(596,815)	67,541	(1,015,831)	(935,074)
280 Ind Mich River Transp Lakin	11,017,007	767,877	16,187,483	145,246	402,162	(947,263)	(811,278)	75,921	(1,280,458)	(1,135,212)
Indiana Michigan Power Co. - SEC	**$145,265,537**	**$10,825,001**	**$213,441,222**	**$1,688,874**	**$5,281,361**	**($12,490,202)**	**($9,421,315)**	**$1,001,056**	**($15,629,100)**	**($13,940,226)**
110 Kentucky Power Co. - Distribution	$18,318,759	$1,323,338	$26,916,076	$126,247	$663,544	($1,575,081)	($1,210,578)	$126,238	($1,996,877)	($1,869,630)
117 Kentucky Power Co. - Generation	11,492,914	1,059,463	16,886,742	25,400	410,055	(988,182)	(611,828)	79,200	(1,110,755)	(1,085,355)
180 Kentucky Power Co. - Transmission	952,692	63,299	1,399,807	240	34,375	(81,914)	(198,150)	6,565	(239,124)	(238,884)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,530)	0	(42,530)	(42,530)
701 Kentucky Power Co. - Mitchell Actives	6,453,202	198,230	9,481,804	184,444	243,921	(554,858)	(160,767)	44,470	(427,234)	(242,790)
702 Kentucky Power Co. - Mitchell Inactives	8,528,741	783,728	12,531,430	0	303,639	(733,317)	(200,743)	58,773	(571,648)	(571,648)
Kentucky Power Co.	**$45,746,308**	**$3,428,058**	**$67,215,859**	**$336,331**	**$1,655,534**	**($3,933,352)**	**($2,424,596)**	**$315,246**	**($4,387,168)**	**($4,050,837)**
250 Ohio Power Co. - Distribution	$121,895,177	$9,611,823	$179,102,738	$949,733	$4,404,496	($10,480,774)	($5,890,962)	$840,005	($11,127,235)	($10,177,502)
160 Ohio Power Co. - Transmission	13,198,592	1,053,258	19,392,925	4,314	473,005	(1,134,840)	(1,031,546)	90,954	(1,602,429)	(1,598,115)
Ohio Power Co.	**$135,093,769**	**$10,665,081**	**$198,495,663**	**$954,047**	**$4,877,501**	**($11,615,614)**	**($6,922,510)**	**$930,959**	**($12,729,664)**	**($11,775,617)**
167 Public Service Co. of Oklahoma - Distribution	$40,600,791	$3,000,643	$59,655,460	$421,724	$1,474,690	($3,490,932)	($2,477,659)	$279,789	($4,214,112)	($3,792,388)
198 Public Service Co. of Oklahoma - Generation	20,198,575	1,343,542	29,678,123	274,369	738,813	(1,736,711)	(1,498,642)	139,193	(2,357,347)	(2,082,978)
114 Public Service Co. of Oklahoma - Transmission	4,817,018	359,101	7,077,730	48,350	174,842	(414,176)	(313,349)	33,195	(519,488)	(471,138)
Public Service Co. of Oklahoma	**$65,616,384**	**$4,703,286**	**$96,411,313**	**$744,443**	**$2,388,345**	**($5,641,819)**	**($4,289,650)**	**$452,177**	**($7,090,947)**	**($6,346,504)**
159 Southwestern Electric Power Co. - Distribution	$29,330,788	$1,956,711	$43,096,245	$319,620	$1,069,802	($2,521,916)	($1,794,965)	$202,125	($3,044,954)	($2,725,334)
168 Southwestern Electric Power Co. - Generation	29,194,568	1,851,164	42,896,095	415,764	1,070,257	(2,510,203)	(2,137,691)	201,186	(3,376,451)	(2,960,687)
161 Southwestern Electric Power Co. - Texas - Distribution	14,192,770	1,014,345	20,853,688	140,904	515,902	(1,220,321)	(942,674)	97,805	(1,549,266)	(1,408,384)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,266,915	304,103	6,269,454	45,848	155,246	(366,877)	(280,205)	29,404	(462,432)	(416,584)
Southwestern Electric Power Co.	**$76,985,041**	**$5,126,343**	**$113,115,482**	**$922,136**	**$2,811,207**	**($6,619,317)**	**($5,155,535)**	**$530,520**	**($8,433,125)**	**($7,510,989)**
230 Kingsport Power Co. - Distribution	$3,720,068	$257,522	$5,465,962	$40,397	$135,507	($319,858)	($177,403)	$25,636	($336,118)	($295,721)
260 Kingsport Power Co. - Transmission	441,809	39,814	649,158	0	15,744	(37,988)	(40,419)	3,045	(59,618)	(59,618)
Kingsport Power Co.	**$4,161,877**	**$297,336**	**$6,115,120**	**$40,397**	**$151,251**	**($357,846)**	**($217,822)**	**$28,681**	**($395,736)**	**($355,339)**
210 Wheeling Power Co. - Distribution	$4,735,115	$364,855	$6,957,388	$36,393	$171,235	($407,134)	($259,071)	$32,631	($462,339)	($425,946)
200 Wheeling Power Co. - Transmission	202,092	33,390	296,937	0	6,921	(17,376)	(2,613)	1,393	(11,675)	(11,675)
Wheeling Power Co.	**$4,937,207**	**$398,245**	**$7,254,325**	**$36,393**	**$178,156**	**($424,510)**	**($261,684)**	**$34,024**	**($474,014)**	**($437,621)**
103 American Electric Power Service Corporation	$289,779,496	$18,764,793	$425,776,133	$3,461,940	$10,591,147	($24,915,780)	($17,282,221)	$1,996,933	($29,609,921)	($26,147,981)
293 Elmwood	784,345	40,309	1,152,452	0	28,511	(67,439)	(276,067)	5,405	(309,590)	(309,590)
292 AEP River Operations LLC	5,031,131	395,212	7,392,330	0	180,358	(432,586)	(1,245,634)	34,671	(1,463,191)	(1,463,191)
American Electric Power Service Corporation	**$295,594,972**	**$19,200,314**	**$434,322,915**	**$3,461,940**	**$10,800,016**	**($25,415,805)**	**($18,803,922)**	**$2,037,009**	**($31,382,702)**	**($27,920,762)**
270 Cook Coal Terminal	$813,402	$63,837	$1,195,146	$8,295	$29,470	($69,938)	($67,747)	$5,605	($102,610)	($94,315)
AEP Generating Company	**$813,402**	**$63,837**	**$1,195,146**	**$8,295**	**$29,470**	**($69,938)**	**($67,747)**	**$5,605**	**($102,610)**	**($94,315)**
104 Cardinal Operating Company	$19,221,654	$1,362,698	$28,242,716	$0	$691,786	($1,652,714)	($1,116,823)	$132,460	($1,945,291)	($1,945,291)
181 Ohio Power Co. - Generation	82,603,164	7,817,146	121,370,289	157,183	2,942,506	(7,102,374)	(4,359,566)	569,236	(7,950,198)	(7,793,015)
AEP Generation Resources - FERC	**$101,824,818**	**$9,179,844**	**$149,613,005**	**$157,183**	**$3,634,292**	**($8,755,088)**	**($5,476,389)**	**$701,696**	**($9,895,489)**	**($9,738,306)**
290 Conesville Coal Preparation Company	980,910	104,296	1,441,268	0	34,661	(84,340)	(51,555)	6,760	(94,474)	(94,474)
AEP Generation Resources - SEC	**$102,805,728**	**$9,284,140**	**$151,054,273**	**$157,183**	**$3,668,953**	**($8,839,428)**	**($5,527,944)**	**$708,456**	**($9,989,963)**	**($9,832,780)**
175 AEP Energy Partners	1,253,408	38,891	1,841,655	50,542	47,919	(107,770)	(31,686)	8,637	(82,900)	(32,358)
171 CSW Energy, Inc	296,467	17,155	435,604	0	10,741	(25,491)	(15,366)	2,043	(28,073)	(28,073)
419 Onsite Partners	15,710	0	23,083	1,144	629	(1,351)	0	108	(614)	530
AEP Energy Supply	**$104,371,313**	**$9,340,186**	**$153,354,615**	**$208,869**	**$3,728,242**	**($8,974,040)**	**($5,574,996)**	**$719,244**	**($10,101,550)**	**($9,892,681)**
143 AEP Pro Serv, Inc.	$97,552	$3,944	$143,335	$0	$3,566	($8,388)	($1,133)	$672	($5,283)	($5,283)
AEP Pro Serv, Inc.	**$97,552**	**$3,944**	**$143,335**	**$0**	**$3,566**	**($8,388)**	**($1,133)**	**$672**	**($5,283)**	**($5,283)**
245 Dolet Hills	$5,367,238	$220,561	$7,886,178	$222,642	$204,427	($461,485)	$430,570	$36,987	$210,499	$433,141
Dolet Hills	**$5,367,238**	**$220,561**	**$7,886,178**	**$222,642**	**$204,427**	**($461,485)**	**$430,570**	**$36,987**	**$210,499**	**$433,141**
Total	**$1,188,275,888**	**$86,038,948**	**$1,716,568,415**	**$10,688,093**	**$42,385,421**	**($100,450,534)**	**($68,626,236)**	**$8,050,836**	**($118,640,513)**	**($107,952,420)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2021 NET PERIODIC POSTRETIREMENT BENEFIT COST

					"Other" Cost					
							Amortizations			
Location	*Accumulated Postretirement Benefit Obligation*	*Expected Net Benefit Payments*	*Fair Value of Assets*	*Service Cost*	*Interest Cost*	*Expected Return on Assets*	*PSC*	*(G)/L*	*Total "Other" Cost*	*Net Periodic Postretirement Benefit Cost*
140 Appalachian Power Co. - Distribution	$90,356,752	$7,243,408	$137,851,755	$646,998	$3,286,821	($8,070,069)	($5,097,397)	$598,498	($9,282,147)	($8,635,149)
215 Appalachian Power Co. - Generation	76,801,658	6,211,070	117,171,579	523,206	2,791,724	(6,859,417)	(4,162,884)	508,713	(7,721,864)	(7,198,658)
150 Appalachian Power Co. - Transmission	8,836,531	625,340	13,481,353	3,690	320,744	(789,221)	(781,538)	58,531	(1,191,484)	(1,187,794)
Appalachian Power Co. - FERC	**$175,994,941**	**$14,079,818**	**$268,504,687**	**$1,173,894**	**$6,399,289**	**($15,718,707)**	**($10,041,819)**	**$1,165,742**	**($18,195,495)**	**($17,021,601)**
225 Cedar Coal Co	315,438	44,667	481,244	0	11,028	(28,173)	(8,202)	2,089	(23,258)	(23,258)
Appalachian Power Co. - SEC	**$176,310,379**	**$14,124,485**	**$268,985,931**	**$1,173,894**	**$6,410,317**	**($15,746,880)**	**($10,050,021)**	**$1,167,831**	**($18,218,753)**	**($17,044,859)**
211 AEP Texas Central Company - Distribution	$64,618,895	$4,845,237	$98,585,085	$614,660	$2,362,532	($5,771,333)	($3,881,048)	$428,018	($6,861,831)	($6,247,171)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)	(15,337)
169 AEP Texas Central Company - Transmission	6,845,347	485,066	10,443,526	90,279	251,744	(611,381)	(391,921)	45,342	(706,216)	(615,937)
AEP Texas Central Co.	**$71,464,242**	**$5,330,303**	**$109,028,611**	**$704,939**	**$2,614,276**	**($6,382,714)**	**($4,288,306)**	**$473,360**	**($7,583,384)**	**($6,878,445)**
119 AEP Texas North Company - Distribution	19,071,398	1,389,710	29,096,062	180,456	697,984	(1,703,331)	(1,276,048)	126,324	(2,155,071)	(1,974,615)
166 AEP Texas North Company - Generation	4,056,217	403,547	6,188,322	0	144,997	(362,275)	(67,877)	26,867	(258,088)	(258,088)
192 AEP Texas North Company - Transmission	3,058,610	224,975	4,666,334	42,681	112,418	(273,175)	(233,844)	20,259	(374,342)	(331,661)
AEP Texas North Co.	**$26,186,225**	**$2,018,232**	**$39,950,718**	**$223,137**	**$955,399**	**($2,338,781)**	**($1,577,569)**	**$173,450**	**($2,787,501)**	**($2,564,364)**
AEP Texas	**$97,650,467**	**$7,348,535**	**$148,979,329**	**$928,076**	**$3,569,675**	**($8,721,495)**	**($5,865,875)**	**$646,810**	**($10,370,885)**	**($9,442,809)**
170 Indiana Michigan Power Co. - Distribution	$43,865,857	$3,700,154	$66,923,448	$396,976	$1,595,362	($3,917,809)	($2,601,438)	$290,555	($4,633,330)	($4,236,354)
132 Indiana Michigan Power Co. - Generation	26,875,550	2,356,741	41,002,378	175,442	973,219	(2,400,347)	(1,850,054)	178,016	(3,099,166)	(2,923,724)
190 Indiana Michigan Power Co. - Nuclear	49,938,586	3,349,782	76,188,238	917,562	1,849,796	(4,460,185)	(3,561,730)	330,779	(5,841,340)	(4,923,778)
120 Indiana Michigan Power Co. - Transmission	9,536,047	671,989	14,548,562	82,254	349,131	(851,697)	(596,815)	63,164	(1,036,217)	(953,963)
280 Ind Mich River Transp Lakin	10,763,624	786,364	16,421,401	147,938	395,628	(961,336)	(811,278)	71,295	(1,305,691)	(1,157,753)
Indiana Michigan Power Co. - SEC	**$140,979,664**	**$10,865,030**	**$215,084,027**	**$1,720,172**	**$5,163,136**	**($12,591,374)**	**($9,421,315)**	**$933,809**	**($15,915,744)**	**($14,195,572)**
110 Kentucky Power Co. - Distribution	$17,730,992	$1,335,917	$27,051,087	$128,587	$646,637	($1,583,615)	($1,210,578)	$117,445	($2,030,111)	($1,901,524)
117 Kentucky Power Co. - Generation	10,835,771	1,010,109	16,531,471	25,871	389,583	(967,780)	(611,828)	71,773	(1,118,252)	(1,092,381)
180 Kentucky Power Co. - Transmission	921,191	57,565	1,405,406	244	33,573	(82,275)	(198,150)	6,102	(240,750)	(240,506)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,530)	0	(42,530)	(42,530)
701 Kentucky Power Co. - Mitchell Actives	6,662,962	286,347	10,165,272	197,862	252,257	(595,092)	(160,767)	44,134	(459,468)	(271,606)
702 Kentucky Power Co. - Mitchell Inactives	8,024,115	718,080	12,241,900	0	288,331	(716,661)	(200,743)	53,149	(575,924)	(575,924)
Kentucky Power Co.	**$44,175,031**	**$3,408,038**	**$67,395,135**	**$342,564**	**$1,610,381**	**($3,945,423)**	**($2,424,596)**	**$292,603**	**($4,467,035)**	**($4,124,471)**
250 Ohio Power Co. - Distribution	$117,278,951	$9,468,420	$178,925,303	$967,333	$4,269,697	($10,474,582)	($5,890,962)	$776,823	($11,319,024)	($10,351,691)
160 Ohio Power Co. - Transmission	12,584,171	993,389	19,198,898	4,394	454,827	(1,123,935)	(1,031,548)	83,354	(1,617,302)	(1,612,908)
Ohio Power Co.	**$129,863,122**	**$10,461,809**	**$198,124,201**	**$971,727**	**$4,724,524**	**($11,598,517)**	**($6,922,510)**	**$860,177**	**($12,936,326)**	**($11,964,599)**
167 Public Service Co. of Oklahoma - Distribution	$39,376,152	$2,974,111	$60,073,780	$429,539	$1,441,297	($3,516,818)	($2,477,659)	$260,817	($4,292,363)	($3,862,824)
198 Public Service Co. of Oklahoma - Generation	19,807,644	1,344,725	30,219,308	279,453	730,227	(1,769,088)	(1,498,642)	131,200	(2,406,303)	(2,126,850)
114 Public Service Co. of Oklahoma - Transmission	4,666,838	353,166	7,119,909	49,246	170,747	(416,811)	(313,349)	30,912	(528,501)	(479,255)
Public Service Co. of Oklahoma	**$63,850,634**	**$4,672,002**	**$97,412,997**	**$758,238**	**$2,342,271**	**($5,702,717)**	**($4,289,650)**	**$422,929**	**($7,227,167)**	**($6,468,929)**
159 Southwestern Electric Power Co. - Distribution	$28,675,810	$2,024,363	$43,748,925	$325,543	$1,052,744	($2,561,134)	($1,794,965)	$189,941	($3,113,414)	($2,787,871)
168 Southwestern Electric Power Co. - Generation	28,741,515	1,944,935	43,849,167	423,469	1,060,376	(2,567,002)	(2,137,691)	190,378	(3,453,941)	(3,030,472)
161 Southwestern Electric Power Co. - Texas - Distribution	13,793,053	996,945	21,043,215	143,515	505,445	(1,231,904)	(942,674)	91,361	(1,577,772)	(1,434,257)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,151,212	281,971	6,333,250	46,698	152,589	(370,759)	(280,205)	27,496	(470,879)	(424,181)
Southwestern Electric Power Co.	**$75,361,590**	**$5,248,214**	**$114,974,557**	**$939,225**	**$2,771,154**	**($6,730,799)**	**($5,155,535)**	**$499,174**	**($8,616,006)**	**($7,676,781)**
230 Kingsport Power Co. - Distribution	$3,627,358	$260,848	$5,534,038	$41,146	$133,077	($323,972)	($177,403)	$24,027	($344,271)	($303,125)
260 Kingsport Power Co. - Transmission	416,465	33,047	635,375	0	15,044	(37,196)	(40,419)	2,759	(59,812)	(59,812)
Kingsport Power Co.	**$4,043,823**	**$293,895**	**$6,169,413**	**$41,146**	**$148,121**	**($361,168)**	**($217,822)**	**$26,786**	**($404,083)**	**($362,937)**
210 Wheeling Power Co. - Distribution	$4,563,932	$364,097	$6,962,911	$37,067	$166,215	($407,620)	($259,071)	$30,230	($470,245)	($433,178)
200 Wheeling Power Co. - Transmission	175,088	31,137	267,121	0	6,003	(15,638)	(2,613)	1,160	(11,088)	(11,088)
Wheeling Power Co.	**$4,739,020**	**$395,234**	**$7,230,032**	**$37,067**	**$172,219**	**($423,258)**	**($261,684)**	**$31,390**	**($481,333)**	**($444,266)**
103 American Electric Power Service Corporation	$234,196,728	$18,691,877	$433,584,557	$3,526,094	$10,470,290	($25,382,752)	($17,282,221)	$1,882,454	($30,312,229)	($26,786,135)
293 Elmwood	770,192	42,222	1,175,035	0	28,173	(68,788)	(276,067)	5,102	(311,580)	(311,580)
292 AEP River Operations LLC	4,801,594	379,194	7,325,497	0	173,477	(428,847)	(1,245,634)	31,804	(1,469,200)	(1,469,200)
American Electric Power Service Corporation	**$289,770,514**	**$19,113,293**	**$442,085,099**	**$3,526,094**	**$10,671,940**	**($25,880,387)**	**($18,803,922)**	**$1,919,360**	**($32,093,009)**	**($28,566,915)**
270 Cook Coal Terminal	$784,930	$62,439	$1,197,520	$8,449	$28,668	($70,105)	($67,747)	$5,199	($103,985)	($95,536)
AEP Generating Company	**$784,930**	**$62,439**	**$1,197,520**	**$8,449**	**$28,668**	**($70,105)**	**($67,747)**	**$5,199**	**($103,985)**	**($95,536)**
104 Cardinal Operating Company	$18,494,188	$1,336,553	$28,215,448	$0	$670,486	($1,651,779)	($1,118,823)	$122,500	($1,975,616)	($1,975,616)
181 Ohio Power Co. - Generation	77,648,263	7,419,535	118,463,193	160,096	2,787,394	(6,935,030)	(4,359,566)	514,320	(7,992,882)	(7,832,786)
AEP Generation Resources - FERC	**$96,142,451**	**$8,756,088**	**$146,678,641**	**$160,096**	**$3,457,880**	**($8,586,809)**	**($5,478,389)**	**$636,820**	**($9,968,498)**	**($9,808,402)**
290 Conesville Coal Preparation Company	908,497	104,981	1,386,038	0	32,204	(81,141)	(51,555)	6,018	(94,474)	(94,474)
AEP Generation Resources - SEC	**$97,050,948**	**$8,861,069**	**$148,064,679**	**$160,096**	**$3,490,084**	**($8,667,950)**	**($5,527,944)**	**$642,838**	**($10,062,972)**	**($9,902,876)**
175 AEP Energy Partners	1,308,975	43,864	1,997,023	51,479	50,336	(116,909)	(31,686)	8,670	(89,589)	(38,110)
171 CSW Energy, Inc.	289,169	17,715	441,167	0	10,543	(25,827)	(15,366)	1,915	(28,735)	(28,735)
419 Onsite Partners	17,430	0	26,592	1,165	699	(1,557)	0	115	(743)	422
AEP Energy Supply	**$98,666,522**	**$8,922,648**	**$150,529,461**	**$212,740**	**$3,551,662**	**($8,812,243)**	**($5,574,996)**	**$653,538**	**($10,182,039)**	**($9,969,299)**
143 AEP Pro Serv, Inc.	$96,878	$4,080	$147,801	$0	$3,567	($8,653)	($1,133)	$642	($5,577)	($5,577)
AEP Pro Serv, Inc.	**$96,878**	**$4,080**	**$147,801**	**$0**	**$3,567**	**($8,653)**	**($1,133)**	**$642**	**($5,577)**	**($5,577)**
245 Dolet Hills	$5,556,754	$263,560	$8,477,599	$226,768	$212,551	($498,293)	$430,570	$36,806	$183,634	$410,402
Dolet Hills	**$5,556,754**	**$263,560**	**$8,477,599**	**$226,768**	**$212,551**	**($498,293)**	**$430,570**	**$36,806**	**$183,634**	**$410,402**
Total	**$1,131,849,328**	**$85,183,262**	**$1,726,793,102**	**$10,886,160**	**$41,380,186**	**($101,089,312)**	**($68,626,236)**	**$7,497,054**	**($120,838,308)**	**($109,952,148)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2022 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$86,781,790	$7,102,823	$137,706,599	$658,988	$3,180,659	($8,066,903)	($5,097,397)	$552,119	($9,431,522)	($8,772,534)
215 Appalachian Power Co. - Generation	73,680,208	5,939,883	116,916,819	532,902	2,701,163	(6,849,030)	(4,162,864)	468,765	(7,841,966)	(7,309,064)
150 Appalachian Power Co. - Transmission	8,509,603	626,427	13,503,161	3,758	310,896	(791,020)	(781,538)	54,139	(1,207,523)	(1,203,765)
Appalachian Power Co. - FERC	**$168,971,601**	**$13,669,133**	**$268,126,579**	**$1,195,648**	**$6,192,718**	**($15,706,953)**	**($10,041,819)**	**$1,075,023**	**($18,481,031)**	**($17,285,383)**
225 Cedar Coal Co	280,940	40,916	445,800	0	9,879	(26,115)	(8,202)	1,787	(22,651)	(22,651)
Appalachian Power Co. - SEC	**$169,252,541**	**$13,710,049**	**$268,572,379**	**$1,195,648**	**$6,202,597**	**($15,733,068)**	**($10,050,021)**	**$1,076,810**	**($18,503,682)**	**($17,308,034)**
211 AEP Texas Central Company - Distribution	$62,559,547	$4,865,355	$99,270,393	$626,051	$2,303,393	($5,815,296)	($3,881,048)	$398,014	($6,994,937)	($6,368,886)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(15,337)	0	(15,337)	(15,337)
169 AEP Texas Central Company - Transmission	6,681,871	482,669	10,602,889	91,952	247,666	(621,121)	(391,921)	42,511	(722,865)	(630,913)
AEP Texas Central Co.	**$69,241,418**	**$5,348,024**	**$109,873,282**	**$718,003**	**$2,551,059**	**($6,436,417)**	**($4,288,306)**	**$440,525**	**($7,733,139)**	**($7,015,136)**
119 AEP Texas North Company - Distribution	18,503,545	1,392,131	29,361,693	163,800	682,115	(1,720,019)	(1,276,048)	117,722	(2,196,230)	(2,012,430)
166 AEP Texas North Company - Generation	3,786,089	397,012	6,007,821	0	136,039	(351,940)	(67,677)	24,088	(259,490)	(259,490)
192 AEP Texas North Company - Transmission	2,979,622	225,251	4,728,107	43,472	110,346	(276,974)	(233,844)	18,957	(381,515)	(338,043)
AEP Texas North Co.	**$25,269,256**	**$2,014,394**	**$40,097,621**	**$227,272**	**$928,500**	**($2,348,933)**	**($1,577,569)**	**$160,767**	**($2,837,235)**	**($2,609,963)**
AEP Texas	**$94,510,674**	**$7,362,418**	**$149,970,903**	**$945,275**	**$3,479,559**	**($8,785,350)**	**($5,865,875)**	**$601,292**	**($10,570,374)**	**($9,625,099)**
170 Indiana Michigan Power Co. - Distribution	$42,029,517	$3,584,303	$66,693,045	$404,333	$1,540,952	($3,906,903)	($2,601,438)	$267,398	($4,699,991)	($4,295,658)
132 Indiana Michigan Power Co. - Generation	25,589,220	2,249,921	40,605,344	175,693	934,364	(2,378,676)	(1,850,054)	162,803	(3,131,563)	(2,952,870)
190 Indiana Michigan Power Co. - Nuclear	49,205,694	3,294,941	78,080,306	934,566	1,838,457	(4,573,973)	(3,561,730)	313,054	(5,984,192)	(5,049,626)
120 Indiana Michigan Power Co. - Transmission	9,267,105	690,695	14,705,176	83,778	341,432	(861,435)	(596,815)	58,959	(1,057,859)	(974,081)
280 Ind Mich River Transp Lakin	10,488,752	766,491	16,643,703	150,680	388,845	(974,994)	(811,278)	66,731	(1,330,696)	(1,180,016)
Indiana Michigan Power Co. - SEC	**$136,580,288**	**$10,586,351**	**$216,727,574**	**$1,752,050**	**$5,044,050**	**($12,695,981)**	**($9,421,315)**	**$868,945**	**($16,204,301)**	**($14,452,251)**
110 Kentucky Power Co. - Distribution	$17,117,953	$1,305,379	$27,163,015	$130,970	$629,227	($1,591,219)	($1,210,578)	$108,907	($2,063,663)	($1,932,693)
117 Kentucky Power Co. - Generation	10,209,895	922,657	16,201,209	26,350	370,632	(949,073)	(611,828)	64,957	(1,125,312)	(1,098,962)
180 Kentucky Power Co. - Transmission	894,687	59,027	1,419,702	249	32,810	(83,167)	(198,150)	5,692	(242,815)	(242,566)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,530)	0	(42,530)	(42,530)
701 Kentucky Power Co. - Mitchell Actives	6,795,952	348,189	10,783,915	191,343	258,282	(631,726)	(160,767)	43,237	(490,974)	(299,631)
702 Kentucky Power Co. - Mitchell Inactives	7,571,214	670,186	12,014,112	0	274,367	(703,791)	(200,743)	48,169	(581,998)	(581,998)
Kentucky Power Co.	**$42,589,701**	**$3,305,418**	**$67,581,953**	**$348,912**	**$1,565,318**	**($3,958,976)**	**($2,424,596)**	**$270,962**	**($4,547,292)**	**($4,198,380)**
250 Ohio Power Co. - Distribution	$112,702,922	$9,286,903	$178,838,625	$985,259	$4,134,432	($10,476,432)	($5,890,962)	$717,033	($11,515,929)	($10,530,670)
160 Ohio Power Co. - Transmission	12,013,267	989,887	19,062,826	4,475	436,889	(1,116,707)	(1,031,548)	76,430	(1,634,936)	(1,630,461)
Ohio Power Co.	**$124,716,189**	**$10,276,790**	**$197,901,451**	**$989,734**	**$4,571,321**	**($11,593,139)**	**($6,922,510)**	**$793,463**	**($13,150,865)**	**($12,161,131)**
167 Public Service Co. of Oklahoma - Distribution	$38,156,198	$2,952,294	$60,546,806	$437,499	$1,407,275	($3,546,854)	($2,477,659)	$242,756	($4,374,482)	($3,936,983)
198 Public Service Co. of Oklahoma - Generation	19,413,235	1,379,405	30,805,202	284,632	720,653	(1,804,580)	(1,498,642)	123,510	(2,459,059)	(2,174,427)
114 Public Service Co. of Oklahoma - Transmission	4,519,844	343,552	7,172,154	50,159	166,753	(420,147)	(313,349)	28,756	(537,987)	(487,828)
Public Service Co. of Oklahoma	**$62,089,277**	**$4,675,251**	**$98,524,162**	**$772,290**	**$2,294,681**	**($5,771,581)**	**($4,289,650)**	**$395,022**	**($7,371,528)**	**($6,599,238)**
159 Southwestern Electric Power Co. - Distribution	$27,944,262	$2,021,293	$44,342,391	$331,576	$1,033,708	($2,597,593)	($1,794,965)	$177,766	($3,181,064)	($2,849,488)
168 Southwestern Electric Power Co. - Generation	28,194,209	1,941,807	44,738,978	431,317	1,048,452	(2,620,826)	(2,137,691)	179,376	(3,530,689)	(3,099,372)
161 Southwestern Electric Power Co. - Texas - Distribution	13,404,079	984,896	21,259,786	146,175	495,064	(1,245,992)	(942,674)	85,279	(1,608,323)	(1,462,148)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	4,056,125	280,666	6,436,318	47,563	150,261	(377,042)	(280,205)	25,806	(481,180)	(433,617)
Southwestern Electric Power Co.	**$73,598,695**	**$5,228,662**	**$116,787,473**	**$956,631**	**$2,727,485**	**($6,841,453)**	**($5,155,535)**	**$468,247**	**($8,801,256)**	**($7,844,625)**
230 Kingsport Power Co. - Distribution	$3,529,939	$258,104	$5,601,358	$41,908	$130,527	($328,130)	($177,403)	$22,458	($352,548)	($310,640)
260 Kingsport Power Co. - Transmission	397,247	33,152	630,357	0	14,433	(36,927)	(40,419)	2,527	(60,386)	(60,386)
Kingsport Power Co.	**$3,927,186**	**$291,256**	**$6,231,715**	**$41,908**	**$144,960**	**($365,057)**	**($217,822)**	**$24,985**	**($412,934)**	**($371,026)**
210 Wheeling Power Co. - Distribution	$4,389,695	$368,889	$6,965,631	$37,754	$160,875	($408,049)	($259,071)	$27,928	($478,317)	($440,563)
200 Wheeling Power Co. - Transmission	149,497	28,329	237,224	0	5,134	(13,897)	(2,613)	951	(10,425)	(10,425)
Wheeling Power Co.	**$4,539,192**	**$397,218**	**$7,202,855**	**$37,754**	**$166,009**	**($421,946)**	**($261,884)**	**$28,879**	**($488,742)**	**($450,988)**
103 American Electric Power Service Corporation	$278,651,138	$18,482,003	$442,167,655	$3,591,436	$10,350,017	($25,902,340)	($17,282,221)	$1,772,823	($31,061,721)	($27,470,285)
293 Elmwood	753,838	43,246	1,196,201	0	27,759	(70,074)	(276,067)	4,796	(313,586)	(313,586)
292 AEP River Operations LLC	4,581,866	335,479	7,270,571	0	167,355	(425,913)	(1,245,634)	29,151	(1,475,041)	(1,475,041)
American Electric Power Service Corporation	**$283,986,842**	**$18,860,728**	**$450,634,427**	**$3,591,436**	**$10,545,131**	**($26,398,327)**	**($18,803,922)**	**$1,806,770**	**($32,850,348)**	**($29,258,912)**
270 Cook Coal Terminal	$757,292	$50,134	$1,201,682	$8,606	$28,086	($70,395)	($67,747)	$4,818	($105,238)	($96,632)
AEP Generating Company	**$757,292**	**$50,134**	**$1,201,682**	**$8,606**	**$28,086**	**($70,395)**	**($67,747)**	**$4,818**	**($105,238)**	**($96,632)**
104 Cardinal Operating Company	$17,773,770	$1,331,824	$28,203,675	$0	$648,623	($1,652,182)	($1,116,823)	$113,079	($2,007,303)	($2,007,303)
181 Ohio Power Co. - Generation	72,953,132	6,958,864	115,763,084	163,063	2,640,460	(6,781,444)	(4,359,566)	464,139	(8,036,411)	(7,873,348)
AEP Generation Resources - FERC	**$90,726,902**	**$8,290,688**	**$143,966,759**	**$163,063**	**$3,289,083**	**($8,433,626)**	**($5,476,389)**	**$577,218**	**($10,043,714)**	**($9,880,651)**
290 Conesville Coal Preparation Company	833,172	88,359	1,322,089	0	29,918	(77,448)	(51,555)	5,301	(93,784)	(93,784)
AEP Generation Resources - SEC	**$91,560,074**	**$8,379,047**	**$145,288,848**	**$163,063**	**$3,319,001**	**($8,511,074)**	**($5,527,944)**	**$582,519**	**($10,137,498)**	**($9,974,435)**
175 AEP Energy Partners	1,362,759	49,539	2,162,446	52,433	52,706	(126,677)	(31,686)	8,670	(96,987)	(44,554)
171 CSW Energy, Inc.	281,137	18,266	446,112	0	10,312	(26,133)	(15,366)	1,789	(29,398)	(29,398)
419 Onsite Partners	19,235	0	30,522	1,187	774	(1,788)	0	122	(892)	295
AEP Energy Supply	**$93,223,205**	**$8,446,852**	**$147,927,928**	**$216,683**	**$3,382,793**	**($8,665,672)**	**($5,574,996)**	**$593,100**	**($10,264,775)**	**($10,048,092)**
143 AEP Pro Serv, Inc.	$96,871	$4,212	$152,447	$0	$3,562	($8,930)	($1,133)	$611	($5,890)	($5,890)
AEP Pro Serv, Inc.	**$96,071**	**$4,212**	**$152,447**	**$0**	**$3,562**	**($8,930)**	**($1,133)**	**$611**	**($5,890)**	**($5,890)**
245 Dolet Hills	$5,715,037	$287,906	$9,068,703	$230,970	$219,949	($531,248)	$430,570	$38,360	$155,631	$386,601
Dolet Hills	**$5,715,037**	**$287,906**	**$9,068,703**	**$230,970**	**$219,949**	**($531,248)**	**$430,570**	**$38,360**	**$155,631**	**$386,601**
Total	**$1,095,562,190**	**$83,483,245**	**$1,738,485,652**	**$11,087,897**	**$40,375,501**	**($101,841,123)**	**($68,626,236)**	**$8,970,264**	**($123,121,594)**	**($112,033,697)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2023 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$83,348,784	$6,915,291	$137,626,740	$672,344	$3,070,700	($8,068,045)	($4,467,940)	$514,617	($8,950,668)	($8,278,324)
215 Appalachian Power Co. - Generation	70,830,068	5,642,645	116,955,652	543,703	2,612,853	(6,856,251)	(3,609,086)	437,323	(7,415,161)	(6,871,458)
150 Appalachian Power Co. - Transmission	8,181,160	633,920	13,508,852	3,834	299,885	(791,925)	(682,877)	50,513	(1,124,404)	(1,120,570)
Appalachian Power Co. - FERC	**$162,360,012**	**$13,191,856**	**$268,091,244**	**$1,219,881**	**$5,983,438**	**($15,716,221)**	**($8,759,903)**	**$1,002,453**	**($17,490,233)**	**($16,270,352)**
225 Cedar Coal Co	249,395	37,441	411,805	0	8,795	(24,141)	(4,704)	1,540	(18,510)	(18,510)
Appalachian Power Co. - SEC	**$162,609,407**	**$13,229,297**	**$268,503,049**	**$1,219,881**	**$5,992,233**	**($15,740,362)**	**($8,764,607)**	**$1,003,993**	**($17,508,743)**	**($16,288,862)**
211 AEP Texas Central Company - Distribution	$60,500,361	$4,785,904	$99,899,087	$638,740	$2,239,081	($5,856,350)	($3,406,020)	$373,545	($6,649,744)	($6,011,004)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(9,150)	0	(9,150)	(9,150)
169 AEP Texas Central Company - Transmission	6,525,524	484,412	10,775,041	93,816	243,055	(631,662)	(345,328)	40,290	(693,645)	(599,829)
AEP Texas Central Co.	**$67,025,885**	**$5,270,316**	**$110,674,128**	**$732,556**	**$2,482,136**	**($6,488,012)**	**($3,760,498)**	**$413,835**	**($7,352,539)**	**($6,619,983)**
119 AEP Texas North Company - Distribution	17,940,773	1,400,208	29,624,069	187,525	664,264	(1,736,642)	(1,133,906)	110,771	(2,095,513)	(1,907,988)
166 AEP Texas North Company - Generation	3,517,948	387,810	5,808,888	0	126,715	(340,532)	(38,821)	21,721	(230,917)	(230,917)
192 AEP Texas North Company - Transmission	2,902,275	223,781	4,792,279	44,353	108,043	(280,936)	(210,477)	17,919	(365,451)	(321,098)
AEP Texas North Co.	**$24,360,998**	**$2,011,799**	**$40,225,236**	**$231,878**	**$899,022**	**($2,358,110)**	**($1,383,204)**	**$150,411**	**($2,691,881)**	**($2,460,003)**
AEP Texas	**$91,386,881**	**$7,282,115**	**$150,899,364**	**$964,434**	**$3,381,158**	**($8,846,122)**	**($5,143,702)**	**$564,246**	**($10,044,420)**	**($9,079,986)**
170 Indiana Michigan Power Co. - Distribution	$40,308,367	$3,433,336	$66,557,769	$412,528	$1,486,672	($3,901,793)	($2,258,362)	$248,874	($4,424,609)	($4,012,081)
132 Indiana Michigan Power Co. - Generation	24,402,633	2,153,856	40,293,987	182,315	896,039	(2,362,141)	(1,637,929)	150,668	(2,953,363)	(2,771,048)
190 Indiana Michigan Power Co. - Nuclear	48,584,780	3,311,435	80,223,904	953,508	1,824,916	(4,702,938)	(3,173,548)	299,975	(5,751,595)	(4,798,087)
120 Indiana Michigan Power Co. - Transmission	8,963,316	672,524	14,833,384	85,476	332,829	(869,572)	(519,191)	55,465	(1,000,469)	(914,993)
280 Ind Mich River Transp Lakin	10,240,919	737,052	16,909,956	153,734	382,127	(991,307)	(726,153)	63,230	(1,272,103)	(1,118,369)
Indiana Michigan Power Co. - SEC	**$132,520,015**	**$10,308,203**	**$218,819,000**	**$1,787,561**	**$4,922,583**	**($12,827,751)**	**($8,315,183)**	**$818,212**	**($15,402,139)**	**($13,614,578)**
110 Kentucky Power Co. - Distribution	$16,539,071	$1,294,634	$27,309,558	$133,625	$610,797	($1,600,959)	($1,077,751)	$102,116	($1,965,797)	($1,832,172)
117 Kentucky Power Co. - Generation	9,664,528	842,649	15,958,211	26,884	353,340	(935,513)	(534,759)	59,671	(1,057,261)	(1,030,377)
180 Kentucky Power Co. - Transmission	866,953	60,516	1,431,526	254	31,899	(83,920)	(179,802)	5,353	(226,470)	(226,216)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(42,519)	0	(42,519)	(42,519)
701 Kentucky Power Co. - Mitchell Actives	6,883,383	373,087	11,365,943	195,221	262,854	(666,302)	(160,758)	42,500	(521,906)	(326,685)
702 Kentucky Power Co. - Mitchell Inactives	7,160,804	593,369	11,824,025	0	261,629	(693,156)	(200,742)	44,213	(588,056)	(588,056)
Kentucky Power Co.	**$41,114,739**	**$3,164,255**	**$67,889,263**	**$355,984**	**$1,520,319**	**($3,979,850)**	**($2,196,331)**	**$253,853**	**($4,402,009)**	**($4,046,025)**
250 Ohio Power Co. - Distribution	$108,315,009	$9,053,727	$178,851,338	$1,005,228	$3,994,240	($10,484,741)	($5,113,012)	$668,765	($10,934,748)	($9,929,520)
160 Ohio Power Co. - Transmission	11,441,431	971,570	18,892,259	4,566	417,757	(1,107,514)	(894,314)	70,642	(1,513,429)	(1,508,863)
Ohio Power Co.	**$119,756,440**	**$10,025,297**	**$197,743,597**	**$1,009,794**	**$4,411,997**	**($11,592,255)**	**($6,007,326)**	**$739,407**	**($12,448,177)**	**($11,438,383)**
167 Public Service Co. of Oklahoma - Distribution	$36,973,342	$2,928,160	$61,050,927	$446,366	$1,370,431	($3,578,968)	($2,179,866)	$226,283	($4,160,120)	($3,713,754)
198 Public Service Co. of Oklahoma - Generation	19,000,400	1,409,910	31,373,740	290,401	706,372	(1,839,212)	(1,343,022)	117,313	(2,356,549)	(2,066,148)
114 Public Service Co. of Oklahoma - Transmission	4,364,271	315,763	7,239,373	51,176	163,031	(424,391)	(277,975)	27,070	(512,265)	(461,089)
Public Service Co. of Oklahoma	**$60,338,013**	**$4,653,833**	**$99,664,040**	**$787,943**	**$2,241,834**	**($5,842,571)**	**($3,800,863)**	**$372,666**	**($7,028,934)**	**($6,240,991)**
159 Southwestern Electric Power Co. - Distribution	$27,232,784	$2,012,476	$44,967,174	$338,295	$1,012,479	($2,636,095)	($1,712,430)	$168,142	($3,167,904)	($2,829,608)
168 Southwestern Electric Power Co. - Generation	27,675,779	1,946,198	45,698,654	440,059	1,034,485	(2,678,977)	(1,924,757)	170,877	(3,398,372)	(2,958,313)
161 Southwestern Electric Power Co. - Texas - Distribution	13,033,654	994,666	21,521,708	149,138	483,501	(1,261,660)	(840,316)	80,474	(1,538,001)	(1,388,863)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,965,204	284,371	6,547,403	48,527	147,557	(383,826)	(246,131)	24,482	(457,918)	(409,391)
Southwestern Electric Power Co.	**$71,907,631**	**$5,237,709**	**$118,734,939**	**$976,020**	**$2,678,022**	**($6,960,558)**	**($4,723,634)**	**$443,975**	**($8,562,195)**	**($7,586,175)**
230 Kingsport Power Co. - Distribution	$3,437,266	$244,614	$5,675,664	$42,757	$127,973	($332,723)	($154,125)	$21,223	($337,652)	($294,895)
260 Kingsport Power Co. - Transmission	377,758	33,148	623,760	0	13,767	(36,566)	(34,972)	2,332	(55,439)	(55,439)
Kingsport Power Co.	**$3,815,024**	**$277,762**	**$6,299,424**	**$42,757**	**$141,740**	**($369,289)**	**($189,097)**	**$23,555**	**($393,091)**	**($350,334)**
210 Wheeling Power Co. - Distribution	$4,210,855	$365,189	$6,953,026	$38,519	$155,009	($407,605)	($226,479)	$25,999	($453,076)	($414,557)
200 Wheeling Power Co. - Transmission	126,045	25,372	208,127	0	4,323	(12,201)	(1,501)	778	(8,601)	(8,601)
Wheeling Power Co.	**$4,336,900**	**$390,561**	**$7,161,153**	**$38,519**	**$159,332**	**($419,806)**	**($227,980)**	**$26,777**	**($461,677)**	**($423,158)**
103 American Electric Power Service Corporation	$273,553,198	$18,389,185	$451,695,069	$3,664,228	$10,214,945	($26,479,564)	($15,083,759)	$1,688,987	($29,659,391)	($25,995,163)
293 Elmwood	736,850	44,229	1,216,698	0	27,239	(71,326)	(257,329)	4,550	(296,866)	(296,866)
292 AEP River Operations LLC	4,404,767	321,532	7,273,216	0	161,754	(426,375)	(1,149,926)	27,196	(1,387,351)	(1,387,351)
American Electric Power Service Corporation	**$278,694,815**	**$18,754,946**	**$460,184,983**	**$3,664,228**	**$10,403,938**	**($26,977,265)**	**($16,491,014)**	**$1,720,733**	**($31,343,608)**	**($27,679,380)**
270 Cook Coal Terminal	$742,337	$41,262	$1,225,758	$8,780	$27,839	($71,857)	($60,465)	$4,583	($99,900)	($91,120)
AEP Generating Company	**$742,337**	**$41,262**	**$1,225,758**	**$8,780**	**$27,839**	**($71,857)**	**($60,465)**	**$4,583**	**($99,900)**	**($91,120)**
104 Cardinal Operating Company	$17,055,816	$1,299,221	$28,162,815	$0	$625,308	($1,650,979)	($982,050)	$105,307	($1,902,414)	($1,902,414)
181 Ohio Power Co. - Generation	68,657,895	6,531,929	113,368,928	166,368	2,498,934	(6,645,988)	(3,691,307)	423,911	(7,414,450)	(7,248,082)
AEP Generation Resources - FERC	**$85,713,711**	**$7,831,150**	**$141,531,743**	**$166,368**	**$3,124,242**	**($8,296,967)**	**($4,673,357)**	**$529,218**	**($9,316,864)**	**($9,150,496)**
290 Conesville Coal Preparation Company	773,156	79,855	1,276,647	0	27,950	(74,840)	(44,779)	4,774	(86,895)	(86,895)
AEP Generation Resources - SEC	**$86,486,867**	**$7,911,005**	**$142,808,390**	**$166,368**	**$3,152,192**	**($8,371,807)**	**($4,718,136)**	**$533,992**	**($9,403,759)**	**($9,237,391)**
175 AEP Energy Partners	1,415,475	47,391	2,337,253	53,496	55,073	(137,016)	(28,522)	8,740	(101,725)	(48,229)
171 CSW Energy, Inc.	272,627	18,874	450,166	0	10,031	(26,390)	(13,873)	1,683	(28,549)	(28,549)
419 Onsite Partners	21,153	0	34,928	1,211	852	(2,048)	0	131	(1,065)	146
AEP Energy Supply	**$88,196,122**	**$7,977,270**	**$145,630,737**	**$221,075**	**$3,218,148**	**($8,537,261)**	**($4,760,531)**	**$544,546**	**($9,535,098)**	**($9,314,023)**
143 AEP Pro Serv, Inc	$95,227	$4,493	$157,240	$0	$3,543	($9,218)	($650)	$588	($5,737)	($5,737)
AEP Pro Serv, Inc.	**$95,227**	**$4,493**	**$157,240**	**$0**	**$3,543**	**($9,218)**	**($650)**	**$588**	**($5,737)**	**($5,737)**
245 Dolet Hills	$5,866,097	$306,679	$9,686,186	$235,651	$226,689	($567,830)	$430,570	$36,219	$125,648	$361,299
Dolet Hills	**$5,866,097**	**$306,679**	**$9,686,186**	**$235,651**	**$226,689**	**($567,830)**	**$430,570**	**$36,219**	**$125,648**	**$361,299**
Total	**$1,061,399,648**	**$81,653,682**	**$1,752,598,733**	**$11,312,627**	**$39,329,375**	**($102,741,995)**	**($60,250,813)**	**$6,553,353**	**($117,110,080)**	**($105,797,453)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2024 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$80,013,502	$6,788,859	$137,680,901	$685,971	$2,962,005	($8,075,621)	($750,141)	$478,066	($5,385,691)	($4,699,720)
215 Appalachian Power Co. - Generation	68,205,005	5,560,314	117,361,774	554,723	2,528,018	(6,883,810)	(596,598)	407,512	(4,544,878)	(3,990,155)
150 Appalachian Power Co. - Transmission	7,834,995	642,692	13,481,839	3,912	288,038	(790,772)	(114,808)	46,813	(570,729)	(566,817)
Appalachian Power Co. - FERC	**$156,053,502**	**$12,991,865**	**$268,524,514**	**$1,244,606**	**$5,778,061**	**($15,750,203)**	**($1,461,547)**	**$932,391**	**($10,501,298)**	**($9,256,692)**
225 Cedar Coal Co	220,300	33,479	379,075	0	7,802	(22,235)	0	1,316	(13,117)	(13,117)
Appalachian Power Co. - SEC	**$156,273,802**	**$13,025,344**	**$268,903,589**	**$1,244,606**	**$5,785,863**	**($15,772,438)**	**($1,461,547)**	**$933,707**	**($10,514,415)**	**($9,269,809)**
211 AEP Texas Central Company - Distribution	$58,473,134	$4,765,547	$100,615,941	$651,686	$2,174,078	($5,901,590)	($572,702)	$349,366	($3,950,848)	($3,299,162)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	(170)	0	(170)	(170)
169 AEP Texas Central Company - Transmission	6,365,014	491,183	10,952,412	95,717	238,128	(642,410)	(58,681)	38,030	(424,933)	(329,216)
AEP Texas Central Co.	**$64,838,148**	**$5,256,730**	**$111,568,353**	**$747,403**	**$2,412,206**	**($6,544,000)**	**($631,553)**	**$387,396**	**($4,375,951)**	**($3,628,548)**
119 AEP Texas North Company - Distribution	17,356,988	1,392,165	29,866,531	191,326	645,691	(1,751,810)	(194,782)	103,705	(1,197,196)	(1,005,870)
166 AEP Texas North Company - Generation	3,250,230	376,511	5,592,739	0	117,341	(328,040)	0	19,420	(191,279)	(191,279)
192 AEP Texas North Company - Transmission	2,825,134	220,552	4,861,267	45,252	105,752	(285,136)	(37,182)	16,880	(199,686)	(154,434)
AEP Texas North Co.	**$23,432,352**	**$1,989,228**	**$40,320,537**	**$236,578**	**$868,784**	**($2,364,986)**	**($231,964)**	**$140,005**	**($1,588,181)**	**($1,351,583)**
AEP Texas	**$88,270,500**	**$7,245,958**	**$151,888,890**	**$983,981**	**$3,280,990**	**($8,908,986)**	**($863,517)**	**$527,401**	**($5,964,112)**	**($4,980,131)**
170 Indiana Michigan Power Co. - Distribution	$38,695,386	$3,292,100	$66,583,957	$420,889	$1,435,702	($3,905,457)	($374,954)	$231,198	($2,613,511)	($2,192,622)
132 Indiana Michigan Power Co. - Generation	23,278,697	2,063,282	40,057,860	186,010	859,596	(2,349,579)	(282,661)	139,092	(1,633,552)	(1,447,542)
190 Indiana Michigan Power Co. - Nuclear	47,954,058	3,314,183	82,515,547	972,834	1,811,030	(4,839,918)	(560,473)	286,517	(3,302,844)	(2,330,010)
120 Indiana Michigan Power Co. - Transmission	8,711,347	674,129	14,989,796	87,208	324,196	(879,221)	(66,552)	52,049	(589,528)	(502,320)
280 Ind Mich River Transp Lakin	10,019,313	718,873	17,240,441	156,650	376,110	(1,011,232)	(126,462)	59,864	(701,720)	(544,870)
Indiana Michigan Power Co. - SEC	**$128,659,801**	**$10,062,567**	**$221,387,801**	**$1,823,791**	**$4,806,634**	**($12,985,407)**	**($1,431,102)**	**$768,720**	**($8,841,155)**	**($7,017,364)**
110 Kentucky Power Co. - Distribution	$15,956,347	$1,270,322	$27,456,419	$136,333	$592,252	($1,610,446)	($186,335)	$95,336	($1,109,193)	($972,860)
117 Kentucky Power Co. - Generation	9,183,391	779,401	15,802,052	27,429	337,989	(926,863)	(89,627)	54,869	(623,632)	(596,203)
180 Kentucky Power Co. - Transmission	836,885	61,546	1,440,045	259	30,895	(84,465)	(32,292)	5,000	(80,862)	(80,603)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	(12,715)	0	(12,715)	(12,715)
701 Kentucky Power Co. - Mitchell Actives	6,954,002	411,856	11,965,896	199,178	266,154	(701,855)	(60,305)	41,549	(454,457)	(255,279)
702 Kentucky Power Co. - Mitchell Inactives	6,815,177	587,666	11,727,017	0	249,873	(687,844)	(108,102)	40,719	(505,354)	(505,354)
Kentucky Power Co.	**$39,745,802**	**$3,110,791**	**$68,391,429**	**$363,199**	**$1,477,163**	**($4,011,473)**	**($489,376)**	**$237,473**	**($2,786,213)**	**($2,423,014)**
250 Ohio Power Co. - Distribution	$104,048,742	$8,800,762	$179,038,840	$1,025,602	$3,857,396	($10,501,455)	($841,947)	$621,672	($6,864,334)	($5,838,732)
160 Ohio Power Co. - Transmission	10,870,035	968,261	18,704,296	4,659	398,133	(1,097,093)	(147,780)	64,946	(781,794)	(777,135)
Ohio Power Co.	**$114,918,777**	**$9,769,023**	**$197,743,136**	**$1,030,261**	**$4,255,529**	**($11,598,548)**	**($989,727)**	**$686,618**	**($7,646,128)**	**($6,615,867)**
167 Public Service Co. of Oklahoma - Distribution	$35,769,056	$2,878,248	$61,582,975	$455,413	$1,333,563	($3,612,126)	($369,064)	$213,833	($2,433,794)	($1,978,381)
196 Public Service Co. of Oklahoma - Generation	18,551,463	1,417,298	31,921,889	296,287	694,983	(1,872,366)	(235,833)	110,842	(1,302,374)	(1,006,087)
114 Public Service Co. of Oklahoma - Transmission	4,274,006	322,134	7,354,371	52,213	159,583	(431,368)	(47,953)	25,536	(294,202)	(241,989)
Public Service Co. of Oklahoma	**$58,614,525**	**$4,617,680**	**$100,859,235**	**$803,913**	**$2,188,129**	**($5,915,860)**	**($652,850)**	**$350,211**	**($4,030,370)**	**($3,226,457)**
159 Southwestern Electric Power Co. - Distribution	$26,517,052	$2,014,411	$45,628,444	$345,153	$990,609	($2,676,319)	($331,569)	$158,435	($1,858,844)	($1,513,691)
168 Southwestern Electric Power Co. - Generation	27,148,809	2,027,772	46,715,522	448,978	1,018,528	(2,740,081)	(339,735)	162,209	(1,899,079)	(1,450,101)
161 Southwestern Electric Power Co. - Texas - Distribution	12,646,070	964,953	21,760,356	152,161	471,867	(1,276,345)	(145,622)	75,658	(874,542)	(722,381)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,869,034	298,030	6,657,527	49,511	144,465	(390,495)	(41,708)	23,117	(264,621)	(215,110)
Southwestern Electric Power Co.	**$70,180,965**	**$5,303,166**	**$120,761,849**	**$995,803**	**$2,625,469**	**($7,083,240)**	**($858,634)**	**$419,319**	**($4,897,086)**	**($3,901,283)**
230 Kingsport Power Co. - Distribution	$3,356,543	$255,657	$5,775,674	$43,624	$125,377	($338,770)	($25,400)	$20,055	($218,738)	($175,114)
260 Kingsport Power Co. - Transmission	357,648	32,621	615,412	0	13,079	(36,097)	(5,843)	2,137	(26,724)	(26,724)
Kingsport Power Co.	**$3,714,191**	**$288,278**	**$6,391,086**	**$43,624**	**$138,456**	**($374,867)**	**($31,243)**	**$22,192**	**($245,462)**	**($201,838)**
210 Wheeling Power Co. - Distribution	$4,030,981	$354,566	$6,936,193	$39,300	$149,166	($406,840)	($37,583)	$24,084	($271,173)	($231,873)
200 Wheeling Power Co. - Transmission	104,782	22,204	180,301	0	3,592	(10,575)	0	626	(6,357)	(6,357)
Wheeling Power Co.	**$4,135,763**	**$376,770**	**$7,116,494**	**$39,300**	**$152,758**	**($417,415)**	**($37,583)**	**$24,710**	**($277,530)**	**($238,230)**
103 American Electric Power Service Corporation	$268,496,100	$18,470,844	$462,006,842	$3,738,493	$10,076,190	($27,098,836)	($2,589,279)	$1,604,215	($18,007,710)	($14,269,217)
293 Elmwood	718,396	45,469	1,236,159	0	26,652	(72,506)	(47,195)	4,292	(88,757)	(88,757)
292 AEP River Operations LLC	4,236,357	303,464	7,289,588	0	156,496	(427,568)	(212,552)	25,311	(458,313)	(458,313)
American Electric Power Service Corporation	**$273,450,853**	**$18,819,777**	**$470,532,589**	**$3,738,493**	**$10,259,338**	**($27,598,910)**	**($2,849,026)**	**$1,633,818**	**($18,554,780)**	**($14,816,287)**
270 Cook Coal Terminal	$736,194	$42,682	$1,266,784	$8,958	$27,730	($74,303)	($10,620)	$4,399	($52,794)	($43,836)
AEP Generating Company	**$736,194**	**$42,682**	**$1,266,784**	**$8,958**	**$27,730**	**($74,303)**	**($10,620)**	**$4,399**	**($52,794)**	**($43,836)**
104 Cardinal Operating Company	$16,348,591	$1,314,076	$28,131,361	$0	$601,223	($1,650,034)	($166,189)	$97,680	($1,117,320)	($1,117,320)
181 Ohio Power Co. - Generation	64,659,519	6,072,481	111,260,983	169,740	2,367,765	(6,525,971)	(484,947)	386,329	(4,256,624)	(4,087,084)
AEP Generation Resources - FERC	**$81,008,110**	**$7,386,557**	**$139,392,344**	**$169,740**	**$2,968,988**	**($8,176,005)**	**($651,136)**	**$484,009**	**($5,374,144)**	**($5,204,404)**
290 Conesville Coal Preparation Company	719,784	60,617	1,238,547	0	26,418	(72,647)	(7,443)	4,301	(49,371)	(49,371)
AEP Generation Resources - SEC	**$81,727,894**	**$7,447,174**	**$140,630,891**	**$169,740**	**$2,995,406**	**($8,248,652)**	**($658,579)**	**$488,310**	**($5,423,515)**	**($5,253,775)**
175 AEP Energy Partners	1,473,650	44,019	2,535,740	54,580	57,696	(148,733)	(5,145)	8,805	(87,377)	(32,797)
171 CSW Energy, Inc.	263,248	19,319	452,976	0	9,716	(26,569)	(2,497)	1,573	(17,777)	(17,777)
419 Onsite Partners	23,169	0	39,867	1,236	935	(2,338)	0	138	(1,265)	(29)
AEP Energy Supply	**$83,487,961**	**$7,510,512**	**$143,659,474**	**$225,556**	**$3,083,753**	**($8,426,292)**	**($666,221)**	**$498,826**	**($5,529,934)**	**($5,304,378)**
143 AEP Pro Serv, Inc.	$94,085	$4,618	$161,894	$0	$3,516	($9,496)	$0	$562	($5,418)	($5,418)
AEP Pro Serv, Inc.	**$94,085**	**$4,618**	**$161,894**	**$0**	**$3,516**	**($9,496)**	**$0**	**$562**	**($5,418)**	**($5,418)**
245 Dolet Hills	$6,009,513	$346,438	$10,340,694	$240,427	$232,801	($606,529)	$430,570	$35,906	$92,748	$333,175
Dolet Hills	**$6,009,513**	**$346,438**	**$10,340,694**	**$240,427**	**$232,801**	**($606,529)**	**$430,570**	**$35,906**	**$92,748**	**$333,175**
Total	**$1,020,292,732**	**$80,523,604**	**$1,769,404,744**	**$11,541,912**	**$38,298,129**	**($103,783,764)**	**($9,910,876)**	**$6,143,862**	**($69,252,649)**	**($57,710,737)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2025 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$76,716,303	$6,620,984	$137,803,785	$699,874	$2,854,273	($8,087,509)	$0	$442,841	($4,790,395)	($4,090,521)
215 Appalachian Power Co. - Generation	65,593,779	5,402,253	117,824,643	565,966	2,444,139	(6,914,961)	0	378,637	(4,092,185)	(3,526,219)
150 Appalachian Power Co. - Transmission	7,469,034	643,574	13,416,459	3,991	275,440	(787,393)	0	43,115	(468,838)	(464,847)
Appalachian Power Co. - FERC	**$149,779,116**	**$12,666,811**	**$269,044,887**	**$1,269,831**	**$5,573,852**	**($15,789,863)**	**$0**	**$864,593**	**($9,351,418)**	**($8,081,587)**
225 Cedar Coal Co	194,227	30,160	348,886	0	6,903	(20,476)	0	1,121	(12,452)	(12,452)
Appalachian Power Co. - SEC	**$149,973,343**	**$12,696,971**	**$269,393,773**	**$1,269,831**	**$5,580,755**	**($15,810,339)**	**$0**	**$865,714**	**($9,363,870)**	**($8,094,039)**
211 AEP Texas Central Company - Distribution	$56,418,394	$4,719,053	$101,343,104	$664,894	$2,107,723	($5,947,683)	$0	$325,673	($3,514,287)	($2,849,393)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	6,195,053	484,427	11,128,036	97,657	233,032	(653,089)	0	35,761	(384,296)	(286,639)
AEP Texas Central Co.	**$62,613,447**	**$5,203,480**	**$112,471,140**	**$762,551**	**$2,340,755**	**($6,600,772)**	**$0**	**$361,434**	**($3,898,583)**	**($3,136,032)**
119 AEP Texas North Company - Distribution	16,767,674	1,380,269	30,119,399	195,204	626,752	(1,767,665)	0	96,791	(1,044,122)	(848,918)
168 AEP Texas North Company - Generation	2,984,978	363,241	5,361,849	0	107,995	(314,679)	0	17,231	(189,453)	(189,453)
192 AEP Texas North Company - Transmission	2,749,983	229,959	4,939,733	46,169	103,267	(289,906)	0	15,874	(170,765)	(124,596)
AEP Texas North Co.	**$22,502,635**	**$1,973,469**	**$40,420,981**	**$241,373**	**$838,014**	**($2,372,250)**	**$0**	**$129,896**	**($1,404,340)**	**($1,162,967)**
AEP Texas	**$85,116,062**	**$7,176,949**	**$152,892,121**	**$1,003,924**	**$3,178,789**	**($8,973,022)**	**$0**	**$491,330**	**($5,302,923)**	**($4,298,999)**
170 Indiana Michigan Power Co. - Distribution	$37,184,111	$3,220,625	$66,792,990	$429,420	$1,386,709	($3,919,986)	$0	$214,644	($2,318,633)	($1,889,213)
132 Indiana Michigan Power Co. - Generation	22,216,752	1,971,241	39,907,456	189,780	825,063	(2,342,112)	0	128,245	(1,388,804)	(1,199,024)
190 Indiana Michigan Power Co. - Nuclear	47,327,305	3,283,575	85,012,983	992,551	1,797,703	(4,989,291)	0	273,195	(2,918,393)	(1,925,842)
120 Indiana Michigan Power Co. - Transmission	8,431,442	653,528	15,145,211	88,976	315,574	(888,851)	0	48,670	(524,607)	(435,631)
280 Ind Mich River Transp Lakin	9,813,404	738,272	17,627,599	160,029	369,900	(1,034,539)	0	56,647	(607,992)	(447,963)
Indiana Michigan Power Co. - SEC	**$124,973,014**	**$9,867,241**	**$224,486,239**	**$1,860,756**	**$4,694,949**	**($13,174,779)**	**$0**	**$721,401**	**($7,758,429)**	**($5,897,673)**
110 Kentucky Power Co. - Distribution	$15,383,265	$1,223,529	$27,632,616	$139,096	$574,280	($1,621,719)	$0	$88,799	($958,640)	($819,544)
117 Kentucky Power Co. - Generation	8,751,576	774,909	15,720,261	27,985	323,237	(922,600)	0	50,518	(548,845)	(520,860)
180 Kentucky Power Co. - Transmission	804,853	62,208	1,445,740	264	29,811	(84,848)	0	4,646	(50,391)	(50,127)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	0	0	0	0
701 Kentucky Power Co. - Mitchell Actives	6,993,229	448,265	12,561,781	203,215	268,515	(737,233)	0	40,368	(428,350)	(225,135)
702 Kentucky Power Co. - Mitchell Inactives	6,464,213	575,923	11,611,522	0	237,890	(681,464)	0	37,314	(406,260)	(406,260)
Kentucky Power Co.	**$38,397,136**	**$3,084,834**	**$68,971,920**	**$370,560**	**$1,433,733**	**($4,047,864)**	**$0**	**$221,645**	**($2,392,486)**	**($2,021,926)**
250 Ohio Power Co. - Distribution	$99,927,367	$8,588,366	$179,497,302	$1,046,389	$3,723,725	($10,534,442)	$0	$576,826	($6,233,891)	($5,187,502)
160 Ohio Power Co. - Transmission	10,283,612	935,496	18,472,223	4,753	378,264	(1,084,109)	0	59,362	(646,483)	(641,730)
Ohio Power Co.	**$110,210,979**	**$9,523,862**	**$197,969,525**	**$1,051,142**	**$4,101,989**	**($11,618,551)**	**$0**	**$636,188**	**($6,880,374)**	**($5,829,232)**
167 Public Service Co. of Oklahoma - Distribution	$34,629,224	$2,827,202	$62,203,703	$464,643	$1,297,204	($3,650,647)	$0	$199,896	($2,153,547)	($1,688,904)
198 Public Service Co. of Oklahoma - Generation	18,088,578	1,408,878	32,492,109	302,292	681,184	(1,906,916)	0	104,415	(1,121,317)	(819,025)
114 Public Service Co. of Oklahoma - Transmission	4,155,201	323,575	7,463,895	53,271	155,856	(438,045)	0	23,986	(258,203)	(204,932)
Public Service Co. of Oklahoma	**$56,873,003**	**$4,559,655**	**$102,159,707**	**$820,206**	**$2,134,244**	**($5,995,608)**	**$0**	**$328,297**	**($3,533,067)**	**($2,712,861)**
159 Southwestern Electric Power Co. - Distribution	$25,785,862	$1,983,524	$46,318,569	$352,149	$968,491	($2,718,371)	$0	$148,848	($1,601,032)	($1,248,883)
166 Southwestern Electric Power Co. - Generation	26,534,477	2,044,290	47,663,290	458,078	1,000,232	(2,797,291)	0	153,169	(1,643,890)	(1,185,812)
161 Southwestern Electric Power Co. - Texas - Distribution	12,280,123	957,581	22,058,511	155,245	460,502	(1,294,563)	0	70,686	(763,195)	(607,950)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,759,320	311,114	6,752,783	50,514	140,746	(396,311)	0	21,700	(233,865)	(183,351)
Southwestern Electric Power Co.	**$68,359,782**	**$5,296,509**	**$122,793,153**	**$1,015,986**	**$2,569,971**	**($7,206,556)**	**$0**	**$394,603**	**($4,241,982)**	**($3,225,996)**
230 Kingsport Power Co. - Distribution	$3,263,238	$247,334	$5,861,682	$44,508	$122,632	($344,014)	$0	$18,837	($202,545)	($158,037)
260 Kingsport Power Co. - Transmission	337,418	32,118	606,096	0	12,378	(35,571)	0	1,946	(21,245)	(21,245)
Kingsport Power Co.	**$3,600,656**	**$279,452**	**$6,467,778**	**$44,508**	**$135,010**	**($379,585)**	**$0**	**$20,785**	**($223,790)**	**($179,282)**
210 Wheeling Power Co. - Distribution	$3,857,022	$339,824	$6,928,283	$40,097	$143,559	($406,611)	$0	$22,264	($240,788)	($200,691)
200 Wheeling Power Co. - Transmission	85,995	19,188	154,471	0	2,945	(9,066)	0	496	(5,625)	(5,625)
Wheeling Power Co.	**$3,943,017**	**$359,012**	**$7,082,754**	**$40,097**	**$146,504**	**($415,677)**	**$0**	**$22,760**	**($246,413)**	**($206,316)**
103 American Electric Power Service Corporation	$263,303,437	$18,578,580	$472,966,094	$3,814,267	$9,929,773	($27,757,706)	$0	$1,519,908	($16,308,025)	($12,493,758)
293 Elmwood	698,156	43,010	1,254,082	0	26,059	(73,600)	0	4,030	(43,511)	(43,511)
292 AEP River Operations LLC	4,081,073	287,969	7,330,740	0	151,630	(430,231)	0	23,558	(255,043)	(255,043)
American Electric Power Service Corporation	**$268,082,866**	**$18,909,559**	**$481,550,916**	**$3,814,267**	**$10,107,462**	**($28,261,537)**	**$0**	**$1,547,496**	**($15,606,579)**	**($12,792,312)**
270 Cook Coal Terminal	$728,715	$44,049	$1,308,975	$9,140	$27,567	($76,822)	$0	$4,206	($45,049)	($35,909)
AEP Generating Company	**$728,715**	**$44,049**	**$1,308,975**	**$9,140**	**$27,567**	**($76,822)**	**$0**	**$4,206**	**($45,049)**	**($35,909)**
104 Cardinal Operating Company	$15,603,944	$1,287,918	$28,029,017	$0	$576,194	($1,644,983)	$0	$90,073	($978,716)	($978,716)
181 Ohio Power Co. - Generation	61,000,250	5,759,658	109,573,389	173,180	2,245,351	(6,430,707)	0	352,121	(3,833,235)	(3,660,055)
AEP Generation Resources - FERC	**$76,604,194**	**$7,047,576**	**$137,602,406**	**$173,180**	**$2,821,545**	**($8,075,690)**	**$0**	**$442,194**	**($4,811,951)**	**($4,638,771)**
290 Conesville Coal Preparation Company	684,191	51,451	1,228,997	0	25,360	(72,128)	0	3,949	(42,819)	(42,819)
AEP Generation Resources - SEC	**$77,288,385**	**$7,099,027**	**$138,831,403**	**$173,180**	**$2,846,905**	**($8,147,818)**	**$0**	**$446,143**	**($4,854,770)**	**($4,681,590)**
175 AEP Energy Partners	1,538,772	49,020	2,764,062	55,686	60,452	(162,219)	0	8,882	(92,885)	(37,199)
171 CSW Energy, Inc.	253,129	19,714	454,690	0	9,370	(26,685)	0	1,461	(15,854)	(15,854)
419 Onsite Partners	25,288	0	45,424	1,261	1,022	(2,866)	0	146	(1,498)	(237)
AEP Energy Supply	**$79,105,574**	**$7,167,761**	**$142,095,579**	**$230,127**	**$2,917,749**	**($8,339,388)**	**$0**	**$456,632**	**($4,965,007)**	**($4,734,880)**
143 AEP Pro Serv, Inc.	$92,794	$4,902	$166,684	$0	$3,479	($9,782)	$0	$536	($5,767)	($5,767)
AEP Pro Serv, Inc.	**$92,794**	**$4,902**	**$166,684**	**$0**	**$3,479**	**($9,782)**	**$0**	**$536**	**($5,767)**	**($5,767)**
245 Dolet Hills	$6,123,825	$360,237	$11,000,090	$245,300	$238,342	($645,580)	$430,570	$35,349	$58,681	$303,981
Dolet Hills	**$6,123,825**	**$360,237**	**$11,000,090**	**$245,300**	**$238,342**	**($645,580)**	**$430,570**	**$35,349**	**$58,681**	**$303,981**
Total	**$995,580,586**	**$79,330,993**	**$1,788,339,214**	**$11,775,844**	**$37,270,523**	**($104,955,090)**	**$430,570**	**$5,746,942**	**($61,507,055)**	**($49,731,211)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2026 NET PERIODIC POSTRETIREMENT BENEFIT COST

Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	"Other" Cost: Interest Cost	"Other" Cost: Expected Return on Assets	"Other" Cost: Amortizations PSC	"Other" Cost: Amortizations (G)/L	"Other" Cost: Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$73,499,704	$6,435,663	$138,066,725	$714,059	$2,748,725	($8,107,886)	$0	$409,020	($4,950,141)	($4,236,082)
215 Appalachian Power Co. - Generation	63,073,114	5,257,996	118,480,726	577,437	2,362,500	(6,957,710)	0	350,997	(4,244,213)	(3,666,776)
150 Appalachian Power Co. - Transmission	7,090,444	643,733	13,319,161	4,072	262,220	(782,160)	0	39,458	(480,482)	(476,410)
Appalachian Power Co. - FERC	**$143,663,262**	**$12,337,392**	**$269,866,812**	**$1,295,568**	**$5,373,445**	**($15,847,756)**	**$0**	**$799,475**	**($9,674,836)**	**($8,379,268)**
225 Cedar Coal Co	170,622	26,945	320,508	0	6,087	(18,822)	0	949	(11,786)	(11,786)
Appalachian Power Co. - SEC	**$143,833,884**	**$12,364,337**	**$270,187,120**	**$1,295,568**	**$5,379,532**	**($15,866,578)**	**$0**	**$800,424**	**($9,686,622)**	**($8,391,054)**
211 AEP Texas Central Company - Distribution	$54,361,192	$4,633,197	$102,115,673	$678,370	$2,041,230	($5,996,682)	$0	$302,516	($3,652,936)	($2,974,566)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	6,029,030	476,888	11,325,330	99,636	228,039	(665,073)	0	33,551	(403,483)	(303,847)
AEP Texas Central Co.	**$60,390,222**	**$5,110,085**	**$113,441,003**	**$778,006**	**$2,269,269**	**($6,661,755)**	**$0**	**$336,067**	**($4,056,419)**	**($3,278,413)**
119 AEP Texas North Company - Distribution	16,176,400	1,368,255	30,386,824	199,160	607,510	(1,784,448)	0	90,020	(1,086,918)	(887,758)
166 AEP Texas North Company - Generation	2,724,181	337,183	5,117,282	0	98,963	(300,509)	0	15,160	(186,386)	(186,386)
192 AEP Texas North Company - Transmission	2,664,032	229,178	5,004,295	47,105	100,529	(293,874)	0	14,825	(178,520)	(131,415)
AEP Texas North Co.	**$21,564,613**	**$1,934,616**	**$40,508,401**	**$246,265**	**$807,002**	**($2,378,831)**	**$0**	**$120,005**	**($1,451,824)**	**($1,205,559)**
AEP Texas	**$81,954,835**	**$7,044,701**	**$153,949,404**	**$1,024,271**	**$3,076,271**	**($9,040,586)**	**$0**	**$456,072**	**($5,508,243)**	**($4,483,972)**
170 Indiana Michigan Power Co. - Distribution	$35,706,859	$3,101,950	$67,074,135	$438,124	$1,339,358	($3,938,889)	$0	$198,706	($2,400,825)	($1,962,701)
132 Indiana Michigan Power Co. - Generation	21,217,122	1,901,279	39,855,651	193,626	792,155	(2,340,499)	0	118,072	(1,430,272)	(1,236,646)
190 Indiana Michigan Power Co. - Nuclear	46,738,750	3,321,782	87,797,172	1,012,668	1,784,314	(5,155,837)	0	260,097	(3,111,426)	(2,098,758)
120 Indiana Michigan Power Co. - Transmission	8,165,825	668,879	15,339,228	90,779	306,711	(900,787)	0	45,442	(548,634)	(457,855)
280 Ind Mich River Transp Lakin	9,585,530	730,401	18,006,096	163,272	363,280	(1,057,397)	0	53,343	(640,774)	(477,502)
Indiana Michigan Power Co. - SEC	**$121,414,088**	**$9,724,291**	**$228,072,282**	**$1,898,469**	**$4,585,818**	**($13,393,409)**	**$0**	**$675,660**	**($8,131,931)**	**($6,233,462)**
110 Kentucky Power Co. - Distribution	$14,842,868	$1,213,720	$27,881,829	$141,915	$556,649	($1,637,344)	$0	$82,599	($998,096)	($856,181)
117 Kentucky Power Co. - Generation	8,310,955	757,020	15,611,850	28,552	308,230	(916,797)	0	46,250	(562,317)	(533,765)
180 Kentucky Power Co. - Transmission	771,149	63,000	1,448,577	269	28,646	(85,067)	0	4,291	(52,130)	(51,861)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	0	0	0	0
701 Kentucky Power Co. - Mitchell Actives	7,002,426	439,888	13,153,822	207,334	270,587	(772,450)	0	38,968	(462,895)	(255,561)
702 Kentucky Power Co. - Mitchell Inactives	6,113,723	549,589	11,484,423	0	226,067	(674,416)	0	34,022	(414,327)	(414,327)
Kentucky Power Co.	**$37,041,121**	**$3,023,217**	**$69,580,501**	**$378,070**	**$1,390,179**	**($4,086,074)**	**$0**	**$206,130**	**($2,489,765)**	**($2,111,695)**
250 Ohio Power Co. - Distribution	$95,913,682	$8,359,869	$180,170,630	$1,067,597	$3,592,948	($10,580,413)	$0	$533,752	($6,453,713)	($5,386,116)
160 Ohio Power Co. - Transmission	9,711,345	921,030	18,242,435	4,849	358,364	(1,071,276)	0	54,043	(658,869)	(654,020)
Ohio Power Co.	**$105,625,027**	**$9,280,899**	**$198,413,065**	**$1,072,446**	**$3,951,312**	**($11,651,689)**	**$0**	**$587,795**	**($7,112,582)**	**($6,040,136)**
167 Public Service Co. of Oklahoma - Distribution	$33,495,619	$2,786,278	$62,920,395	$474,060	$1,261,224	($3,694,963)	$0	$186,400	($2,247,339)	($1,773,279)
198 Public Service Co. of Oklahoma - Generation	17,627,259	1,407,288	33,112,214	306,419	667,138	(1,944,495)	0	98,094	(1,179,263)	(870,844)
114 Public Service Co. of Oklahoma - Transmission	4,032,536	320,301	7,574,963	54,351	152,024	(444,836)	0	22,441	(270,371)	(216,020)
Public Service Co. of Oklahoma	**$55,155,414**	**$4,513,867**	**$103,607,592**	**$836,830**	**$2,080,386**	**($6,084,294)**	**$0**	**$306,935**	**($3,696,973)**	**($2,860,143)**
159 Southwestern Electric Power Co. - Distribution	$25,071,892	$1,956,574	$47,096,707	$359,286	$946,686	($2,765,726)	$0	$139,523	($1,679,517)	($1,320,231)
168 Southwestern Electric Power Co. - Generation	25,895,732	2,009,982	48,644,263	467,362	981,728	(2,856,605)	0	144,108	(1,730,769)	(1,263,407)
161 Southwestern Electric Power Co. - Texas - Distribution	11,914,013	947,360	22,380,073	158,392	449,045	(1,314,256)	0	66,301	(798,910)	(640,518)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,632,065	307,718	6,822,712	51,538	136,658	(400,660)	0	20,212	(243,790)	(192,252)
Southwestern Electric Power Co.	**$66,513,702**	**$5,221,634**	**$124,943,755**	**$1,036,578**	**$2,514,117**	**($7,337,247)**	**$0**	**$370,144**	**($4,452,986)**	**($3,416,408)**
230 Kingsport Power Co. - Distribution	$3,176,571	$251,808	$5,967,082	$45,410	$119,864	($350,413)	$0	$17,677	($212,872)	($167,462)
260 Kingsport Power Co. - Transmission	317,032	31,527	595,534	0	11,665	(34,972)	0	1,764	(21,543)	(21,543)
Kingsport Power Co.	**$3,493,603**	**$283,335**	**$6,562,616**	**$45,410**	**$131,529**	**($385,385)**	**$0**	**$19,441**	**($234,415)**	**($189,005)**
210 Wheeling Power Co. - Distribution	$3,693,329	$331,188	$6,937,794	$40,910	$138,167	($407,418)	$0	$20,553	($246,698)	($207,788)
200 Wheeling Power Co. - Transmission	69,610	16,598	130,760	0	2,376	(7,679)	0	387	(4,916)	(4,916)
Wheeling Power Co.	**$3,762,939**	**$347,786**	**$7,068,554**	**$40,910**	**$140,543**	**($415,097)**	**$0**	**$20,940**	**($253,614)**	**($212,704)**
103 American Electric Power Service Corporation	$257,943,316	$18,705,935	$484,537,854	$3,891,577	$9,774,481	($28,454,198)	$0	$1,435,436	($17,244,281)	($13,352,704)
293 Elmwood	679,820	43,719	1,277,019	0	25,471	(74,992)	0	3,783	(45,738)	(45,738)
292 AEP River Operations LLC	3,936,713	280,988	7,394,983	0	146,965	(434,266)	0	21,907	(265,394)	(265,394)
American Electric Power Service Corporation	**$262,559,849**	**$19,030,642**	**$493,209,856**	**$3,891,577**	**$9,946,917**	**($28,963,456)**	**$0**	**$1,461,126**	**($17,555,413)**	**($13,663,836)**
270 Cook Coal Terminal	$719,906	$45,471	$1,352,319	$9,325	$27,350	($79,414)	$0	$4,006	($48,058)	($38,733)
AEP Generating Company	**$719,906**	**$45,471**	**$1,352,319**	**$9,325**	**$27,350**	**($79,414)**	**$0**	**$4,006**	**($48,058)**	**($38,733)**
104 Cardinal Operating Company	$14,861,937	$1,283,289	$27,917,649	$0	$550,561	($1,639,447)	$0	$82,705	($1,006,181)	($1,006,181)
181 Ohio Power Co. - Generation	57,541,876	5,423,230	106,090,481	176,690	2,129,765	(6,347,549)	0	320,216	(3,897,568)	(3,720,878)
AEP Generation Resources - FERC	**$72,403,813**	**$6,708,519**	**$136,008,130**	**$176,690**	**$2,680,326**	**($7,986,996)**	**$0**	**$402,921**	**($4,903,749)**	**($4,727,059)**
290 Conesville Coal Preparation Company	656,762	50,496	1,233,705	0	24,449	(72,449)	0	3,655	(44,345)	(44,345)
AEP Generation Resources - SEC	**$73,060,575**	**$6,757,015**	**$137,241,835**	**$176,690**	**$2,704,775**	**($8,059,445)**	**$0**	**$406,576**	**($4,948,094)**	**($4,771,404)**
175 AEP Energy Partners	1,602,625	51,931	3,010,477	56,815	63,225	(178,788)	0	8,918	(104,645)	(47,830)
171 CSW Energy, Inc.	242,291	20,036	455,136	0	8,993	(26,728)	0	1,348	(16,387)	(16,387)
419 Onsite Partners	27,515	0	51,686	1,287	1,115	(3,035)	0	153	(1,767)	(480)
AEP Energy Supply	**$74,933,006**	**$6,828,982**	**$140,759,134**	**$234,792**	**$2,778,108**	**($8,265,996)**	**$0**	**$416,995**	**($5,070,893)**	**($4,836,101)**
143 AEP Pro Serv, Inc.	$91,185	$5,026	$171,288	$0	$3,433	($10,059)	$0	$507	($6,119)	($6,119)
AEP Pro Serv, Inc.	**$91,185**	**$5,026**	**$171,288**	**$0**	**$3,433**	**($10,059)**	**$0**	**$507**	**($6,119)**	**($6,119)**
245 Dolet Hills	$6,234,527	$366,635	$11,711,350	$250,272	$243,935	($687,742)	$430,570	$34,695	$21,458	$271,730
Dolet Hills	**$6,234,527**	**$366,635**	**$11,711,350**	**$250,272**	**$243,935**	**($687,742)**	**$430,570**	**$34,695**	**$21,458**	**$271,730**
Total	**$963,333,084**	**$78,080,823**	**$1,809,588,836**	**$12,014,518**	**$36,249,430**	**($106,267,026)**	**$430,570**	**$5,360,870**	**($64,226,156)**	**($52,211,638)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2027 NET PERIODIC POSTRETIREMENT BENEFIT COST

					"Other" Cost					
							Amortizations			
Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	PSC	(G)/L	Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$70,311,816	$6,230,822	$138,508,647	$727,292	$2,650,186	($8,139,438)	$0	$370,005	($5,119,247)	($4,391,955)
215 Appalachian Power Co. - Generation	60,569,838	5,137,225	119,317,727	588,138	2,285,943	(7,011,687)	0	318,740	(4,407,004)	(3,818,866)
150 Appalachian Power Co. - Transmission	6,692,538	636,091	13,183,764	4,147	248,886	(774,742)	0	35,218	(490,638)	(486,491)
Appalachian Power Co. - FERC	**$137,574,190**	**$12,004,138**	**$271,010,138**	**$1,319,577**	**$5,185,015**	**($15,925,867)**	**$0**	**$723,963**	**($10,016,889)**	**($8,697,312)**
225 Cedar Coal Co	149,307	24,100	294,123	0	5,358	(17,284)	0	786	(11,140)	(11,140)
Appalachian Power Co. - SEC	**$137,723,497**	**$12,026,238**	**$271,304,261**	**$1,319,577**	**$5,190,373**	**($15,943,151)**	**$0**	**$724,749**	**($10,028,029)**	**($8,708,452)**
211 AEP Texas Central Company - Distribution	$52,287,702	$4,459,100	$103,002,586	$690,941	$1,980,046	($6,052,930)	$0	$275,156	($3,797,728)	($3,106,787)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	5,861,892	469,056	11,547,458	101,482	223,512	(678,584)	0	30,847	(424,225)	(322,743)
AEP Texas Central Co.	**$58,149,594**	**$4,928,156**	**$114,550,044**	**$792,423**	**$2,203,558**	**($6,731,514)**	**$0**	**$306,003**	**($4,221,953)**	**($3,429,530)**
119 AEP Texas North Company - Distribution	15,567,211	1,360,247	30,666,159	202,851	588,761	(1,802,092)	0	81,920	(1,131,411)	(928,560)
166 AEP Texas North Company - Generation	2,478,382	320,779	4,882,214	0	90,462	(286,903)	0	13,042	(183,399)	(183,399)
192 AEP Texas North Company - Transmission	2,574,615	224,270	5,071,785	47,978	97,950	(298,043)	0	13,549	(186,544)	(138,566)
AEP Texas North Co.	**$20,620,208**	**$1,905,296**	**$40,620,158**	**$250,829**	**$777,173**	**($2,387,038)**	**$0**	**$108,511**	**($1,501,354)**	**($1,250,525)**
AEP Texas	**$78,769,802**	**$6,833,452**	**$155,170,202**	**$1,043,252**	**$2,980,731**	**($9,118,552)**	**$0**	**$414,514**	**($5,723,307)**	**($4,680,055)**
170 Indiana Michigan Power Co. - Distribution	$34,277,572	$2,995,530	$67,524,072	$446,243	$1,296,375	($3,968,041)	$0	$180,381	($2,491,285)	($2,045,042)
132 Indiana Michigan Power Co. - Generation	20,239,732	1,826,132	39,870,651	197,214	761,772	(2,342,992)	0	106,509	(1,474,711)	(1,277,497)
190 Indiana Michigan Power Co. - Nuclear	46,073,061	3,303,576	90,760,241	1,031,434	1,773,272	(5,333,511)	0	242,453	(3,317,786)	(2,286,352)
120 Indiana Michigan Power Co. - Transmission	7,870,369	664,216	15,503,997	92,461	297,722	(911,090)	0	41,417	(571,951)	(479,490)
280 Ind Mich River Transp Lakin	9,353,080	720,776	18,424,819	166,298	357,335	(1,082,731)	0	49,219	(676,177)	(509,879)
Indiana Michigan Power Co. - SEC	**$117,813,814**	**$9,510,230**	**$232,083,780**	**$1,933,650**	**$4,486,476**	**($13,638,365)**	**$0**	**$619,979**	**($8,531,910)**	**($6,598,260)**
110 Kentucky Power Co. - Distribution	$14,284,032	$1,201,027	$28,138,399	$144,545	$539,518	($1,653,548)	$0	$75,168	($1,038,862)	($894,317)
117 Kentucky Power Co. - Generation	7,866,661	714,589	15,496,892	29,081	294,133	(910,661)	0	41,397	(575,131)	(546,050)
180 Kentucky Power Co. - Transmission	734,817	62,942	1,447,531	274	27,453	(85,064)	0	3,867	(53,744)	(53,470)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	0	0	0	0
701 Kentucky Power Co. - Mitchell Actives	7,018,995	448,798	13,826,858	211,176	273,309	(812,533)	0	36,936	(502,288)	(291,112)
702 Kentucky Power Co. - Mitchell Inactives	5,772,549	530,600	11,371,459	0	214,882	(668,242)	0	30,377	(422,983)	(422,983)
Kentucky Power Co.	**$35,677,054**	**$2,957,956**	**$70,280,939**	**$385,076**	**$1,349,295**	**($4,130,048)**	**$0**	**$187,745**	**($2,593,008)**	**($2,207,932)**
250 Ohio Power Co. - Distribution	$91,933,232	$8,131,959	$181,101,105	$1,087,381	$3,470,747	($10,642,377)	$0	$483,785	($6,687,845)	($5,600,464)
160 Ohio Power Co. - Transmission	9,125,622	902,352	17,976,745	4,939	338,664	(1,056,400)	0	48,022	(669,714)	(664,775)
Ohio Power Co.	**$101,058,854**	**$9,034,311**	**$199,077,850**	**$1,092,320**	**$3,809,411**	**($11,698,777)**	**$0**	**$531,807**	**($7,357,559)**	**($6,265,239)**
167 Public Service Co. of Oklahoma - Distribution	$32,345,714	$2,703,696	$63,718,466	$482,845	$1,228,096	($3,744,405)	$0	$170,214	($2,346,095)	($1,863,250)
198 Public Service Co. of Oklahoma - Generation	17,143,105	1,353,120	33,770,544	314,134	654,699	(1,984,521)	0	90,213	(1,239,609)	(925,475)
114 Public Service Co. of Oklahoma - Transmission	3,906,664	328,933	7,695,815	55,358	148,166	(452,243)	0	20,558	(283,519)	(228,161)
Public Service Co. of Oklahoma	**$53,395,483**	**$4,385,749**	**$105,184,825**	**$852,337**	**$2,030,961**	**($6,181,169)**	**$0**	**$280,985**	**($3,869,223)**	**($3,016,886)**
159 Southwestern Electric Power Co. - Distribution	$24,346,839	$1,891,814	$47,961,323	$365,944	$927,261	($2,818,439)	$0	$128,122	($1,763,056)	($1,397,112)
168 Southwestern Electric Power Co. - Generation	25,257,604	2,003,891	49,755,457	476,023	964,909	(2,923,871)	0	132,914	(1,826,048)	(1,350,025)
161 Southwestern Electric Power Co. - Texas - Distribution	11,538,805	911,382	22,730,522	161,327	438,703	(1,335,755)	0	60,721	(836,331)	(675,004)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,501,835	313,875	6,898,335	52,493	132,557	(405,380)	0	18,428	(254,395)	(201,902)
Southwestern Electric Power Co.	**$64,645,083**	**$5,120,962**	**$127,345,637**	**$1,055,787**	**$2,463,430**	**($7,483,445)**	**$0**	**$340,185**	**($4,679,830)**	**($3,624,043)**
230 Kingsport Power Co. - Distribution	$3,080,617	$256,482	$6,068,569	$46,252	$116,995	($356,618)	$0	$16,211	($223,412)	($177,160)
260 Kingsport Power Co. - Transmission	296,264	30,537	583,616	0	10,965	(34,296)	0	1,559	(21,772)	(21,772)
Kingsport Power Co.	**$3,376,881**	**$286,999**	**$6,652,185**	**$46,252**	**$127,960**	**($390,914)**	**$0**	**$17,770**	**($245,184)**	**($198,932)**
210 Wheeling Power Co. - Distribution	$3,530,422	$322,000	$6,954,649	$41,668	$133,093	($408,689)	$0	$18,578	($257,018)	($215,350)
200 Wheeling Power Co. - Transmission	55,219	13,943	108,777	0	1,884	(6,392)	0	291	(4,217)	(4,217)
Wheeling Power Co.	**$3,585,641**	**$335,943**	**$7,063,426**	**$41,668**	**$134,977**	**($415,081)**	**$0**	**$18,869**	**($261,235)**	**($219,567)**
~~103 American Electric Power Service Corporation~~	~~$252,132,436~~	~~$18,761,749~~	~~$496,680,709~~	~~$3,963,696~~	~~$9,625,394~~	~~($29,187,363)~~	~~$0~~	~~$1,326,809~~	~~($18,235,160)~~	~~($14,271,464)~~
293 Elmwood	659,555	44,070	1,299,271	0	24,871	(76,351)	0	3,471	(48,009)	(48,009)
292 AEP River Operations LLC	3,791,097	276,404	7,468,158	0	142,514	(438,865)	0	19,950	(276,401)	(276,401)
American Electric Power Service Corporation	**$256,583,068**	**$19,082,223**	**$505,448,138**	**$3,963,696**	**$9,792,779**	**($29,702,579)**	**$0**	**$1,350,230**	**($18,559,570)**	**($14,595,874)**
270 Cook Coal Terminal	$708,942	$46,330	$1,396,559	$9,498	$27,124	($82,069)	$0	$3,731	($51,214)	($41,716)
AEP Generating Company	**$708,942**	**$46,330**	**$1,396,559**	**$9,498**	**$27,124**	**($82,069)**	**$0**	**$3,731**	**($51,214)**	**($41,716)**
104 Cardinal Operating Company	$14,086,134	$1,270,414	$27,748,556	$0	$524,823	($1,630,639)	$0	$74,126	($1,031,690)	($1,031,690)
181 Ohio Power Co. - Generation	54,259,180	5,192,215	106,886,240	179,964	2,022,847	(6,281,153)	0	285,531	(3,972,775)	(3,792,811)
AEP Generation Resources - FERC	**$68,345,314**	**$6,462,629**	**$134,634,796**	**$179,964**	**$2,547,670**	**($7,911,792)**	**$0**	**$359,657**	**($5,004,465)**	**($4,824,501)**
290 Conesville Coal Preparation Company	628,792	49,817	1,238,670	0	23,561	(72,790)	0	3,309	(45,920)	(45,920)
AEP Generation Resources - SEC	**$68,974,106**	**$6,512,446**	**$135,873,466**	**$179,964**	**$2,571,231**	**($7,984,582)**	**$0**	**$362,966**	**($5,050,385)**	**($4,870,421)**
175 AEP Energy Partners	1,665,641	61,344	3,281,179	57,868	66,032	(192,818)	0	8,765	(118,021)	(60,153)
171 CSW Energy, Inc.	230,543	20,232	454,151	0	8,600	(26,688)	0	1,213	(16,875)	(16,875)
419 Onsite Partners	29,826	0	58,755	1,311	1,214	(3,453)	0	137	(2,082)	(771)
AEP Energy Supply	**$70,900,116**	**$6,594,022**	**$139,667,551**	**$239,143**	**$2,647,077**	**($8,207,541)**	**$0**	**$373,101**	**($5,187,363)**	**($4,948,220)**
143 AEP Pro Serv, Inc.	$89,319	$5,151	$175,951	$0	$3,384	($10,340)	$0	$470	($6,486)	($6,486)
AEP Pro Serv, Inc.	**$89,319**	**$5,151**	**$175,951**	**$0**	**$3,384**	**($10,340)**	**$0**	**$470**	**($6,486)**	**($6,486)**
245 Dolet Hills	$6,342,703	$376,844	$12,494,617	$254,910	$250,029	($734,244)	$430,570	$33,378	($20,267)	$234,643
Dolet Hills	**$6,342,703**	**$376,844**	**$12,494,617**	**$254,910**	**$250,029**	**($734,244)**	**$430,570**	**$33,378**	**($20,267)**	**$234,643**
Total	**$930,670,277**	**$76,598,410**	**$1,833,345,921**	**$12,237,166**	**$35,294,007**	**($107,736,275)**	**$430,570**	**$4,897,513**	**($67,114,185)**	**($54,877,019)**

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
ESTIMATED 2028 NET PERIODIC POSTRETIREMENT BENEFIT COST

						"Other" Cost				
							Amortizations			
Location	Accumulated Postretirement Benefit Obligation	Expected Net Benefit Payments	Fair Value of Assets	Service Cost	Interest Cost	Expected Return on Assets	PSC	(G)/L	Total "Other" Cost	Net Periodic Postretirement Benefit Cost
140 Appalachian Power Co. - Distribution	$67,458,472	$6,082,750	$139,501,778	$744,565	$2,542,439	($8,204,213)	$0	$317,566	($5,344,208)	($4,599,643)
215 Appalachian Power Co. - Generation	58,306,692	5,007,134	120,576,215	602,106	2,200,738	(7,091,185)	0	274,484	(4,615,963)	(4,013,857)
150 Appalachian Power Co. - Transmission	6,309,480	632,963	13,047,786	4,245	234,011	(767,351)	0	29,702	(503,638)	(499,393)
Appalachian Power Co. - FERC	**$132,074,644**	**$11,722,847**	**$273,125,779**	**$1,350,916**	**$4,977,188**	**($16,062,749)**	**$0**	**$621,752**	**($10,463,809)**	**($9,112,893)**
225 Cedar Coal Co	130,565	21,629	270,004	0	4,674	(15,879)	0	615	(10,590)	(10,590)
Appalachian Power Co. - SEC	**$132,205,209**	**$11,744,476**	**$273,395,783**	**$1,350,918**	**$4,981,862**	**($16,078,628)**	**$0**	**$622,367**	**($10,474,399)**	**($9,123,483)**
211 AEP Texas Central Company - Distribution	$50,499,589	$4,303,086	$104,431,397	$707,351	$1,913,963	($6,141,695)	$0	$237,731	($3,990,001)	($3,282,650)
147 AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0
169 AEP Texas Central Company - Transmission	5,717,830	439,295	11,824,274	103,892	218,563	(695,395)	0	26,917	(449,915)	(346,023)
AEP Texas Central Co.	**$56,217,419**	**$4,742,381**	**$116,255,671**	**$811,243**	**$2,132,526**	**($6,837,090)**	**$0**	**$264,648**	**($4,439,916)**	**($3,628,673)**
119 AEP Texas North Company - Distribution	14,998,576	1,321,752	31,016,534	207,669	567,516	(1,824,107)	0	70,607	(1,185,984)	(978,315)
166 AEP Texas North Company - Generation	2,248,065	303,684	4,648,920	0	81,809	(273,407)	0	10,583	(181,015)	(181,015)
192 AEP Texas North Company - Transmission	2,496,273	209,507	5,162,206	49,117	95,224	(303,594)	0	11,751	(196,619)	(147,502)
AEP Texas North Co.	**$19,742,914**	**$1,834,943**	**$40,627,660**	**$256,788**	**$744,549**	**($2,401,108)**	**$0**	**$92,941**	**($1,563,618)**	**($1,306,832)**
AEP Texas	**$75,960,333**	**$6,577,324**	**$157,083,331**	**$1,068,029**	**$2,877,075**	**($9,238,198)**	**$0**	**$357,589**	**($6,003,534)**	**($4,935,505)**
170 Indiana Michigan Power Co. - Distribution	$33,024,660	$2,897,920	$68,293,850	$456,841	$1,249,810	($4,016,417)	$0	$155,466	($2,611,141)	($2,154,300)
132 Indiana Michigan Power Co. - Generation	19,372,586	1,718,645	40,061,835	201,898	730,212	(2,356,069)	0	91,198	(1,534,659)	(1,332,761)
190 Indiana Michigan Power Co. - Nuclear	45,574,191	3,264,194	94,245,845	1,055,931	1,755,532	(5,542,674)	0	214,544	(3,572,598)	(2,516,667)
120 Indiana Michigan Power Co. - Transmission	7,596,336	645,992	15,708,959	94,657	287,472	(923,857)	0	35,760	(600,625)	(505,968)
280 Ind Mich River Transp Lakin	9,155,937	712,484	18,934,160	170,248	349,961	(1,113,533)	0	43,102	(720,470)	(550,222)
Indiana Michigan Power Co. - SEC	**$114,723,710**	**$9,239,235**	**$237,244,649**	**$1,979,575**	**$4,372,987**	**($13,952,550)**	**$0**	**$540,070**	**($9,039,493)**	**($7,059,918)**
110 Kentucky Power Co. - Distribution	$13,767,068	$1,188,927	$28,469,819	$147,978	$519,724	($1,674,333)	$0	$64,810	($1,089,799)	($941,821)
117 Kentucky Power Co. - Generation	7,475,286	690,657	15,458,632	29,772	279,358	(909,135)	0	35,191	(594,586)	(564,814)
180 Kentucky Power Co. - Transmission	699,602	62,578	1,446,753	281	26,087	(85,085)	0	3,293	(55,705)	(55,424)
600 Kentucky Power Co. - Kammer Actives	0	0	0	0	0	0	0	0	0	0
701 Kentucky Power Co. - Mitchell Actives	7,054,682	452,888	14,588,837	216,191	274,817	(857,981)	0	33,210	(549,954)	(333,763)
702 Kentucky Power Co. - Mitchell Inactives	5,456,831	516,043	11,284,537	0	202,850	(663,653)	0	25,688	(435,115)	(435,115)
Kentucky Power Co.	**$34,453,469**	**$2,911,091**	**$71,248,578**	**$394,222**	**$1,302,836**	**($4,190,187)**	**$0**	**$162,192**	**($2,725,159)**	**($2,330,937)**
250 Ohio Power Co. - Distribution	$88,359,401	$7,886,131	$182,724,174	$1,113,206	$3,337,123	($10,746,157)	$0	$415,959	($6,993,075)	($5,879,869)
160 Ohio Power Co. - Transmission	8,568,873	887,226	17,715,996	5,056	317,170	(1,041,892)	0	40,329	(684,393)	(679,337)
Ohio Power Co.	**$96,928,274**	**$8,773,357**	**$200,440,170**	**$1,118,262**	**$3,654,293**	**($11,788,049)**	**$0**	**$456,288**	**($7,677,468)**	**($6,559,206)**
167 Public Service Co. of Oklahoma - Distribution	$31,352,959	$2,617,100	$64,836,831	$494,313	$1,191,498	($3,813,107)	$0	$147,597	($2,474,012)	($1,979,699)
199 Public Service Co. of Oklahoma - Generation	16,758,818	1,329,355	34,656,654	321,595	640,462	(2,036,186)	0	78,894	(1,318,830)	(997,235)
114 Public Service Co. of Oklahoma - Transmission	3,781,255	323,943	7,819,504	56,673	143,423	(459,871)	0	17,801	(298,647)	(241,974)
Public Service Co. of Oklahoma	**$51,893,032**	**$4,270,398**	**$107,312,989**	**$872,581**	**$1,975,383**	**($6,311,164)**	**$0**	**$244,292**	**($4,091,489)**	**($3,218,908)**
159 Southwestern Electric Power Co. - Distribution	$23,748,230	$1,893,446	$49,110,515	$374,635	$904,223	($2,888,229)	$0	$111,797	($1,872,209)	($1,497,574)
168 Southwestern Electric Power Co. - Generation	24,694,645	1,973,327	51,067,669	487,329	943,985	(3,003,331)	0	116,252	(1,943,094)	(1,455,765)
161 Southwestern Electric Power Co. - Texas - Distribution	11,227,453	907,889	23,217,983	165,159	426,777	(1,365,468)	0	52,854	(885,837)	(720,678)
111 Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0
194 Southwestern Electric Power Co. - Transmission	3,373,010	291,799	6,975,268	53,740	128,008	(410,221)	0	15,879	(266,334)	(212,594)
Southwestern Electric Power Co.	**$63,043,338**	**$5,066,461**	**$130,371,435**	**$1,080,863**	**$2,402,993**	**($7,667,249)**	**$0**	**$296,782**	**($4,967,474)**	**($3,886,611)**
230 Kingsport Power Co. - Distribution	$2,987,402	$250,848	$6,177,844	$47,350	$113,511	($363,324)	$0	$14,063	($235,750)	($188,400)
260 Kingsport Power Co. - Transmission	276,692	29,659	572,189	0	10,218	(33,651)	0	1,303	(22,130)	(22,130)
Kingsport Power Co.	**$3,264,094**	**$280,507**	**$6,750,033**	**$47,350**	**$123,729**	**($396,975)**	**$0**	**$15,366**	**($257,880)**	**($210,530)**
210 Wheeling Power Co. - Distribution	$3,383,183	$315,837	$6,996,305	$42,658	$127,508	($411,458)	$0	$16,927	($268,023)	($225,365)
200 Wheeling Power Co. - Transmission	43,160	11,626	89,253	0	1,459	(5,249)	0	203	(3,587)	(3,587)
Wheeling Power Co.	**$3,426,343**	**$327,463**	**$7,085,558**	**$42,658**	**$128,967**	**($416,707)**	**$0**	**$16,130**	**($271,610)**	**($228,952)**
103 American Electric Power Service Corporation	$246,959,777	$18,665,840	$510,704,244	$4,057,833	$9,429,181	($30,034,929)	$0	$1,162,583	($19,443,165)	($15,385,332)
293 Elmwood	640,356	44,286	1,324,234	0	24,119	(77,879)	0	3,015	(50,745)	(50,745)
292 AEP River Operations LLC	3,657,207	271,072	7,562,977	0	137,396	(444,785)	0	17,217	(290,172)	(290,172)
American Electric Power Service Corporation	**$251,257,340**	**$18,981,198**	**$519,591,455**	**$4,057,833**	**$9,590,696**	**($30,557,593)**	**$0**	**$1,182,815**	**($19,784,082)**	**($15,726,249)**
270 Cook Coal Terminal	$699,234	$47,199	$1,445,992	$9,724	$26,738	($85,040)	$0	$3,292	($55,010)	($45,286)
AEP Generating Company	**$699,234**	**$47,199**	**$1,445,992**	**$9,724**	**$26,738**	**($85,040)**	**$0**	**$3,292**	**($55,010)**	**($45,286)**
104 Cardinal Operating Company	$13,340,543	$1,248,428	$27,587,780	$0	$496,170	($1,622,460)	$0	$62,802	($1,063,488)	($1,063,488)
181 Ohio Power Co. - Generation	51,269,776	5,017,591	106,024,117	184,238	1,909,799	(6,235,364)	0	241,357	(4,084,208)	(3,899,970)
AEP Generation Resources - FERC	**$64,610,319**	**$6,266,019**	**$133,611,897**	**$184,238**	**$2,405,969**	**($7,857,824)**	**$0**	**$304,159**	**($5,147,696)**	**($4,963,458)**
290 Conesville Coal Preparation Company	602,536	48,912	1,246,024	0	22,554	(73,280)	0	2,836	(47,890)	(47,890)
AEP Generation Resources - SEC	**$65,212,855**	**$6,314,931**	**$134,857,921**	**$184,238**	**$2,428,523**	**($7,931,104)**	**$0**	**$306,995**	**($5,195,586)**	**($5,011,348)**
175 AEP Energy Partners	1,728,197	61,533	3,573,851	59,242	68,522	(210,181)	0	8,136	(133,523)	(74,281)
171 CSW Energy, Inc.	218,911	20,409	452,700	0	8,143	(26,624)	0	1,031	(17,450)	(17,450)
419 Onsite Partners	32,351	0	66,901	1,342	1,314	(3,935)	0	152	(2,469)	(1,127)
AEP Energy Supply	**$67,192,314**	**$6,396,873**	**$138,951,373**	**$244,822**	**$2,506,502**	**($8,171,844)**	**$0**	**$316,314**	**($5,349,028)**	**($5,104,206)**
143 AEP Pro Serv, Inc.	$87,552	$5,376	$181,054	$0	$3,311	($10,648)	$0	$412	($6,925)	($6,925)
AEP Pro Serv, Inc.	**$87,552**	**$5,376**	**$181,054**	**$0**	**$3,311**	**($10,648)**	**$0**	**$412**	**($6,925)**	**($6,925)**
245 Dolet Hills	$6,470,798	$379,003	$13,381,386	$260,964	$255,219	($786,970)	$69,647	$30,462	($431,642)	($170,678)
Dolet Hills	**$6,470,798**	**$379,003**	**$13,381,386**	**$260,964**	**$255,219**	**($786,970)**	**$69,647**	**$30,462**	**($431,642)**	**($170,678)**
Total	**$901,603,040**	**$74,999,961**	**$1,864,483,786**	**$12,527,799**	**$34,202,591**	**($109,651,802)**	**$69,647**	**$4,244,371**	**($71,135,193)**	**($58,607,394)**

American Electric Power

Postemployment Benefit Plans

Actuarial Valuation Report
Postemployment Benefit Obligations as of December 31, 2017, under U.S. GAAP

May 2018

Willis Towers Watson

This report is confidential and intended solely for the information and benefit of the immediate recipient thereof. It may not be distributed to a third party unless expressly allowed under the "Purpose and Actuarial Certification" section herein.

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Purposes of valuation

American Electric Power (AEP) retained Towers Watson Delaware Inc. ("Willis Towers Watson") to perform an actuarial valuation of some of its postemployment benefit programs, including Long-Term Disability (income replacement), life insurance and health benefit continuation plans for employees receiving Long-Term Disability (LTD) benefits and health benefit continuation plans for COBRA beneficiaries (the Plan).

As requested by the Company, this report provides information for year-end financial reporting purposes required by FASB Accounting Standards Codification Topic 712 (ASC 712-10) for your fiscal year ending December 31, 2017.

The exhibits present year-end financial reporting information in accordance with ASC 712-10 including net balance sheet position of the Plan, current year expected cash flow, plan asset information, participant information, the plan provisions on which the valuation is based, and the actuarial assumptions and methods used in the calculations.

Limitations

This valuation has been conducted for the purposes described above and may not be suitable for any other purpose. In particular, please note the following:

1. There may be certain events that have occurred since the valuation date that are not reflected in the current valuation.

2. This report does not provide information for plan reporting under ASC 965.

3. This report does not determine obligations on a plan termination basis, for which a separate extensive analysis would be required. No funded status measure included in this report is intended to assess, and none may be appropriate for assessing, the sufficiency of plan assets to cover the estimated cost of settling benefit obligations, as all such measures differ in some way from plan termination obligations.

4. The comparisons of accounting obligations to assets presented in this report cannot be relied upon to determine the need for nor the amount of required future plan contributions. Nevertheless, such comparisons may be useful to assess the need for future contributions because they reflect current interest rates at the measurement date in determining benefit obligations. However, asset gains and losses, demographic experience different from assumed, changes in interest rates, future benefit accruals, if any, and other factors will all affect the need for and amount of future contributions. In addition, if a plan is not required by law to be funded, benefit payments may also be paid directly by the plan sponsor as they come due.

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Section 1 : Summary of key results

Benefit obligations & assets

All monetary amounts shown in US Dollars

Measurement Date		December 31, 2017	December 31, 2016
Plan Assets	Fair Value of Assets (FVA)	1,167,586	387,434
Benefit Obligations	Postemployment Benefit Obligation	(73,052,594)	(80,103,618)
Funded Position	FVA minus Obligation	(71,885,008)	(79,716,184)
Funded Ratios	FVA to Obligation	1.6%	0.5%
Assumptions	Discount rate	2.25%	2.15%
	Current health care cost trend rate	6.50%	6.75%
	Ultimate health care cost trend rate	5.00%	5.00%
	Years to ultimate trend rate	6	7
Participant Data	Census Date	12/31/2017	12/31/2016

Comments on results

The funded position decreased from $(79,716,184) to $(71,885,008). Significant reasons for the changes in benefit obligation since the prior year include the following:

- Plan costs and contribution rates increased by less than was expected, which decreased the benefit obligations.
- The disability termination assumptions, which projects the rate at which disabled participants leave disability (either due to recovery or death) was updated from a table based on a 1987 study to a table reflecting experience published in 2012, adjusted for results from a study published in 2016. The updated recovery component resulted in a decreased benefit obligation, but for the life insurance benefits, this was more than offset by an increase in the benefit obligation due to the updated mortality component.
- The discount rate, based on U.S. Treasury constant maturity yields, increased from 2.15% to 2.25%, resulting in a decrease to benefit obligations.

Basis for valuation

Appendix A summarizes the assumptions and methods used in the valuation. Appendix B summarizes our understanding of the principal provisions of the plans being valued. Unless otherwise described below under Subsequent Events, assumptions were selected based on information known as of the measurement date.

Changes in assumptions

- Plan cost rates, employee contribution rates, and COBRA rates for 2018 have been used as a basis for this valuation.
- The discount rate has been updated to reflect Treasury Constant Maturities of as December 31, 2017, which increased the rate from 2.15% as of December 31, 2016, to 2.25% as of December 31, 2017.
- The disability termination assumption has been updated from the 1987 CGDT to the 2012 GLTD reflecting improvements from the 2016 GLTD experience study.

Changes in methods or estimation techniques

None.

Changes in benefits valued

None.

Subsequent events

None.

Additional information

None.

Actuarial certification

This valuation has been conducted in accordance with generally accepted actuarial principles and practices.

Reliances

In preparing the results presented in this report, we have relied upon information provided to us regarding plan provisions, participants, claims data, monthly contribution rates and plan assets (if any) provided by the Company and other persons or organizations designated by the Company. We have relied on all the data and information provided as complete and accurate. We have reviewed this information for overall reasonableness and consistency, but have neither audited nor independently verified this information. Based on discussions with and concurrence by the plan sponsor, assumptions or estimates may have been made if data were not available. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

We have relied on all the information provided as complete and accurate. The accuracy of the results presented in this report is dependent upon the accuracy and completeness of the underlying information. Any material inaccuracy in the data, assets, plan provisions or other information provided to us may have produced results that are not suitable for the purposes of this report and such inaccuracies, as corrected by the Company, may produce materially different results that could require that a revised report be issued.

Measurement of benefit obligations, plan assets and balance sheet adjustments

Census date/measurement date

The measurement date is December 31, 2017. The benefit obligations were measured as of the Company's December 31, 2017, fiscal year end and are based on participant data as of the census date, which is displayed in Section 3.

Plan assets and balance sheet adjustments

Information about the fair value of plan assets was furnished to us by the Company. Willis Towers Watson used information supplied by the Company regarding postemployment benefit asset and postemployment benefit liability as of December 31, 2017. These data were reviewed for reasonableness and consistency, but no audit was performed.

Assumptions and methods under U.S. GAAP

As required by U.S. GAAP, the actuarial assumptions and methods employed in the development of the postemployment benefit liability have been selected by the Company. Willis Towers Watson has concurred with these assumptions and methods. U.S. GAAP requires that each significant assumption "individually represent the best estimate of a particular future event."

The results shown in this report have been developed based on actuarial assumptions that, to the extent evaluated by Willis Towers Watson, we consider to be reasonable. Other actuarial assumptions could also be considered to be reasonable. Thus, reasonable results differing from those presented in this report could have been developed by selecting different reasonable assumptions.

A summary of the assumptions and methods used is provided in Appendix A. Note that any subsequent changes in methods or assumptions for the December 31, 2017 measurement date will change the results shown in this report.

Nature of actuarial calculations

The results shown in this report are estimates based on data that may be imperfect and on assumptions about future events that cannot be predicted with certainty. The effects of certain plan provisions may be approximated, or determined to be insignificant and therefore not valued. Assumptions may have been made, in consultation with AEP, about participant data or other factors. Reasonable efforts were made in preparing this valuation to confirm that items that are significant in the context of the actuarial liabilities are treated appropriately, and are not excluded or included inappropriately. Any rounding (or lack thereof) used for displaying numbers in this report is not intended to imply a degree of precision; by their nature, actuarial calculations are not precise.

Future actuarial measurements may differ significantly from the current measurements presented in this report due to many factors, including: plan experience differing from that anticipated by the economic or demographic assumptions, changes in economic or demographic assumptions, increases or decreases expected as part of the natural operation of the methodology used for the measurements, and changes in plan provisions or applicable law. It is beyond the scope of this valuation to analyze the potential range of future postretirement welfare contributions, but we can do so upon request. Postemployment group benefits models necessarily rely on the use of approximations and estimates, and are sensitive to changes in these approximations and estimates. Small variations in these approximations and estimates may lead to significant changes in actuarial measurements.

Limitations on use

This report is provided subject to the terms set out herein and in our master consulting services agreement dated July 29, 2004, and any accompanying or referenced terms and conditions.

The information contained in this report was prepared for the internal use of AEP and its auditors in connection with our actuarial valuation of the postemployment benefit plan as described in Purposes of Valuation above. It is not intended for and may not be used for other purposes, and we accept no responsibility or liability in this regard. AEP may distribute this actuarial valuation report to the appropriate authorities who have the legal right to require AEP to provide them this report, in which case AEP will use best efforts to notify Willis Towers Watson in advance of this distribution. Further distribution to, or use by, other parties of all or part of this report is expressly prohibited without Willis Towers Watson's prior written

consent. Willis Towers Watson accepts no responsibility for any consequences arising from any other party relying on this report or any advice relating to its contents.

Professional qualifications

The undersigned consulting actuaries are members of the Society of Actuaries and meets their “Qualification Standards for Actuaries Issuing Statements of Actuarial Opinion in the United States” relating to postemployment benefit plans. Our objectivity is not impaired by any relationship between the plan sponsor and our employer, Towers Watson Delaware Inc.

Martin P. Franzinger, ASA, MAAA
Pricing Specialist and Valuation Actuary

John Igrec, FSA
Valuation Actuary

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Section 2: Postemployment benefits obligation

This report summarizes the financial results for AEP's postemployment benefit plan, including the effect of the Medicare Part D subsidy, based upon an actuarial valuation of the income, life insurance and health care continuation benefits during long-term disability and COBRA as of December 31, 2017. The accounting for the benefits not attributable to employee service income, life insurance and contributory health care continuation is subject to ASC 450-20 (formerly FAS 5) for benefits that do not accumulate.

Benefits That Do Not Vest or Accumulate (ASC 450: Formerly FAS 5)	December 31, 2017	December 31, 2016
Benefit Obligation and Funded Status		
Health care and life insurance continuation benefits during LTD		
■ Medical benefits	$ 30,326,825	$ 37,462,641
■ Basic life insurance	7,739,050	5,928,316
■ Supplemental life insurance	7,335,696	4,952,023
■ Dental benefits	631,414	735,710
Total benefit obligation	$ 46,032,985	$ 49,078,690
Plan assets	0	0
Unfunded liability	$ 46,032,985	$ 49,078,690
Income replacement (LTD) plan		
Benefit obligation	$ 26,766,228	$ 30,576,188
Plan assets	(1,167,586)	(387,434)
Unfunded liability	$ 25,598,642	$ 30,188,754
COBRA		
Benefit obligation	$ 253,381	$ 448,740
Plan assets	0	0
Unfunded liability	$ 253,381	$ 448,740
Total		
Benefit obligation	$ 73,052,594	$ 80,103,618
Plan assets	(1,167,586)	(387,434)
Unfunded liability	$ 71,885,008	$ 79,716,184

Change in Unfunded Liabilities from Prior Year

In total, our calculations of FASB ASC 712 unfunded liability as of December 31, 2017, for the postemployment benefits that Willis Towers Watson values is $71.9 million which was a slight decrease from the total liability as of December 31, 2016.

Summary of Unfunded Liability Increase/(Decrease)

Non-UMWA		
■ Health Care and Life Insurance Continuation for LTD Claimants	$	(3.0) million
■ LTD Income Replacement		(4.6) million
■ COBRA		(0.2) million
Total	$	(7.8) million

The discount rate has increased from 2.15% to 2.25% and is determined based on a duration matching approach using a risk-free bond universe. The duration of AEP's postemployment benefit plan, excluding COBRA and severance benefits, is 3.67 years as of December 31, 2017. The changes in liabilities are analyzed below for each benefit.

Health Care and Life Insurance Continuation for LTD Claimants

During 2017, the liability estimate for these benefits decreased from $49.1 million to $46.0 million. This $3.1 million decrease results from the following factors:

	Medical	Life Insurance	Dental	Total
December 31, 2016, Liability	37,462,641	10,880,339	735,710	49,078,690
Increase/(Decrease) due to:				
Normal operation of the plan	3,120,565	570,445	25,925	3,716,935
Claims experience	(3,518,420)	64,791	(11,711)	(3,465,340)
Demographic experience	(4,089,540)	(1,152,934)	(51,575)	(5,294,049)
Termination rate assumption changes	(2,539,867)	4,765,351	(64,177)	2,161,307
Economic assumption changes	(108,554)	(53,246)	(2,758)	(164,558)
December 31, 2017, Liability	30,326,825	15,074,746	631,414	46,032,985

LTD Income Replacement

During 2017, the liability estimate (under ASC 712) decreased from $30.6 million to $26.8 million. This $3.8 million decrease results from the following factors:

December 31, 2016, Liability	30,576,188
Increase/(Decrease) due to:	
Normal operation of the plan	3,736,682
Demographic experience	(4,725,813)
Termination rate assumption changes	(2,717,161)
Economic assumption changes	(103,668)
December 31, 2017, Liability	26,766,228

In addition to the $3.8 million liability decrease, there was a by a $0.8 million increase in plan assets, leading to a $4.6 million decrease in the LTD plan's unfunded liability under ASC 712.

There is also a significant unfunded liability of $29.7 million as of December 31, 2017, measured under Internal Revenue Code Section 419A. Therefore, all contributions AEP made to the LTD VEBA in 2017 are tax deductible in 2017 and none of the trust's 2017 investment income needs to be reported as Unrelated Business Income Tax (UBTI). The components of this calculation are:

Funded Status of LTD VEBA as of December 31, 2017

	AEP East Disabled	*Post-3/31/1998 East and Post-12/31/2000 West Disabilities*			*AEP West Disabled*	
	Before 1996	*Approved*	*IBNA* [1]	*Subtotal*	*Before 2001*	*Total*
(1) Plan Assets						1,168,000
(2) Plan Liabilities						
(a) Claims Cost Liability	56,000	25,932,000	3,963,000	29,895,000	727,000	30,678,000
(b) DEFRA Limitations[2]	0	0	3,048,000	3,048,000	0	3,048,000
(c) DEFRA-Limited Claims (a) - (b)	56,000	25,932,000	915,000	26,847,000	727,000	27,630,000
(d) Administrative Costs						3,228,000
(e) QAAL--Total Plan Liability (c) + (d)						30,858,000
(3) Surplus/(Unfunded Liability)						
(a) Based on Unlimited Liability (1) - (2a) - (2d)						(32,738,000)
(b) Based on QAAL (1) - (2e)						(29,690,000)
(4) Number of Approved Claimants	2	327		327	11	340

[1] Incurred but not approved.

[2] Exclusion of liability for projected benefit payments to claimants who have not been disabled for at least 5 months.

COBRA and Severance

The liabilities as of December 31, 2017, associated with COBRA continuation coverage for medical and dental benefits have been included for all AEP companies. Liabilities were calculated for participants and assigned to the company for which they last worked.

The liabilities were determined assuming that COBRA beneficiaries would incur claims costs equal to 154% of the per capita claims costs for active employees. No termination rates or increased claims cost morbidity was assumed for former employees receiving severance benefits because their monthly contributions to continue AEP's coverage was equal to the contributions charged to active participants.

This liability decreased by $0.2M during 2017, primarily due to a decrease in COBRA enrolment, and the expiration of UMWA severance benefits for a group of layoffs at Cook Coal.

Highlights

Actuarial and Economic Assumptions

The discount rates for determining the obligations reflect the time value of money as of the measurement date. This rate for ASC 450-20 (formerly FAS 5) obligations is based on Treasury bond yields and expected cash flows. The resulting discount rates are:

	December 31, 2017	December 31, 2016
ASC 710-10 (formerly FAS 43)	2.25%	2.15%
For tax-deductible funding limit	2.30%	2.20%

Health Care Cost Trend Rate Assumptions

Health care cost trend is the assumed rate of increase in per capita health care charges. It is disclosed in AEP's financial statements for ASC 715-60 as of December 1, 2018.

Year	Medical	Dental
2018	6.50%	3.00%
2019	6.25%	3.00%
2020	6.00%	3.00%
2021	5.75%	3.00%
2022	5.50%	3.00%
2023	5.25%	3.00%
2024 and after	5.00%	3.00%

The Company uses consistent trend assumptions for postretirement health care and postemployment benefit plan valuations.

Section 3: Participant data

	December 31, 2017	December 31, 2016
Census Date	12/31/2017	12/31/2016
Number		
▪ Health care & life insurance continuation benefits for LTD claimants	353	356
▪ Income replacement (LTD) plan	340	343
▪ COBRA	38	46
Average Age for LTD Medical Continuation Population	57.9	57.8

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Appendix A: Statement of actuarial assumptions and methods

Discount rate

0% for COBRA continuation; for all other benefits:

- 2.25% for ASC 712-10 valuation
- 2.30% for tax-deductible funding limit valuation

Health care cost trend rate

(applies to plan costs and participant contributions)

Year	Medical	Dental
2018	6.50%	3.00%
2019	6.25%	3.00%
2020	6.00%	3.00%
2021	5.75%	3.00%
2022	5.50%	3.00%
2023	5.25%	3.00%
2024 and after	5.00%	3.00%

Health Care Benefit Assumptions

Non-UMWA Plans

Average annual 2018 per capita medical claims cost for disabled employees and their dependents

	Employee or Spouse		
Age	*HSA Basic*	*HSA Plus*	*HRA*
≤ 50	$ 5,107	$ 5,631	$ 6,223
50-54	6,271	6,914	7,641
55-59	7,530	8,302	9,174
60-64	9,318	10,273	11,353

	Children		
Employee age	*HSA Basic*	*HSA Plus*	*HRA*
<58	$ 5,193	$ 5,804	$ 6,420
≥58	0	0	0

For employees only, the costs shown above are increased by the following factors, based on duration of disability:

Years Disabled	*Employee Medical Cost Multiplier*
≤ 3	8.0
3 – 6	5.0
>6	2.0

80% of employees disabled more than 30 months are assumed to be approved for Medicare. Including the Retiree Drug Subsidy under Medicare Part D, the onset of Medicare benefits is assumed to reduce the cost of benefits by 75% for those approved for Medicare.

Average annual 2018 per capita dental claims cost for disabled employees and their dependents

Employee only	$357
Employee plus spouse	710
Employee plus child(ren)	952*
Full family	1,305*

*Children's portion of cost goes to zero at employee's age 58.

Administrative expenses

Included in per capita costs shown above.

COBRA morbidity	COBRA participants are assumed to incur average per capita claims costs equal to 154% of costs than active participants incur.

Demographic Assumptions

Healthy Mortality	Based on modified versions of RP-2014 with long-term improvement rates of 0.75%. Base mortality rates are derived from the RP-2014 mortality table with improvements factored to 2006 with no collar adjustments. Mortality improvements are projected forward on a generational basis using an adjusted version of Scale MP-2017. The adjustment reflects 75% of the long-term improvement rates.
Long-term disability termination	2012 GLTD table reflecting 6-month elimination period, with margin removed, with the following duration-based adjustments to recovery rates to reflect findings from the 2016 GLTD Experience Study: ■ +15% for the first four years of disability ■ -10% for later durations

COBRA continuation termination rates for beneficiaries not receiving severance benefits

	Probability of Terminating COBRA Coverage at End of Month	
Months	*18-Month Maximum*	*29- or 36-Month Maximum*
1	.17	.05
2	.12	.05
3	.07	.04
4-6	.05	.03
7-12	.04	.03
13	.03	.03
14-24	.03	.02
25-35	N/A	.01
36	N/A	1.00
Average Duration	10.19 months	22.61 months

Social Security benefit entitlement for those not yet approved	Within 36 months of disability, 55% of disabled employees not yet approved for Social Security benefits will be approved for primary Social Security benefits and 20% will be approved for family Social Security benefits.

Actuarial Methods

Applicable accounting standards	All benefits have been valued under FASB ASC 450-20-25-2.
Postemployment benefit liability	FASB ASC 450-20-25-2 liabilities are equal to the actuarial present value of future benefit payments to current benefit recipients, with no allowance for incurred but unreported claims or claims administration expenses. Calculation of LTD Plan liabilities for disabled participants under IRC Section 419A funding limit valuation includes the following: a) Benefits in payment status – The liability for disabled employees currently receiving benefits is the present value of future benefits expected to be paid. b) Benefits pending or in the waiting period – An estimate is made of the present value of benefits for disabled employees not yet receiving benefit payments. c) For purposes of determining the qualified asset account limit in accordance with Section 419A of the Internal Revenue Code, benefits to be paid to claimants whose disabilities have not lasted more than five months have been excluded from the liabilities described under a) and b) above. d) Claims administrative expenses equal to 11.68% of expected benefit payments
Development of health care benefit claims cost	Cost per participant is based on age-related retired participant costs for AEP non-UMWA plans, adjusted to reflect higher anticipated health care utilization for disabled individuals and reduced for Medicare offsets.
Benefits not valued	Claims incurred but not reported (IBNR) have not been included in the FASB ASC 712-10 liabilities for any benefits.

Data Sources

American Electric Power (AEP), through its third-party administrator, furnished participant data as of January 1, 2018. Health plan vendors furnished the claims cost data. Data were reviewed for reasonableness and consistency, but no audit was performed. We are not aware of any errors or omissions in the data that would have a significant effect on the results of our calculations.

Assumptions Rationale — Significant Economic Assumptions – Funding Limit and Accounting

Discount rate (accounting)	As required by U.S. GAAP, the discount rate was chosen by the plan sponsor based on matching projected plan cash flows (for all benefits except COBRA continuation) to U.S. Treasury Constant Maturity yield rates on the measurement date, with resulting discount rate rounded to the nearest 0.05%.
Discount rate (funding limits)	The discount rate was chosen by the plan sponsor based on matching projected LTD income benefit cash flows to the U.S. Treasury Constant Maturity yield rates on the measurement date, with resulting discount rate rounded to nearest 0.10%.
Claims cost trend rates	Assumed increases were chosen by the plan sponsor and, as required by U.S. GAAP, they represent an estimate of future experience, informed by an analysis of recent plan experience, leading to select and ultimate assumed trend rates and reflecting the expected near-term effect of recently enacted plan changes. In setting near-term trend rates, other pertinent statistics were considered, including surveys on general medical cost increases. In setting the ultimate trend rate, considerations included assumed GDP growth consistent with the assumed future economic

	conditions inherent in other economic assumptions chosen by the client at the measurement date. After examining historical variability in trend rates, we believe that the selected assumptions do not significantly conflict with what would be reasonable based on a combination of market conditions at the measurement date and future expectations consistent with other economic assumptions used, other than the discount rate.
Participant contribution trend rates	In accordance with the substantive plan communicated to participants, participant contributions are intended to remain a fixed percentage of total plan costs, and thus the trend rates, and the description of the derivation of the trend rates, are the same as for claims costs as shown above.
Medicare Part D subsidy trend rates	The assumed rates of increase in Medicare Part D subsidy are assumed to equal the plan's assumed trend rates.
Per capita claims costs	Aetna, Express Scripts, Anthem and Magellan supplied data on retiree medical claims incurred in 2016 and paid through March 2017. Claim experience rates are calculated for the plans by normalizing claims experience for benefit differences and combining. These normalized incurred claims were then reduced by prescription drug rebates, divided by covered lives and trended forward two years to 2018. Adjustments for plan provision and network changes were also made. Finally, administrative expense rates were added to claims costs. Medical and prescription drug claims cost models are developed by age-grading these claim rates over standard Willis Towers Watson morbidity curves for both medical and prescription drugs to develop the quinquennial age-banded claims cost assumptions. Aetna supplied data on dental claims incurred in 2016 and paid through March 2017. Combined claims experience for all active and retired employees was analyzed to derive the dental claim rates.
Medicare Part D subsidy value	We calibrated our modeling tool to reflect the 2018 cost of the current prescription drug plans for AEP's disabled employees. The tool employs a continuance table of annual retiree drug utilization levels, developed from analyzing the experience of several large companies, including 2.4 million Medicare-eligible participants. After the plan-specific benefit provisions have been calibrated to current costs, the Modeler trends costs forward to 2018. Actuarial equivalence was determined using the following approach: *Gross Value Test* — The Modeler calculates the value of standard Medicare Part D coverage and compares it to AEP's plan costs. AEP's plans passed this test by being richer than the projected value of standard Medicare part D coverage for these groups. *Net Value Test* — The net value prong of the test compares the value of Standard Part D coverage in 2018 minus the greater of $420.24 per year (the national average Part D premium) and 25.5% of the gross value of Part D to the projected 2017 value of AEP coverage minus the average projected 2018 retiree contribution rate. For this purpose, employee contributions were assumed to apply first to the value of medical benefits and then to prescription drug benefits. When the plans are deemed to be actuarially equivalent, the tool calculates the average expected value of the employer subsidy in 2018, using the continuance table calibrated to AEP's plan costs.

Assumptions Rationale — Significant Demographic Assumptions

Healthy Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Disabled Mortality	Assumptions were selected by the plan sponsor and, as required by U.S. GAAP, represent a best estimate of future experience.
Rates of disability termination (recovery or death)	Termination rates reflecting both recovery and death were based on a published table for disabled participants believed to have similar characteristics to the plan population—the 2012 Group Long-Term Disability (GLTD) table, reflecting experience from the 2016 GLTD Experience Study. Assumed termination rates differ by age, gender and duration because of differences in termination rates by gender and duration observed in studies of disability termination rates conducted by the Society of Actuaries.

Source of Prescribed Methods

Accounting methods	The methods used for accounting purposes as described in Appendix A are “prescribed methods set by another party,” as defined in the actuarial standards of practice (ASOPs). As required by U.S. GAAP, these methods were selected by the plan sponsor.

Changes in Assumptions and Methods

Change in assumptions since prior valuation	Per capita claims costs were updated to reflect 2016 dental and retiree medical claims experience. Discount rate was changed from 2.15% to 2.25%. Rates of disability termination were updated to use the 2012 GLTD table, reflecting experience from the 2016 GLTD Experience Study.
Change in methods since prior valuation	None.

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Appendix B: Summary of Substantive Plan Provisions Reflected in Valuation

Non-UMWA Plans

Long-Term Disability

Eligibility	Total disability following elimination period of 26 weeks.
Benefits	Following 26 weeks of total disability, benefits are payable. Benefit payments continue until the first to occur of the following: (i) The participant ceases to be totally disabled, or (ii) He reaches age 65 or if he becomes disabled after age 60, benefits can extend beyond age 65. Monthly benefits equal 60% (or 70% with employee buy-up) of base monthly salary reduced by: (a) Initial Social Security benefit (primary portion only for pre-2001 West disabilities) (b) Workers Compensation benefit (c) Jones Act (d) General Maritime Law (e) Settlements (f) Other plans.

Health Care Continuation to LTD Claimants

Eligibility	Participants are eligible for health care continuation upon approval for LTD benefits. Dependents of disabled employees are also eligible. Benefits continue until LTD benefits cease due to death, recovery or retirement.
Benefits	Eligible participants receive continued coverage under AEP's active employee medical and dental plans. Disabled participants who are eligible for Medicare have medical benefits provided secondary to Medicare.

Contributions (Annual)
Effective January 1, 2018

	HSA Basic	HSA Plus	HRA	Dental
Employee only	$373	$1,076	$1,703	$143
Employee plus spouse	804	2,382	3,776	284
Employee plus child(ren)	753	2,065	3,241	381
Full family	1,184	3,371	5,313	522

Life Insurance Continuation to LTD Claimants

Eligibility	Participants are eligible for life insurance continuation upon approval for LTD benefits.

Benefits	Eligible participants receive continued coverage under the active employee life insurance plans. Basic and supplemental amounts in force prior to approval for LTD benefits are continued. Dependent life is also continued.
Contributions	Same rates payable by active employees for supplemental coverage.
COBRA	When employees terminate, they are offered medical coverage for 18 months at COBRA rates (102% of average active/pre-65 retiree medical costs). Because anti-selection occurs, the average cost for participants who elect COBRA coverage is typically more than the COBRA rates they pay to enroll for coverage. Surviving spouses may continue coverage at COBRA rates for up to 36 months.

Changes in Benefits Valued Since Prior Year

None.

Appendix C: Results by Business Unit

Health Care and Life Insurance for Employees on Long-Term Disability
Liabilities as of December 31, 2017

			Medical Benefits		Basic Life Insurance		Supplemental Life Insurance		Dental Benefits		All Benefits	
Code	Location	Number Disabled	12/31/2017 Liability	2018 Projected Benefit Payments	12/31/2017 Liability	2018 Projected Benefit Payments	12/31/2017 Liability	2018 Projected Benefit Payments	12/31/2017 Liability	2018 Projected Benefit Payments	12/31/2017 Liability	2018 Projected Benefit Payments
140	Appalachian Power Co. - Distribution	49	$4,795,760	$1,318,771	$1,175,547	$306,717	$1,369,567	$371,824	$89,822	$16,488	$7,430,696	$2,013,800
215	Appalachian Power Co. - Generation	32	2,699,792	648,370	713,133	179,127	382,679	99,899	60,895	11,147	3,856,499	938,543
150	Appalachian Power Co. - Transmission	5	339,016	62,131	60,935	14,398	41,288	8,493	8,918	1,884	450,157	86,906
	Appalachian Power Co. - FERC	**86**	**$7,834,568**	**$2,029,273**	**$1,949,615**	**$500,242**	**$1,793,534**	**$480,216**	**$159,635**	**$29,519**	**$11,737,352**	**$3,039,250**
225	Cedar Coal Co	0	0	0	0	0	0	0	0	0	0	0
	Appalachian Power Co. - SEC	**86**	**$7,834,568**	**$2,029,273**	**$1,949,615**	**$500,242**	**$1,793,534**	**$480,216**	**$159,635**	**$29,519**	**$11,737,352**	**$3,039,250**
211	AEP Texas Central Company - Distribution	19	$1,382,477	$317,574	$471,425	$103,493	$504,696	$125,072	$27,363	$5,505	$2,385,961	$551,644
147	AEP Texas Central Company - Generation	0	0	0	0	0	0	0	0	0	0	0
169	AEP Texas Central Company - Transmission	1	22,449	22,634	5,397	5,452	2,017	2,039	342	346	30,205	30,471
	AEP Texas Central Co.	**20**	**$1,404,926**	**$340,208**	**$476,822**	**$108,945**	**$506,713**	**$127,110**	**$27,705**	**$5,851**	**$2,416,166**	**$582,115**
170	Indiana Michigan Power Co. - Distribution	7	$524,500	$131,388	$132,847	$38,170	$99,459	$25,401	$9,872	$1,477	$766,678	$196,436
132	Indiana Michigan Power Co. - Generation	7	419,583	200,809	110,671	41,957	58,904	24,524	7,390	2,418	596,548	269,709
190	Indiana Michigan Power Co. - Nuclear	6	771,649	243,500	153,769	36,935	235,864	53,167	20,109	2,821	1,181,391	336,423
120	Indiana Michigan Power Co. - Transmission	2	205,777	43,060	40,513	9,069	0	0	4,816	1,182	251,106	53,310
280	Ind Mich River Transp Lakin	13	1,082,205	273,628	228,316	42,305	270,108	52,061	22,214	3,346	1,602,843	371,340
	Indiana Michigan Power Co. - FERC	**35**	**$3,003,714**	**$892,385**	**$666,116**	**$168,436**	**$664,335**	**$155,153**	**$64,401**	**$11,245**	**$4,398,566**	**$1,227,219**
202	Price River Coal	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
	Indiana Michigan Power Co. - SEC	**35**	**$3,003,714**	**$892,385**	**$666,116**	**$168,436**	**$664,335**	**$155,153**	**$64,401**	**$11,245**	**$4,398,566**	**$1,227,219**
110	Kentucky Power Co. - Distribution	10	$890,409	$202,184	$173,004	$38,872	$152,094	$30,794	$20,423	$3,533	$1,235,930	$275,384
117	Kentucky Power Co. - Generation	8	601,248	130,319	131,618	32,601	203,862	58,807	13,322	2,501	950,050	224,228
180	Kentucky Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
600	Kentucky Power Co. - Kammer Actives	3	250,179	42,383	82,469	10,949	67,960	7,172	6,123	834	406,731	61,338
701	Kentucky Power Co. - Mitchell Actives	2	223,064	21,603	67,628	9,108	49,183	5,971	7,694	1,186	347,569	37,868
702	Kentucky Power Co. - Mitchell Inactives	0	0	0	0	0	0	0	0	0	0	0
	Kentucky Power Co.	**23**	**$1,964,900**	**$396,488**	**$454,719**	**$91,530**	**$473,099**	**$102,744**	**$47,562**	**$8,055**	**$2,940,280**	**$598,818**
250	Ohio Power Co. - Distribution	33	$3,551,727	$986,705	$770,968	$209,374	$650,731	$195,814	$83,212	$13,032	$5,056,638	$1,404,926
160	Ohio Power Co. - Transmission	4	200,294	26,798	66,444	10,959	38,032	6,218	5,256	1,046	310,026	45,021
	Ohio Power Co.	**37**	**$3,752,021**	**$1,013,503**	**$837,412**	**$220,333**	**$688,763**	**$202,032**	**$88,468**	**$14,079**	**$5,366,664**	**$1,449,946**
167	Public Service Co. of Oklahoma - Distribution	13	$845,556	$207,474	$214,179	$54,533	$255,084	$63,048	$22,226	$3,924	$1,337,045	$328,978
198	Public Service Co. of Oklahoma - Generation	6	398,830	81,036	96,989	21,628	157,642	23,536	10,024	1,716	663,485	127,915
114	Public Service Co. of Oklahoma - Transmission	0	0	0	0	0	0	0	0	0	0	0
	Public Service Co. of Oklahoma	**19**	**$1,244,386**	**$288,510**	**$311,168**	**$76,161**	**$412,726**	**$86,583**	**$32,250**	**$5,639**	**$2,000,530**	**$456,893**
159	Southwestern Electric Power Co. - Distribution	11	$907,965	$350,015	$194,360	$68,177	$135,555	$51,412	$12,738	$2,824	$1,250,618	$472,428
168	Southwestern Electric Power Co. - Generation	9	830,570	206,068	233,842	57,290	197,944	62,017	18,284	3,382	1,280,640	328,757
161	Southwestern Electric Power Co. - Texas - Distribution	8	816,730	210,472	175,457	39,480	224,399	56,744	13,997	2,459	1,230,583	309,155
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0	0	0	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
	Southwestern Electric Power Co.	**28**	**$2,555,265**	**$766,555**	**$603,659**	**$164,947**	**$557,898**	**$170,173**	**$45,019**	**$8,665**	**$3,761,841**	**$1,110,340**
119	AEP Texas North Company - Distribution	9	$504,763	$194,962	$131,774	$42,235	$124,340	$55,564	$9,394	$3,017	$770,271	$295,778
166	AEP Texas North Company - Generation	0	0	0	0	0	0	0	0	0	0	0
192	AEP Texas North Company - Transmission	0	0	0	0	0	0	0	0	0	0	0
	AEP Texas North Co.	**9**	**$504,763**	**$194,962**	**$131,774**	**$42,235**	**$124,340**	**$55,564**	**$9,394**	**$3,017**	**$770,271**	**$295,778**
230	Kingsport Power Co. - Distribution	2	$5,042	$5,047	$39,247	$9,797	$136,763	$34,890	$4,594	$799	$185,646	$50,533
260	Kingsport Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
	Kingsport Power Co.	**2**	**$5,042**	**$5,047**	**$39,247**	**$9,797**	**$136,763**	**$34,890**	**$4,594**	**$799**	**$185,646**	**$50,533**
210	Wheeling Power Co. - Distribution	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0	0	0	0	0	0	0	0	0
	Wheeling Power Co.	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
103	American Electric Power Service Corporation	56	$4,664,631	$1,521,916	$1,363,433	$397,587	$1,424,048	$468,308	$79,462	$15,701	$7,531,574	$2,403,513
293	Elmwood	0	0	0	0	0	0	0	0	0	0	0
292	AEP River Operations LLC	10	811,585	162,143	270,644	61,087	242,350	54,101	26,638	4,451	1,351,217	281,781
	American Electric Power Service Corp	**66**	**$5,476,216**	**$1,684,059**	**$1,634,077**	**$458,674**	**$1,666,398**	**$522,409**	**$106,100**	**$20,152**	**$8,882,791**	**$2,685,294**
143	AEP Pro Serv, Inc.	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
189	Central Coal Company	0	0	0	0	0	0	0	0	0	0	0
171	CSW Energy, Inc.	0	0	0	0	0	0	0	0	0	0	0
	Miscellaneous	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
270	Cook Coal Terminal	0	0	0	0	0	0	0	0	0	0	0
	AEP Generating Company	**0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**
104	Cardinal Operating Company	3	$139,576	$47,628	$41,430	$12,647	$4,454	$1,328	$1,559	$420	$187,019	$62,023
181	Ohio Power Co. - Generation	11	528,796	112,740	195,298	36,306	134,284	28,180	19,458	2,958	877,836	180,185
	AEP Generation Resources - FERC	**14**	**$668,372**	**$160,368**	**$236,728**	**$48,953**	**$138,738**	**$29,508**	**$21,017**	**$3,378**	**$1,064,855**	**$242,208**
290	Conesville Coal Preparation Company	0	0	0	0	0	0	0	0	0	0	0
	AEP Generation Resources - SEC	**14**	**$668,372**	**$160,368**	**$236,728**	**$48,953**	**$138,738**	**$29,508**	**$21,017**	**$3,378**	**$1,064,855**	**$242,208**
175	AEP Energy Partners	0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
419	Onsite Partners	0	0	0	0	0	0	0	0	0	0	0
	AEP Energy Supply	**14**	**$668,372**	**$160,368**	**$236,728**	**$48,953**	**$138,738**	**$29,508**	**$21,017**	**$3,378**	**$1,064,855**	**$242,208**
245	Dolet Hills	14	$1,912,652	$778,457	$397,713	$140,894	$172,389	$68,377	$25,269	$4,614	$2,508,023	$992,341
	Dolet Hills	**14**	**$1,912,652**	**$778,457**	**$397,713**	**$140,894**	**$172,389**	**$68,377**	**$25,269**	**$4,614**	**$2,508,023**	**$992,341**
	Total	**353**	**$30,326,825**	**$8,549,815**	**$7,739,050**	**$2,031,147**	**$7,335,696**	**$2,034,760**	**$631,414**	**$115,013**	**$46,032,985**	**$12,730,735**

Long-Term Disability Income Replacement Benefits
Liabilities as of December 31, 2017

Code	Location	Number Disabled	12/31/2017 Liability	Total LTD Assets as of 12/31/2017	12/31/2017 Unfunded Liability	2018 Projected Benefit Payments
140	Appalachian Power Co. - Distribution	45	$3,663,841	$159,823	$3,504,018	$733,749
215	Appalachian Power Co. - Generation	31	2,616,285	114,127	2,502,158	546,996
150	Appalachian Power Co. - Transmission	5	265,811	11,595	254,216	58,331
	Appalachian Power Co. - FERC	**81**	**$6,545,937**	**$285,545**	**$6,260,392**	**$1,339,076**
225	Cedar Coal Co	0	$0	$0	$0	$0
	Appalachian Power Co. - SEC	**81**	**$6,545,937**	**$285,545**	**$6,260,392**	**$1,339,076**
211	AEP Texas Central Company - Distribution	19	$1,623,389	$70,815	$1,552,574	$334,970
147	AEP Texas Central Company - Generation	0	0	0	0	0
169	AEP Texas Central Company - Transmission	1	12,180	531	11,649	12,281
	AEP Texas Central Co.	**20**	**$1,635,569**	**$71,346**	**$1,564,223**	**$347,251**
170	Indiana Michigan Power Co. - Distribution	6	$226,255	$9,870	$216,385	$57,744
132	Indiana Michigan Power Co. - Generation	7	380,733	16,608	364,125	153,523
190	Indiana Michigan Power Co. - Nuclear	5	541,404	23,617	517,787	83,939
120	Indiana Michigan Power Co. - Transmission	2	121,521	5,301	116,220	24,807
280	Ind Mich River Transp Lakin	13	947,780	41,344	906,436	185,923
	Indiana Michigan Power Co. - FERC	**33**	**$2,217,693**	**$96,740**	**$2,120,953**	**$505,936**
202	Price River Coal	0	$0	$0	$0	$0
	Indiana Michigan Power Co. - SEC	**33**	**$2,217,693**	**$96,740**	**$2,120,953**	**$505,936**
110	Kentucky Power Co. - Distribution	10	$528,839	$23,069	$505,770	$106,202
117	Kentucky Power Co. - Generation	7	634,318	27,670	606,648	106,224
180	Kentucky Power Co. - Transmission	0	0	0	0	0
600	Kentucky Power Co. - Kammer Actives	3	248,908	10,858	238,050	36,721
701	Kentucky Power Co. - Mitchell Actives	2	378,969	16,531	362,438	49,391
702	Kentucky Power Co. - Mitchell Inactives	0	0	0	0	0
	Kentucky Power Co.	**22**	**$1,791,034**	**$78,128**	**$1,712,906**	**$298,537**
250	Ohio Power Co. - Distribution	32	$2,352,320	$102,612	$2,249,708	$467,784
160	Ohio Power Co. - Transmission	4	229,049	9,991	219,058	44,523
	Ohio Power Co.	**36**	**$2,581,369**	**$112,603**	**$2,468,766**	**$512,307**
167	Public Service Co. of Oklahoma - Distribution	13	$853,907	$37,249	$816,658	$181,282
198	Public Service Co. of Oklahoma - Generation	6	354,413	15,460	338,953	84,808
114	Public Service Co. of Oklahoma - Transmission	0	0	0	0	0
	Public Service Co. of Oklahoma	**19**	**$1,208,320**	**$52,709**	**$1,155,611**	**$266,090**
159	Southwestern Electric Power Co. - Distribution	11	$585,735	$25,551	$560,184	$158,950
168	Southwestern Electric Power Co. - Generation	9	688,065	30,015	658,050	128,538
161	Southwestern Electric Power Co. - Texas - Distribution	8	557,298	24,310	532,988	93,900
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0	0	0
	Southwestern Electric Power Co.	**28**	**$1,831,098**	**$79,876**	**$1,751,222**	**$381,388**
119	AEP Texas North Company - Distribution	9	$329,362	$14,367	$314,995	$104,140
166	AEP Texas North Company - Generation	0	0	0	0	0
192	AEP Texas North Company - Transmission	0	0	0	0	0
	AEP Texas North Co.	**9**	**$329,362**	**$14,367**	**$314,995**	**$104,140**
230	Kingsport Power Co. - Distribution	2	$167,096	$7,289	$159,807	$28,432
260	Kingsport Power Co. - Transmission	0	0	0	0	0
	Kingsport Power Co.	**2**	**$167,096**	**$7,289**	**$159,807**	**$28,432**
210	Wheeling Power Co. - Distribution	0	$0	$0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0	0	0
	Wheeling Power Co.	**0**	**$0**	**$0**	**$0**	**$0**
103	American Electric Power Service Corporation	56	$5,262,907	$229,575	$5,033,332	$1,162,320
293	Elmwood	0	0	0	0	0
292	AEP River Operations LLC	9	1,317,143	57,456	1,259,687	237,608
	American Electric Power Service Corp	**65**	**$6,580,050**	**$287,031**	**$6,293,019**	**$1,399,928**
143	AEP Pro Serv, Inc.	0	$0	$0	$0	$0
189	Central Coal Company	0	0	0	0	0
171	CSW Energy, Inc.	0	0	0	0	0
	Miscellaneous	**0**	**$0**	**$0**	**$0**	**$0**
270	Cook Coal Terminal	0	$0	$0	$0	$0
	AEP Generating Company	**0**	**$0**	**$0**	**$0**	**$0**
104	Cardinal Operating Company	3	$142,195	$6,203	$135,992	$41,445
181	Ohio Power Co. - Generation	11	719,302	31,377	687,925	141,588
	AEP Generation Resources - FERC	**14**	**$861,497**	**$37,580**	**$823,917**	**$183,032**
290	Conesville Coal Preparation Company	0	$0	$0	$0	$0
	AEP Generation Resources - SEC	**14**	**$861,497**	**$37,580**	**$823,917**	**$183,032**
175	AEP Energy Partners	0	$0	$0	$0	$0
419	Onsite Partners	0	0	0	0	0
	AEP Energy Supply	**14**	**$861,497**	**$37,580**	**$823,917**	**$183,032**
245	Dolet Hills	11	$1,017,203	$44,372	$972,831	$239,483
	Dolet Hills	**11**	**$1,017,203**	**$44,372**	**$972,831**	**$239,483**
	Total	**340**	**$26,766,228**	**$1,167,586**	**$25,598,642**	**$5,605,601**

Liabilities for COBRA Continuation of Medical and Dental Coverage
Former Non-UMWA and UMWA Employees

Code	Location	Number of Participants	12/31/2017 Liability	2018 Projected Benefit Payments
140	Appalachian Power Co. - Distribution	3	$5,825	$3,748
215	Appalachian Power Co. - Generation	1	275	185
150	Appalachian Power Co. - Transmission	0	0	0
	Appalachian Power Co. - FERC	**4**	**$6,100**	**$3,933**
225	Cedar Coal Co	0	0	0
	Appalachian Power Co. - SEC	**4**	**$6,100**	**$3,933**
211	AEP Texas Central Company - Distribution	1	$1,469	$1,469
147	AEP Texas Central Company - Generation	0	0	0
169	AEP Texas Central Company - Transmission	0	0	0
	AEP Texas Central Co.	**1**	**$1,469**	**$1,469**
170	Indiana Michigan Power Co. - Distribution	4	$24,974	$22,350
132	Indiana Michigan Power Co. - Generation	0	0	0
190	Indiana Michigan Power Co. - Nuclear	6	20,482	14,657
120	Indiana Michigan Power Co. - Transmission	0	0	0
280	Ind Mich River Transp Lakin	0	0	0
	Indiana Michigan Power Co. - FERC	**10**	**$45,456**	**$37,007**
202	Price River Coal	0	0	0
	Indiana Michigan Power Co. - SEC	**10**	**$45,456**	**$37,007**
110	Kentucky Power Co. - Distribution	0	$0	$0
117	Kentucky Power Co. - Generation	0	0	0
180	Kentucky Power Co. - Transmission	0	0	0
600	Kentucky Power Co. - Kammer Actives	0	0	0
701	Kentucky Power Co. - Mitchell Actives	0	0	0
702	Kentucky Power Co. - Mitchell Inactives	0	0	0
	Kentucky Power Co.	**0**	**$0**	**$0**
250	Ohio Power Co. - Distribution	4	$76,589	$30,693
160	Ohio Power Co. - Transmission	1	308	185
	Ohio Power Co.	**5**	**$76,897**	**$30,878**
167	Public Service Co. of Oklahoma - Distribution	0	$0	$0
198	Public Service Co. of Oklahoma - Generation	0	0	0
114	Public Service Co. of Oklahoma - Transmission	0	0	0
	Public Service Co. of Oklahoma	**0**	**$0**	**$0**
159	Southwestern Electric Power Co. - Distribution	1	$6,310	$6,310
168	Southwestern Electric Power Co. - Generation	0	0	0
161	Southwestern Electric Power Co. - Texas - Distribution	1	33,633	12,111
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0
	Southwestern Electric Power Co.	**2**	**$39,943**	**$18,421**
119	AEP Texas North Company - Distribution	1	$21,818	$17,454
166	AEP Texas North Company - Generation	0	0	0
192	AEP Texas North Company - Transmission	0	0	0
	AEP Texas North Co.	**1**	**$21,818**	**$17,454**
230	Kingsport Power Co. - Distribution	0	$0	$0
260	Kingsport Power Co. - Transmission	0	0	0
	Kingsport Power Co.	**0**	**$0**	**$0**
210	Wheeling Power Co. - Distribution	0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0
	Wheeling Power Co.	**0**	**$0**	**$0**
103	American Electric Power Service Corporation	14	$58,804	$44,362
293	Elmwood	0	0	0
292	AEP River Operations LLC	0	0	0
	American Electric Power Service Corp	**14**	**$58,804**	**$44,362**
143	AEP Pro Serv, Inc.	0	$0	$0
189	Central Coal Company	0	0	0
171	CSW Energy, Inc.	0	0	0
	Miscellaneous	**0**	**$0**	**$0**
270	Cook Coal Terminal	0	0	0
	AEP Generating Company	**0**	**$0**	**$0**
104	Cardinal Operating Company	0	$0	$0
181	Ohio Power Co. - Generation	0	0	0
	AEP Generation Resources - FERC	**0**	**$0**	**$0**
290	Conesville Coal Preparation Company	0	0	0
	AEP Generation Resources - SEC	**0**	**$0**	**$0**
175	AEP Energy Partners	0	0	0
419	Onsite Partners	0	0	0
	AEP Energy Supply	**0**	**$0**	**$0**
245	Dolet Hills	1	$2,894	$2,894
	Dolet Hills	**1**	**$2,894**	**$2,894**
	Total	**38**	**$253,381**	**$156,418**

Benefits Summary by Location
Unfunded Liabilities as of December 31, 2017

Code	Location	Health Care and Life Insurance	LTD	COBRA	Total Benefits
140	Appalachian Power Co. - Distribution	$7,430,696	$3,504,018	$5,825	$10,940,539
215	Appalachian Power Co. - Generation	3,856,499	2,502,158	275	6,358,932
150	Appalachian Power Co. - Transmission	450,157	254,216	0	704,373
	Appalachian Power Co. - FERC	**$11,737,352**	**$6,260,392**	**$6,100**	**$18,003,844**
225	Cedar Coal Co	0	0	0	0
	Appalachian Power Co. - SEC	**$11,737,352**	**$6,260,392**	**$6,100**	**$18,003,844**
211	AEP Texas Central Company - Distribution	$2,385,961	$1,552,574	$1,469	$3,940,004
147	AEP Texas Central Company - Generation	0	0	0	0
169	AEP Texas Central Company - Transmission	30,205	11,649	0	41,854
	AEP Texas Central Co.	**$2,416,166**	**$1,564,223**	**$1,469**	**$3,981,858**
170	Indiana Michigan Power Co. - Distribution	$766,678	$216,385	$24,974	$1,008,037
132	Indiana Michigan Power Co. - Generation	596,548	364,125	0	960,673
190	Indiana Michigan Power Co. - Nuclear	1,181,391	517,787	20,482	1,719,660
120	Indiana Michigan Power Co. - Transmission	251,106	116,220	0	367,326
280	Ind Mich River Transp Lakin	1,602,843	906,436	0	2,509,279
	Indiana Michigan Power Co. - FERC	**$4,398,566**	**$2,120,953**	**$45,456**	**$6,564,975**
202	Price River Coal	0	0	0	0
	Indiana Michigan Power Co. - SEC	**$4,398,566**	**$2,120,953**	**$45,456**	**$6,564,975**
110	Kentucky Power Co. - Distribution	$1,235,930	$505,770	$0	$1,741,700
117	Kentucky Power Co. - Generation	950,050	606,648	0	1,556,698
180	Kentucky Power Co. - Transmission	0	0	0	0
600	Kentucky Power Co. - Kammer Actives	406,731	238,050	0	644,781
701	Kentucky Power Co. - Mitchell Actives	347,569	362,438	0	710,007
702	Kentucky Power Co. - Mitchell Inactives	0	0	0	0
	Kentucky Power Co.	**$2,940,280**	**$1,712,906**	**$0**	**$4,653,186**
250	Ohio Power Co. - Distribution	$5,056,638	$2,249,708	$76,589	$7,382,935
160	Ohio Power Co. - Transmission	310,026	219,058	308	529,392
	Ohio Power Co.	**$5,366,664**	**$2,468,766**	**$76,897**	**$7,912,327**
167	Public Service Co. of Oklahoma - Distribution	$1,337,045	$816,658	$0	$2,153,703
198	Public Service Co. of Oklahoma - Generation	663,485	338,953	0	1,002,438
114	Public Service Co. of Oklahoma - Transmission	0	0	0	0
	Public Service Co. of Oklahoma	**$2,000,530**	**$1,155,611**	**$0**	**$3,156,141**
159	Southwestern Electric Power Co. - Distribution	$1,250,618	$560,184	$6,310	$1,817,112
168	Southwestern Electric Power Co. - Generation	1,280,640	658,050	0	1,938,690
161	Southwestern Electric Power Co. - Texas - Distribution	1,230,583	532,988	33,633	1,797,204
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0	0
	Southwestern Electric Power Co.	**$3,761,841**	**$1,751,222**	**$39,943**	**$5,553,006**
119	AEP Texas North Company - Distribution	$770,271	$314,995	$21,818	$1,107,084
166	AEP Texas North Company - Generation	0	0	0	0
192	AEP Texas North Company - Transmission	0	0	0	0
	AEP Texas North Co.	**$770,271**	**$314,995**	**$21,818**	**$1,107,084**
230	Kingsport Power Co. - Distribution	$185,646	$159,807	$0	$345,453
260	Kingsport Power Co. - Transmission	0	0	0	0
	Kingsport Power Co.	**$185,646**	**$159,807**	**$0**	**$345,453**
210	Wheeling Power Co. - Distribution	$0	$0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0	0
	Wheeling Power Co.	**$0**	**$0**	**$0**	**$0**
103	American Electric Power Service Corporation	$7,531,574	$5,033,332	$58,804	$12,623,710
293	Elmwood	0	0	0	0
292	AEP River Operations LLC	1,351,217	1,259,687	0	2,610,904
	American Electric Power Service Corp	**$8,882,791**	**$6,293,019**	**$58,804**	**$15,234,614**
143	AEP Pro Serv, Inc.	$0	$0	$0	$0
189	Central Coal Company	0	0	0	0
171	CSW Energy, Inc.	0	0	0	0
	Miscellaneous	**$0**	**$0**	**$0**	**$0**
270	Cook Coal Terminal	$0	$0	$0	$0
	AEP Generating Company	**$0**	**$0**	**$0**	**$0**
104	Cardinal Operating Company	$187,019	$135,992	$0	$323,011
181	Ohio Power Co. - Generation	877,836	687,925	0	1,565,761
	AEP Generation Resources - FERC	**$1,064,855**	**$823,917**	**$0**	**$1,888,772**
290	Conesville Coal Preparation Company	0	0	0	0
	AEP Generation Resources - SEC	**$1,064,855**	**$823,917**	**$0**	**$1,888,772**
175	AEP Energy Partners	0	0	0	0
419	Onsite Partners	0	0	0	0
	AEP Energy Supply	**$1,064,855**	**$823,917**	**$0**	**$1,888,772**
245	Dolet Hills	$2,508,023	$972,831	$2,894	$3,483,748
	Dolet Hills	**$2,508,023**	**$972,831**	**$2,894**	**$3,483,748**
	Total	**$46,032,985**	**$25,598,642**	**$253,381**	**$71,885,008**

AMERICAN ELECTRIC POWER
10-YEAR FORECAST - COST & CONTRIBUTION - 2018 YEAR-END UPDATE
($millions)

Exhibit I

Accounting

	ASC 715 Cost 2018	Estimated Net Periodic Benefit Cost 2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Qualified Retirement Plan[1,6]	$75.5	$52.9	$62.3	$57.5	$54.8	$63.3	$57.9	$66.1	$50.5	$59.2	$56.3
Non-Qualified Retirement Plan	$8.7	$5.8	$5.7	$5.5	$5.4	$5.3	$5.2	$5.1	$5.0	$5.0	$4.9
Non-UMWA Postretirement Welfare Plan[3,6]	-$104.9	-$83.5	-$83.0	-$84.8	-$86.6	-$83.6	-$34.8	-$26.4	-$28.5	-$31.0	-$34.0
UMWA Postretirement Welfare Plan[4]	3.5	3.0	2.9	2.7	2.6	2.4	2.3	2.2	2.0	2.0	1.9
TOTAL	**-$17.2**	**-$21.8**	**-$12.1**	**-$19.1**	**-$23.8**	**-$12.6**	**$30.6**	**$47.0**	**$29.0**	**$35.2**	**$29.1**

	2018	Estimated Service Cost 2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Qualified Retirement Plan[1,6]	$97.6	$94.3	$100.1	$102.6	$104.5	$105.9	$106.3	$106.9	$106.9	$107.7	$108.5
Non-Qualified Retirement Plan	1.3	1.2	1.3	1.3	1.4	1.4	1.5	1.6	1.6	1.7	1.8
Non-UMWA Postretirement Welfare Plan[3,6]	10.6	9.9	10.2	10.3	10.4	10.5	10.6	10.8	10.9	11.1	11.4
UMWA Postretirement Welfare Plan[4]	1.2	1.0	1.1	1.1	1.1	1.1	1.2	1.2	1.2	1.3	1.3
TOTAL	**$110.7**	**$106.4**	**$112.7**	**$115.3**	**$117.4**	**$118.9**	**$119.6**	**$120.5**	**$120.6**	**$121.8**	**$123.0**

	2018	Estimated "Other" Cost 2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Qualified Retirement Plan[1,6]	-$22.1	-$41.4	-$37.8	-$45.1	-$49.7	-$42.6	-$48.4	-$40.8	-$56.4	-$48.5	-$52.2
Non-Qualified Retirement Plan	7.4	4.6	4.4	4.2	4.0	3.9	3.7	3.5	3.4	3.3	3.1
Non-UMWA Postretirement Welfare Plan[3,6]	-115.5	-93.4	-93.2	-95.1	-97.0	-94.1	-45.4	-37.2	-39.4	-42.1	-45.4
UMWA Postretirement Welfare Plan[4]	2.3	2.0	1.8	1.6	1.5	1.3	1.1	1.0	0.8	0.7	0.6
TOTAL	**-$127.9**	**-$128.2**	**-$124.8**	**-$134.4**	**-$141.2**	**-$131.5**	**-$89.0**	**-$73.5**	**-$91.6**	**-$86.6**	**-$93.9**

Funding

	2018	Estimated Calendar Year Contribution 2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Qualified Retirement Plan[1,6]	$0.0	$94.3	$100.1	$102.6	$104.5	$105.9	$106.3	$106.9	$106.9	$107.7	$108.5
Non-Qualified Retirement Plan[2]	11.3	5.7	5.9	6.4	6.7	6.6	6.3	6.2	6.0	6.1	5.7
Non-UMWA Postretirement Welfare Plan[3,6]	12.8	0.9	0.8	0.8	0.8	0.7	0.7	0.6	0.5	0.5	0.5
UMWA Postretirement Welfare Plan[4]	4.1	3.7	3.7	3.6	3.6	3.5	3.4	3.3	3.2	3.2	3.1
TOTAL	**$28.2**	**$104.6**	**$110.5**	**$113.4**	**$115.6**	**$116.7**	**$116.7**	**$117.0**	**$116.6**	**$117.5**	**$117.8**

AMERICAN ELECTRIC POWER
10-YEAR FORECAST - COST & CONTRIBUTION - 2018 YEAR-END UPDATE

Exhibit I

Key Assumptions											
Discount rate											
Qualified	3.65%	4.30%	4.25%	4.34%	4.43%	4.50%	4.58%	4.63%	4.69%	4.71%	4.74%
Non-Qualified	3.45%	4.20%	4.15%	4.24%	4.33%	4.40%	4.48%	4.53%	4.59%	4.61%	4.64%
Non-UMWA	3.60%	4.30%	4.25%	4.34%	4.43%	4.50%	4.58%	4.63%	4.69%	4.71%	4.74%
UMWA	3.70%	4.35%	4.30%	4.39%	4.48%	4.55%	4.63%	4.68%	4.74%	4.76%	4.79%
PPA effective interest rate[5]	5.59%	5.46%	5.33%	4.93%	4.57%	4.43%	4.43%	4.43%	4.43%	4.43%	4.43%
Actual return on assets[7]											
Qualified	-2.06%	6.50%	5.75%	5.75%	6.00%	5.75%	6.00%	5.50%	6.00%	5.75%	6.00%
Postretirement Welfare - Non-UMWA	-7.35%	6.50%	5.50%	5.50%	5.50%	5.50%	5.75%	5.75%	6.00%	6.00%	6.00%
Postretirement Welfare - UMWA	-6.73%	7.25%	6.50%	6.50%	6.75%	6.75%	6.75%	6.75%	7.00%	7.00%	7.00%
Expected long-term return on assets											
Qualified	6.00%	6.25%	6.25%	6.25%	6.25%	6.25%	6.25%	6.00%	6.25%	6.00%	6.00%
Postretirement Welfare - Non-UMWA	6.00%	6.25%	6.00%	6.00%	6.00%	6.25%	6.25%	6.25%	6.25%	6.25%	6.25%
Postretirement Welfare - UMWA	7.25%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%
Cash balance crediting rate	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%	4.00%
Lump sum conversion rate	3.40%	3.90%	3.85%	3.94%	4.03%	4.10%	4.18%	4.23%	4.29%	4.31%	4.34%

Assets for projection	Initial assets for projection purposes are the unaudited assets as of December 31, 2018.
Mortality table	RP-2014, factored to 2006, collar adjustments as appropriate.
Mortality projection scale	Generational MP-2018 projection adjusted to reflect 75% of the long-term improvement rates.
Lump sum mortality	PPA 2019 optional combined mortality with static projection to commencement using MP-2018.
Retirement rates	Age-graded rates based on AEP experience during 2009-2013, average retirement age of 64.
Termination rates	Age and service based rates based on AEP experience during 2009-2013.
Salary increases	Age-graded rates based on AEP experience during 2011-2013, with average annual increase of 4.85%.
Valuation and data	January 1, 2018.
Trend rates	Initial trend rate of 6.25% in 2019, grading down to an ultimate rate of 5.00% over a five-year period.
Per capita claims costs	2019 Non-UMWA cost models based on actual claims experience incurred in calendar year 2017 and paid through March 31, 2018. 2019 UMWA cost models based on 48 months of paid claims through September 30, 2018.
Non-UMWA PRW Plan participation assumption	Initial participation of 85% until 2019 grading down to 75% in 2021
Non-UMWA PRW Plan persistency assumption	Non-capped retirees will drop coverage at a rate of 2% annually; Capped retirees will drop coverage at a rate of 4% annually.
Pension plan active population	Constant active population with new hires assumed to have same profile as prior year new hires.

[1] Funding policy for the qualified pension plan is the greater of the ASC 715 Service Cost or the minimum required contribution.
[2] Amounts for Nonqualified Pension Plan represent expected benefit payments.
[3] Funding policy for Non-UMWA Postretirement Welfare Plan is to fund ASC 715 cost (not less than $0). Amounts shown represents estimated company cash payments for key retirees not payable from trusts.
[4] Funding policy UMWA Postretirement Welfare Plan is to fund Cook Coal ASC 715 cost (not less than $0). Amount shown also includes expected benefit payments for all other locations.
[5] Reflects provisions of the Bipartisan Budget Act of 2015.
[6] Reflects the divestiture of the Cardinal Operating Company to Buckeye Power as of January 1, 2019.
[7] Actual asset returns are adjusted per AEP's request based on movements to the fixed income portion of plan investments to account for anticipated changes in future discount rate.

AMERICAN ELECTRIC POWER
10-YEAR FORECAST - ACCOUNTING FUNDED STATUS BY PLAN - 2018 YEAR-END UPDATE
Results as of January 1
($millions)

Willis Towers Watson

Exhibit II

		Estimated									
Plan	**2018**	**2019***	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**
Qualified Pension Plan											
Projected Benefit Obligation	(5,158.7)	(4,745.8)	(4,737.2)	(4,657.3)	(4,572.1)	(4,498.0)	(4,414.3)	(4,340.5)	(4,267.4)	(4,209.4)	(4,151.4)
Fair Value of Assets	5,183.2	4,699.2	4,749.0	4,768.9	4,782.4	4,807.1	4,815.5	4,832.1	4,831.6	4,853.1	4,869.6
Funded Status	24.4	(46.6)	11.8	111.6	210.3	309.1	401.2	491.6	564.2	643.7	718.2
Funded Percentage	100.4%	99.0%	100.2%	102.3%	104.5%	106.8%	109.0%	111.3%	113.2%	115.2%	117.3%
Discount rate	3.65%	4.30%	4.25%	4.34%	4.43%	4.50%	4.58%	4.63%	4.69%	4.71%	4.74%
Expected long-term return on assets	6.00%	6.25%	6.25%	6.25%	6.25%	6.25%	6.25%	6.00%	6.25%	6.00%	6.00%
Actual assumed return on assets	-2.06%	6.50%	5.75%	5.75%	6.00%	5.75%	6.00%	5.50%	6.00%	5.75%	6.00%
Nonqualified Pension Plan											
Projected Benefit Obligation	(79.0)	(69.2)	(67.9)	(65.6)	(62.9)	(59.9)	(57.0)	(54.6)	(52.2)	(50.2)	(47.9)
Fair Value of Assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Funded Status	(79.0)	(69.2)	(67.9)	(65.6)	(62.9)	(59.9)	(57.0)	(54.6)	(52.2)	(50.2)	(47.9)
Discount rate	3.45%	4.20%	4.15%	4.24%	4.33%	4.40%	4.48%	4.53%	4.59%	4.61%	4.64%
Non-UMWA Postretirement Welfare Plan											
Accumulated Postretirement Benefit Obligation	(1,251.3)	(1,112.0)	(1,091.3)	(1,051.8)	(1,013.0)	(977.3)	(942.1)	(910.2)	(878.1)	(850.1)	(821.9)
Fair Value of Assets	1,708.7	1,505.9	1,518.9	1,514.6	1,511.0	1,508.8	1,508.5	1,513.0	1,519.1	1,530.7	1,544.6
Funded Status	457.4	393.9	427.6	462.7	498.0	531.5	566.4	602.8	641.0	680.7	722.7
Funded Percentage	136.5%	135.4%	139.1%	143.9%	149.1%	154.3%	160.1%	166.2%	172.9%	180.0%	187.9%
Discount rate	3.60%	4.30%	4.25%	4.34%	4.43%	4.50%	4.58%	4.63%	4.69%	4.71%	4.74%
Expected long-term return on assets	6.00%	6.25%	6.00%	6.00%	6.00%	6.25%	6.25%	6.25%	6.25%	6.25%	6.25%
Actual assumed return on assets	-7.35%	6.50%	5.50%	5.50%	5.50%	5.50%	5.75%	5.75%	6.00%	6.00%	6.00%
UMWA Postretirement Welfare Plan											
Accumulated Postretirement Benefit Obligation	(100.9)	(87.3)	(88.8)	(88.4)	(88.2)	(88.1)	(88.0)	(88.3)	(88.5)	(89.4)	(90.2)
Fair Value of Assets	36.8	34.8	37.1	39.2	41.4	43.6	45.9	48.1	50.4	52.9	55.4
Funded Status	(64.1)	(52.5)	(51.7)	(49.2)	(46.8)	(44.5)	(42.1)	(40.2)	(38.1)	(36.6)	(34.8)
Funded Percentage	36.4%	39.8%	41.7%	44.3%	46.9%	49.4%	52.1%	54.4%	56.9%	59.1%	61.3%
Discount rate	3.70%	4.35%	4.30%	4.39%	4.48%	4.55%	4.63%	4.68%	4.74%	4.76%	4.79%
Expected long-term return on assets	7.25%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%	7.00%
Actual assumed return on assets	-6.73%	7.25%	6.50%	6.50%	6.75%	6.75%	6.75%	6.75%	7.00%	7.00%	7.00%

* Reflects December 31, 2018 disclosed benefit obligations and assets.

Unless otherwise stated here, please refer to Exhibit I for documentation of other applicable assumptions and methods.

AMERICAN ELECTRIC POWER
NON-UMWA POSTRETIREMENT WELFARE PLAN
10-YEAR PRW COST FORECAST - 2018 YEAR-END UPDATE
($000s)

EXHIBIT III - NON-UMWA COST

		ASC 715-30 Cost	Estimated Net Periodic Postretirement Benefit Cost									
		2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Location												
140	Appalachian Power Co - Distribution	($8,308)	($6,525)	($6,482)	($6,615)	($6,745)	($6,522)	($2,897)	($2,274)	($2,404)	($2,567)	($2,739)
215	Appalachian Power Co - Generation	(6,991)	(5,425)	(5,372)	(5,475)	(5,578)	(5,367)	(2,442)	(1,961)	(2,083)	(2,237)	(2,396)
150	Appalachian Power Co - Transmission	(1,153)	(973)	(970)	(984)	(999)	(941)	(383)	(281)	(293)	(306)	(319)
	Appalachian Power Co. - FERC	**(16,452)**	**(12,923)**	**(12,824)**	**(13,074)**	**(13,322)**	**(12,830)**	**(5,722)**	**(4,516)**	**(4,780)**	**(5,110)**	**(5,454)**
225	Cedar Coal Co	(25)	(17)	(16)	(16)	(16)	(13)	(8)	(8)	(7)	(7)	(7)
	Appalachian Power Co. - SEC	**(16,477)**	**(12,940)**	**(12,840)**	**(13,090)**	**(13,338)**	**(12,843)**	**(5,730)**	**(4,524)**	**(4,787)**	**(5,117)**	**(5,461)**
211	AEP Texas Central Company - Distribution	(5,946)	(4,733)	(4,710)	(4,817)	(4,923)	(4,753)	(1,999)	(1,530)	(1,636)	(1,765)	(1,905)
147	AEP Texas Central Company - Generation	(15)	(15)	(15)	(15)	(15)	(9)	0	0	0	0	0
169	AEP Texas Central Company - Transmission	(576)	(455)	(453)	(466)	(478)	(466)	(190)	(144)	(158)	(175)	(193)
	AEP Texas Central Co.	**(6,537)**	**(5,203)**	**(5,178)**	**(5,298)**	**(5,416)**	**(5,228)**	**(2,189)**	**(1,674)**	**(1,794)**	**(1,940)**	**(2,098)**
119	AEP Texas North Company - Distribution	(1,882)	(1,529)	(1,524)	(1,555)	(1,587)	(1,537)	(622)	(459)	(491)	(530)	(570)
166	AEP Texas North Company - Generation	(253)	(165)	(162)	(167)	(170)	(156)	(117)	(118)	(118)	(119)	(119)
192	AEP Texas North Company - Transmission	(315)	(261)	(260)	(265)	(270)	(262)	(93)	(62)	(67)	(74)	(81)
	AEP Texas North Co.	**(2,450)**	**(1,955)**	**(1,946)**	**(1,987)**	**(2,027)**	**(1,955)**	**(832)**	**(639)**	**(676)**	**(723)**	**(770)**
	AEP Texas	**(8,987)**	**(7,158)**	**(7,124)**	**(7,285)**	**(7,443)**	**(7,183)**	**(3,021)**	**(2,313)**	**(2,470)**	**(2,663)**	**(2,868)**
170	Indiana Michigan Power Co - Distribution	(4,101)	(3,232)	(3,204)	(3,264)	(3,322)	(3,171)	(1,330)	(1,018)	(1,082)	(1,165)	(1,253)
132	Indiana Michigan Power Co - Generation	(2,859)	(2,307)	(2,288)	(2,323)	(2,354)	(2,256)	(921)	(670)	(704)	(748)	(793)
190	Indiana Michigan Power Co - Nuclear	(4,611)	(3,757)	(3,743)	(3,841)	(3,936)	(3,815)	(1,294)	(851)	(983)	(1,140)	(1,311)
120	Indiana Michigan Power Co - Transmission	(910)	(729)	(725)	(742)	(758)	(727)	(307)	(237)	(255)	(277)	(298)
280	Ind Mich River Transp Lakin	(1,097)	(899)	(896)	(915)	(934)	(902)	(319)	(217)	(241)	(270)	(301)
	Indiana Michigan Power Co. - SEC	**(13,578)**	**(10,924)**	**(10,856)**	**(11,085)**	**(11,304)**	**(10,871)**	**(4,171)**	**(2,993)**	**(3,265)**	**(3,600)**	**(3,956)**
110	Kentucky Power Co - Distribution	(1,819)	(1,484)	(1,478)	(1,507)	(1,534)	(1,485)	(615)	(457)	(487)	(525)	(563)
117	Kentucky Power Co - Generation	(1,082)	(846)	(836)	(847)	(856)	(821)	(383)	(307)	(320)	(335)	(351)
180	Kentucky Power Co - Transmission	(237)	(218)	(218)	(219)	(221)	(207)	(61)	(30)	(32)	(33)	(35)
600	Kentucky Power Co. - Kammer Actives	(43)	(43)	(43)	(43)	(43)	(43)	(13)	0	0	0	0
701	Kentucky Power Co. - Mitchell Actives	(189)	(112)	(117)	(137)	(156)	(198)	(115)	(76)	(97)	(124)	(153)
702	Kentucky Power Co. - Mitchell Inactives	(581)	(395)	(385)	(392)	(399)	(431)	(345)	(246)	(255)	(266)	(278)
	Kentucky Power Co.	**(3,951)**	**(3,098)**	**(3,077)**	**(3,145)**	**(3,209)**	**(3,185)**	**(1,532)**	**(1,116)**	**(1,191)**	**(1,283)**	**(1,380)**
250	Ohio Power Co - Distribution	(9,939)	(7,643)	(7,579)	(7,750)	(7,917)	(7,667)	(3,517)	(2,844)	(3,020)	(3,240)	(3,468)
160	Ohio Power Co - Transmission	(1,579)	(1,316)	(1,309)	(1,325)	(1,342)	(1,259)	(523)	(389)	(403)	(419)	(435)
	Ohio Power Co.	**(11,518)**	**(8,959)**	**(8,888)**	**(9,075)**	**(9,259)**	**(8,926)**	**(4,040)**	**(3,233)**	**(3,423)**	**(3,659)**	**(3,903)**
167	Public Service Co of Oklahoma - Distribution	(3,683)	(2,945)	(2,930)	(2,993)	(3,057)	(2,948)	(1,186)	(883)	(954)	(1,040)	(1,132)
198	Public Service Co of Oklahoma - Generation	(2,009)	(1,663)	(1,659)	(1,695)	(1,732)	(1,679)	(601)	(404)	(445)	(493)	(547)
114	Public Service Co of Oklahoma - Transmission	(458)	(369)	(367)	(375)	(382)	(369)	(146)	(107)	(116)	(128)	(138)
	Public Service Co. of Oklahoma	**(6,150)**	**(4,977)**	**(4,956)**	**(5,063)**	**(5,171)**	**(4,996)**	**(1,933)**	**(1,394)**	**(1,515)**	**(1,661)**	**(1,817)**
159	Southwestern Electric Power Co - Distribution	(2,626)	(2,111)	(2,105)	(2,157)	(2,208)	(2,268)	(929)	(651)	(709)	(778)	(856)
168	Southwestern Electric Power Co - Generation	(2,857)	(2,354)	(2,348)	(2,405)	(2,460)	(2,397)	(862)	(581)	(642)	(718)	(797)
161	Southwestern Electric Power Co - Texas - Distribution	(1,373)	(1,115)	(1,109)	(1,132)	(1,155)	(1,120)	(444)	(323)	(350)	(382)	(418)
111	Southwestern Electric Power Co - Texas - Transmission	0	0	0	0	0	0	0	0	0	0	0
194	Southwestern Electric Power Co - Transmission	(405)	(328)	(326)	(333)	(341)	(328)	(130)	(97)	(104)	(113)	(122)
	Southwestern Electric Power Co.	**(7,261)**	**(5,908)**	**(5,888)**	**(6,027)**	**(6,164)**	**(6,113)**	**(2,365)**	**(1,652)**	**(1,805)**	**(1,991)**	**(2,193)**
230	Kingsport Power Co - Distribution	(285)	(218)	(217)	(223)	(230)	(224)	(102)	(83)	(91)	(99)	(108)
260	Kingsport Power Co - Transmission	(59)	(50)	(50)	(50)	(51)	(47)	(18)	(13)	(13)	(14)	(14)
	Kingsport Power Co.	**(344)**	**(268)**	**(267)**	**(273)**	**(281)**	**(271)**	**(120)**	**(96)**	**(104)**	**(113)**	**(122)**
210	Wheeling Power Co - Distribution	(415)	(327)	(325)	(332)	(339)	(326)	(142)	(110)	(116)	(124)	(132)
200	Wheeling Power Co - Transmission	(13)	(8)	(7)	(7)	(7)	(6)	(4)	(4)	(3)	(3)	(2)
	Wheeling Power Co.	**(428)**	**(335)**	**(332)**	**(339)**	**(346)**	**(332)**	**(146)**	**(114)**	**(119)**	**(127)**	**(134)**
103	American Electric Power Service Corporation	(25,167)	(20,068)	(19,997)	(20,513)	(21,044)	(20,330)	(8,331)	(6,375)	(7,055)	(7,861)	(8,714)
293	Elmwood	(307)	(292)	(292)	(294)	(295)	(281)	(72)	(26)	(28)	(30)	(33)
292	AEP River Operations LLC	(1,461)	(1,356)	(1,353)	(1,359)	(1,364)	(1,290)	(358)	(153)	(162)	(173)	(184)
	American Electric Power Service Corp	**(26,935)**	**(21,716)**	**(21,642)**	**(22,166)**	**(22,703)**	**(21,901)**	**(8,761)**	**(6,554)**	**(7,245)**	**(8,064)**	**(8,931)**
270	Cook Coal Terminal	(93)	(77)	(77)	(78)	(79)	(75)	(27)	(19)	(21)	(24)	(26)
	AEP Generating Company	**(93)**	**(77)**	**(77)**	**(78)**	**(79)**	**(75)**	**(27)**	**(19)**	**(21)**	**(24)**	**(26)**
104	Cardinal Operating Company	(1,678)	(1,531)	(1,527)	(1,555)	(1,583)	(1,533)	(737)	(596)	(621)	(650)	(678)
181	Ohio Power Co - Generation	(7,792)	(6,080)	(6,002)	(6,074)	(6,140)	(5,768)	(2,593)	(2,177)	(2,247)	(2,348)	(2,448)
	AEP Generation Resources - FERC	**(9,470)**	**(7,611)**	**(7,529)**	**(7,629)**	**(7,723)**	**(7,301)**	**(3,330)**	**(2,773)**	**(2,868)**	**(2,998)**	**(3,126)**
290	Conesville Coal Preparation Company	(95)	(74)	(73)	(74)	(74)	(70)	(32)	(26)	(27)	(29)	(30)
	AEP Generation Resources - SEC	**(9,565)**	**(7,685)**	**(7,602)**	**(7,703)**	**(7,797)**	**(7,371)**	**(3,362)**	**(2,799)**	**(2,895)**	**(3,027)**	**(3,156)**
175	AEP Energy Partners	(24)	(9)	(9)	(12)	(17)	(23)	(4)	(5)	(13)	(22)	(32)
171	CSW Energy, Inc.	(27)	(22)	(22)	(22)	(23)	(23)	(12)	(10)	(10)	(11)	(11)
419	Onsite Partners	1	1	1	1	1	0	0	0	0	0	0
	AEP Energy Supply	**(9,615)**	**(7,715)**	**(7,632)**	**(7,736)**	**(7,836)**	**(7,417)**	**(3,378)**	**(2,814)**	**(2,918)**	**(3,060)**	**(3,199)**
143	AEP Pro Serv, Inc.	(5)	(3)	(3)	(3)	(4)	(4)	(3)	(3)	(4)	(4)	(4)
	AEP Pro Serv, Inc.	**(5)**	**(3)**	**(3)**	**(3)**	**(4)**	**(4)**	**(3)**	**(3)**	**(4)**	**(4)**	**(4)**
245	Dolet Hills	474	543	542	526	510	473	455	435	411	383	(9)
	Dolet Hills	**474**	**543**	**542**	**526**	**510**	**473**	**455**	**435**	**411**	**383**	**(9)**
	Total	**($104,868)**	**($83,535)**	**($83,040)**	**($84,839)**	**($86,627)**	**($83,644)**	**($34,772)**	**($26,390)**	**($28,456)**	**($30,983)**	**($34,003)**
	Total without Dolet Hills	**($105,342)**	**($84,078)**	**($83,582)**	**($85,365)**	**($87,137)**	**($84,117)**	**($35,227)**	**($26,825)**	**($28,867)**	**($31,366)**	**($33,994)**

Please refer to Exhibit I for documentation of applicable assumptions.

American Electric Power
Benefits Summary by Location
Unfunded Liabilities as of December 31, 2018

Code	Location	Health Care and Life Insurance	LTD	COBRA	Total Benefits
140	Appalachian Power Co. - Distribution	$6,594,387	$3,253,365	$3,368	$9,851,120
215	Appalachian Power Co. - Generation	3,541,308	1,912,111	136	5,453,555
150	Appalachian Power Co. - Transmission	388,570	199,563	0	588,133
	Appalachian Power Co. - FERC	**$10,524,265**	**$5,365,039**	**$3,504**	**$15,892,808**
225	Cedar Coal Co	0	0	0	0
	Appalachian Power Co. - SEC	**$10,524,265**	**$5,365,039**	**$3,504**	**$15,892,808**
211	AEP Texas Central Company - Distribution	$3,054,723	$1,550,112	$7,104	$4,611,939
147	AEP Texas Central Company - Generation	0	0	0	0
169	AEP Texas Central Company - Transmission	0	0	0	0
	AEP Texas Central Co.	**$3,054,723**	**$1,550,112**	**$7,104**	**$4,611,939**
170	Indiana Michigan Power Co. - Distribution	$430,220	$228,713	$14,093	$673,026
132	Indiana Michigan Power Co. - Generation	367,940	217,311	0	585,251
190	Indiana Michigan Power Co. - Nuclear	1,528,053	1,046,728	6,325	2,581,106
120	Indiana Michigan Power Co. - Transmission	216,161	94,571	0	310,732
280	Ind Mich River Transp Lakin	2,108,050	977,640	0	3,085,690
	Indiana Michigan Power Co. - FERC	**$4,650,424**	**$2,564,963**	**$20,418**	**$7,235,805**
202	Price River Coal	0	0	0	0
	Indiana Michigan Power Co. - SEC	**$4,650,424**	**$2,564,963**	**$20,418**	**$7,235,805**
110	Kentucky Power Co. - Distribution	$1,780,182	$621,224	$0	$2,401,406
117	Kentucky Power Co. - Generation	923,461	399,389	123	1,322,973
180	Kentucky Power Co. - Transmission	0	0	0	0
600	Kentucky Power Co. - Kammer Actives	373,645	206,126	0	579,771
701	Kentucky Power Co. - Mitchell Actives	327,537	316,328	0	643,865
702	Kentucky Power Co. - Mitchell Inactives	0	0	0	0
	Kentucky Power Co.	**$3,404,825**	**$1,543,067**	**$123**	**$4,948,015**
250	Ohio Power Co. - Distribution	$5,127,729	$2,089,902	$4,549	$7,222,180
160	Ohio Power Co. - Transmission	218,117	149,010	191	367,318
	Ohio Power Co.	**$5,345,846**	**$2,238,912**	**$4,740**	**$7,589,498**
167	Public Service Co. of Oklahoma - Distribution	$965,769	$587,918	$11,564	$1,565,251
198	Public Service Co. of Oklahoma - Generation	899,238	219,493	0	1,118,731
114	Public Service Co. of Oklahoma - Transmission	0	0	0	0
	Public Service Co. of Oklahoma	**$1,865,007**	**$807,411**	**$11,564**	**$2,683,982**
159	Southwestern Electric Power Co. - Distribution	$1,210,189	$590,712	$0	$1,800,901
168	Southwestern Electric Power Co. - Generation	1,388,502	576,195	0	1,964,697
161	Southwestern Electric Power Co. - Texas - Distribution	1,387,419	513,835	4,237	1,905,491
111	Southwestern Electric Power Co. - Texas - Transmission	0	0	0	0
194	Southwestern Electric Power Co. - Transmission	0	0	0	0
	Southwestern Electric Power Co.	**$3,986,110**	**$1,680,742**	**$4,237**	**$5,671,089**
119	AEP Texas North Company - Distribution	$465,990	$204,607	$0	$670,597
166	AEP Texas North Company - Generation	0	0	0	0
192	AEP Texas North Company - Transmission	0	0	0	0
	AEP Texas North Co.	**$465,990**	**$204,607**	**$0**	**$670,597**
230	Kingsport Power Co. - Distribution	$157,835	$148,242	$0	$306,077
260	Kingsport Power Co. - Transmission	0	0	0	0
	Kingsport Power Co.	**$157,835**	**$148,242**	**$0**	**$306,077**
210	Wheeling Power Co. - Distribution	$0	$0	$0	$0
200	Wheeling Power Co. - Transmission	0	0	0	0
	Wheeling Power Co.	**$0**	**$0**	**$0**	**$0**
103	American Electric Power Service Corporation	$7,091,880	$4,215,978	$51,076	$11,358,934
293	Elmwood	0	0	0	0
292	AEP River Operations LLC	1,156,938	1,067,275	0	2,224,213
	American Electric Power Service Corp	**$8,248,818**	**$5,283,253**	**$51,076**	**$13,583,147**
143	AEP Pro Serv, Inc.	$0	$0	$0	$0
189	Central Coal Company	0	0	0	0
171	CSW Energy, Inc.	0	0	0	0
	Miscellaneous	**$0**	**$0**	**$0**	**$0**
270	Cook Coal Terminal	$0	$0	$0	$0
	AEP Generating Company	**$0**	**$0**	**$0**	**$0**
104	Cardinal Operating Company	$174,381	$100,300	$0	$274,681
181	Ohio Power Co. - Generation	799,858	659,318	0	1,459,176
	AEP Generation Resources - FERC	**$974,239**	**$759,618**	**$0**	**$1,733,857**
290	Conesville Coal Preparation Company	0	0	0	0
	AEP Generation Resources - SEC	**$974,239**	**$759,618**	**$0**	**$1,733,857**
175	AEP Energy Partners	0	0	0	0
419	Onsite Partners	0	0	2,187	2,187
	AEP Energy Supply	**$974,239**	**$759,618**	**$2,187**	**$1,736,044**
245	Dolet Hills	$2,914,069	$974,989	$162	$3,889,220
	Dolet Hills	**$2,914,069**	**$974,989**	**$162**	**$3,889,220**
	Total	**$45,592,151**	**$23,120,955**	**$105,115**	**$68,818,221**

Key Assumptions as of December 31, 2018

Discount rate	2.65%
Initial health care trend in 2019	6.25%
Ultimate health care trend	5.00%
Years to ultimate	5
Disability mortality	2012 GLTD
Disability recovery	2012 GLTD, reflecting improvements from the 2016 GLTD experience study
2019 per capita claims cost assumptions	
All other demographic assumptions match those in the 2018 valuation	